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Retirement plan and IRA required minimum distributions FAQs

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Required minimum distributions (RMDs) are the minimum amounts you must withdraw from your retirement accounts each year. You generally must start taking withdrawals from your traditional IRA, SEP IRA, SIMPLE IRA, and retirement plan accounts when you reach age 73.

Participants in a workplace retirement plan (for example, 401(k) or profit-sharing plan) can delay taking their RMDs until the year they retire, unless they're a 5% owner of the business sponsoring the plan.

- You can withdraw more than the minimum required amount.
- Your withdrawals are included in taxable income except for any part that was already taxed (your basis) or that can be received tax-free (such as qualified distributions from designated Roth accounts).

Withdrawals from Roth IRAs and Designated Roth accounts (401(k) or 403(b)) are not required until after the death of the account owner. However, beneficiaries of Roth IRAs and Designated Roth accounts are subject to RMD rules.

If you reach age 73 in 2024:

- Your first RMD is due by April 1, 2025, based on your account balance on December 31, 2023, and
- Your second RMD is due by December 31, 2025, based on your account balance on December 31, 2024.

For defined contribution plan participants or IRA owners who die after December 31, 2019, (with a delayed effective date for certain collectively bargained plans), the entire balance of the deceased participant's account must be distributed within ten years. There's an exception for a surviving spouse, a child who has not reached the age of majority, a disabled or chronically ill person, or a person not more than ten years younger than the employee or IRA account owner.

The new 10-year rule applies regardless of whether the participant dies before, on, or after the required beginning date. The required beginning date is the date an account owner must make take their first RMD.

For more information on IRAs, including required withdrawals and beneficiaries, see:

- Retirement topics – Beneficiary
- Publication 590-B, Distributions from Individual Retirement Arrangements (IRAs)
- Required Minimum Distributions (RMDs)
- Individual Retirement Arrangements (IRAs)
- Required Minimum Distribution worksheets for IRAs
- Chart of required minimum distributions for IRA beneficiaries
- Publication 560, Retirement Plans for Small Business (SEP, SIMPLE and Qualified Plans)
- RMD comparison chart (IRAs vs. defined contribution plans)

The following frequently asked questions and answers provide general information and should not be cited as legal authority.

Q1. What are required minimum distributions? (updated Dec. 10, 2024)

Required Minimum Distributions (RMDs) are minimum amounts that IRA and retirement plan account owners generally must withdraw annually starting with the year they reach age 73. Retirement plan account owners can delay taking their RMDs until the year in which they retire, unless they're a 5% owner of the business sponsoring the plan. Owners of traditional IRA, and SEP and SIMPLE IRA accounts must begin taking RMDs once the account holder is age 73, even if they're retired.

Retirement plan participants and IRA owners, including owners of SEP IRAs and SIMPLE IRAs, are responsible for taking the correct amount of RMDs on time, every year from their accounts, and they may face stiff penalties for failure to take RMDs.

When a retirement plan account owner or IRA owner dies before January 1, 2020, before their RMDs are required to begin, the entire amount of the owner's benefit generally must be distributed to the beneficiary who is an individual.

- within 5 years of the end of the year following the year of the owner's death, or
- over the life of the beneficiary starting by the end of the year following the year of the owner's death.

For defined contribution plan participants, or IRA owners, who die after December 31, 2019, (with a delayed effective date for certain collectively bargained plans), the SECURE Act requires the entire balance of the participant's account be distributed within ten years. This 10-year rule has an exception for a surviving spouse, a child who has not reached the age of majority, a disabled or chronically ill person or a person not more than ten years younger than the employee or IRA account owner. The new 10-year rule applies regardless of whether the participant dies before, on, or after, the required beginning date. The required beginning date is the date an account owner must take their first RMD.

See Publication 590-B, Distributions from Individual Retirement Arrangements (IRAs), and Retirement topics – Beneficiary for more information on when beneficiaries must start receiving RMDs.

Q2. What types of retirement plans require minimum distributions? (updated Dec. 10, 2024)

The RMD rules apply to all employer sponsored retirement plans, including profit-sharing plans, 401(k) plans, 403(b) plans, and 457(b) plans. The RMD rules also apply to traditional IRAs and IRA-based plans such as SEPs, SARSEPs, and SIMPLE IRAs.

The RMD rules do not apply to Roth IRAs or Designated Roth accounts while the owner is alive. However, RMD rules do apply to the beneficiaries of Roth IRA and Designated Roth accounts.

Q3. When must I receive my required minimum distribution from my IRA? (updated Dec. 10, 2024)

You must take your first required minimum distribution for the year in which you reach age 73. However, you can delay taking the first RMD until April 1 of the following year. If you reach age 73 in 2024, you must take your first RMD by April 1, 2025, and the second RMD by Dec. 31, 2025.

A different deadline may apply to RMDs from pre-1987 contributions to a 403(b) plan (see FAQ 5 below).

Q4. How is the amount of the required minimum distribution calculated?

Generally, a RMD is calculated for each account by dividing the prior December 31 balance of that IRA or retirement plan account by a life expectancy factor that the IRS publishes in Tables in Publication 590-B, Distributions from Individual Retirement Arrangements (IRAs). Choose the life expectancy table to use based on your situation.

Joint and last survivor table II - use this table if the sole beneficiary of the account is your spouse and your spouse is more than 10 years younger than you.

Uniform lifetime table III - use this if your spouse is not your sole beneficiary or your spouse is not more than 10 years younger

Single life expectancy table I - use this if you are a beneficiary of an account (an inherited IRA)

See the worksheets to calculate required minimum distributions and the FAQ below for different rules that may apply to 403(b) plans.

Q5. Can an account owner just take a RMD from one account instead of separately from each account?

An IRA owner must calculate the RMD separately for each IRA they own but can withdraw the total amount from one or more of the IRAs. Similarly, a 403(b) contract owner must calculate the RMD separately for each 403(b) contract they own but can take the total amount from one or more of the 403(b) contracts.

However, RMDs required from other types of retirement plans, such as 401(k) and 457(b) plans, must be taken separately from each of those plan accounts.

Q6. Who calculates the amount of the RMD? (updated March 14, 2023)

Although the IRA custodian or retirement plan administrator may calculate the RMD, the account owner is ultimately responsible for taking the correct RMD amount.

Q7. Can an account owner withdraw more than the RMD?

Yes.

Q8. What happens if a person does not take a RMD by the required deadline? (updated Dec. 10, 2024)

If an account owner fails to withdraw the full amount of the RMD by the due date, the amount not withdrawn may be subject to an excise tax of 25%, 10% if the RMD is timely corrected within two years. The account owner should file Form 5329, Additional Taxes on Qualified Plans (Including IRAs) and Other Tax-Favored Accounts, with their federal tax return for the year in which the full amount of the RMD was required, but not taken.

Q9. Can the penalty for not taking the full RMD be waived?

Yes, the penalty may be waived if the account owner establishes that the shortfall in distributions was due to reasonable error and that reasonable steps are being taken to remedy the shortfall. In order to qualify for this relief, you must file Form 5329 and attach a letter of explanation. See the Instructions to Form 5329 PDF.

Q10. Can a distribution in excess of the RMD for one year be applied to the RMD for a future year?

No.

Q11. How are RMDs taxed?

The account owner is taxed at their income tax rate on the amount of the withdrawn RMD. However, to the extent the RMD is a return of basis or is a qualified distribution from a Roth IRA, it is tax free.

Q12. Can RMD amounts be rolled over into another tax-deferred account?

No. Please refer to Publication 590-B, Distributions from Individual Retirement Arrangements (IRAs), for additional information.

Q13. Is an employer required to make plan contributions for an employee who has reached age 73 and is receiving required minimum distributions? (updated Dec. 10, 2024)

Yes, you must continue contributions for an employee, even if they are receiving RMDs. You must also give the employee the option to continue making salary deferrals in a plan that permits them. Otherwise, you will fail to follow the plan's terms which may cause your plan to lose its qualified status. You may correct this failure through the Employee Plans Compliance Resolution System (EPCRS).

Q15. How are RMDs determined in a Defined Benefit Plan? (updated March 14, 2023)

A defined benefit plan generally must make RMDs by distributing the participant's entire interest in periodic annuity payments as calculated by the plan's formula for:

- the participant's life,
- the joint lives of the participant and beneficiary, or
- a "period certain" (see Treas. Reg. §1.401(a)(9)-6, A-3).

See also:

- RMD comparison chart (IRAs vs. defined contribution plans)
- Publication 560, Retirement Plans for Small Business (SEP, SIMPLE, and Qualified Plans)

Q16. What are the required minimum distribution requirements for pre-1987 contributions to a 403(b) plan? (updated Dec. 10, 2024)

If the 403(b) plan (including any 403(b) plan that received pre-1987 amounts in a direct transfer that complies with Treas. Reg. Section 1.403(b)-10(b)):

- has separately accounted and kept records for pre-1987 amounts, and
- is for the primary purpose of providing retirement benefits (see the incidental benefit rules in Treas. Reg. Section 1.401-1(b)(1)(I)),

then the pre-1987 amounts (excluding any earnings or gains on such amounts):

- are not subject to the age 73 RMD rules of IRC Section 401(a)(9),
- are not used in calculating age 73 RMDs from the 403(b) plan, and
- don't need to be distributed from the plan until December 31 of the year in which a participant turns age 75 or, if later, April 1 of the calendar year immediately following the calendar year in which the participant retires.

If the plan includes both pre-1987 and post 1987 amounts, for distributions of any amounts in excess of the age 73 RMDs, the excess is considered to be from the pre-1987 amounts.

If records are not kept for pre-1987 amounts, the entire account balance is subject to the age 73 RMD rules of IRC section 401(a)(9).

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Beneficiaries of retirement plan and IRA accounts after the death of the account owner are subject to required minimum distribution (RMD) rules. A beneficiary is generally any person or entity the account owner chooses to receive the benefits of a retirement account or an IRA after they die. The owner must designate the beneficiary under procedures established by the plan. Some retirement plans require specific beneficiaries under the terms of the plan (such as a spouse or child).

Beneficiaries of an IRA, and most plans, have the option of taking a lump-sum distribution of the inherited account at any time. Beneficiaries must include any taxable distributions they receive in their gross income.

How beneficiary RMDs are determined

The factors that affect the distribution requirements for inherited retirement plan accounts and IRAs include:

- Whether the account owner died after 2019 (the SECURE Act made changes to the RMDs for beneficiaries if the death of the account holder occurred after 2019).
- The relationship of the beneficiary to the account owner and certain characteristics (spouse, minor child, disabled or chronically ill individual, entity other than an individual)
- Whether the original account owner died before or after their required beginning date (the first date the original account owner was required to begin taking RMDs).

The spouse of the account owner has more options than non-spouse beneficiaries, if they're the sole beneficiary. Determination of whether the spouse is the sole beneficiary is made by September 30 of the year following the

year of the account holder's death.

For the year of the account owner's death, the RMD due is the amount the account owner was required to withdraw and did not withdraw before death, if any. Beginning the year following the owner's death, the RMD depends on certain characteristics of the designated beneficiary and the distribution option chosen by the beneficiary.

Death of the account holder occurred before 2020

Spousal beneficiary options

If the death of the account holder occurred prior to the required beginning date, the spousal beneficiary's options are:

- Keep as an inherited account
  - Take distributions based on their own life expectancy, or
  - Follow the 5-year rule
- Rollover the account into their own IRA

If the death of the account holder occurred after the required beginning date, the spousal beneficiary's options are:

- Take distributions based on their own life expectancy
  - No 5-year rule available

Non-spouse beneficiary options

If the account holder's death occurred prior to the required beginning date (or if the account is a Roth IRA), the non-spouse beneficiary's options are:

- Take distributions based on their own life expectancy, beginning the end of the year following the year of death, or
- Follow the 5-year rule

If the account holder's death occurred after the required beginning date, the non-spouse beneficiary may:

- Take distributions based on the longer of their own life expectancy or the account owner's remaining life expectancy.

Death of the account holder occurred in 2020 or later

Spousal beneficiary options

If the account holder's death occurred prior to the required beginning date, the spouse beneficiary may:

- Keep as an inherited account
  - Delay beginning distributions until the employee would have turned 72
  - Take distributions based on their own life expectancy
  - Follow the 10-year rule
- Roll over the account into their own IRA

If the account holder's death occurred after the required beginning date, the spouse beneficiary may:

- Keep as an inherited account
  - Take distributions based on their own life expectancy, or
- Rollover the account into their own IRA

Non-spouse beneficiary options

In 2020 and later, options for a beneficiary who is not the spouse of the deceased account owner depend on whether they are an "eligible designated beneficiary." An eligible designated beneficiary is

- Spouse or minor child of the deceased account holder
- Disabled or chronically ill individual
- Individual who is not more than 10 years younger than the IRA owner or plan participant

An eligible designated beneficiary may

- Take distributions over the longer of their own life expectancy and the employee's remaining life expectancy, or
- Follow the 10-year rule (if the account owner died before that owner's required beginning date)

Designated beneficiary (not an eligible designated beneficiary)

- Follow the 10-year rule

Beneficiary that is not an individual

- Follow the rules described above as if the account owner died before 2020 (because the SECURE Act changes only apply to beneficiaries who are individuals)

Definitions

5-year rule: If a beneficiary is subject to the 5-year rule,

- They must empty account by the end of the 5th year following the year of the account holders' death
- 2020 does not count when determining the 5 years
- No withdrawals are required before the end of that 5th year

10-year rule: If a beneficiary is subject to the 10-year rule,

- Empty the entire account by the end of the 10th year following the year of the account owner's (or eligible designated beneficiary's) death
- Relief under Notice 2022-53 for beneficiaries subject to the 10-year rule
  - The IRS will not treat a beneficiary of an inherited account in a plan or IRA who was subject to the 10-year rule and who failed to take an RMD for 2021 and 2022 as having failed to take the correct RMD

Eligible designated beneficiary

- Spouse or minor child of the deceased account holder
- Disabled or chronically ill individual
- Individual who is not more than 10 years younger than the IRA owner or plan participant

Designated beneficiary

- Any individual designated as the beneficiary of an IRA or retirement plan

Required beginning date

- The first date the original account owner was required to begin taking RMDs

Inherited Roth IRAs

Generally, inherited Roth IRA accounts are subject to the same RMD requirements as inherited traditional IRA accounts. Withdrawals of contributions from an inherited Roth are tax free. Most withdrawals of earnings from an inherited Roth IRA account are also tax-free. However, withdrawals of earnings may be subject to income tax if the Roth account is less than 5-years old at the time of the withdrawal.

Distributions from another Roth IRA cannot be substituted for these distributions unless the other Roth IRA was inherited from the same decedent.

Distributions to beneficiaries from qualified retirement plans

If the distribution is from a qualified retirement plan, such as a 401(k) or profit-sharing plan, the plan document establishes the distribution options available to satisfy the RMD rules. The plan administrator should provide the beneficiaries with their distribution options. If the beneficiary is the spouse of the account owner, they may have more distribution options available to them in the plan than a non-spouse beneficiary. Beneficiaries should contact the plan administrator for distributions from a qualified plan.

Income tax on distributions from a retirement plan

Generally, a beneficiary reports pension or annuity income in the same way the plan participant would have reported it. However, some special rules apply.

A beneficiary of an employee who was covered by a retirement plan can exclude from income a portion of nonperiodic distributions received that totally relieve the payer from the obligation to pay an annuity. The amount that the beneficiary can exclude is equal to the deceased employee's investment in the contract (cost).

If the beneficiary is entitled to receive a survivor annuity on the death of an employee, the beneficiary can exclude part of each annuity payment as a tax-free recovery of the employee's investment in the contract. The beneficiary must figure the tax-free part of each payment using the method that applies as if he or she were the employee.

Benefits paid to a survivor under a joint and survivor annuity must be included in the surviving spouse's gross income in the same way the retiree would have included them in gross income.

Additional resources

Publication 590-B, Distributions from Individual Retirement Arrangements (IRAs)
Publication 554, Tax Guide for Seniors
Publication 559, Survivors, Executors and Administrators
Publication 575, Pension and Annuity Income

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Note: For other retirement plans contribution limits, see Retirement Topics – Contribution Limits.

For 2026, the total contributions you make each year to all of your traditional IRAs and Roth IRAs can't be more than:

- $7,500 ($8,600 if you're age 50 or older), or
- If less, your taxable compensation for the year

For 2025 and 2024, the total contributions you make each year to all of your traditional IRAs and Roth IRAs can't be more than:

- $7,000 ($8,000 if you're age 50 or older), or
- If less, your taxable compensation for the year

For 2023, the total contributions you make each year to all of your traditional IRAs and Roth IRAs can't be more than:

- $6,500 ($7,500 if you're age 50 or older), or
- If less, your taxable compensation for the year

The IRA contribution limit does not apply to:

- Rollover contributions
- Qualified reservist repayments

Deducting your IRA contribution

Your traditional IRA contributions may be tax-deductible. The deduction may be limited if you or your spouse is covered by a retirement plan at work and your income exceeds certain levels.

- IRA deduction limits

Roth IRA contribution limit

In addition to the general contribution limit that applies to both Roth and traditional IRAs, your Roth IRA contribution may be limited based on your filing status and income.

- 2024 - Amount of Roth IRA Contributions You Can Make for 2024
- 2023 - Amount of Roth IRA Contributions You Can Make for 2023

IRA contributions after age 70½

For 2020 and later, there is no age limit on making regular contributions to traditional or Roth IRAs.

For 2019 and earlier, if you're 70 ½ or older, you can't make a regular contribution to a traditional IRA. However, you can still contribute to a Roth IRA and make rollover contributions to a Roth or traditional IRA regardless of your age.

Spousal IRAs

If you file a joint return, you may be able to contribute to an IRA even if you didn't have taxable compensation as long as your spouse did. Each spouse can make a contribution up to the current limit; however, the total of your combined contributions can't be more than the taxable compensation reported on your joint return. See the Kay Bailey Hutchison Spousal IRA Limit in Publication 590-A.

If neither spouse participated in a retirement plan at work, all of your contributions will be deductible.

Can I contribute to an IRA if I participate in a retirement plan at work?

You can contribute to a traditional or Roth IRA even if you participate in another retirement plan through your employer or business. However, you may not be able to deduct all of your traditional IRA contributions if you or your spouse participates in another retirement plan at work. Roth IRA contributions might be limited if your income exceeds a certain level.

Examples

1. Danny, an unmarried college student earned $3,500 in 2020. Danny can contribute $3,500, the amount of his compensation, to his IRA for 2020. Danny's grandmother can make the contribution on his behalf.
2. John, age 42, has a traditional IRA and a Roth IRA. He can contribute a total of $6,000 to either one or both for 2020.
3. Sarah, age 50, is married with no taxable compensation for 2020. She and her spouse, age 48, reported taxable compensation of $60,000 on their 2020 joint return. Sarah may contribute $7,000 to her IRA for 2020 ($6,000 plus an additional $1,000 contribution for age 50 and over). Her spouse may also contribute $6,000 to an IRA for 2020.

Tax on excess IRA contributions

An excess IRA contribution occurs if you:

- Contribute more than the contribution limit.
- Make a regular IRA contribution for 2019, or earlier, to a traditional IRA at age 70½ or older.
- Make an improper rollover contribution to an IRA.

Excess contributions are taxed at 6% per year for each year the excess amounts remain in the IRA. The tax can't be more than 6% of the combined value of all your IRAs as of the end of the tax year.

To avoid the 6% tax on excess contributions, you must withdraw:

- the excess contributions from your IRA by the due date of your individual income tax return (including extensions); and
- any income earned on the excess contribution.

See Publication 590-A for certain conditions that may allow you to avoid including withdrawals of excess contributions in your gross income.

Related

- Publication 590-A, Contributions to Individual Retirement Arrangements (IRAs)
- Publication 590-B, Distributions from Individual Retirement Arrangements (IRAs)
- IRA Deduction Limits
- Retirement Plans FAQs regarding IRAs
- IRA Year-End Reminders

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Retirement topics - Required minimum distributions (RMDs)

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You cannot keep retirement funds in your account indefinitely. You generally have to start taking withdrawals from your IRA, SIMPLE IRA, SEP IRA, or retirement plan account when you reach age 73.

You're not required to take withdrawals from Roth IRAs, or from Designated Roth accounts in a 401(k) or 403(b) plan while the account owner is alive. However, beneficiaries of Roth IRAs or Designated Roth accounts are subject to the required minimum distribution rules.

Your **RMD** is the minimum amount you must withdraw from your account each year.

- You can withdraw more than the minimum required amount.
- Your withdrawals will be included in your taxable income except for any part that was taxed before (your basis) or that can be received tax-free (such as qualified distributions from designated Roth accounts).

Do these rules apply to my retirement plan?

The minimum distribution rules discussed below apply to original account holders and their beneficiaries in these types of plans:

- traditional IRAs
- SEP IRAs

- SIMPLE IRAs
- 401(k) plans
- 403(b) plans
- 457(b) plans
- profit sharing plans
- other defined contribution plans
- Roth IRA beneficiaries

Calculating the required minimum distribution

The required minimum distribution for any year is the account balance as of the end of the immediately preceding calendar year divided by a distribution period from the IRS's "Uniform Lifetime Table." Use a different table if the sole beneficiary is the owner's spouse who is ten or more years younger than the owner. The following can help determine the payout periods and the amount of your required distribution:

- worksheets to calculate the required amount
- tables to calculate the RMD during the participant or IRA owner's life:
  - Uniform Lifetime Table – for all unmarried IRA owners calculating their own withdrawals, married owners whose spouses aren't more than 10 years younger, and married owners whose spouses aren't the sole beneficiaries of their IRAs
  - Table I (Single Life Expectancy) is used for beneficiaries who are not the spouse of the IRA owner
  - Table II (Joint Life and Last Survivor Expectancy) is used for owners whose spouses are more than 10 years younger and are the IRA's sole beneficiaries

Inherited IRAs - if your IRA or retirement plan account was inherited from the original owner, see "required minimum distributions after the account owner dies," below.

Required beginning date for your first RMD

- **IRAs (including SEPs and SIMPLE IRAs)**
  - April 1 of the year following the calendar year in which you reach age 73.
- **401(k), profit-sharing, 403(b), or other defined contribution plan**
  Generally, April 1 following the later of the calendar year in which you:
  - reach age 73, or
  - retire (if your plan allows you to delay taking your RMD until retirement).

See the chart comparing IRA and defined contribution plan RMDs.

Example: Jodie has decided to retire from their employer on their 73rd birthday, December 31, 2024. The employer's 401(k) plan allows participants to delay taking RMDs until after they retire. Jodie's first RMD is due by April 1, 2025, for the 2024 year (based on December 31, 2023, balance in their 401(k) plan). Their second RMD is due on December 31, 2026, for 2025 (based on December 31, 2024, balance). Subsequent RMDs are due on December 31st annually thereafter.

If Jodie also had an IRA, their first RMD from the IRA was due by April 1, 2025, for the 2024 year. Jodie's RMD from their IRA doesn't affect the RMD due from the retirement plan.

Terms of the plan govern

A retirement plan document may require you to begin receiving distributions after you reach age 73, even if you're still employed.

Date for receiving subsequent required minimum distributions

For each year after your required beginning date, you must withdraw your RMD by December 31.

For the first year following the year you reach age 73, you will generally have two required distribution dates: a withdrawal on April 1 of the year following the year you turn 73 and an additional withdrawal by December 31. You can make your first withdrawal by December 31 of the year you turn 73 instead of waiting until April 1 of the following year. This would allow the distributions to be included in your income in separate tax years.

Example: John reached age 73 on August 20, 2024. He must receive his 2024 required minimum distribution by April 1, 2025, based on his 2023 year-end balance. John must also receive his 2025 RMD by December 31, 2025, based on his 2024 year-end balance.

Extra taxes for not taking RMDs

If you don't take any distributions, or if the distributions are not large enough, you may have to pay a 25% excise tax on the amount not distributed as required (10% if withdrawn within 2 years).

- To report the excise tax, you may have to file Form 5329, Additional Taxes on Qualified Plans (Including IRAs) and Other Tax-Favored Accounts.
- See the Form 5329 instructions PDF for additional information about this tax.

Calculating RMDs for designated beneficiaries after the account owner's death

For the year of the account owner's death, the RMD due is the amount the account owner would have been required to withdraw, if any, but did not withdraw. Beginning the year following the owner's death, the RMD depends on certain characteristics of the designated beneficiary. See Retirement topics – Beneficiary for more information.

Related

- Individual retirement arrangements (IRAs)
- FAQs regarding required minimum distributions
- Publication 590-B, Distribution from Individual Retirement Arrangements (IRAs) (includes life expectancy tables)
- Publication 560, Retirement Plans for Small Business (SEP, SIMPLE and Qualified Plans
- RMD comparison chart (IRAs vs. defined contribution plans)

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This chart highlights some of the basic RMD rules as applied to IRAs and defined contribution plans (e.g., 401(k), profit-sharing, and 403(b) plans).

Required Minimum Distributions for Account Owners

Question	IRAs including SEP, SIMPLE and SARSEP IRAs	Defined Contribution Plans
When do I take my first RMD (the required beginning date)?	You must take your first RMD by April 1 of the year following the year in which you turn 73, even if you're still employed.	April 1 of the year following the later of the year you turn 73 or the year you retire (if allowed by your plan). If you're a 5% owner, you must start RMDs by April 1 of the year following the year you turn 73.
When do I reach age 73?	You reach age 73 on your 73rd birthday.	Same as IRA rule

Question	IRAs including SEP, SIMPLE and SARSEP IRAs	Defined Contribution Plans
What is the deadline for taking subsequent RMDs after the first RMD?	After the first RMD, you must take subsequent RMDs by December 31 of each year beginning with the calendar year containing your required beginning date. **Example:** You turn 73 on July 15, 2024. You must take your first RMD, for 2024, by April 1, 2025, (your required beginning date). You must take your second RMD, for 2025, by December 31, 2025, and your third RMD, for 2026, by December 31, 2026.	Same as IRA rule
How do I calculate my RMD?	Your RMD is generally determined by dividing the adjusted market value of your IRAs as of December 31 of the preceding year by the distribution period that corresponds with your age in the Uniform Lifetime Table (Table III in IRS Publication 590-B, Distributions from Individual Retirement Arrangements (IRAs)). If your spouse is your sole beneficiary and is more than 10 years younger than you, you will use the Joint Life and Last Survivor Expectancy Table (Table II in IRS Publication 590-B). Required Minimum Distribution Worksheets	Same as IRA rule Your plan sponsor/administrator should calculate the RMD for you.
How should I take my RMDs if I have multiple accounts?	If you have more than one IRA, you must calculate the RMD for each IRA separately each year. However, you may aggregate your RMD amounts for all your IRAs and withdraw the total from one IRA or a portion from each of your IRAs. You do not have to take a separate RMD from each IRA.	If you have more than one defined contribution plan, you must calculate and satisfy your RMDs separately for each plan and withdraw that amount from that plan. Exception: If you have more than one 403(b) tax-sheltered annuity account, you can total the RMDs and then take them from any one (or more) of the tax-sheltered annuities.
May I withdraw more than the RMD?	Yes, an IRA owner can always withdraw more than the RMD. You cannot apply withdrawals in excess of your RMD to future years' RMDs.	Same as IRA rule

Question	IRAs including SEP, SIMPLE and SARSEP IRAs	Defined Contribution Plans
May I take more than one withdrawal in a year to meet my RMD?	You may withdraw your annual RMD in any number of distributions throughout the year, as long as you withdraw the total annual minimum amount by December 31 (or April 1 if it is for your first RMD).	Same as IRA rule
What happens if I do not take the RMD?	If the distributions to you in any year are less than the RMD for that year, the amount not withdrawn is subject to a 25% excise tax, 10% if corrected within two years.	Same as IRA rule

Note: There are no RMD requirements for a Roth IRA or designated Roth accounts while the owner is alive.

Related

- FAQs - Required Minimum Distributions
- Publication 560, Retirement Plans for Small Business (SEP, SIMPLE, and Qualified Plans)
- Publication 571, Tax-Sheltered Annuity Plans (403(b) Plans) For Employees of Public Schools and Certain Tax-Exempt Organizations
- Publication 575, Pension and Annuity Income
- Publication 590-B, Distributions from Individual Retirement Arrangements (IRAs)

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For use in preparing *2025* Returns

Publication 560 - Introductory Material

Future Developments

For the latest information about developments related to Pub. 560, such as legislation enacted after it was published, go to IRS.gov/Pub560.

What's New

Automatic enrollment. Section 101 of the SECURE 2.0 Act of 2022 provides that, subject to certain exceptions, employers with 401(k) plans and 403(b) plans established on or after December 29, 2022, must automatically enroll employees who are eligible to participate in such plans, effective for plan years beginning after 2024.

Compensation limits for 2025 and 2026. For 2025, the maximum compensation used for figuring contributions and benefits is $350,000. This limit increases to $360,000 for 2026.

Elective deferral limits for 2025 and 2026. The limit on elective deferrals, other than catch-up contributions, is $23,500 for 2025 and $24,500 for 2026. These limits apply for participants in SARSEPs, 401(k) plans (excluding SIMPLE plans), section 403(b) plans, and section 457(b) plans.

Defined contribution limits for 2025 and 2026. The limit on contributions, other than catch-up contributions, for a participant in a defined contribution plan is $70,000 for 2025 and increases to $72,000 for 2026.

Defined benefit limits for 2025 and 2026. The limit on annual benefits for a participant in a defined benefit plan is $280,000 for 2025 and increases to $290,000 for 2026.

SIMPLE plan salary reduction contribution limits for 2025 and 2026. The limit on salary reduction contributions, other than catch-up contributions, is $16,500 for 2025 and increases to $17,000 for 2026. Pursuant to section 117 of the SECURE 2.0 Act of 2022, a higher limit ($18,100 for 2025) may apply to participants in certain SIMPLE plans, effective for tax years beginning after 2023.

Catch-up contribution limits for 2025 and 2026. A plan can permit participants who are age 50 or over at the end of the calendar year to make catch-up contributions in addition to elective deferrals and SIMPLE plan salary reduction contributions. The catch-up contribution limit for defined contribution plans other than SIMPLE plans is $7,500 for 2025 and $8,000 for 2026. The catch-up contribution limit for SIMPLE plans is generally $3,500 for 2025 and $4,000 for 2026. Pursuant to section 117(b) of the SECURE 2.0 Act, a higher catch-up limit ($3,850 for 2025 and 2026) may apply to participants in certain SIMPLE plans, effective for tax years beginning after 2023.A participant's catch-up contributions for a year can't exceed the lesser of the following amounts.

- The catch-up contribution limit.
- The excess of the participant's compensation over the elective deferrals that aren’t catch-up contributions.

See *Catch-up contributions* under *Contribution Limits* and *Limit on Elective Deferrals* in chapters 3 and 4, respectively, for more information.

Higher catch-up contribution limit for ages 60 to 63. Beginning in 2025, section 109 of the SECURE 2.0 Act of 2022 permits a deferred compensation plan (including most 401(k) and 403(b) plans) to allow participants to

make a higher amount of catch-up contributions in a tax year in which they attain age 60, 61, 62, or 63. For 2025 and 2026, the higher limit on catch-up contributions for such participants is $11,250 ($5,250 for SIMPLE plans).

Distributions from Roth accounts. Life-time required minimum distributions to a participant are no longer required from a designated Roth account in a qualified plan. Required minimum distributions are required from a designated Roth account in a qualified plan following a participant's death. For this purpose, a qualified plan includes qualified retirement plans, tax-sheltered annuities and custodial accounts, retirement income accounts, and eligible deferred compensation plans under section 457(b).

Reminders

Small employer automatic enrollment credit. The Further Consolidated Appropriations Act, 2020, P.L. 116-94, added section 45T. An eligible employer may claim a tax credit if it includes an eligible automatic contribution arrangement under a qualified employer plan. The credit equals $500 per year over a 3-year period beginning with the first tax year in which it includes the automatic contribution arrangement.

Increase in credit limitation for small employer plan startup costs. The Further Consolidated Appropriations Act, 2020, P.L. 116-94, amended section 45E. For tax years beginning after 2019, eligible employers can claim a tax credit for the first credit year and each of the 2 tax years immediately following. The credit equals 50% of qualified startup costs, up to the greater of the limit of (a) $500; or (b) the lesser of (i) $250 for each employee who is not a "highly compensated employee" eligible to participate in the employer plan, or (ii) $5,000.

Note:

The SECURE 2.0 Act further amended section 45E to increase the credit for tax years beginning after 2022. See *What's New*, earlier.

See the instructions for Form 3800 and Form 8881 for more information on the small employer automatic enrollment credit and the small employer startup cost credit.

Restriction on conditions of participation. Effective for plan years beginning after 2020, a 401(k) plan can't require, as a condition of participation, that an employee complete a period of service that extends beyond the close of the earlier of (a) 1 year of service, or (b) the first period of 3 consecutive 12-month periods (excluding 12-month periods beginning before 2021) during each of which the employee has completed at least 500 hours of service. Effective for plan years beginning after 2024, 3 consecutive 12-month periods are reduced to 2 consecutive 12-month periods.

Retirement savings contributions credit. Retirement plan participants (including self-employed individuals) who make contributions to their plans may qualify for the retirement savings contributions credit. The maximum contribution eligible for the credit is $2,000. To take the credit, use Form 8880, Credit for Qualified Retirement Savings Contributions. For more information on who is eligible for the credit, retirement plan contributions eligible for the credit, and how to figure the credit, see Form 8880 and its instructions or go to IRS.gov/Retirement-Plans/Plan-Participant-Employee/Retirement-Savings-Contributions-Savers-Credit.

Photographs of missing children. The IRS is a proud partner with the National Center for Missing & Exploited Children® (NCMEC). Photographs of missing children selected by the Center may appear in this publication on pages that would otherwise be blank. You can help bring these children home by looking at the photographs and calling 1-800-THE-LOST (1-800-843-5678) if you recognize a child.

Plans established after the end of tax year. For 2023 and later years, a sole proprietor with no employees can adopt a section 401(k) plan after the end of the tax year, provided the plan is adopted by the tax filing deadline (without regard to extensions).

Increased small employer pension plan startup cost credit. The SECURE 2.0 Act of Division T of the Consolidated Appropriations Act, 2023, P.L. 117-328 (SECURE 2.0 Act), provides that eligible employers with 1–50 employees are eligible for an increased small employer pension plan startup cost credit under section 45E of 100% of qualified startup costs, subject to the limit described in the next paragraph. The credit for eligible employers with 51–100 employees remains at 50% of qualified startup costs, subject to the same limit. See the instructions for Form 3800 and Form 8881 for more information on the startup cost credit.

Increase in credit limitation for small employer plan startup costs. The Further Consolidated Appropriations Act, 2020, P.L. 116-94, amended section 45E. For tax years beginning 2019, eligible employers can claim a tax credit for the first credit year and each of the 2 tax years immediately following. The credit equals 50% of qualified startup costs, up to the greater of the limit of (a) $500; or (b) the lesser of (i) $250 for each employee who is not a "highly compensated employee" eligible to participate in the employer plan, or (ii) $5,000.

Employer contributions credit. The SECURE 2.0 Act added an additional startup cost credit under section 45E available to certain eligible employers, in an amount equal to an applicable percentage of the employer's contributions (not including an elective deferral, as defined in section 402(g)(3)) to an eligible employer plan (other than a defined benefit plan (as described in section 414(j)), subject to limitation. See the instructions for Form 3800 and Form 8881 for more information on the employer contributions credit.

Small employer military spouse participation credit. The SECURE 2.0 Act added a new military spouse participation credit under section 45AA available to eligible small employers who maintain defined contribution plans with specific features that benefit military spouses. See the instructions for Form 3800 and Form 8881 for more information on the military spouse participation credit.

Designated Roth nonelective contributions and designated Roth matching contributions. The SECURE 2.0 Act of 2022 permits certain nonelective contributions and matching contributions that are made after 2022, to be designated as Roth contributions.

Matching contributions on account of qualified student loan payments. Section 110 of the SECURE 2.0 Act of 2022 allows employers to include an optional feature that would enable them to make matching contributions on account of employees' qualified student loan payments under certain defined contribution retirement plans, including a SIMPLE IRA plan and a SIMPLE 401(k) plan. Section 110 of the SECURE 2.0 Act of 2022 applies to contributions made for plan years beginning after 2023.

Starter 401(k) deferral-only arrangement. Section 121(a) of the SECURE 2.0 Act of 2022 permits certain eligible employers to have a starter 401(k) deferral-only arrangement for plan years beginning after 2023.

Additional nonelective contributions under a SIMPLE IRA plan. Section 116 of the SECURE 2.0 Act of 2022 allows employers to make additional nonelective contributions under a SIMPLE IRA plan, effective for tax years beginning after 2023.

Midyear replacement of SIMPLE IRA plan with safe harbor 401(k) plan. Section 332 of the SECURE 2.0 Act of 2022 allows an employer to replace its SIMPLE IRA plan with a safe harbor 401(k) plan during a year, effective for plan years beginning after 2023.

Roth IRAs under a SEP arrangement and Roth SIMPLE IRAs under a SIMPLE IRA plan. Section 601 of the SECURE 2.0 Act of 2022 permits contributions under a SEP arrangement or a SIMPLE IRA plan to be made to a Roth IRA, effective for tax years beginning after 2022.

Pension-Linked Emergency Savings Accounts (PLESAs). Section 127 of the SECURE 2.0 Act of 2022 allows employers to add an optional feature to provide short-term savings accounts established and maintained in connection with a defined contribution retirement plan, and those savings accounts are treated as a type of designated Roth account. Section 127 of the SECURE 2.0 Act of 2022 provides for the creation of PLESAs effective for plan years beginning after 2023.

Introduction

This publication discusses retirement plans you can set up and maintain for yourself and your employees. In this publication, “you” refers to the employer. See chapter 1 for the definition of the term “employer” and the definitions of other terms used in this publication. This publication covers the following types of retirement plans.

- SEP (simplified employee pension) plans.
- SIMPLE (savings incentive match plan for employees) plans.
- Qualified plans (also called H.R. 10 plans or Keogh plans when covering self-employed individuals), including 401(k) plans.

SEP, SIMPLE, and qualified plans offer you and your employees a tax-favored way to save for retirement. You can deduct contributions you make to the plan for your employees. If you are a sole proprietor, you can deduct contributions you make to the plan for yourself. You can also deduct trustees' fees if contributions to the plan don't cover them. Earnings on the contributions are generally tax free until you or your employees receive distributions from the plan.

Under a 401(k) plan, employees can have you contribute limited amounts of their before-tax (after-tax, in the case of a qualified Roth contribution program) pay to the plan. These amounts (and the earnings on them) are generally tax free until your employees receive distributions from the plan or, in the case of a qualified distribution from a designated Roth account, completely tax free.

What this publication covers.

This publication contains the information you need to understand the following topics.

- What type of plan to set up.
- How to set up a plan.
- How much you can contribute to a plan.
- How much of your contribution is deductible.
- How to treat certain distributions.
- How to report information about the plan to the IRS and your employees.
- Basic features of SEP, SIMPLE, and qualified plans. The key rules for SEP, SIMPLE, and qualified plans are outlined in Table 1.

SEP plans.

SEP plans provide a simplified method for you to make contributions to a retirement plan for yourself and your employees. Instead of setting up a profit-sharing or money purchase pension plan with a trust, you can adopt a SEP agreement and make contributions directly to a traditional SEP IRA. For tax years beginning after 2022, section 601 of the SECURE 2.0 Act of 2022 provides that an employer's SEP plan may allow an employee to designate a Roth IRA as the IRA to which contributions under the SEP plan are made (a Roth SEP IRA).

SIMPLE plans.

Generally, if you had 100 or fewer employees who received at least $5,000 in compensation last year, you can set up a SIMPLE IRA plan. Under a SIMPLE plan, employees can choose to make salary reduction contributions

rather than receiving these amounts as part of their regular pay. In addition, you will contribute matching or nonelective contributions. You may also make additional nonelective contributions. Contributions under an employer's SIMPLE IRA plan are made to an employee's traditional SIMPLE IRA. For tax years beginning after 2022, section 601 of the SECURE 2.0 Act of 2022 provides that an employer's SIMPLE IRA plan may allow an employee to designate that contributions be made to the employee's Roth SIMPLE IRA. Traditional SIMPLE IRAs are generally subject to the rules for traditional IRAs and Roth SIMPLE IRAs are generally subject to the rules for Roth IRAs; however, both types of SIMPLE IRAs are subject to a number of additional restrictions that do not apply to traditional IRAs or Roth IRAs. The two types of SIMPLE plans are the SIMPLE IRA plan and the SIMPLE 401(k) plan.

Note:

See Q&A K-1 through K-8 of Notice 2024-2, 2024-2 I.R.B. 316, at IRS.gov/irb/2024-02, for additional guidance on Roth SEP IRAs and Roth SIMPLE IRAs.

Qualified plans.

The qualified plan rules are more complex than the SEP plan and SIMPLE plan rules. However, there are advantages to qualified plans, such as increased flexibility in designing plans and increased contribution and deduction limits in some cases.

Table 1. Key Retirement Plan Rules for 2025

Type of plan	Last date for contribution	Maximum contribution	Maximum deduction	When to set up plan
SEP	Due date of employer's return (including extensions).	Smaller of $70,000 or 25%[1] of participant's compensation.[2]	25%[1] of all participants' compensation.[2]	Any time up to the due date of employer's return (including extensions).
SIMPLE IRA and SIMPLE 401(k)	**Salary reduction contributions:** 30 days after the end of the month for which the contributions are to be made.[4] **Matching or nonelective contributions:** Due date of employer's return (including extensions).	**Employee contribution:** Salary reduction contribution up to $16,500; $20,000 if age 50 or over (but not attaining age 60, 61, 62, or 63). Special salary reduction contribution limits apply for certain employers and are subject to a cost-of-living adjustment. **Employer contribution:** *Either* dollar-for-dollar matching contributions, up to 3% of employee's compensation,[3] *or* fixed nonelective contributions of 2% of compensation.[2]	Same as maximum contribution.	Any time between January 1 and October 1 of the calendar year. For a new employer coming into existence after October 1, as soon as administratively feasible.

		Higher matching and fixed nonelective contributions apply for certain employers who elect to allow higher salary reduction contributions. Additional nonelective contributions of a uniform percentage (up to 10% but not exceeding $5,100 for 2025) may also be made.		
Qualified Plan: Defined Contribution Plan	**Elective deferral:** Due date of employer's return (including extensions).[4] **Employer contribution:** Profit-sharing plan: Due date of employer's return (including extensions). Money purchase pension plan: 8½ months after the end of the plan year.	**Employee contribution:** Elective deferral up to $23,500; $31,000 if age 50 or over (but not attaining age 60, 61, 62, or 63). **Employer contribution:** Money purchase pension plan: Smaller of $70,000 or 100%[1] of participant's compensation.[2] Profit-sharing plan: Smaller of $70,000 or 100%[1] of participant's compensation.[2]	25%[1] of all participants' compensation,[2] plus amount of elective deferrals made.	By the employer's tax-filing due date, including extensions, for the tax year.
Qualified Plan: Defined Benefit Plan	Contributions must generally be paid in quarterly installments, due 15 days after the end of each quarter, with a final contribution due 8½ months after the end of the plan year. See *Minimum Funding Requirement* in chapter 4.	Amount needed to provide an annual benefit no larger than the smaller of $280,000 or 100% of the participant's average compensation for the highest 3 consecutive calendar years.	Based on actuarial assumptions and computations.	By the employer's tax filing due date (although it's not best to set up after the minimum funding due date).

[1] Net earnings from self-employment must take the contribution into account. See *Deduction Limit for Self-Employed Individuals* in chapters 2 and 4.

[2] Compensation is generally limited to $350,000 in 2025.

[3] Under a SIMPLE 401(k) plan, compensation is generally limited to $350,000 in 2025.

[4] Certain plans subject to Department of Labor (DOL) rules may have an earlier due date for salary reduction contributions and elective deferrals, such as 401(k) plans. See the "elective deferral" definition under *Definitions You Need To Know*, later. Solo/self-employed 401(k) plans are non-ERISA plans and don't fall under DOL rules.

What this publication doesn't cover.

Although the purpose of this publication is to provide general information about retirement plans you can set up for your employees, it doesn't contain all the rules and exceptions that apply to these plans. You may need professional help and guidance.

Also, this publication doesn't cover all the rules that may be of interest to employees. For example, it doesn't cover the following topics.

- The comprehensive IRA rules an employee needs to know. These rules are covered in Pub. 590-A, Contributions to Individual Retirement Arrangements (IRAs); and Pub. 590-B, Distributions from Individual Retirement Arrangements (IRAs).
- The comprehensive rules that apply to distributions from retirement plans. These rules are covered in Pub. 575, Pension and Annuity Income.
- The comprehensive rules that apply to section 403(b) plans. These rules are covered in Pub. 571, Tax-Sheltered Annuity Plans (403(b) Plans) For Employees of Public Schools and Certain Tax-Exempt Organizations.

Comments and suggestions.

We welcome your comments about this publication and your suggestions for future editions.

You can send us comments through IRS.gov/FormComments. Or you can write to the Internal Revenue Service, Tax Forms and Publications, 1111 Constitution Ave. NW, IR-6526, Washington, DC 20224.

Although we can't respond individually to each comment received, we do appreciate your feedback and will consider your comments and suggestions as we revise our tax forms, instructions, and publications. **Don't** send tax questions, tax returns, or payments to the above address.

Getting answers to your tax questions.

If you have a tax question not answered by this publication or the *How To Get Tax Help* section at the end of this publication, go to the IRS Interactive Tax Assistant page at IRS.gov/Help/ITA where you can find topics by using the search feature or viewing the categories listed.

Getting tax forms, instructions, and publications.

Go to IRS.gov/Forms to download current and prior-year forms, instructions, and publications.

Ordering forms and publications.

Go to IRS.gov/OrderForms to order current forms, instructions, and publications; call 800-829-3676 to order prior-year forms and instructions. The IRS will process your order for forms and publications as soon as possible. **Don't** resubmit requests you've already sent us. You can get forms and publications faster online.

Tax questions.

If you have a tax question not answered by this publication, check IRS.gov and *How To Get Tax Help* at the end of this publication.

1. Definitions You Need To Know

Certain terms used in this publication are defined below. The same term used in another publication may have a slightly different meaning.

Annual additions.

Annual additions are the total of all your contributions in a year, employee contributions (not including rollovers), and forfeitures allocated to a participant's account.

Annual benefits.

Annual benefits are the benefits to be paid yearly in the form of a straight life annuity (with no extra benefits) under a plan to which employees don't contribute and under which no rollover contributions are made.

Business.

A business is an activity in which a profit motive is present and economic activity is involved. Service as a newspaper carrier under age 18 or as a public official isn’t a business.

Common-law employee.

A common-law employee is any individual who, under common law, would have the status of an employee. A leased employee can also be a common-law employee.

A common-law employee is a person who performs services for an employer who has the right to control and direct the results of the work and the way in which it is done. For example, the employer:

- Provides the employee's tools, materials, and workplace; and
- Can fire the employee.

Common-law employees aren't self-employed and can't set up retirement plans for income from their work, even if that income is self-employment income for social security tax purposes. For example, common-law employees who are ministers, members of religious orders, full-time insurance salespeople, and U.S. citizens employed in the United States by foreign governments can't set up retirement plans for their earnings from those employments, even though their earnings are treated as self-employment income.

However, an individual may be a common-law employee and a self-employed person as well. For example, an attorney can be a corporate common-law employee during regular working hours and also practice law in the evening as a self-employed person. In another example, a minister employed by a congregation for a salary is a common-law employee even though the salary is treated as self-employment income for social security tax purposes. However, fees reported on Schedule C (Form 1040), Profit or Loss From Business, for performing marriages, baptisms, and other personal services are self-employment earnings for qualified plan purposes.

Compensation.

Compensation for plan allocations is the pay a participant received from you for personal services for a year. You can generally define compensation as including all the following payments.

1. Wages and salaries.
2. Fees for professional services.
3. Other amounts received (cash or noncash) for personal services actually rendered by an employee, including, but not limited to, the following items.
    a. Commissions and tips.

b. Fringe benefits.

c. Bonuses.

For a self-employed individual, “compensation” means the earned income, discussed later, of that individual.

Compensation generally includes amounts deferred at the employee's election in the following employee benefit plans.

- Section 401(k) plans.
- Section 403(b) plans.
- SIMPLE IRA plans.
- SARSEPs.
- Section 457 deferred compensation plans.
- Section 125 cafeteria plans.

However, an employer can choose to exclude elective deferrals under the above plans from the definition of compensation. The limit on elective deferrals is discussed in chapter 2 under *Salary Reduction Simplified Employee Pension (SARSEP)* and in chapter 4.

Other options.

In figuring the compensation of a participant, you can treat any of the following amounts as the employee's compensation.

- The employee's wages as defined for income tax withholding purposes.
- The employee's wages you report in box 1 of Form W-2, Wage and Tax Statement.
- The employee's social security wages (including elective deferrals).

Compensation generally can't include either of the following items.

- Nontaxable reimbursements or other expense allowances.
- Deferred compensation (other than elective deferrals).

SIMPLE plans.

A special definition of compensation applies for SIMPLE plans. See chapter 3.

Contribution.

A contribution is an amount you pay into a plan for all those participating in the plan, including self-employed individuals. Limits apply to how much, under the contribution formula of the plan, can be contributed each year for a participant.

Deduction.

A deduction is the plan contribution you can subtract from gross income on your federal income tax return. Limits apply to the amount deductible.

Earned income.

Earned income is net earnings from self-employment, discussed later, from a business in which your services materially helped to produce the income.

You can also have earned income from property your personal efforts helped create, such as royalties from your books or inventions. Earned income includes net earnings from selling or otherwise disposing of the property, but it doesn't include capital gains. It includes income from licensing the use of property other than goodwill.

Earned income includes amounts received for services by self-employed members of recognized religious sects opposed to social security benefits who are exempt from self-employment tax.

If you have more than one business, but only one has a retirement plan, only the earned income from that business is considered for that plan.

Elective deferral.

An elective deferral is the contribution made by employees to a qualified retirement plan.

- Non-owner employees: The employee salary reduction/elective deferral contributions must be elected/made by the end of the tax year and deposited into the employee's plan account within 7 business days (safe harbor) and no later than 15 days.
- Owner/employees: The employee deferrals must be elected by the end of the tax year and can then be made by the tax return filing deadline, including extensions.

Employer.

An employer is generally any person for whom an individual performs or did perform any service, of whatever nature, as an employee. A sole proprietor is treated as its own employer for retirement plan purposes. However, a partner isn't an employer for retirement plan purposes. Instead, the partnership is treated as the employer of each partner.

Highly compensated employee.

A highly compensated employee is an individual who:

- Owned more than 5% of the interest in your business at any time during the year or the preceding year, regardless of how much compensation that person earned or received; or
- For the preceding year, received compensation from you of more than $155,000 (if the preceding year is 2024, and increased to $160,000 for 2025 and 2026), and, if you so choose, was in the top 20% of employees when ranked by compensation.

Leased employee.

A leased employee who isn't your common-law employee must generally be treated as your employee for retirement plan purposes if they do all the following.

- Provides services to you under an agreement between you and a leasing organization.
- Has performed services for you (or for you and related persons) substantially full time for at least 1 year.
- Performs services under your primary direction or control.

Exception.

A leased employee isn't treated as your employee if all the following conditions are met.

1. Leased employees aren't more than 20% of your non-highly compensated workforce.
2. The employee is covered under the leasing organization's qualified pension plan.
3. The leasing organization's plan is a money purchase pension plan that has all the following provisions.
    a. Immediate participation. (This requirement doesn't apply to any individual whose compensation from the leasing organization in each plan year during the 4-year period ending with the plan year is less than $1,000.)
    b. Full and immediate vesting.
    c. A nonintegrated employer contribution rate of at least 10% of compensation for each participant.

However, if the leased employee is your common-law employee, that employee will be your employee for all purposes, regardless of any pension plan of the leasing organization.

Net earnings from self-employment.

For SEP and qualified plans, net earnings from self-employment are your gross income from your trade or business (provided your personal services are a material income-producing factor) minus allowable business deductions. Allowable deductions include contributions to SEP and qualified plans for common-law employees and the deduction allowed for the deductible part of your self-employment tax.

Net earnings from self-employment don’t include items excluded from gross income (or their related deductions) other than foreign earned income and foreign housing cost amounts.

For the deduction limits, earned income is net earnings for personal services actually rendered to the business. You take into account the income tax deduction for the deductible part of self-employment tax and the deduction for contributions to the plan made on your behalf when figuring net earnings.

Net earnings include a partner's distributive share of partnership income or loss (other than separately stated items, such as capital gains and losses). They don’t include income passed through to shareholders of S corporations. Guaranteed payments to limited partners are net earnings from self-employment if they are paid for services to or for the partnership. Distributions of other income or loss to limited partners aren't net earnings from self-employment.

For SIMPLE plans, net earnings from self-employment are the amount on line 4 of Schedule SE (Form 1040), Self-Employment Tax, before subtracting any contributions made to the SIMPLE plan for yourself.

Qualified plan.

A qualified plan is a retirement plan that offers a tax-favored way to save for retirement. You can deduct contributions made to the plan for your employees. Earnings on these contributions are generally tax free until distributed at retirement. Profit-sharing, money purchase pension, and defined benefit plans are qualified plans. A 401(k) plan is also a qualified plan.

Participant.

A participant is an eligible employee who is covered by your retirement plan. See the discussions, later, of the different types of plans for the definition of an employee eligible to participate in each type of plan.

Partner.

A partner is an individual who shares ownership of an unincorporated trade or business with one or more persons. For retirement plans, a partner is treated as an employee of the partnership.

Self-employed individual.

An individual in business for himself or herself, and whose business isn't incorporated, is self-employed. Sole proprietors and partners are self-employed. Self-employment can include part-time work.

Not everyone who has net earnings from self-employment for social security tax purposes is self-employed for qualified plan purposes. See *Common-law employee* and *Net earnings from self-employment*, earlier.

In addition, certain fishermen may be considered self-employed for setting up a qualified plan. See Pub. 595, Capital Construction Fund for Commercial Fishermen, for the special rules used to determine whether fishermen are self-employed.

Sole proprietor.

A sole proprietor is an individual who owns an unincorporated business alone, including a single-member limited liability company that is treated as a disregarded entity for tax purposes. For retirement plans, a sole proprietor is treated as both an employer and an employee.

2. Simplified Employee Pensions (SEPs)

Topics

This chapter discusses:

- Setting up a SEP
- How much can I contribute
- Deducting contributions
- Salary reduction simplified employee pensions (SARSEPs)
- Distributions (withdrawals)
- Additional taxes
- Reporting and disclosure requirements

Useful Items

You may want to see:

Publications

- 590-A Contributions to Individual Retirement Arrangements (IRAs)
- 590-B Distributions from Individual Retirement Arrangements (IRAs)
- 3998 Choosing a Retirement Solution for Your Small Business
- 4285 SEP Checklist

- 4286 SARSEP Checklist
- 4333 SEP Retirement Plans for Small Businesses
- 4336 SARSEP for Small Businesses
- 4407 SARSEP—Key Issues and Assistance

Forms (and Instructions)

- W-2 Wage and Tax Statement
- 1040 U.S. Individual Income Tax Return
- 1040-SR U.S. Tax Return for Seniors
- 5305-SEP Simplified Employee Pension—Individual Retirement Accounts Contribution Agreement
- 5305A-SEP Salary Reduction Simplified Employee Pension—Individual Retirement Accounts Contribution Agreement
- 8880 Credit for Qualified Retirement Savings Contributions
- 8881 Credit for Small Employer Pension Plan Startup Costs

A SEP is a written plan that allows you to make contributions toward your own retirement and your employees' retirement without getting involved in a more complex qualified plan.

Under a SEP, you make contributions to an individual retirement arrangement (called a SEP IRA) set up by or for each eligible employee. A SEP IRA may either be a traditional IRA (a traditional SEP IRA) or a Roth IRA (a Roth SEP IRA). A SEP IRA is owned and controlled by the employee, and you make contributions to the financial institution where the SEP IRA is maintained.

SEP IRAs are set up for, at a minimum, each eligible employee (defined below). A SEP IRA may have to be set up for a leased employee (defined in chapter 1), but doesn't need to be set up for excludable employees (defined later).

Eligible employee.

An eligible employee is an individual who meets all the following requirements.

- Has reached age 21.
- Has worked for you in at least 3 of the last 5 years.
- Has received at least $750 in compensation from you in 2025. The amount is $800 for 2026.

Tip:

You can use less restrictive participation requirements than those listed, but not more restrictive ones.

Excludable employees.

The following employees can be excluded from coverage under a SEP.

- Employees covered by a union agreement and whose retirement benefits were bargained for in good faith by the employees' union and you.

- Nonresident alien employees who have received no U.S. source wages, salaries, or other personal services compensation from you. For more information about nonresident aliens, see Pub. 519, U.S. Tax Guide for Aliens.

Setting up a SEP

There are three basic steps in setting up a SEP.

1. You must execute a formal written agreement to provide benefits to all eligible employees.
2. You must give each eligible employee certain information about the SEP.
3. A SEP IRA must be set up by or for each eligible employee.

Tip:

Many financial institutions will help you set up a SEP.

Formal written agreement.

You must execute a formal written agreement to provide benefits to all eligible employees under a SEP. You can satisfy the written agreement requirement by adopting an IRS model SEP using Form 5305-SEP. However, see *When not to use Form 5305-SEP*, later.

If you adopt an IRS model SEP using Form 5305-SEP, no prior IRS approval or determination letter is required. Keep the original form. Don't file it with the IRS. Also, using Form 5305-SEP will usually relieve you from filing annual retirement plan information returns with the IRS and the DOL. See the Form 5305-SEP instructions for details. If you choose not to use Form 5305-SEP, you should seek professional advice in adopting a SEP.

When not to use Form 5305-SEP.

You can't use Form 5305-SEP if any of the following apply.

1. You currently maintain any other qualified retirement plan other than another SEP.
2. You have any eligible employees for whom IRAs haven’t been set up.
3. You use the services of leased employees, who aren't your common-law employees (as described in chapter 1).
4. You are a member of any of the following unless all eligible employees of all the members of these groups, trades, or businesses participate under the SEP.
   a. An affiliated service group described in section 414(m).
   b. A controlled group of corporations described in section 414(b).
   c. Trades or businesses under common control described in section 414(c).
5. You don't pay the cost of the SEP contributions.

Information you must give to employees.

You must give each eligible employee a copy of Form 5305-SEP, its instructions, and the other information listed in the Form 5305-SEP instructions. An IRS model SEP isn't considered adopted until you give each employee this information.

Setting up the employee's SEP IRA.

A SEP IRA must be set up by or for each eligible employee (the SEP IRA may either be a traditional SEP IRA or a Roth SEP IRA). SEP IRAs can be set up with banks, insurance companies, or other qualified financial institutions. You send SEP contributions to the financial institution where the SEP IRA is maintained.

Deadline for setting up a SEP.

You can set up a SEP for any year as late as the due date (including extensions) of your income tax return for that year.

How Much Can I Contribute?

The SEP rules permit you to contribute a limited amount of money each year to each employee's SEP IRA. If you are self-employed, you can contribute to your own SEP IRA. Contributions must be in the form of money (cash, check, or money order). You can't contribute property. However, participants may be able to transfer or roll over certain property from one retirement plan to another. See Pubs. 590-A and 590-B for more information about rollovers.

You don't have to make contributions every year. But if you make contributions, they must be based on a written allocation formula and must not discriminate in favor of highly compensated employees (defined in chapter 1). When you contribute, you must contribute to the SEP IRAs of all participants who actually performed personal services during the year for which the contributions are made, including employees who die or terminate employment before the contributions are made.

Contributions are deductible within limits, as discussed later, and generally aren't taxable to the plan participants.

Employer contributions to a SEP IRA won’t affect the amount an individual can contribute to a Roth or traditional IRA.

Unlike regular contributions to a traditional IRA before 2020, contributions under a SEP can be made to participants over age 70½. If you are self-employed, you can also make contributions under the SEP for yourself even if you are over age 70½. Participants age 73 or over must take required minimum distributions (RMDs).

Time limit for making contributions.

To deduct contributions for a year, you must make the contributions by the due date (including extensions) of your tax return for the year.

Contribution Limits

Contributions you make for 2025 to a common-law employee's SEP IRA can't exceed the lesser of 25% of the employee's compensation or $70,000. Compensation generally doesn't include your contributions to the SEP. The SEP plan document will specify how the employer contribution is determined and how it will be allocated to participants.

Example.

Your employee has earned $21,000 for 2025. The maximum contribution you can make to your employee’s SEP IRA is $5,250 (25% (0.25) x $21,000).

Contributions for yourself.

The annual limits on your contributions to a common-law employee's SEP IRA also apply to contributions you make to your own SEP IRA. However, special rules apply when figuring your maximum deductible contribution.

See *Deduction Limit for Self-Employed Individuals*, later.

Annual compensation limit.

You can't consider the part of an employee's compensation over $350,000 when figuring your contribution limit for that employee. However, $70,000 is the maximum contribution for an eligible employee. These limits increase to $360,000 and $72,000, respectively, in 2026.

Example.

Your employee has earned $260,000 for 2025. Because of the maximum contribution limit for 2025, you can only contribute $70,000 to your employee's SEP IRA.

More than one plan.

If you contribute to a defined contribution plan (defined in chapter 4), annual additions to an account are limited to the lesser of $70,000 or 100% of the participant's compensation. When you figure this limit, you must add your contributions to all defined contribution plans maintained by you. Because a SEP is considered a defined contribution plan for this limit, your contributions to a SEP must be added to your contributions to other defined contribution plans you maintain.

Tax treatment of excess contributions.

Excess contributions are your contributions to an employee's SEP IRA (or to your own SEP IRA) for 2025 that exceed the lesser of the following amounts.

- 25% of the employee's compensation (or, for you, 20% of your net earnings from self-employment).
- $70,000.

Excess contributions are included in the employee's income for the year and are treated as contributions by the employee to their SEP IRA. For more information on employee tax treatment of excess contributions, see Pub. 590-A.

Reporting.

For contributions to a traditional SEP IRA, don't include SEP contributions on your employee's Form W-2 unless contributions were made under a salary reduction arrangement (discussed later).

For contributions to a Roth SEP IRA, contributions made under a salary reduction arrangement should be reported on Form W-2 (discussed later), while employer matching and nonelective contributions should be reported in boxes 1 and 2a of Form 1099-R using code 2 or 7 in box 7 and check the IRA/SEP/SIMPLE checkbox.

Deducting Contributions

Generally, you can deduct the contributions you make each year to each employee's SEP IRA. If you are self-employed, you can deduct the contributions you make each year to your own SEP IRA.

Deduction Limit for Contributions for Participants

The most you can deduct for your contributions to your or your employee's SEP IRA is the lesser of the following amounts.

1. Your contributions (including any excess contributions carryover).

2. 25% of the compensation (limited to $350,000 per participant) paid to the participants during 2025, from the business that has the plan, not to exceed $70,000 per participant.

In 2026, the amounts in (2) above increase to $360,000 and $72,000, respectively.

Deduction Limit for Self-Employed Individuals

If you contribute to your own SEP IRA, you must make a special computation to figure your maximum deduction for these contributions. When figuring the deduction for contributions made to your own SEP IRA, compensation is your net earnings from self-employment (defined in chapter 1), which takes into account both the following deductions.

- The deduction for the deductible part of your self-employment tax.
- The deduction for contributions to your own SEP IRA.

The deduction for contributions to your own SEP IRA and your net earnings depend on each other. For this reason, you determine the deduction for contributions to your own SEP IRA indirectly by reducing the contribution rate called for in your plan. To do this, use the Rate Table for Self-Employed or the Rate Worksheet for Self-Employed, whichever is appropriate for your plan's contribution rate, in chapter 5. Then, figure your maximum deduction by using the Deduction Worksheet for Self-Employed in chapter 5.

Carryover of Excess SEP Contributions

If you made SEP contributions that are more than the deduction limit (nondeductible contributions), you can carry over and deduct the difference in later years. However, the carryover, when combined with the contribution for the later year, is subject to the deduction limit for that year. If you also contributed to a defined benefit plan or defined contribution plan, see *Carryover of Excess Contributions* under *Employer Deduction* in chapter 4 for the carryover limit.

Excise tax.

If you made nondeductible (excess) contributions to a SEP, you may be subject to a 10% excise tax. For information about the excise tax, see *Excise Tax for Nondeductible (Excess) Contributions* under *Employer Deduction* in chapter 4.

When To Deduct Contributions

When you can deduct contributions made for a year depends on the tax year for which the SEP is maintained.

- If the SEP is maintained on a calendar-year basis, you deduct the yearly contributions on your tax return for the year within which the calendar year ends.
- If you file your tax return and maintain the SEP using a fiscal year or short tax year, you deduct contributions made for a year on your tax return for that year.

Example.

You are a fiscal-year taxpayer whose tax year ends June 30. You maintain a SEP on a calendar-year basis. You deduct SEP contributions made for calendar year 2025 on your tax return for your tax year ending June 30, 2026.

Where To Deduct Contributions

Deduct the contributions you make for your common-law employees on your tax return. For example, sole proprietors deduct them on Schedule C (Form 1040) or Schedule F (Form 1040), Profit or Loss From Farming; partnerships deduct them on Form 1065, U.S. Return of Partnership Income; and corporations deduct them on Form 1120, U.S. Corporation Income Tax Return, or Form 1120-S, U.S. Income Tax Return for an S Corporation.

Sole proprietors and partners deduct contributions for themselves on line 16 of Schedule 1 (Form 1040). (If you are a partner, contributions for yourself are shown on the Schedule K-1 (Form 1065), Partner's Share of Income, Deductions, Credits, etc., you receive from the partnership.)

Caution:

Remember that sole proprietors and partners can't deduct as a business expense contributions made to a SEP for themselves, only those made for their common-law employees.

Salary Reduction Simplified Employee Pensions (SARSEPs)

A SARSEP is a SEP set up before 1997 that includes a salary reduction arrangement. (See the *Caution* next.) Under a SARSEP, your employees can choose to have you contribute part of their pay to their SEP IRAs rather than receive it in cash. This contribution is called an elective deferral because employees choose (elect) to set aside the money, and they defer the tax on the money until it is distributed to them.

Caution:

You aren't allowed to set up a SARSEP after 1996. However, participants (including employees hired after 1996) in a SARSEP set up before 1997 can continue to have you contribute part of their pay to the plan. If you are interested in setting up a retirement plan that includes a salary reduction arrangement, see chapter 3.

Who can have a SARSEP?

A SARSEP set up before 1997 is available to you and your eligible employees only if all the following requirements are met.

- At least 50% of your employees eligible to participate choose to make elective deferrals.
- You have 25 or fewer employees who were eligible to participate in the SEP at any time during the preceding year.
- The elective deferrals of your highly compensated employees meet the SARSEP average deferral percentage (ADP) test.

SARSEP ADP test.

Under the SARSEP ADP test, the amount deferred each year by each eligible highly compensated employee as a percentage of pay (the deferral percentage) can't be more than 125% of the ADP of all non-highly compensated employees eligible to participate. A highly compensated employee is defined in chapter 1.

Deferral percentage.

The deferral percentage for an employee for a year is figured as follows.

Beginning in 2005, section 1.09

The elective employer contributions

$$\frac{\text{(excluding certain catch-up contributions) paid to the SEP for the employee for the year}}{\text{The employee's compensation (limited to \$350,000 in 2025)}}$$

Tip:

The instructions for Form 5305A-SEP have a worksheet you can use to determine whether the elective deferrals of your highly compensated employees meet the SARSEP ADP test.

Employee compensation.

For figuring the deferral percentage, compensation is generally the amount you pay to the employee for the year. Compensation includes the elective deferral and other amounts deferred in certain employee benefit plans. See *Compensation* in chapter 1. Elective deferrals under the SARSEP are included in figuring your employees' deferral percentage even though they aren't included in the income of your employees for income tax purposes.

Compensation of self-employed individuals.

If you are self-employed, compensation is your net earnings from self-employment as defined in chapter 1.

Compensation doesn't include tax-free items (or deductions related to them) other than foreign earned income and housing cost amounts.

Choice not to treat deferrals as compensation.

You can choose not to treat elective deferrals (and other amounts deferred in certain employee benefit plans) for a year as compensation under your SARSEP.

Limit on Elective Deferrals

The most a participant can choose to defer for calendar year 2025 is the lesser of the following amounts.

1. 25% of the participant's compensation (limited to $350,000 of the participant's compensation).
2. $23,500.

The $23,500 limit applies to the total elective deferrals the employee makes for the year to a SEP and any of the following.

- Cash or deferred arrangement (section 401(k) plan).
- Salary reduction arrangement under a tax-sheltered annuity plan (section 403(b) plan).
- SIMPLE IRA plan.

In 2026, the $350,000 limit increases to $360,000, and the $23,500 limit increases to $24,500.

Catch-up contributions.

A SARSEP can permit participants who are age 50 or over at the end of the calendar year to also make catch-up contributions. The catch-up contribution limit is $7,500 for 2025 and $8,000 for 2026. Elective deferrals aren't treated as catch-up contributions for 2025 until they exceed the elective deferral limit (the lesser of 25% of compensation, or $23,500), the SARSEP ADP test limit discussed earlier, or the plan limit (if any). However, the catch-up contribution a participant can make for a year can't exceed the lesser of the following amounts.

- The catch-up contribution limit.
- The excess of the participant's compensation over the elective deferrals that aren't catch-up contributions.

Catch-up contributions aren't subject to the elective deferral limit (the lesser of 25% of compensation, or $23,500 in 2025 and $24,500 in 2026).

Beginning in 2025, section 109 of the SECURE 2.0 Act of 2022 permits a SARSEP to allow participants to make a higher amount of catch-up contributions in a tax year in which they attain age 60, 61, 62, or 63. For 2025 and 2026, the higher limit on catch-up contributions to a SARSEP for such participants is $11,250.

Overall limit on SEP contributions.

If you also make nonelective contributions to a SEP IRA, the total of the nonelective and elective contributions to that SEP IRA can't exceed the lesser of 25% of the employee's compensation, or $70,000 for 2025 ($72,000 for 2026). The same rule applies to contributions you make to your own SEP IRA. See *Contribution Limits*, earlier.

Figuring the elective deferral.

For figuring the 25% limit on elective deferrals, compensation doesn't include SEP contributions, including elective deferrals or other amounts deferred in certain employee benefit plans.

Tax Treatment of Deferrals

Elective deferrals to a traditional SEP IRA that aren't more than the limits discussed earlier under *Limit on Elective Deferrals* are excluded from your employees' wages subject to federal income tax in the year of deferral. However, these deferrals are included in wages for social security, Medicare, and federal unemployment (FUTA) taxes. Elective deferrals to a Roth SEP IRA are subject to federal income tax withholding, social security, Medicare, railroad retirement, and FUTA taxes.

Excess deferrals.

For 2025, excess deferrals are the elective deferrals for the year that are more than the $23,500 limit discussed earlier. For a participant who is eligible to make catch-up contributions (but is not eligible for the higher catch-up contribution limit under section 109 of the SECURE 2.0 Act for individuals attaining age 60, 61, 62, or 63), excess deferrals are the elective deferrals that are more than $31,000. The treatment of excess deferrals made under a SARSEP is similar to the treatment of excess deferrals made under a qualified plan. See *Treatment of Excess Deferrals* under *Elective Deferrals (401(k) Plans)* in chapter 4.

Excess SEP contributions.

Excess SEP contributions are elective deferrals of highly compensated employees that are more than the amount permitted under the SARSEP ADP test. You must notify your highly compensated employees within 2½ months after the end of the plan year of their excess SEP contributions. If you don't notify them within this time period, you must pay a 10% tax on the excess. For an explanation of the notification requirements, see Revenue Procedure 91-44, 1991-2 C.B. 733. If you adopted a SARSEP using Form 5305A-SEP, the notification requirements are explained in the instructions for that form.

Reporting on Form W-2.

Don’t include elective deferrals to a traditional SEP IRA in the “Wages, tips, other compensation” box of Form W-2. You must, however, include them in the “Social security wages” and “Medicare wages and tips” boxes. You must also include them in box 12. Check the “Retirement plan” checkbox in box 13. Include elective deferrals to

a Roth SEP IRA in the boxes 1, 3, and 5 (or box 14 for railroad retirement taxes) and report them in box 12 using code F. For more information, see the Form W-2 instructions.

Distributions (Withdrawals)

As an employer, you can't prohibit distributions from a SEP IRA. Also, you can't make your contributions on the condition that any part of them must be kept in the account after you have made your contributions to the employee's accounts.

Distributions are subject to IRA rules. Generally, you or your employee must begin to receive distributions from a traditional SEP IRA by April 1 of the first year after the calendar year in which you or your employee reaches age 73. For more information about IRA rules, including the tax treatment of distributions, rollovers, required distributions, and income tax withholding, see Pubs. 590-A and 590-B.

Additional Taxes

The tax advantages of using SEP IRAs for retirement savings can be offset by additional taxes that may be imposed for all the following actions.

- Making excess contributions.
- Making early withdrawals.
- Not making required withdrawals.

For information about these taxes, see Pubs. 590-A and 590-B. Also, a SEP IRA may be disqualified, or an excise tax may apply, if the account is involved in a prohibited transaction, discussed next.

Prohibited transaction.

If an employee improperly uses their SEP IRA, such as by borrowing money from it, the employee has engaged in a prohibited transaction. In that case, the SEP IRA will no longer qualify as an IRA. For a list of prohibited transactions, see *Prohibited Transactions* in chapter 4.

Effects on employee.

If a SEP IRA is disqualified because of a prohibited transaction, the assets in the account will be treated as having been distributed to the employee on the first day of the year in which the transaction occurred. The employee must include in income the fair market value of the assets (on the first day of the year) that is more than any cost basis in the account. Also, the employee may have to pay the additional tax for making early withdrawals.

Reporting and Disclosure Requirements

If you set up a SEP using Form 5305-SEP, you must give your eligible employees certain information about the SEP when you set it up. See *Setting Up a SEP*, earlier. Also, you must give your eligible employees a statement each year showing any contributions to their SEP IRAs. You must also give them notice of any excess contributions. For details about other information you must give them, see the instructions for Form 5305-SEP or Form 5305A-SEP (for a salary SARSEP).

Even if you didn't use Form 5305-SEP or Form 5305A-SEP to set up your SEP, you must give your employees information similar to that described above. For more information, see the instructions for either Form 5305-SEP or Form 5305A-SEP.

3. SIMPLE Plans

Topics

This chapter discusses:

- SIMPLE IRA plans
- SIMPLE 401(k) plans

Useful Items

You may want to see:

Publications

- 590-A Contributions to Individual Retirement Arrangements (IRAs)
- 590-B Distributions from Individual Retirement Arrangements (IRAs)
- 3998 Choosing a Retirement Solution for Your Small Business
- 4284 SIMPLE IRA Plan Checklist
- 4334 SIMPLE IRA Plans for Small Businesses

Forms (and Instructions)

- W-2 Wage and Tax Statement
- 5304-SIMPLE Savings Incentive Match Plan for Employees of Small Employers (SIMPLE)—Not for Use With a Designated Financial Institution
- 5305-SIMPLE Savings Incentive Match Plan for Employees of Small Employers (SIMPLE)—for Use With a Designated Financial Institution
- 8880 Credit for Qualified Retirement Savings Contributions
- 8881 Credit for Small Employer Pension Plan Startup Costs and Auto Enrollment

A SIMPLE plan is a written arrangement that provides you and your employees with a simplified way to make contributions to provide retirement income. Under a SIMPLE plan, employees can choose to make salary reduction contributions to the plan rather than receiving these amounts as part of their regular pay. In addition, you will contribute matching or nonelective contributions.

SIMPLE plans can only be maintained on a calendar-year basis.

A SIMPLE plan can be set up in either of the following ways.

- Using SIMPLE IRAs (SIMPLE IRA plan).
- As part of a 401(k) plan (SIMPLE 401(k) plan).

Tip:

Many financial institutions will help you set up a SIMPLE plan.

SIMPLE IRA Plan

A SIMPLE IRA plan is a retirement plan that uses a SIMPLE IRA for each eligible employee. Under a SIMPLE IRA plan, a SIMPLE IRA must be set up for each eligible employee (the SIMPLE IRA may either be a traditional SIMPLE IRA or a Roth SIMPLE IRA). For the definition of an eligible employee, see *Who Can Participate in a SIMPLE IRA Plan*, later.

Who Can Set up a SIMPLE IRA Plan?

You can set up a SIMPLE IRA plan if you meet both the following requirements.

- You meet the employee limit.
- You don't maintain another qualified plan unless the other plan is for collective bargaining employees.

Employee limit.

You can set up a SIMPLE IRA plan only if you had 100 or fewer employees who received $5,000 or more in compensation from you for the preceding year. Under this rule, you must take into account all employees employed at any time during the calendar year regardless of whether they are eligible to participate. Employees include self-employed individuals who received earned income and leased employees (defined in chapter 1).

Once you set up a SIMPLE IRA plan, you must continue to meet the 100-employee limit each year you maintain the plan.

Grace period for employers who cease to meet the 100-employee limit.

If you maintain the SIMPLE IRA plan for at least 1 year and you cease to meet the 100-employee limit in a later year, you will be treated as meeting it for the 2 calendar years immediately following the calendar year for which you last met it.

A different rule applies if you don't meet the 100-employee limit because of an acquisition, disposition, or similar transaction. Under this rule, the SIMPLE IRA plan will be treated as meeting the 100-employee limit for the year of the transaction and the 2 following years if both the following conditions are satisfied.

- Coverage under the plan hasn’t significantly changed during the grace period.
- The SIMPLE IRA plan would have continued to qualify after the transaction if you had remained a separate employer.

Caution:

The grace period for acquisitions, dispositions, and similar transactions also applies if, because of these types of transactions, you don't meet the rules explained under *Other qualified plan* or *Who Can Participate in a SIMPLE IRA Plan*, later.

Other qualified plan.

The SIMPLE IRA plan must generally be the only retirement plan to which you make contributions, or to which benefits accrue, for service in any year beginning with the year the SIMPLE IRA plan becomes effective.

Exception.

If you maintain a qualified plan for collective bargaining employees, you are permitted to maintain a SIMPLE IRA plan for other employees.

Who Can Participate in a SIMPLE IRA Plan?

Eligible employee.

Any employee who received at least $5,000 in compensation during any 2 years preceding the current calendar year and is reasonably expected to receive at least $5,000 during the current calendar year is eligible to participate. The term “employee” includes a self-employed individual who received earned income.

You can use less restrictive eligibility requirements (but not more restrictive ones) by eliminating or reducing the prior-year compensation requirements, the current-year compensation requirements, or both. For example, you can allow participation for employees who received at least $3,000 in compensation during any preceding calendar year. However, you can't impose any other conditions for participating in a SIMPLE IRA plan.

Excludable employees.

The following employees don't need to be covered under a SIMPLE IRA plan.

- Employees who are covered by a union agreement and whose retirement benefits were bargained for in good faith by the employees' union and you.
- Nonresident alien employees who have received no U.S. source wages, salaries, or other personal services compensation from you.

Compensation.

Compensation for employees is the total wages, tips, and other compensation from the employer subject to federal income tax withholding and the amounts paid for domestic service in a private home, local college club, or local chapter of a college fraternity or sorority. Compensation also includes the employee's salary reduction contributions made under this plan and, if applicable, elective deferrals under a section 401(k) plan, a SARSEP, or a section 403(b) annuity contract and compensation deferred under a section 457 plan required to be reported by the employer on Form W-2. If you are self-employed, compensation is your net earnings from self-employment (line 4 of Schedule SE (Form 1040)) before subtracting any contributions made to the SIMPLE IRA plan for yourself.

How To Set up a SIMPLE IRA Plan

You can use Form 5304-SIMPLE or Form 5305-SIMPLE to set up a SIMPLE IRA plan. Each form is a model SIMPLE plan document. Which form you use depends on whether you select a financial institution or your employees select the institution that will receive the contributions.

Use Form 5304-SIMPLE if you allow each plan participant to select the financial institution for receiving their SIMPLE IRA plan contributions. Use Form 5305-SIMPLE if you require that all contributions under the SIMPLE IRA plan be deposited initially at a designated financial institution.

The SIMPLE IRA plan is adopted when you have completed all appropriate boxes and blanks on the form and you (and the designated financial institution, if any) have signed it. Keep the original form. Don’t file it with the IRS.

Other uses of the forms.

If you set up a SIMPLE IRA plan using Form 5304-SIMPLE or Form 5305-SIMPLE, you can use the form to satisfy other requirements, including the following.

- Meeting employer notification requirements for the SIMPLE IRA plan. Form 5304-SIMPLE and Form 5305-SIMPLE contain a *Model Notification to Eligible Employees* that provides the necessary information to the employee.

- Maintaining the SIMPLE IRA plan records and proving you set up a SIMPLE IRA plan for employees.

Deadline for setting up a SIMPLE IRA plan.

You can set up a SIMPLE IRA plan effective on any date from January 1 through October 1 of a year, provided you didn't previously maintain a SIMPLE IRA plan. This requirement doesn't apply if you are a new employer that comes into existence after October 1 of the year the SIMPLE IRA plan is set up and you set up a SIMPLE IRA plan as soon as administratively feasible after your business comes into existence. If you previously maintained a SIMPLE IRA plan, you can set up a SIMPLE IRA plan effective only on January 1 of a year. A SIMPLE IRA plan can't have an effective date that is before the date you actually adopt the plan.

Setting up a SIMPLE IRA.

SIMPLE IRAs are the individual retirement accounts or annuities into which the contributions are deposited. A SIMPLE IRA must be set up for each eligible employee. Pursuant to section 601 of the SECURE 2.0 Act of 2022, a SIMPLE IRA may either be a traditional IRA (traditional SIMPLE IRA) or a Roth IRA (Roth SIMPLE IRA). Forms 5305-S, SIMPLE Individual Retirement Trust Account, and 5305-SA, SIMPLE Individual Retirement Custodial Account, are model trust and custodial account documents the participant and the trustee (or custodian) can use for this purpose for a traditional SIMPLE IRA (there are not currently model documents for a Roth SIMPLE IRA).

Contributions to a SIMPLE IRA won't affect the amount an individual can contribute to a Roth or traditional IRA.

Deadline for setting up a SIMPLE IRA.

A SIMPLE IRA must be set up for an employee before the first date by which a contribution is required to be deposited into the employee's IRA. See *Time limits for contributing funds*, later, under *Contribution Limits*.

Notification Requirement

If you adopt a SIMPLE IRA plan, you must notify each employee of the following information before the beginning of the election period.

1. The employee's opportunity to make or change a salary reduction choice under a SIMPLE IRA plan.

2. Your decision to make either matching contributions or nonelective contributions (discussed later).

3. A summary description provided by the financial institution.

4. Written notice that their balance can be transferred without cost or penalty if they use a designated financial institution.

Election period.

The election period is generally the 60-day period immediately preceding January 1 of a calendar year (November 2 to December 31 of the preceding calendar year). However, the dates of this period are modified if you set up a SIMPLE IRA plan mid-year (for example, on July 1) or if the 60-day period falls before the first day an employee becomes eligible to participate in the SIMPLE IRA plan.

A SIMPLE IRA plan can provide longer periods for permitting employees to enter into salary reduction agreements or to modify prior agreements. For example, a SIMPLE IRA plan can provide a 90-day election period instead of the 60-day period. Similarly, in addition to the 60-day period, a SIMPLE IRA plan can provide quarterly election periods during the 30 days before each calendar quarter, other than the first quarter of each year.

Contribution Limits

Contributions are made up of salary reduction contributions and employer contributions. You, as the employer, must make either matching contributions or nonelective contributions, defined later. No other contributions can be made to the SIMPLE IRA plan. These contributions, which you can deduct, must be made timely. See *Time limits for contributing funds*, later.

Salary reduction contributions.

The amount the employee chooses to have you contribute to a SIMPLE IRA on their behalf generally can't be more than $16,500 for 2025 and increases to $17,000 for 2026. Pursuant to section 117 of the SECURE 2.0 Act of 2022, a higher limit of $17,600 may apply to participants in SIMPLE IRA plans for certain employers for 2025. These contributions must be expressed as a percentage of the employee's compensation unless you permit the employee to express them as a specific dollar amount. You can't place restrictions on the contribution amount (such as limiting the contribution percentage), except to comply with the $16,500 limit for 2025 ($17,000 for 2026).

If you or an employee participates in any other qualified plan during the year and you or your employee has salary reduction contributions (elective deferrals) under those plans, the salary reduction contributions under a SIMPLE IRA plan also count toward the overall annual limit ($23,500 for 2025; $24,500 for 2026) on exclusion of salary reduction contributions and other elective deferrals.

Catch-up contributions.

A SIMPLE IRA plan can permit participants who are age 50 or over at the end of the calendar year to also make catch-up contributions. The catch-up contribution limit for SIMPLE IRA plans is generally $3,500 for 2025 and $4,000 for 2026. Pursuant to section 117(b) of the SECURE 2.0 Act of 2022, a higher catch-up limit of $3,850 may apply to participants in SIMPLE IRA plans of certain employers for 2025. Salary reduction contributions aren't treated as catch-up contributions until they exceed $16,500 for 2025 ($17,000 for 2026). However, the catch-up contribution a participant can make for a year can't exceed the lesser of the following amounts.

- The catch-up contribution limit.
- The excess of the participant's compensation over the salary reduction contributions that aren't catch-up contributions.

Beginning in 2025, section 109 of the SECURE 2.0 Act of 2022 permits SIMPLE plans (including SIMPLE 401(k) and SIMPLE IRA plans) to allow participants to make a higher amount of catch-up contributions in a tax year in which they attain age 60, 61, 62, or 63. For 2025 and 2026, the higher limit on catch-up contributions to SIMPLE plans for such participants is $5,250.

Employer matching contributions.

You are generally required to match each employee's salary reduction contribution(s) on a dollar-for-dollar basis up to 3% of the employee's compensation, where only employees who have elected to make contributions will receive an employer matching contribution. Pursuant to section 117 of the SECURE 2.0 Act of 2022, higher matching contributions apply for certain employers who elect to allow higher salary reduction contributions. This requirement doesn't apply if you make nonelective contributions, as discussed later.

Example.

In 2025, your employee earned $25,000 and chose to defer 5% of their salary. The net earnings from self-employment are $40,000, and you choose to contribute 10% of your earnings to your SIMPLE IRA. You make 3% matching contributions. The total contribution made for the employee is $2,000, figured as follows.

Salary reduction contributions ($25,000 × 5% (0.05))	$1,250
Employer matching contribution ($25,000 × 3% (0.03))	750
Total contributions	**$2,000**

The total contribution you make for yourself is $5,200, figured as follows.

Salary reduction contributions ($40,000 × 10% (0.10))	$4,000
Employer matching contribution ($40,000 × 3% (0.03))	1,200
Total contributions	**$5,200**

Lower percentage.

If you choose a matching contribution less than 3%, the percentage must be at least 1%. You must notify the employees of the lower match within a reasonable period of time before the 60-day election period (discussed earlier) for the calendar year. You can't choose a percentage less than 3% for more than 2 years during the 5-year period that ends with (and includes) the year for which the choice is effective.

Nonelective contributions.

Instead of matching contributions, you can choose to make nonelective contributions of 2% of compensation on behalf of each eligible employee who has at least $5,000 (or some lower amount you select) of compensation from you for the year. Pursuant to section 117 of the SECURE 2.0 Act of 2022, higher nonelective contributions apply for certain employers who elect to allow higher salary reduction contributions. If you make this choice, you must make nonelective contributions whether or not the employee chooses to make salary reduction contributions. Only $350,000 of the employee's compensation can be taken into account to figure the contribution limit in 2025 ($360,000 in 2026).

If you choose this 2% contribution formula, you must notify the employees within a reasonable period of time before the 60-day election period (discussed earlier) for the calendar year.

Example 1.

In 2025, your employee, Jane Wood, earned $36,000 and chose to have you contribute 10% of her salary. Your net earnings from self-employment are $50,000, and you choose to contribute 10% of your earnings to your SIMPLE IRA. You make a 2% nonelective contribution. Both of you are under age 50. The total contribution you make for Jane is $4,320, figured as follows.

Salary reduction contributions ($36,000 × 10% (0.10))	$3,600
2% nonelective contributions ($36,000 × 2% (0.02))	720
Total contributions	**$4,320**

The total contribution you make for yourself is $6,000, figured as follows.

Salary reduction contributions ($50,000 × 10% (0.10))	$5,000
2% nonelective contributions ($50,000 × 2% (0.02))	1,000
Total contributions	**$6,000**

Example 2.

Using the same facts as in *Example 1* above, the maximum contribution you make for Jane or for yourself if you each earned $75,000 is $14,000, figured as follows.

Salary reduction contributions (maximum amount allowed)	$12,500
2% nonelective contributions ($75,000 × 2% (0.02))	1,500
Total contributions	**$14,000**

Time limits for contributing funds.

You must make the salary reduction contributions to the SIMPLE IRA within 30 days after the end of the month in which the amounts would otherwise have been payable to the employee in cash. You must make matching contributions or nonelective contributions by the due date (including extensions) for filing your federal income tax return for the year. Certain plans subject to DOL rules may have an earlier due date for salary reduction contributions.

When To Deduct Contributions

You can deduct SIMPLE IRA contributions in the tax year within which the calendar year for which contributions were made ends. You can deduct contributions for a particular tax year if they are made for that tax year and are made by the due date (including extensions) of your federal income tax return for that year.

The due date for making contributions for 2025 for most plans is Monday, April 15, 2026.

Example 1.

Your tax year is the fiscal year ending June 30. Contributions under a SIMPLE IRA plan for calendar year 2024 (including contributions made by the due date for the return for the tax year that ends on June 30, 2026) are deductible in the tax year ending June 30, 2026.

Example 2.

You are a sole proprietor whose tax year is the calendar year. Contributions under a SIMPLE IRA plan for calendar year 2025 (including contributions made by the due date for the return for the 2025 tax year) are deductible in the 2025 tax year.

Where To Deduct Contributions

Deduct the contributions you make for your common-law employees on your tax return. For example, sole proprietors deduct them on Schedule C (Form 1040) or Schedule F (Form 1040), partnerships deduct them on

Form 1065, and corporations deduct them on Form 1120 or 1120-S.

Sole proprietors and partners deduct contributions for themselves on line 16 of Schedule 1 (Form 1040). (If you are a partner, contributions for yourself are shown on the Schedule K-1 (Form 1065) you receive from the partnership.)

Tax Treatment of Contributions

You can deduct your contributions as an employer. Your employees can exclude contributions to a traditional SIMPLE IRA from their gross income. SIMPLE IRA plan contributions to a traditional SIMPLE IRA aren't subject to federal income tax withholding. However, salary reduction contributions to a traditional SIMPLE IRA are subject to social security, Medicare, and FUTA taxes. Matching and nonelective contributions to a traditional SIMPLE IRA aren't subject to these taxes. Salary reduction contributions to a Roth SIMPLE IRA are includible in gross income and subject to federal income tax withholding, social security, Medicare, railroad retirement, and FUTA taxes. Employer matching and nonelective contributions to a Roth SIMPLE IRA aren't subject to these taxes.

Reporting.

For contributions made to a traditional SIMPLE IRA, don’t include contributions made under a salary reduction arrangement in the “Wages, tips, other compensation” box of Form W-2. You must, however, include them in the “Social security wages” and “Medicare wages and tips” boxes. You must also include them in box 12. Check the “Retirement plan” checkbox in box 13.

For contributions to a Roth SIMPLE IRA, contributions made under a salary reduction arrangement should be reported on Form W-2 in boxes 1, 3, and 5 (or box 14 for railroad retirement taxes) and in box 12 using code S. Employer matching and nonelective contributions to a Roth SIMPLE IRA should be reported in boxes 1 and 2a of Form 1099-R using code 2 or 7 in box 7 and check the IRA/SEP/SIMPLE checkbox.

For more information, see the Form W-2 instructions.

Distributions (Withdrawals)

Distributions from a SIMPLE IRA are subject to IRA rules and are generally includible in income for the year received. Tax-free rollovers can be made from one SIMPLE IRA into another SIMPLE IRA. However, a rollover from a SIMPLE IRA to a non-SIMPLE IRA can be made tax free only after a 2-year participation in the SIMPLE IRA plan.

Generally, you or your employee must begin to receive distributions from a traditional SIMPLE IRA by April 1 of the first year after the calendar year in which you or your employee reaches age 73.

Early withdrawals are generally subject to a 10% additional tax. However, the additional tax is increased to 25% if funds are withdrawn within 2 years of beginning participation.

More information.

See Pubs. 590-A and 590-B for information about IRA rules, including those on the tax treatment of distributions, rollovers, required distributions, and income tax withholding.

More Information on SIMPLE IRA Plans

If you need help to set up or maintain a SIMPLE IRA plan, go to IRS.gov/SIMPLE.

SIMPLE 401(k) Plan

You can adopt a SIMPLE plan as part of a 401(k) plan if you meet the 100-employee limit, as discussed earlier under *SIMPLE IRA Plan.* A SIMPLE 401(k) plan is a qualified retirement plan and must generally satisfy the rules discussed under *Qualification Rules* in chapter 4, including the required distribution rules. However, a SIMPLE 401(k) plan isn't subject to the nondiscrimination and top-heavy rules discussed in chapter 4 if the plan meets the conditions listed below.

1. Under the plan, an employee can choose to have you make salary reduction contributions for the year to a trust in an amount expressed as a percentage of the employee's compensation, but not more than $16,500 for 2025 ($17,000 for 2026). If permitted under the plan, an employee who is age 50 or over can also make a catch-up contribution of up to $3,500 for 2025 and $4,000 for 2026 (or a higher amount in a tax year in which the employee attains age 60, 61, 62, or 63) . See *Catch-up contributions*, earlier, under *Contribution Limits.* Pursuant to section 117 of the SECURE 2.0 Act of 2022, special salary reduction and catch-up contribution limits apply for certain employers.

2. You must make either:

    a. Matching contributions up to 3% of compensation for the year, or

    b. Nonelective contributions of 2% of compensation on behalf of each eligible employee who has at least $5,000 of compensation from you for the year.

    Pursuant to section 117 of the SECURE 2.0 Act of 2022, higher matching and nonelective contributions apply for certain employers who elect to allow higher salary reduction contributions.

3. No other contributions can be made to the trust.

4. No contributions are made, and no benefits accrue, for services during the year under any other qualified retirement plan sponsored by you on behalf of any employee eligible to participate in the SIMPLE 401(k) plan.

5. The employee's rights to any contributions are nonforfeitable.

No more than $350,000 of the employee's compensation can be taken into account in figuring matching contributions and nonelective contributions in 2025 ($360,000 in 2026). Compensation is defined earlier in this chapter.

Employee notification.

The notification requirement that applies to SIMPLE IRA plans also applies to SIMPLE 401(k) plans. See *Notification Requirement*, earlier in this chapter.

Note on forms.

Please note that Forms 5304-SIMPLE and 5305-SIMPLE can’t be used to establish a SIMPLE 401(k) plan. To set up a SIMPLE 401(k) plan, see *Adopting a Written Plan* in chapter 4.

4. Qualified Plans

Topics

This chapter discusses:

- Kinds of plans
- Qualification rules

- Setting up a qualified plan
- Minimum funding requirement
- Contributions
- Employer deduction
- Elective deferrals (401(k) plans)
- Qualified Roth contribution program
- Distributions
- Prohibited transactions
- Reporting requirements

Useful Items

You may want to see:

Publications

- 575 Pension and Annuity Income
- 590-A Contributions to Individual Retirement Arrangements (IRAs)
- 590-B Distributions from Individual Retirement Arrangements (IRAs)
- 3066 Have you had your check-up this year? for Retirement Plans
- 3998 Choosing a Retirement Solution for Your Small Business
- 4222 401(k) Plans for Small Businesses
- 4530 Designated Roth Accounts under a 401(k), 403(b) or governmental 457(b) plan
- 4531 401(k) Plan Checklist
- 4674 Automatic Enrollment 401(k) Plans for Small Businesses
- 4806 Profit Sharing Plans for Small Businesses

Forms (and Instructions)

- W-2 Wage and Tax Statement
- Schedule K-1 (Form 1065) Partner's Share of Income, Deductions, Credits, etc.
- 1099-R Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc.
- 1040 U.S. Individual Income Tax Return
- 1040-SR U.S. Tax Return for Seniors

- Schedule C (Form 1040) Profit or Loss From Business
- Schedule F (Form 1040) Profit or Loss From Farming
- 5300 Application for Determination for Employee Benefit Plan
- 5310 Application for Determination for Terminating Plan
- 5329 Additional Taxes on Qualified Plans (Including IRAs) and Other Tax-Favored Accounts
- 5330 Return of Excise Taxes Related to Employee Benefit Plans
- 5500 Annual Return/Report of Employee Benefit Plan
- 5500-EZ Annual Return of A One-Participant (Owners/Partners and Their Spouses) Retirement Plan or A Foreign Plan
- 5500-SF Short Form Annual Return/Report of Small Employee Benefit Plan
- 8717 User Fee for Employee Plan Determination Letter Request
- 8880 Credit for Qualified Retirement Savings Contributions
- 8881 Credit for Small Employer Pension Plan Startup Costs
- 8955-SSA Annual Registration Statement Identifying Separated Participants With Deferred Vested Benefits

These qualified retirement plans set up by self-employed individuals are sometimes called Keogh or H.R. 10 plans. A sole proprietor or a partnership can set up one of these plans. A common-law employee or a partner can't set up one of these plans. The plans described here can also be set up and maintained by employers that are corporations. All of the rules discussed here apply to corporations except where specifically limited to the self-employed.

The plan must be for the exclusive benefit of employees or their beneficiaries. These qualified plans can include coverage for a self-employed individual.

As an employer, you can usually deduct, subject to limits, contributions you make to a qualified plan, including those made for your own retirement. The contributions (and earnings and gains on them) are generally tax free until distributed by the plan.

Kinds of Plans

There are two basic kinds of qualified plans—defined contribution plans and defined benefit plans—and different rules apply to each. You can have more than one qualified plan, but your contributions to all the plans must not total more than the overall limits discussed under *Contributions* and *Employer Deduction*, later.

Defined Contribution Plan

A defined contribution plan provides an individual account for each participant in the plan. It provides benefits to a participant largely based on the amount contributed to that participant's account. Benefits are also affected by any income, expenses, gains, losses, and forfeitures of other accounts that may be allocated to an account. A defined contribution plan can be either a profit-sharing plan or a money purchase pension plan.

Profit-sharing plan.

Although it is called a profit-sharing plan, you don't actually have to make a business profit for the year in order to make a contribution (except for yourself if you are self-employed, as discussed under *Self-employed individual*, later). A profit-sharing plan can be set up to allow for discretionary employer contributions, meaning the amount contributed each year to the plan isn't fixed. An employer may even make no contribution to the plan for a given year.

The plan must provide a definite formula for allocating the contribution among the participants and for distributing the accumulated funds to the employees after they reach a certain age, after a fixed number of years, or upon certain other occurrences.

In general, you can be more flexible in making contributions to a profit-sharing plan than to a money purchase pension plan (discussed next) or a defined benefit plan (discussed later).

Money purchase pension plan.

Contributions to a money purchase pension plan are fixed and aren't based on your business profits. For example, a money purchase pension plan may require that contributions be 10% of the participants' compensation without regard to whether you have profits (or the self-employed person has earned income).

Defined Benefit Plan

A defined benefit plan is any plan that isn't a defined contribution plan. Contributions to a defined benefit plan are based on what is needed to provide definitely determinable benefits to plan participants. Actuarial assumptions and computations are required to figure these contributions. Generally, you will need continuing professional help to have a defined benefit plan.

Qualification Rules

To qualify for the tax benefits available to qualified plans, a plan must meet certain requirements (qualification rules) of the tax law. Generally, unless you write your own plan, the financial institution that provided your plan will take the continuing responsibility for meeting qualification rules that are later changed. The following is a brief overview of important qualification rules that generally haven't yet been discussed. It isn't intended to be all-inclusive. See *Setting Up a Qualified Plan*, later.

Tip:

Generally, the following qualification rules also apply to a SIMPLE 401(k) retirement plan. A SIMPLE 401(k) plan is, however, not subject to the top-heavy plan rules and nondiscrimination rules if the plan satisfies the provisions discussed in chapter 3 under *SIMPLE 401(k) Plan.*

Plan assets must not be diverted.

Your plan must make it impossible for its assets to be used for, or diverted to, purposes other than the exclusive benefit of employees and their beneficiaries. As a general rule, the assets can't be diverted to the employer.

Minimum coverage requirement must be met.

To be a qualified plan, a defined benefit plan must benefit at least the lesser of the following.

1. 50 employees.
2. The greater of:
    a. 40% of all employees, or

b. Two employees.

If there is only one employee, the plan must benefit that employee.

Contributions or benefits must not discriminate.

Under the plan, contributions or benefits to be provided must not discriminate in favor of highly compensated employees.

Contributions and benefits must not be more than certain limits.

Your plan must not provide for contributions or benefits that are more than certain limits. The limits apply to the annual contributions and other additions to the account of a participant in a defined contribution plan and to the annual benefit payable to a participant in a defined benefit plan. These limits are discussed later in this chapter under *Contributions.*

Minimum vesting standard must be met.

Your plan must satisfy certain requirements regarding when benefits vest. A benefit is vested (you have a fixed right to it) when it becomes nonforfeitable. A benefit is nonforfeitable if it can't be lost upon the happening, or failure to happen, of any event. Special rules apply to forfeited benefit amounts. In defined contribution plans, forfeitures can be allocated to the accounts of remaining participants in a nondiscriminatory way, or they can be used to reduce your contributions.

Forfeitures under a defined benefit plan can't be used to increase the benefits any employee would otherwise receive under the plan. Forfeitures must be used instead to reduce employer contributions.

Participation.

In general, an employee must be allowed to participate in your plan if they meet both the following requirements.

- Has reached age 21.
- Has at least 1 year of service (2 years if the plan isn't a 401(k) plan and provides that after not more than 2 years of service the employee has a nonforfeitable right to all their accrued benefit).

See *Elective Deferrals (401(k) Plans)*, later, for additional information regarding conditions of participation in a 401(k) plan.

Caution:

A plan can't exclude an employee because the employee has reached a specified age.

Leased employee.

A leased employee, defined in chapter 1, who performs services for you (recipient of the services) is treated as your employee for certain plan qualification rules. These rules include those in all the following areas.

- Nondiscrimination in coverage, contributions, and benefits.
- Minimum age and service requirements.
- Vesting.
- Limits on contributions and benefits.

- Top-heavy plan requirements.

Contributions or benefits provided by the leasing organization for services performed for you are treated as provided by you.

Benefit payment must begin when required.

Your plan must provide that, unless the participant chooses otherwise, the payment of benefits to the participant must begin within 60 days after the close of the latest of the following periods.

- The plan year in which the participant reaches the earlier of age 65 or the normal retirement age specified in the plan.
- The plan year in which the 10th anniversary of the year in which the participant began participating in the plan occurs.
- The plan year in which the participant separates from service.

Early retirement.

Your plan can provide for payment of retirement benefits before the normal retirement age. If your plan offers an early retirement benefit, a participant who separates from service before satisfying the early retirement age requirement is entitled to that benefit if the participant meets both the following requirements.

- Satisfies the service requirement for the early retirement benefit.
- Separates from service with a nonforfeitable right to an accrued benefit. The benefit, which may be actuarially reduced, is payable when the early retirement age requirement is met.

Required minimum distributions (RMDs).

Special rules require minimum annual distributions from qualified plans, generally beginning after age 73. See *Required Distributions* under *Distributions*, later.

Survivor benefits.

Defined benefit and money purchase pension plans must provide automatic survivor benefits in both the following forms.

- A qualified joint and survivor annuity for a vested participant who doesn't die before the annuity starting date.
- A qualified pre-retirement survivor annuity for a vested participant who dies before the annuity starting date and who has a surviving spouse.

The automatic survivor benefit also applies to any participant under a profit-sharing plan unless all the following conditions are met.

- The participant doesn't choose benefits in the form of a life annuity.
- The plan pays the full vested account balance to the participant's surviving spouse (or other beneficiary if the surviving spouse consents or if there is no surviving spouse) if the participant dies.
- The plan isn't a direct or indirect transferee of a plan that must provide automatic survivor benefits.

Loan secured by benefits.

If automatic survivor benefits are required for a spouse under a plan, they must consent to a loan that uses as security the accrued benefits in the plan.

Waiver of survivor benefits.

Each plan participant may be permitted to waive the joint and survivor annuity or the pre-retirement survivor annuity (or both), but only if the participant has the written consent of the spouse. The plan must also allow the participant to withdraw the waiver. The spouse's consent must be witnessed by a plan representative or notary public.

Involuntary cash-out of benefits not more than dollar limit.

A plan may provide for the immediate distribution of the participant's benefit under the plan if the present value of the benefit isn't greater than $7,000.

However, the distribution can't be made after the annuity starting date unless the participant and the spouse or surviving spouse of a participant who died (if automatic survivor benefits are required for a spouse under the plan) consent in writing to the distribution. If the present value is greater than $7,000, the plan must have the written consent of the participant and the spouse or surviving spouse (if automatic survivor benefits are required for a spouse under the plan) for any immediate distribution of the benefit.

Benefits attributable to rollover contributions and earnings on them can be ignored in determining the present value of these benefits.

A plan must provide for the automatic rollover of any cash-out distribution of more than $1,000 to an individual retirement account or annuity, unless the participant chooses otherwise. A section 402(f) notice must be sent prior to an involuntary cash-out of an eligible rollover distribution. See *Section 402(f) notice* under *Distributions*, later, for more details.

Consolidation, merger, or transfer of assets or liabilities.

Your plan must provide that, in the case of any merger or consolidation with, or transfer of assets or liabilities to, any other plan, each participant would (if the plan then terminated) receive a benefit equal to or more than the benefit they would have been entitled to just before the merger, etc. (if the plan had then terminated).

Benefits must not be assigned or alienated.

Your plan must provide that a participant's or beneficiary's benefits under the plan can't be taken away by any legal or equitable proceeding except as provided below or pursuant to certain judgments or settlements against the participant for violations of plan rules.

Exception for certain loans.

A loan from the plan (not from a third party) to a participant or beneficiary isn't treated as an assignment or alienation if the loan is secured by the participant's accrued nonforfeitable benefit and is exempt from the tax on prohibited transactions under section 4975(d)(1) or would be exempt if the participant were a disqualified person. A disqualified person is defined later in this chapter under *Prohibited Transactions.*

Exception for a qualified domestic relations order (QDRO).

Compliance with a QDRO doesn't result in a prohibited assignment or alienation of benefits.

Payments to an alternate payee under a QDRO before the participant reaches age 59½ aren't subject to the 10% additional tax that would otherwise apply under certain circumstances. Benefits distributed to an alternate payee under a QDRO can be rolled over tax free to an individual retirement account or to an individual retirement annuity.

No benefit reduction for social security increases.

Your plan must not permit a benefit reduction for a post-separation increase in the social security benefit level or wage base for any participant or beneficiary who is receiving benefits under your plan, or who is separated from service and has nonforfeitable rights to benefits. This rule also applies to plans supplementing the benefits provided by other federal or state laws.

Elective deferrals must be limited.

If your plan provides for elective deferrals, it must limit those deferrals to the amount in effect for that particular year. See *Limit on Elective Deferrals*, later in this chapter.

Top-heavy plan requirements.

A top-heavy plan is one that mainly favors partners, sole proprietors, and other key employees.

A plan is top-heavy for a plan year if, for the preceding plan year, the total value of accrued benefits or account balances of key employees is more than 60% of the total value of accrued benefits or account balances of all employees. Additional requirements apply to a top-heavy plan primarily to provide minimum benefits or contributions for non-key employees covered by the plan.

Most qualified plans, whether or not top-heavy, must contain provisions that meet the top-heavy requirements and will take effect in plan years in which the plans are top-heavy. These qualification requirements for top-heavy plans are explained in section 416 and its regulations.

SIMPLE and safe harbor 401(k) plan exception.

The top-heavy plan requirements don't apply to SIMPLE 401(k) plans, discussed earlier in chapter 3, or to safe harbor 401(k) plans that consist solely of safe harbor contributions, discussed later in this chapter. Qualified automatic contribution arrangements (QACAs) (discussed later) also aren't subject to top-heavy requirements.

Setting up a Qualified Plan

There are two basic steps in setting up a qualified plan. First, you adopt a written plan. Then, you invest the plan assets.

You, the employer, are responsible for setting up and maintaining the plan.

Tip:

If you are self-employed, it isn't necessary to have employees besides yourself to sponsor and set up a qualified plan. If you have employees, see *Participation* under *Qualification Rules*, earlier.

Set-up deadline.

To take a deduction for contributions for a tax year, your plan must be set up (adopted) by the last day of that year. If you are a sole proprietor with a new section 401(k) plan that you adopted after the end of the tax year that ends after or with the first plan year, and you are the only participant, your elective deferrals must be paid to the plan before the time for filing your return for that tax year (determined without regard to any extensions) in order for the elective deferrals to be treated as having been made by the end of the first plan year.

Adopting a Written Plan

You must adopt a written plan. The plan can be an IRS pre-approved plan offered by a sponsoring organization. Or it can be an individually designed plan.

Written plan requirement.

To qualify, the plan you set up must be in writing and must be communicated to your employees. The plan's provisions must be stated in the plan. It isn't sufficient for the plan to merely refer to a requirement of the Internal Revenue Code.

IRS pre-approved plans.

Most qualified plans follow a standard form of plan approved by the IRS. An IRS pre-approved plan is a plan, including a plan covering self-employed individuals, that is made available by a provider for adoption by employers. Under the prior IRS pre-approved plan program, a plan could be a master plan, a prototype plan, or a volume submitter plan. Under the restructured program, the three plan types were combined into one type called a pre-approved plan. IRS pre-approved plans include both standardized plans and nonstandardized plans. An IRS pre-approved plan may use a single funding medium, for example, a trust or custodial account document, for the joint use of all adopting employers or separate funding mediums established for each adopting employer. An IRS pre-approved plan may consist of an adoption agreement plan or a single document plan. For more information about IRS pre-approved plans, see Revenue Procedure 2017-41, 2017-29 I.R.B. 92, available at IRS.gov/irb/2017-29_IRB#RP-2017-41.

Plan providers.

The following organizations can generally provide IRS pre-approved plans.

- Banks (including some savings and loan associations and federally insured credit unions).
- Trade or professional organizations.
- Insurance companies.
- Mutual funds.
- Law firms.
- Third-party administrators.

Individually designed plan.

If you prefer, you can set up an individually designed plan to meet specific needs. Although advance IRS approval is not required, you can apply for approval by paying a fee and requesting a determination letter. You may need professional help for this. See Revenue Procedure 2024-4, 2024-1 I.R.B. 160, available at IRS.gov/irb/2024-4_IRB, as annually updated, that may help you decide whether to apply for approval.

User fee.

The fee mentioned earlier for requesting a determination letter doesn't apply to employers who have 100 or fewer employees who received at least $5,000 of compensation from the employer for the preceding year. At least one of them must be a non-highly compensated employee participating in the plan. The fee doesn't apply to requests made by the later of the following dates.

- The end of the fifth plan year the plan is in effect.
- The end of any remedial amendment period for the plan that begins within the first 5 plan years.

The request can't be made by the provider of an IRS pre-approved plan that intends to market to participating employers.

For more information about whether the user fee applies, see Revenue Procedure 2020-4, 2020-1 I.R.B. 148, available at IRS.gov/irb/2020-01_IRB, as may be annually updated; Notice 2017-1, 2017-2 I.R.B. 367, available at IRS.gov/irb/2017-02_IRB; and Form 8717.

Investing Plan Assets

In setting up a qualified plan, you arrange how the plan's funds will be used to build its assets.

- You can establish a trust or custodial account to invest the funds.
- You, the trust, or the custodial account can buy an annuity contract from an insurance company. Life insurance can be included only if it is incidental to the retirement benefits.

You set up a trust by a legal instrument (written document). You may need professional help to do this.

You can set up a custodial account with a bank, savings and loan association, credit union, or other person who can act as the plan trustee.

You don't need a trust or custodial account, although you can have one, to invest the plan's funds in annuity contracts or face-amount certificates. If anyone other than a trustee holds them, however, the contracts or certificates must state they aren't transferable.

Other plan requirements.

For information on other important plan requirements, see *Qualification Rules*, earlier in this chapter.

Minimum Funding Requirement

In general, if your plan is a money purchase pension plan or a defined benefit plan, you must actually pay enough into the plan to satisfy the minimum funding standard for each year. Determining the amount needed to satisfy the minimum funding standard for a defined benefit plan is complicated, and you should seek professional help in order to meet these contribution requirements. For information on this funding requirement, see section 430 and its regulations.

Quarterly installments of required contributions.

If your plan is a defined benefit plan subject to the minimum funding requirements, you must generally make quarterly installment payments of the required contributions. If you don't pay the full installments timely, you may have to pay interest on any underpayment for the period of the underpayment.

Due dates.

The due dates for the installments are 15 days after the end of each quarter. For a calendar-year plan, the installments are due April 15, July 15, October 15, and January 15 (of the following year).

Installment percentage.

Each quarterly installment must be 25% of the required annual payment.

Extended period for making contributions.

Additional contributions required to satisfy the minimum funding requirement for a plan year will be considered timely if made by 8½ months after the end of that year.

Contributions

A qualified plan is generally funded by your contributions. However, employees participating in the plan may be permitted to make contributions, and you may be permitted to make contributions on your own behalf. See *Employee Contributions* and *Elective Deferrals*, later.

Contributions deadline.

You can make deductible contributions for a tax year up to the due date of your return (plus extensions) for that year.

Self-employed individual.

You can make contributions on behalf of yourself only if you have net earnings (compensation) from self-employment in the trade or business for which the plan was set up. Your net earnings must be from your personal services, not from your investments. If you have a net loss from self-employment, you can't make contributions for yourself for the year, even if you can contribute for common-law employees based on their compensation.

Employer Contributions

There are certain limits on the contributions and other annual additions you can make each year for plan participants. There are also limits on the amount you can deduct. See *Deduction Limits*, later.

Limits on Contributions and Benefits

Your plan must provide that contributions or benefits can't exceed certain limits. The limits differ depending on whether your plan is a defined benefit plan or a defined contribution plan.

Defined benefit plan.

For 2025, the annual benefit for a participant under a defined benefit plan can't exceed the lesser of the following amounts.

1. 100% of the participant's average compensation for their highest 3 consecutive calendar years.
2. $280,000 for 2025 ($290,000 for 2026).

Defined contribution plan.

For 2025, a defined contribution plan's annual contributions and other additions (excluding earnings) to the account of a participant can't exceed the lesser of the following amounts.

1. 100% of the participant's compensation.
2. $70,000 for 2025 ($72,000 for 2026).

Catch-up contributions (discussed later under *Limit on Elective Deferrals*) aren't subject to the above limit.

Employee Contributions

Participants may be permitted to make nondeductible contributions to a plan in addition to your contributions. Even though these employee contributions aren't deductible, the earnings on them are tax free until distributed in later years. Also, these contributions must satisfy the actual contribution percentage (ACP) test of section 401(m)(2), a nondiscrimination test that applies to employee contributions and matching contributions. See Regulations sections 1.401(k)-2 and 1.401(m)-2 for further guidance relating to the nondiscrimination rules under sections 401(k) and 401(m) respectively.

When Contributions Are Considered Made

You generally apply your plan contributions to the year in which you make them. But you can apply them to the previous year if all the following requirements are met.

1. You make them by the due date of your tax return for the previous year (plus extensions).
2. The plan was established by the end of the previous year.
3. The plan treats the contributions as though it had received them on the last day of the previous year.
4. You do either of the following.
    a. You specify in writing to the plan administrator or trustee that the contributions apply to the previous year.
    b. You deduct the contributions on your tax return for the previous year. A partnership shows contributions for partners on Form 1065.

Employer's promissory note.

Your promissory note made out to the plan isn't a payment that qualifies for the deduction. Also, issuing this note is a prohibited transaction subject to tax. See *Prohibited Transactions*, later.

Employer Deduction

You can usually deduct, subject to limits, contributions you make to a qualified plan, including those made for your own retirement. The contributions (and earnings and gains on them) are generally tax free until distributed by the plan.

Deduction Limits

The deduction limit for your contributions to a qualified plan depends on the kind of plan you have.

Defined contribution plans.

The deduction for contributions to a defined contribution plan (profit-sharing plan or money purchase pension plan) can't be more than 25% of the compensation paid (or accrued) during the year to your eligible employees participating in the plan. If you are self-employed, you must reduce this limit in figuring the deduction for contributions you make for your own account. See *Deduction Limit for Self-Employed Individuals*, later.

When figuring the deduction limit, the following rules apply.

- Elective deferrals (discussed later) aren't subject to the limit.
- Compensation includes elective deferrals.
- The maximum compensation that can be taken into account for each employee in 2025 is $350,000 ($360,000 in 2026).

Defined benefit plans.

The deduction for contributions to a defined benefit plan is based on actuarial assumptions and computations. Consequently, an actuary must figure your deduction limit.

Caution:

In figuring the deduction for contributions, you can't take into account any contributions or benefits that are more than the limits discussed earlier under *Limits on Contributions and Benefits*.

Table 4-1. Carryover of Excess Contributions Illustrated—Profit-Sharing Plan (000's omitted)

Year	Participants' compensation	Employer contribution	Deductible limit for current year (25% of compensation)	Excess contribution carryover used[1]	Total deduction including carryovers	Excess contribution carryover available at end of year
2022	$1,000	$100	$250	$ 0	$100	$ 0
2023	400	165	100	0	100	65
2024	500	100	125	25	125	40
2025	600	100	150	40	140	0

[1] There were no carryovers from years before 2022.

Deduction Limit for Self-Employed Individuals

If you make contributions for yourself, you need to make a special computation to figure your maximum deduction for these contributions. Compensation is your net earnings from self-employment, defined in chapter 1. This definition takes into account both the following items.

- The deduction for the deductible part of your self-employment tax.
- The deduction for contributions on your behalf to the plan.

The deductions for your own contributions and your net earnings depend on each other. For this reason, you determine the deduction for your own contributions indirectly by reducing the contribution rate called for in your plan. To do this, use either the Rate Table for Self-Employed or the Rate Worksheet for Self-Employed in chapter 5. Then, figure your maximum deduction by using the Deduction Worksheet for Self-Employed in chapter 5.

Where To Deduct Contributions

Deduct the contributions you make for your common-law employees on your tax return. For example, sole proprietors deduct them on Schedule C (Form 1040) or Schedule F (Form 1040), partnerships deduct them on Form 1065, and corporations deduct them on Form 1120 or 1120-S.

Sole proprietors and partners deduct contributions for themselves on line 16 of Schedule 1 (Form 1040). (If you are a partner, contributions for yourself are shown on the Schedule K-1 (Form 1065) you get from the partnership.)

Carryover of Excess Contributions

If you contribute more to a plan than you can deduct for the year, you can carry over and deduct the difference in later years, combined with your contributions for those years. Your combined deduction in a later year is limited to 25% of the participating employees' compensation for that year. For purposes of this limit, a SEP is treated as a profit-sharing (defined contribution) plan. However, this percentage limit must be reduced to figure your

maximum deduction for contributions you make for yourself. See *Deduction Limit for Self-Employed Individuals*, earlier. The amount you carry over and deduct may be subject to the excise tax discussed next.

Table 4-1. Carryover of Excess Contributions Illustrated Profit-Sharing Plan illustrates the carryover of excess contributions to a profit-sharing plan.

Excise Tax for Nondeductible (Excess) Contributions

If you contribute more than your deduction limit to a retirement plan, you have made nondeductible contributions and you may be liable for an excise tax. In general, a 10% excise tax applies to nondeductible contributions made to qualified pension and profit-sharing plans and to SEPs.

Special rule for self-employed individuals.

The 10% excise tax doesn't apply to any contribution made to meet the minimum funding requirements in a money purchase pension plan or a defined benefit plan. Even if that contribution is more than your earned income from the trade or business for which the plan is set up, the difference isn't subject to this excise tax. See *Minimum Funding Requirement*, earlier.

Reporting the tax.

You must report the tax on your nondeductible contributions on Form 5330. Form 5330 includes a computation of the tax. See the separate instructions for completing the form.

Elective Deferrals (401(k) Plans)

Your qualified plan can include a cash or deferred arrangement under which participants can choose to have you contribute part of their before-tax compensation to the plan rather than receive the compensation in cash. A plan with this type of arrangement is popularly known as a 401(k) plan. (As a self-employed individual participating in the plan, you can contribute part of your before-tax net earnings from the business.) This contribution is called an elective deferral because participants choose (elect) to defer receipt of the money.

In general, a qualified plan can include a cash or deferred arrangement only if the qualified plan is one of the following plans.

- A profit-sharing plan.
- A money purchase pension plan in existence on June 27, 1974, that included a salary reduction arrangement on that date.

Partnership.

A partnership can have a 401(k) plan.

Restriction on conditions of participation.

Effective for plan years beginning after 2020, a 401(k) plan can’t require, as a condition of participation, that an employee complete a period of service that extends beyond the close of the earlier of (a) 1 year of service, or (b) the first period of 3 consecutive 12-month periods (excluding 12-month periods beginning before 2021) during each of which the employee has completed at least 500 hours of service. Effective for plan years beginning after 2024, 3 consecutive 12-month periods are reduced to 2 consecutive 12-month periods.

Matching contributions.

If your plan permits, you can make matching contributions for an employee who makes an elective deferral to your 401(k) plan. For example, the plan might provide that you will contribute 50 cents for each dollar your participating employees choose to defer under your 401(k) plan. Matching contributions are generally subject to the ACP test discussed earlier under *Employee Contributions*.

Nonelective contributions.

You can also make contributions (other than matching contributions) for your participating employees without giving them the choice to take cash instead. These are called nonelective contributions.

Employee compensation limit.

No more than $350,000 of the employee's compensation can be taken into account when figuring contributions other than elective deferrals in 2025. This limit is $360,000 for 2026.

SIMPLE 401(k) plan.

If you had 100 or fewer employees who earned $5,000 or more in compensation during the preceding year, you may be able to set up a SIMPLE 401(k) plan. A SIMPLE 401(k) plan isn't subject to the nondiscrimination and top-heavy plan requirements discussed earlier under *Qualification Rules.* For details about SIMPLE 401(k) plans, see *SIMPLE 401(k) Plan* in chapter 3.

Distributions.

Certain rules apply to distributions from 401(k) plans. See *Distributions From 401(k) Plans*, later.

Limit on Elective Deferrals

There is a limit on the amount an employee can defer each year under these plans. This limit applies without regard to community property laws. Your plan must provide that your employees can't defer more than the limit that applies for a particular year. The basic limit on elective deferrals is $23,500 for 2025 and increases to $24,500 for 2026. This limit applies to all salary reduction contributions and elective deferrals. If, in conjunction with other plans, the deferral limit is exceeded, the difference is included in the employee's gross income.

Catch-up contributions.

A 401(k) plan can permit participants who are age 50 or over at the end of the calendar year to also make catch-up contributions. The catch-up contribution limit is $7,500 for 2025 and $8,000 for 2026. Elective deferrals aren't treated as catch-up contributions for 2025 until they exceed the $23,500 limit ($24,500 limit for 2026), the ADP test limit of section 401(k)(3), or the plan limit (if any). However, the catch-up contributions a participant can make for a year can't exceed the lesser of the following amounts.

- The catch-up contribution limit.
- The excess of the participant's compensation over the elective deferrals that aren't catch-up contributions.

Beginning in 2025, section 109 of the SECURE 2.0 Act of 2022 permits 401(k) plans to allow participants to make a higher amount of catch-up contributions in a tax year in which they attain age 60, 61, 62, or 63. For 2025 and 2026, the higher limit on catch-up contributions to 401(k) plans (excluding SIMPLE plans) for such participants is $11,250.

Treatment of contributions.

Your contributions to your own 401(k) plan are generally deductible by you for the year they are contributed to the plan. Matching or nonelective contributions made to the plan are also deductible by you in the year of

contribution.

Your employees' elective deferrals other than designated Roth contributions are tax free until distributed from the plan. Elective deferrals are included in wages for social security, Medicare, and FUTA taxes.

Forfeiture.

Employees have a nonforfeitable right at all times to their accrued benefit attributable to elective deferrals.

Reporting on Form W-2.

Don't include elective deferrals in the “Wages, tips, other compensation” box of Form W-2. You must, however, include them in the “Social security wages” and “Medicare wages and tips” boxes. You must also include them in box 12. Check the “Retirement plan” checkbox in box 13. For more information, see the Form W-2 instructions.

Automatic Enrollment

Your 401(k) plan can have an automatic enrollment feature. Under this feature, you can automatically reduce an employee's pay by a fixed percentage and contribute that amount to the 401(k) plan on their behalf unless the employee affirmatively chooses not to have their pay reduced or chooses to have it reduced by a different percentage. These contributions are elective deferrals. An automatic enrollment feature will encourage employees' saving for retirement and will help your plan pass nondiscrimination testing (if applicable). For more information, see Pub. 4674.

Caution:

If your 401(k) plan is established on or after December 29, 2022, your plan must have an automatic enrollment feature unless an exception applies. See section II.A of Notice 2024-2, 2024-2 I.R.B. 316, at IRS.gov/irb/2024–02, for additional information.

Eligible automatic contribution arrangement (EACA).

Under an EACA, a participant is treated as having elected to have the employer make contributions in an amount equal to a uniform percentage of compensation. This automatic election will remain in place until the participant specifically elects not to have such deferral percentage made (or elects a different percentage). There is no required deferral percentage.

Withdrawals.

Under an EACA, you may allow participants to withdraw their automatic contributions to the plan if certain conditions are met.

- The participant must elect the withdrawal no later than 90 days after the date of the first elective contributions under the EACA.
- The participant must withdraw the entire amount of EACA default contributions, including any earnings thereon.

If the plan allows withdrawals under the EACA, the amount of the withdrawal other than the amount of any designated Roth contributions must be included in the employee's gross income for the tax year in which the distribution is made. The additional 10% tax on early distributions won't apply to the distribution.

Notice requirement.

Under an EACA, employees must be given written notice of the terms of the EACA within a reasonable period of time before each plan year. The notice must be written in a manner calculated to be understood by the average employee and be sufficiently accurate and comprehensive in order to apprise the employee of their rights and obligations under the EACA. The notice must include an explanation of the employee's right to elect not to have elective contributions made on their behalf, or to elect a different percentage, and the employee must be given a reasonable period of time after receipt of the notice before the first elective contribution is made. The notice must also explain how contributions will be invested in the absence of an investment election by the employee.

Qualified automatic contribution arrangement (QACA).

A QACA is a type of safe harbor plan. It contains an automatic enrollment feature, and mandatory employer contributions are required. If your plan includes a QACA, it won't be subject to the ADP test (discussed later) or the top-heavy requirements (discussed earlier). Additionally, your plan won't be subject to the ACP test if certain additional requirements are met. Under a QACA, each employee who is eligible to participate in the plan will be treated as having elected to make elective deferral contributions equal to a certain default percentage of compensation. In order to not have default elective deferrals made, an employee must make an affirmative election specifying a deferral percentage (including zero, if desired). If an employee doesn't make an affirmative election, the default deferral percentage must meet the following conditions.

1. It must be applied uniformly.
2. It must not exceed 10%. (After 2019, the maximum default deferral percentage increases to 15%.)
3. It must be at least 3% in the first plan year it applies to an employee and through the end of the following year.
4. It must increase to at least 4% in the following plan year.
5. It must increase to at least 5% in the following plan year.
6. It must increase to at least 6% in subsequent plan years.

Matching or nonelective contributions.

Under the terms of the QACA, you must make either matching or nonelective contributions according to the following terms.

1. **Matching contributions.** You must make matching contributions on behalf of each non-highly compensated employee in the following amounts.

   a. An amount equal to 100% of elective deferrals, up to 1% of compensation.

   b. An amount equal to 50% of elective deferrals, from 1% up to 6% of compensation.

   Other formulas may be used as long as they are at least as favorable to non-highly compensated employees. The rate of matching contributions for highly compensated employees, including yourself, must not exceed the rates for non-highly compensated employees.

2. **Nonelective contributions.** You must make nonelective contributions on behalf of every non-highly compensated employee eligible to participate in the plan, regardless of whether they elected to participate, in an amount equal to at least 3% of their compensation.

Vesting requirements.

All accrued benefits attributed to matching or nonelective contributions under the QACA must be 100% vested for all employees who complete 2 years of service. These contributions are subject to special withdrawal

restrictions, discussed later.

Notice requirements.

Each employee eligible to participate in the QACA must receive written notice of their rights and obligations under the QACA within a reasonable period before each plan year. The notice must be written in a manner calculated to be understood by the average employee, and it must be accurate and comprehensive. The notice must explain their right to elect not to have elective contributions made on their behalf, or to have contributions made at a different percentage than the default percentage. Additionally, the notice must explain how contributions will be invested in the absence of any investment election by the employee. The employee must have a reasonable period of time after receiving the notice to make such contribution and investment elections prior to the first contributions under the QACA.

If you make nonelective contributions under the QACA and you either don't make any matching contributions or you make matching contributions that are intended to satisfy the ACP test, then this QACA notice requirement doesn’t apply. However, this exception doesn’t apply to the EACA notice requirement, discussed earlier.

Treatment of Excess Deferrals

If the total of an employee's deferrals is more than the limit for 2025, the employee can have the difference (called an excess deferral) paid out of any of the plans that permit these distributions. The employee must notify the plan by April 15, 2026 (or an earlier date specified in the plan), of the amount to be paid from each plan. The plan must then pay the employee that amount, plus earnings on the amount through the end of 2025, by April 15, 2026.

Excess withdrawn by April 15.

If the employee takes out the excess deferral by April 15, 2026, it isn't reported again by including it in the employee's gross income for 2026. However, any income earned in 2025 on the excess deferral taken out is taxable in the tax year in which it is taken out. The distribution isn't subject to the additional 10% tax on early distributions.

If the employee takes out part of the excess deferral and the income on it, the distribution is treated as made proportionately from the excess deferral and the income.

Even if the employee takes out the excess deferral by April 15, the amount will be considered for purposes of nondiscrimination testing requirements of the plan, unless the distributed amount is for a non-highly compensated employee who participates in only one employer's 401(k) plan or plans.

Excess not withdrawn by April 15.

If the employee doesn't take out the excess deferral by April 15, 2026, the excess, though taxable in 2025, isn't included in the employee's cost basis in figuring the taxable amount of any eventual distributions under the plan. In effect, an excess deferral left in the plan is taxed twice, once when contributed and again when distributed. Also, if the employee's excess deferral is allowed to stay in the plan and the employee participates in no other employer's plan, the plan can be disqualified.

Reporting corrective distributions on Form 1099-R.

Report corrective distributions of excess deferrals (including any earnings) on Form 1099-R. For specific information about reporting corrective distributions, see the Instructions for Forms 1099-R and 5498.

Tax on excess contributions of highly compensated employees.

The law provides tests to detect discrimination in a plan. If tests, such as the ADP test (see section 401(k)(3)) and the ACP test (see section 401(m)(2)), show that contributions for highly compensated employees are more than the test limits for these contributions, the employer may have to pay a 10% excise tax. Report the tax on Form 5330. The ADP test doesn't apply to a safe harbor 401(k) plan (discussed next) or to a QACA. Also, the ACP test doesn't apply to these plans if certain additional requirements are met.

The tax for the year is 10% of the excess contributions for the plan year ending in your tax year. Excess contributions are elective deferrals, employee contributions, or employer matching or nonelective contributions that are more than the amount permitted under the ADP test or the ACP test.

See Regulations sections 1.401(k)-2 and 1.401(m)-2 for further guidance relating to the nondiscrimination rules under sections 401(k) and 401(m) respectively.

Caution:

If the plan fails the ADP or ACP testing, and the failure isn't corrected by the end of the next plan year, the plan can be disqualified.

Safe Harbor 401(k) Plan

If you meet the requirements for a safe harbor 401(k) plan, you don't have to satisfy the ADP test or the ACP test if certain additional requirements are met. For your plan to be a safe harbor plan, you must meet the following conditions.

1. **Matching or nonelective contributions.** You must make matching or nonelective contributions according to one of the following formulas.

    a. **Matching contributions.** You must make matching contributions according to the following rules.

        i. You must contribute an amount equal to 100% of each non-highly compensated employee's elective deferrals, up to 3% of compensation.

        ii. You must contribute an amount equal to 50% of each non-highly compensated employee's elective deferrals, from 3% up to 5% of compensation.

        iii. The rate of matching contributions for highly compensated employees, including yourself, must not exceed the rates for non-highly compensated employees.

    b. **Nonelective contributions.** You must make nonelective contributions, without regard to whether the employee made elective deferrals, on behalf of all non-highly compensated employees eligible to participate in the plan, equal to at least 3% of the employee's compensation.

    These mandatory matching and nonelective contributions must be immediately 100% vested and are subject to special withdrawal restrictions.

2. **Notice requirement.** You must give eligible employees written notice of their rights and obligations with regard to contributions under the plan within a reasonable period before the plan year.

If you make nonelective contributions and you either don't make any matching contributions or you make matching contributions that are intended to satisfy the ACP test, then this notice requirement doesn’t apply. However, this exception doesn’t apply to the EACA notice requirement, discussed earlier.

The other requirements for a 401(k) plan, including withdrawal and vesting rules, must also be met for your plan to qualify as a safe harbor 401(k) plan.

Qualified Roth Contribution Program

Under this program, an eligible employee can designate all or a portion of their elective deferrals as after-tax Roth contributions. These contributions, which are made in lieu of elective deferrals, are designated Roth contributions. Unlike other elective deferrals, designated Roth contributions aren't excluded from an employee's gross income.

In addition, an eligible employee may be permitted to designate certain nonelective contributions or matching contributions as Roth contributions. These contributions are also includible in an employee's gross income.

Designated Roth contributions, designated Roth nonelective contributions, and designated Roth matching contributions must be maintained in a separate Roth account. However, qualified distributions from a Roth account are excluded from an employee's gross income.

Elective Deferrals

Under a qualified Roth contribution program, the amount of elective deferrals that an employee may designate as a Roth contribution is limited to the maximum amount of elective deferrals excludable from gross income for the year (for 2025, $23,500 if under age 50 and $31,000 if age 50 or over (but not attaining age 60, 61, 62, or 63); amounts increase in 2026 to $24,500 and $32,500, respectively) less the total amount of the employee's elective deferrals not designated as Roth contributions.

Designated Roth contributions are treated the same as pre-tax elective deferrals for most purposes, including:

- The annual individual elective deferral limit (total of all designated Roth contributions and traditional, pre-tax elective deferrals) of $23,500 for 2025 ($24,500 for 2026), with an additional $7,500 if age 50 or over (but not attaining age 60, 61, 62, or 63) ($8,000 for 2026).
- Determining the maximum employee and employer annual contributions of the lesser of 100% of compensation or $70,000 for 2025 ($72,000 for 2026);
- Nondiscrimination testing;
- Required distributions; and
- Elective deferrals not taken into account for purposes of deduction limits.

Qualified Distributions

A qualified distribution is a distribution that is made after the employee's nonexclusion period and:

- On or after the employee reaches age 59½,
- On account of the employee's being disabled, or
- On or after the employee's death.

An employee's nonexclusion period for a plan is the 5-tax-year period beginning with the earlier of the following tax years.

- The first tax year in which a contribution was made to their Roth account in the plan.
- If a rollover contribution was made to the employee's designated Roth account from a designated Roth account previously established for the employee under another plan, then the first tax year in which a contribution was made to the previously established designated Roth account.

Rollover.

A rollover from another account can be made to a designated Roth account in the same plan. For additional information on these in-plan Roth rollovers, see Notice 2010-84, 2010-51 I.R.B. 872, available at IRS.gov/irb/2010-51_IRB/ar11.html; and Notice 2013-74, 2013-52 I.R.B. 819, available at IRS.gov/pub/irs-irbs/irb13-52_IRB. A distribution from a designated Roth account can only be rolled over to another designated Roth account or a Roth IRA. Rollover amounts don't apply toward the annual deferral limit.

Reporting Requirements

You must report a designated Roth contribution on Form W-2. See the Form W-2 instructions for detailed information.

You must report a designated Roth nonelective contribution or a designated Roth matching contribution on Form 1099-R for the year in which the contribution is allocated. You must also report a distribution from a Roth account on Form 1099-R. See the Form 1099-R instructions for detailed information.

Distributions

Amounts paid to plan participants from a qualified plan are called distributions. Distributions may be nonperiodic, such as lump-sum distributions, or periodic, such as annuity payments. Also, certain loans may be treated as distributions. See *Loans Treated as Distributions* in Pub. 575.

Required Distributions

A qualified plan must provide that each participant will either:

- Receive their entire interest (benefits) in the plan by the required beginning date (defined later), or
- Begin receiving regular periodic distributions by the required beginning date in annual amounts figured to distribute the participant's entire interest (benefits) over their life expectancy or over the joint life expectancies of the participant and the designated beneficiary (or over a shorter period).

These distribution rules apply individually to each qualified plan. You can't satisfy the requirement for one plan by taking a distribution from another. The plan must provide that these rules override any inconsistent distribution options previously offered.

Minimum distribution.

If the account balance of a qualified plan participant is to be distributed (other than as an annuity), the plan administrator must figure the minimum amount required to be distributed each distribution calendar year. This minimum is figured by dividing the account balance by the applicable life expectancy. The plan administrator can use the life expectancy tables in Pub. 590-B for this purpose. For more information on figuring the minimum distribution, see *Tax on Excess Accumulation* in Pub. 575.

Required beginning date.

Generally, each participant must receive their entire benefits in the plan or begin to receive periodic distributions of benefits from the plan by the required beginning date.

A participant must begin to receive distributions from their qualified retirement plan by April 1 of the first year after the later of the following years.

1. The calendar year in which the participant reaches age 73.

2. The calendar year in which he or she retires from employment with the employer maintaining the plan.

However, the plan may require the participant to begin receiving distributions by April 1 of the year after the participant reaches age 73 even if the participant has not retired.

If the participant is a 5% owner of the employer maintaining the plan, the participant must begin receiving distributions by April 1 of the first year after the calendar year in which the participant reaches age 73. For more information, see *Tax on Excess Accumulation* in Pub. 575 about distributions prior to 2020.

Distributions after the starting year.

The distribution required to be made by April 1 is treated as a distribution for the starting year. (The starting year is the year in which the participant meets (1) or (2) under *Required beginning date*, earlier, whichever applies.) After the starting year, the participant must receive the required distribution for each year by December 31 of that year. If no distribution is made in the starting year, required distributions for 2 years must be made in the next year (one by April 1 and one by December 31).

Distributions after participant's death.

See Pub. 575 for the special rules covering distributions made after the death of a participant.

Designated Roth account exception.

The lifetime required distribution rules described in this section do not apply to amounts in a designated Roth account in a qualified plan. Required distributions from a designated Roth account are only required following a participant's death. For this purpose, a qualified plan includes qualified retirement plans, tax-sheltered annuities and custodial accounts, retirement income accounts, and eligible deferred compensation plans under section 457(b). Therefore, the reference to a participant's "entire interest" or "entire benefits" in this section do not include amounts in a designated Roth account.

Distributions From 401(k) Plans

Generally, distributions can't be made until one of the following occurs.

- The employee retires, dies, becomes disabled, or otherwise severs employment.
- The plan ends and no other defined contribution plan is established or continued.
- In the case of a 401(k) plan that is part of a profit-sharing plan, the employee reaches age 59½ or suffers financial hardship. For the rules on hardship distributions, including the limits on them, see Regulations section 1.401(k)-1(d).
- The employee becomes eligible for a qualified reservist distribution (defined next).

Caution:

Certain distributions listed above may be subject to the tax on early distributions discussed later.

Qualified reservist distributions.

A qualified reservist distribution is a distribution from an IRA or an elective deferral account made after September 11, 2001, to a military reservist or a member of the National Guard who has been called to active duty for at least 180 days or for an indefinite period. All or part of a qualified reservist distribution can be repaid to an IRA. The additional 10% tax on early distributions doesn't apply to a qualified reservist distribution.

Tax Treatment of Distributions

Distributions from a qualified plan minus a prorated part of any cost basis are subject to income tax in the year they are distributed. Because most recipients have no cost basis, a distribution is generally fully taxable. An exception is a distribution that is properly rolled over as discussed under *Rollover* next.

The tax treatment of distributions depends on whether they are made periodically over several years or life (periodic distributions) or are nonperiodic distributions. See *Taxation of Periodic Payments* and *Taxation of Nonperiodic Payments* in Pub. 575 for a detailed description of how distributions are taxed, including the 10-year tax option or capital gain treatment of a lump-sum distribution.

Note:

A recipient of a distribution from a designated Roth account will have a cost basis because designated Roth contributions are made on an after-tax basis. Also, a distribution from a designated Roth account is entirely tax free if certain conditions are met. See *Qualified distributions* under *Qualified Roth Contribution Program*, earlier.

Rollover.

The recipient of an eligible rollover distribution from a qualified plan can defer the tax on it by rolling it over into a traditional IRA or another eligible retirement plan. However, it may be subject to withholding, as discussed under *Withholding requirement*, later. A rollover can also be made to a Roth IRA, in which case any previously untaxed amounts are includible in gross income unless the rollover is from a designated Roth account.

Eligible rollover distribution.

This is a distribution of all or any part of an employee's balance in a qualified retirement plan that isn't any of the following.

1. An RMD. See *Required Distributions*, earlier.
2. Any of a series of substantially equal payments made at least once a year over any of the following periods.
    a. The employee's life or life expectancy.
    b. The joint lives or life expectancies of the employee and beneficiary.
    c. A period of 10 years or longer.
3. A hardship distribution.
4. Loans treated as distributions.
5. Dividends on employer securities.
6. The cost of any life insurance coverage provided under a qualified retirement plan.
7. Similar items designated by the IRS in published guidance. See, for example, the Instructions for Forms 1099-R and 5498.

Rollover of nontaxable amounts.

You may be able to roll over the nontaxable part of a distribution to another qualified retirement plan or a section 403(b) plan, or to an IRA. If the rollover is to a qualified retirement plan or a section 403(b) plan that separately accounts for the taxable and nontaxable parts of the rollover, the transfer must be made through a direct (trustee-to-trustee) rollover. If the rollover is to an IRA, the transfer can be made by any rollover method.

Note:

A distribution from a designated Roth account can be rolled over to another designated Roth account or to a Roth IRA. If the rollover is to a Roth IRA, it can be rolled over by any rollover method, but if the rollover is to another designated Roth account, it must be rolled over directly (trustee-to-trustee).

More information.

For more information about rollovers, see *Rollovers* in Pubs. 575 and 590-A. For rules on rolling over distributions that contain nontaxable amounts, see Notice 2014-54, 2014-41 I.R.B. 670, available at IRS.gov/irb/2014-41_IRB/ar11.html. For guidance on rolling money into a qualified plan, see Revenue Ruling 2014-9, 2014-17 I.R.B. 975, available at IRS.gov/irb/2014-17_IRB/ar05.html.

Withholding requirement.

If, during a year, a qualified plan pays to a participant one or more eligible rollover distributions (defined earlier) that are reasonably expected to total $200 or more, the payor must withhold 20% of the taxable portion of each distribution for federal income tax.

Exceptions.

If, instead of having the distribution paid to them, the participant chooses to have the plan pay it directly to an IRA or another eligible retirement plan (a direct rollover), no withholding is required.

If the distribution isn't an eligible rollover distribution, defined earlier, the 20% withholding requirement doesn't apply. Other withholding rules apply to distributions that aren't eligible rollover distributions, such as long-term periodic distributions and required distributions (periodic or nonperiodic). However, the participant can choose not to have tax withheld from these distributions. If the participant doesn't make this choice, the following withholding rules apply.

- For periodic distributions, withholding is based on their treatment as wages.
- For nonperiodic distributions, 10% of the taxable part is withheld.

Estimated tax payments.

If no income tax is withheld or not enough tax is withheld, the recipient of a distribution may have to make estimated tax payments. For more information, see *Withholding Tax and Estimated Tax* in Pub. 575.

Section 402(f) notice.

If a distribution is an eligible rollover distribution, as defined earlier, you must provide a written notice to the recipient that explains the following rules regarding such distributions.

1. That the distribution may be directly transferred to an eligible retirement plan and information about which distributions are eligible for this direct transfer.
2. That tax will be withheld from the distribution if it isn't directly transferred to an eligible retirement plan.

3. That the distribution won't be subject to tax if transferred to an eligible retirement plan within 60 days after the date the recipient receives the distribution.

4. Certain other rules that may be applicable.

Notice 2026-13, 2026-06 I.R.B. 499, available at IRS.gov/irb/2026-06_IRB, contains two updated safe harbor section 402(f) notices that plan administrators may provide recipients of eligible rollover distributions.

Timing of notice.

The notice must generally be provided no less than 30 days and no more than 180 days before the date of a distribution.

Method of notice.

The written notice must be provided individually to each distributee of an eligible rollover distribution. Posting of the notice isn't sufficient. However, the written requirement may be satisfied through the use of electronic media if certain additional conditions are met. See Regulations section 1.401(a)-21.

Tax on failure to give notice.

Failure to give a section 402(f) notice will result in a tax of $100 for each failure, with a total not exceeding $50,000 per calendar year. The tax won't be imposed if it is shown that such failure is due to reasonable cause and not to willful neglect.

Tax on Early Distributions

If a distribution is made to an employee under the plan before they reach age 59½ (early distributions), the employee may have to pay a 10% additional tax on the distribution. This tax applies to the amount received that the employee must include in gross income.

Exceptions.

The 10% additional tax won't apply to the following early distributions:

- Made to a beneficiary (or to the estate of the employee) on or after the death of the employee.
- Made to an employee having a disability within the meaning of section 72(m)(7).
- Made as part of a series of substantially equal periodic payments beginning after separation from service and made at least annually for the life or life expectancy of the employee or the joint lives or life expectancies of the employee and their designated beneficiary. (The payments under this exception, except in the case of death or disability, must continue for at least 5 years or until the employee reaches age 59½, whichever is the longer period.)
- Made from a qualified retirement plan other than an IRA to an employee after separation from service if the separation occurred during or after the calendar year in which the employee reached age 55.
- Made from a governmental plan after a qualified public safety employee separates from service and has reached the earlier of age 50 or attainment of 25 years of service under the plan.
- Made from a private sector plan made after a firefighter separates from service and has reached the earlier of age 50 or attainment of 25 years of service under the plan.
- Made from a qualified retirement plan other than an IRA to an alternate payee under a QDRO.

- Made from an IRA to an employee for medical care up to the amount allowable as a medical expense deduction (determined without regard to whether the employee itemizes deductions).
- Timely made to reduce excess contributions under a 401(k) plan.
- Timely made to reduce excess employee or matching employer contributions (excess aggregate contributions).
- Timely made to reduce excess elective deferrals.
- Made because of an IRS levy on the plan.
- Made as a qualified reservist distribution.
- Made as a permissible withdrawal from an EACA.
- Made as a qualified birth or adoption distribution.
- Made as a qualified disaster distribution.
- Made to an individual who has been certified by a physician as having a terminal illness.
- Made as a distribution for a victim of domestic violence
- Made as a distribution for certain emergency personal expenses.
- Made from an IRA as a distribution to buy, build, or rebuild a first home.
- Made from an IRA as a distribution for your qualified higher education expenses.
- Timely made to reduce excess IRA contributions pursuant to section 408(d)(4).

Most of these exceptions are explained below.

Disabled.

You are considered disabled if you can furnish proof that you can't do any substantial gainful activity because of your physical or mental condition. A physician must determine that your condition can be expected to result in death or be of a long, continued, or indefinite duration.

Distributions to terminally ill individuals.

You may be able to take a distribution from a retirement plan before reaching age 59½ and not have to pay the 10% additional tax on early distributions if you receive the distribution on or after the date you have received a certification by a physician that you are terminally ill.

Terminally ill individual.

You are considered terminally ill if you are certified by a physician as having an illness or physical condition which can reasonably be expected to result in death in 84 months or less after the date of the certification. See Notice 2024-02, 2024-02 I.R.B. 316, available at IRS.gov/irb/2024-02, for more information.

Separation from service.

Requirements apply for exceptions to the 10% additional tax for qualified public safety employees and private sector firefighters. You must have separated from service in or after the year in which you reach age 55 (or the

earlier of age 50 or with 25 years of service under the plan, whichever is earlier). In these cases wait until you reach the applicable age or years of service, separate from service, and then take a distribution.

Example.

George separated from service from his employer at age 49. In the year he reached age 55, he took a distribution from his retirement plan. Because he separated from service before he reached age 55, he didn't meet the requirements for the exception for a distribution made from a qualified retirement plan (other than an IRA) after separating from service in or after reaching age 55.

Qualified public safety employees.

If you are a qualified public safety employee, distributions that are made from a governmental retirement plan may not be subject to the 10% additional tax on early distributions.

You are a qualified public safety employee if you provided police protection, firefighting services, or emergency medical services for a state or municipality.

For tax years beginning after 2015, the definition of "qualified public safety employees"is expanded to include:

- Federal law enforcement officers,
- Federal customs and border protection officers,
- Federal firefighters,
- Air traffic controllers,
- Nuclear materials couriers,
- Members of the United States Capitol Police,
- Members of the Supreme Court Police, and
- Diplomatic security special agents of the United States Department of State.

Certain distributions to qualified public safety employees.

The exception to the 10% additional tax for early distributions applies to distributions made to qualified public safety employees and firefighters covered by private sector retirement plans after separation from service on or after they reach age 50 or with 25 years of service under the plan, whichever is earlier. The exception also includes distributions from an IRA, and to those employees who meet the age or years of service requirement, as described earlier, who provide services as a corrections officer or as a forensic security employee providing for the care, custody, and control of forensic patients.

Qualified reservist distributions.

A qualified reservist distribution isn't subject to the 10% additional tax on early distributions. A qualified reservist distribution is a distribution (a) from an IRA or from elective deferrals under a section 401(k) or 403(b) plan, or a similar arrangement; (b) to an individual ordered or called to active duty (because they are a member of a reserve component) for a period of more than 179 days or for an indefinite period; and (c) made during the period beginning on the date of the order or call and ending at the close of the active duty period. You must be ordered or called to active duty after September 11, 2001.

Tip:

You can choose to recontribute part or all of the distributions to an IRA. These additional contributions must be made within 2 years after your active duty period ends. Any amount recontributed must be reported on Form 8606 as a nondeductible contribution. You can't take a deduction for these contributions. However, the normal dollar limitations for contributions to IRAs don't apply to these special contributions, and you can make regular contributions to your IRA, up to the amount otherwise allowable.

Qualified birth or adoption distributions.

A qualified birth or adoption distribution isn't subject to the 10% additional tax on early distributions. An individual can receive up to $5,000 from an applicable eligible retirement plan for a distribution made during the 1-year period beginning on the date on which a child of the individual is born or the date on which the legal adoption by the individual of an eligible adoptee is finalized. For more information on qualified birth or adoption distributions, see Notice 2020-68, which is on page 567 of Internal Revenue Bulletin 2020-38 at IRS.gov/pub/irs-irb20-38.pdf.

Repayment of qualified birth or adoption distributions limited to 3 years.

If you received a qualified birth or adoption distribution after December 29, 2022, you may repay the distribution by making one or more contributions to a qualified plan during the 3-year period beginning on the day after the date on which the distribution was received.

For distributions received on or before December 29, 2022, you may repay the distribution during the period that begins after the distribution was received and ending on the date before 2026. Any contribution made to the eligible retirement plan as a repayment of a qualified birth or adoption distribution may be eligible for tax-free rollover treatment.

Distributions to victims of domestic abuse.

If you are a victim of domestic abuse, a distribution you receive while under age 59½ is not subject to the 10% additional tax if it meets certain requirements. This must be a distribution from an eligible retirement plan during the 1-year period beginning on any date on which the individual is a victim of domestic abuse by a spouse or domestic partner. See Notice 2024-55, available at IRS.gov/irb/2024-28_IRB#NOT-2024-55, for more information.

An eligible distribution to a domestic abuse victim must not exceed the lesser of $10,000 or 50% of the present value of the nonforfeitable accrued benefit of the employee under the plan.

Distributions for emergency personal expenses.

An emergency personal expense distribution is a distribution from an applicable eligible retirement plan for the purposes of meeting the unforeseeable or immediate financial needs relating to necessary personal or family emergency expenses. See Notice 2024-55 for more information.

Substantially equal periodic payments.

The IRS has provided three general methods of computing the annual distribution amounts for meeting the requirements for a series of substantially equal periodic payments.

The three methods are generally referred to as the “required minimum distribution method (RMD method)”, the “fixed amortization method”, and the “fixed annuitization method”.

General descriptions of these methods are as follows.

1. **RMD method.** Under this method, the resulting annual payment is redetermined for each year.

2. **Fixed amortization method.** Under this method, the resulting annual payment is determined once for the first distribution year and remains the same amount for each succeeding year.

3. **Fixed annuitization method.** Under this method, the resulting annual payment is determined once for the first distribution year and remains the same amount for each succeeding year.

The latter two methods may require professional assistance. For information on these methods, see Notice 2022-6 at IRS.gov/irb/2022-05_IRB#NOT-2022-06.

Note:

For a series of substantially equal periodic payments starting in 2022, you may apply the guidance either in Notice 2022-6, or in Revenue Ruling 2002-62 which is on page 710 of Internal Revenue Bulletin 2002-42 at IRS.gov/pub/irs-irbs/irb02-42.pdf.

Tip:

A change from method (2) or (3) to method (1) isn't treated as a modification to which the recapture tax (discussed next) applies.

Tip:

Distributions received as periodic payments on or after December 29, 2022, will not fail to be treated as substantially equal merely because they are received as an annuity.

Recapture tax for changes in distribution method under equal payment exception.

An early distribution recapture tax may apply if, before you reach age 59½, the distribution method under the equal periodic payment exception changes (for reasons other than your death or disability). The tax applies if the method changes from the method requiring equal payments to a method that wouldn't have qualified for the exception to the tax. The recapture tax applies to the first tax year to which the change applies. The amount of tax is the amount that would have been imposed had the exception not applied, plus interest for the deferral period.

The recapture tax also applies after you reach age 59½ if your payments under a distribution method that qualifies for the exception are modified within 5 years of the date of the first payment. In that case, the tax applies only to payments distributed before you reach age 59½.

Report the recapture tax and interest on line 4 of Form 5329. Attach an explanation to the form. Don't enter the explanation next to the line or enter any amount for the recapture on line 1 or 3 of the form.

Higher education expenses.

Even if you are under age 59½, if you received a distribution from an IRA and you paid expenses for higher education during the year, part (or all) of any distribution may not be subject to the 10% additional tax (this only applies to a distribution from an IRA). The part not subject to the tax is generally the amount that isn't more than the qualified higher education expenses (defined next) for the year for education furnished at an eligible educational institution (defined below). The education must be for you, your spouse, or the children or grandchildren of you or your spouse.

When determining the amount of the distribution that isn't subject to the 10% additional tax, include qualified higher education expenses paid with any of the following funds.

- Payment for services, such as wages.

- A loan.
- An inheritance given to either the student or the individual making the withdrawal.
- A withdrawal from personal savings (including savings from a qualified tuition program).

Don't include expenses paid with any of the following funds.

- Tax-free distributions from a Coverdell education savings account.
- Tax-free part of scholarships and fellowships.
- Pell grants.
- Employer-provided educational assistance.
- Veterans' educational assistance.
- Any other tax-free payment (other than a gift or inheritance) received as educational assistance.

Qualified higher education expenses.

Qualified higher education expenses are tuition, fees, books, supplies, and equipment required for the enrollment or attendance of a student at an eligible educational institution. They also include expenses for special needs services incurred by or for special needs students in connection with their enrollment or attendance. In addition, if the individual is at least a half-time student, room and board are qualified higher education expenses.

Eligible educational institution.

This is any college, university, vocational school, or other postsecondary educational institution eligible to participate in the student aid programs administered by the U.S. Department of Education. It includes virtually all accredited, public, nonprofit, and proprietary (privately owned profit-making) post-secondary institutions. The educational institution should be able to tell you if it is an eligible educational institution.

First home.

Even if you are under age 59½, you don't have to pay the 10% additional tax on up to $10,000 of distributions you receive from an IRA to buy, build, or rebuild a first home (this exception only applies to distributions from an IRA). To qualify for treatment as a first-time homebuyer distribution, the distribution must meet all the following requirements.

1. It must be used to pay qualified acquisition costs before the close of the 120th day after the day you received it.
2. It must be used to pay qualified acquisition costs for the main home of a first-time homebuyer who is any of the following.
    a. Yourself.
    b. Your spouse.
    c. Your or your spouse's child.
    d. Your or your spouse's grandchild.
    e. Your or your spouse's parent or other ancestor.

3. When added to all your prior qualified first-time homebuyer distributions, if any, total qualifying distributions can't be more than $10,000.

Tip:

If both you and your spouse are first-time homebuyers (defined later), each of you can receive distributions up to $10,000 for a first home without having to pay the 10% additional tax.

Qualified acquisition costs.

Qualified acquisition costs include the following items.

- Costs of buying, building, or rebuilding a home.
- Any usual or reasonable settlement, financing, or other closing costs.

First-time homebuyer.

Generally, you are a first-time homebuyer if you had no present interest in a main home during the 2-year period ending on the date of acquisition of the home which the distribution is being used to buy, build, or rebuild. If you are married, your spouse must also meet this no-ownership requirement.

Date of acquisition.

The date of acquisition is the date that:

- You enter into a binding contract to buy the main home for which the distribution is being used, or
- The building or rebuilding of the main home for which the distribution is being used begins.

Tip:

If you received a distribution to buy, build, or rebuild a first home and the purchase or construction was canceled or delayed, you could generally contribute the amount of the distribution to an IRA within 120 days of the distribution and not pay income tax or the 10% additional tax on early distributions. This contribution is treated as a rollover contribution to the IRA.

Reporting the tax.

To report the tax on early distributions, file Form 5329. See the form instructions for additional information about this tax.

Tax on Excess Benefits

If you are or have been a 5% owner of the business maintaining the plan, amounts you receive at any age that are more than the benefits provided for you under the plan formula are subject to an additional tax. This tax also applies to amounts received by your successor. The tax is 10% of the excess benefit includible in income.

To determine whether or not you are a 5% owner, see section 416.

Reporting the tax.

Include on Schedule 2 (Form 1040), Part II, line 17j, any tax you owe for an excess benefit.

Lump-sum distribution.

The amount subject to the additional tax isn't eligible for the optional methods of figuring income tax on a lump-sum distribution. The optional methods are discussed under *Lump-Sum Distributions* in Pub. 575.

Excise Tax on Reversion of Plan Assets

A 20% or 50% excise tax is generally imposed on the cash and fair market value of other property an employer receives directly or indirectly from a qualified plan. If you owe this tax, report it in Schedule I of Form 5330. See the form instructions for more information.

Notification of Significant Benefit Accrual Reduction

An employer or the plan will have to pay an excise tax if both of the following occur.

- A defined benefit plan or money purchase pension plan is amended to provide for a significant reduction in the rate of future benefit accrual.
- The plan administrator fails to notify the affected individuals and the employee organizations representing them of the reduction in writing.

A plan amendment that eliminates or reduces any early retirement benefit or retirement-type subsidy reduces the rate of future benefit accrual.

The notice must be written in a manner calculated to be understood by the average plan participant and must provide enough information to allow each individual to understand the effect of the plan amendment. It must be provided within a reasonable time before the amendment takes effect.

The tax is $100 per participant or alternate payee for each day the notice is late. The total tax can't be more than $500,000 during the tax year. It is imposed on the employer or, in the case of a multiemployer plan, on the plan.

Prohibited Transactions

Prohibited transactions are transactions between the plan and a disqualified person that are prohibited by law. (However, see *Exemption*, later.) If you are a disqualified person who takes part in a prohibited transaction, you must pay a tax (discussed later).

Prohibited transactions generally include the following transactions.

1. A transfer of plan income or assets to, or use of them by or for the benefit of, a disqualified person.
2. Any act of a fiduciary by which they deal with plan income or assets in the fiduciary's own interest.
3. The receipt of consideration by a fiduciary for their own account from any party dealing with the plan in a transaction that involves plan income or assets.
4. Any of the following acts between the plan and a disqualified person.
    a. Selling, exchanging, or leasing property.
    b. Lending money or extending credit.
    c. Furnishing goods, services, or facilities.

Exemption.

Certain transactions are exempt from being treated as prohibited transactions. For example, a prohibited transaction doesn't take place if you are a disqualified person and receive any benefit to which you are entitled as a plan participant or beneficiary. However, the benefit must be figured and paid under the same terms as for all other participants and beneficiaries. For other transactions that are exempt, see section 4975 and the related regulations.

Disqualified person.

You are a disqualified person if you are any of the following.

1. A fiduciary of the plan.
2. A person providing services to the plan.
3. An employer, any of whose employees are covered by the plan.
4. An employee organization, any of whose members are covered by the plan.
5. Any direct or indirect owner of 50% or more of any of the following.
    a. The combined voting power of all classes of stock entitled to vote, or the total value of shares of all classes of stock of a corporation that is an employer or employee organization described in (3) or (4).
    b. The capital interest or profits interest of a partnership that is an employer or employee organization described in (3) or (4).
    c. The beneficial interest of a trust or unincorporated enterprise that is an employer or an employee organization described in (3) or (4).
6. A member of the family of any individual described in (1), (2), (3), or (5). (A member of a family is the spouse, ancestor, or lineal descendant, or any spouse of a lineal descendant.)
7. A corporation, partnership, trust, or estate of which (or in which) any direct or indirect owner described in (1) through (5) holds 50% or more of any of the following.
    a. The combined voting power of all classes of stock entitled to vote or the total value of shares of all classes of stock of a corporation.
    b. The capital interest or profits interest of a partnership.
    c. The beneficial interest of a trust or estate.
8. An officer, a director (or an individual having powers or responsibilities similar to those of officers or directors), a 10%-or-more shareholder, or a highly compensated employee (earning 10% or more of the yearly wages of an employer) of a person described in (3), (4), (5), or (7).
9. A 10%-or-more (in capital or profits) partner or joint venturer of a person described in (3), (4), (5), or (7).
10. Any disqualified person, as described in (1) through (9) above, who is a disqualified person with respect to any plan to which a section 501(c)(22) trust is permitted to make payments under section 4223 of ERISA.

Tax on Prohibited Transactions

The initial tax on a prohibited transaction is 15% of the amount involved for each year (or part of a year) in the tax period. If the transaction isn't corrected within the tax period, an additional tax of 100% of the amount

involved is imposed. For information on correcting the transaction, see *Correcting a prohibited transaction*, later.

Both taxes are payable by any disqualified person who participated in the transaction (other than a fiduciary acting only as such). If more than one person takes part in the transaction, each person can be jointly and severally liable for the entire tax.

Amount involved.

The amount involved in a prohibited transaction is the greater of the following amounts.

- The money and fair market value of any property given.
- The money and fair market value of any property received.

If services are performed, the amount involved is any excess compensation given or received.

Tax period.

The tax period starts on the transaction date and ends on the earliest of the following days.

- The day the IRS mails a notice of deficiency for the tax.
- The day the IRS assesses the tax.
- The day the correction of the transaction is completed.

Payment of the 15% tax.

Pay the 15% tax with Form 5330.

Correcting a prohibited transaction.

If you are a disqualified person who participated in a prohibited transaction, you can avoid the 100% tax by correcting the transaction as soon as possible. Correcting the transaction means undoing it as much as you can without putting the plan in a worse financial position than if you had acted under the highest fiduciary standards.

Correction period.

If the prohibited transaction isn't corrected during the tax period, you usually have an additional 90 days after the day the IRS mails a notice of deficiency for the 100% tax to correct the transaction. This correction period (the tax period plus the 90 days) can be extended if either of the following occurs.

- The IRS grants reasonable time needed to correct the transaction.
- You petition the Tax Court.

If you correct the transaction within this period, the IRS will abate, credit, or refund the 100% tax.

Reporting Requirements

You may have to file an annual return/report by the last day of the seventh month after the plan year ends. See the following list of forms to choose the right form for your plan.

Form 5500-SF.

Form 5500-SF is a simplified annual reporting form. You can use Form 5500-SF if the plan meets all the following conditions.

- The plan is a small plan (generally, fewer than 100 participants at the beginning of the plan year).
- The plan meets the conditions for being exempt from the requirements that the plan's books and records be audited by an independent qualified public accountant.
- The plan has 100% of its assets invested in certain secure investments with a readily determinable fair value.
- The plan holds no employer securities.
- The plan isn't a multiemployer plan.

If your plan is required to file an annual return/report but isn't eligible to file Form 5500-SF, the plan must file Form 5500 or 5500-EZ, as appropriate. For more details, see the Instructions for Form 5500-SF.

Form 5500-EZ.

You may be able to use Form 5500-EZ if the plan is a one-participant plan, as defined below.

One-participant plan.

Your plan is a one-participant plan if either of the following is true.

- The plan covers only you (or you and your spouse) and you (or you and your spouse) own the entire business (whether incorporated or unincorporated).
- The plan covers only one or more partners (or partner(s) and spouse(s)) in a business partnership.

Caution:

A one-participant plan may not file an annual return on Form 5500. Every one-participant plan required to file an annual return must file either Form 5500-EZ or 5500-SF. See the Instructions for Form 5500-EZ.

Form 5500-EZ not required.

If your one-participant plan (or plans) had total assets of $250,000 or less at the end of the plan year, then you don't have to file Form 5500-EZ for that plan year. All plans should file a Form 5500-EZ for the final plan year to show that all plan assets have been distributed.

Example.

You are a sole proprietor and your plan meets all the conditions for filing Form 5500-EZ. The total plan assets are more than $250,000. You must file Form 5500-EZ or 5500-SF.

Caution:

All one-participant plans should file Form 5500-EZ for their final plan year. The final plan year is the year in which distribution of all plan assets is completed.

Form 5500.

If you don't meet the requirements for filing Form 5500-EZ or 5500-SF and a return/report is required, you must file Form 5500.

Electronic filing of Forms 5500 and 5500-SF.

All Forms 5500 and 5500-SF are required to be filed electronically with the Department of Labor through EFAST2. One-participant plans have the option of filing Form 5500-SF electronically rather than filing a Form 5500-EZ on paper with the IRS. For more information, see the instructions for Forms 5500 and 5500-SF, available at EFAST.dol.gov.

Form 5310.

If you terminate your plan and are the plan sponsor or plan administrator, you can file Form 5310. Your application must be accompanied by the appropriate user fee and Form 8717.

Form 8955-SSA.

Form 8955-SSA is used to report participants who are no longer covered by the plan but have a deferred vested benefit under the plan.

Form 8955-SSA is filed with the IRS and can be filed electronically through the FIRE (Filing Information Returns Electronically) system.

More information.

For more information about reporting requirements, see the forms and their instructions.

5. Table and Worksheets for the Self-Employed

As discussed in chapters 2 and 4, if you are self-employed, you must use the rate table or rate worksheet and deduction worksheet to figure your deduction for contributions you made for yourself to a SEP IRA or qualified plan.

First, use either the rate table or rate worksheet to find your reduced contribution rate. Then, complete the deduction worksheet to figure your deduction for contributions.

Caution:

The table and the worksheets in chapter 5 apply only to self-employed individuals who have only one defined contribution plan, such as a profit-sharing plan. A SEP plan is treated as a profit-sharing plan. However, don't use this worksheet for SARSEPs.

Rate Table for Self-Employed.

If your plan's contribution rate is a whole percentage (for example, 12% rather than 12½%), you can use the Rate Table for Self-Employed on the next page to find your reduced contribution rate. Otherwise, use the Rate Worksheet for Self-Employed provided below.

First, find your plan contribution rate (the contribution rate stated in your plan) in Column A of the table. Then, read across to the rate under Column A. Enter the rate from step 4 of the Deduction Worksheet for Self-Employed on this page.

Example.

You are a sole proprietor with no employees. If your plan's contribution rate is 10% of a participant's compensation, your rate is 0.090909. Enter this rate on step 4 of the Deduction Worksheet for Self-Employed.

Deduction Worksheet for Self-Employed

Step 1

Enter your net profit from Schedule C (Form 1040), line 31; Schedule F (Form 1040), line 34;* or Schedule K-1 (Form 1065),* box 14, code A.** For information on other income included in net profit from self-employment, see the Instructions for Schedule SE (Form 1040) _____

* Reduce this amount by any amount reported on Schedule SE (Form 1040), line 1b.

** General partners should reduce this amount by the same additional expenses subtracted from box 14, code A, to determine the amount on line 1a or line 2 of Schedule SE (Form 1040).

Step 2

Enter your deduction for self-employment tax from Schedule 1 (Form 1040), line 15 _____

Step 3

Net earnings from self-employment. Subtract step 2 from step 1 _____

Step 4

Enter your rate from the Rate Table for Self-Employed **or** Rate Worksheet for Self-Employed _____

Step 5

Multiply step 3 by step 4 _____

Step 6

Multiply $350,000 by your plan contribution rate (not the reduced rate) _____

Step 7

Enter the **smaller** of step 5 or step 6 _____

Step 8

Contribution dollar limit $70,000

- **If you made any elective deferrals to your self-employed plan, go to step 9.**
- **Otherwise, skip steps 9 through 20 and enter the smaller of step 7 or step 8 on step 21.**

Step 9

Enter your allowable elective deferrals (including designated Roth contributions) made to your self-employed plan for the 2025 plan year. Don't enter more than $23,500 _____

Step 10

Subtract step 9 from step 8 _____

Step 11

Subtract step 9 from step 3 _____

Step 12

Enter one-half of step 11 _____

Step 13

Enter the **smallest** of step 7, step 10, or step 12 _____

Step 14

Subtract step 13 from step 3 _____

Step 15

Enter the **smaller** of step 9 or step 14 _____

- **If you made catch-up contributions, go to step 16.**
- **Otherwise, skip steps 16 through 18 and go to step 19.**

Step 16

Subtract step 15 from step 14 _____

Step 17

Enter your catch-up contributions (including designated Roth contributions), if any. _____

Step 18

Enter the **smaller** of step 16 or step 17 _____

Step 19 Add steps 13, 15, and 18	_____
Step 20 Enter the amount of designated Roth contributions included on steps 9 and 17	_____
Step 21 Subtract step 20 from step 19. This is your **maximum deductible contribution**	_____

Next: Enter your actual contribution, not to exceed your maximum deductible contribution, on Schedule 1 (Form 1040), line 16.

Rate Worksheet for Self-Employed.

If your plan's contribution rate isn't a whole percentage (for example, 10½%), you can't use the Rate Table for Self-Employed. Use the following worksheet instead.

Rate Worksheet for Self-Employed

1) Plan contribution rate as a decimal (for example, 10½% = 0.105)	_____
2) Rate in line 1 plus 1 (for example, 0.105 + 1 = 1.105)	_____
3) Self-employed rate as a decimal rounded to at least 3 decimal places (line 1 ÷ line 2) (for example, 0.105 ÷ 1.105 = 0.095)	

Figuring your deduction.

Now that you have your self-employed rate from either the rate table or rate worksheet, you can figure your maximum deduction for contributions for yourself by completing the Deduction Worksheet for Self-Employed.

Community property laws.

If you reside in a community property state and you are married and filing a separate return, disregard community property laws for step 1 of the Deduction Worksheet for Self-Employed. Enter on step 1 the total net profit you actually earned.

Rate Table for Self-Employed

Column A If the plan contri- bution rate is: (shown as %)	**Column B** Your rate is: (shown as decimal)
1	0.009901
2	0.019608
3	0.029126
4	0.038462
5	0.047619
6	0.056604
7	0.065421
8	0.074074
9	0.082569
10	0.090909
11	0.099099
12	0.107143

13	0.115044
14	0.122807
15	0.130435
16	0.137931
17	0.145299
18	0.152542
19	0.159664
20	0.166667
21	0.173554
22	0.180328
23	0.186992
24	0.193548
25*	0.200000*

* The deduction for annual employer contributions (other than elective deferrals) to a SEP plan, a profit-sharing plan, or a money purchase pension plan can't be more than 20% of your net earnings (figured without deducting contributions for yourself) from the business that has the plan.

Example.

You are a sole proprietor with no employees. The terms of your plan provide that you contribute 8½% (0.085) of your compensation to your plan. Your net profit from Schedule C (Form 1040), line 31, is $200,000. You have no elective deferrals or catch-up contributions. Your self-employment tax deduction on line 15 of Schedule 1 (Form 1040) is $13,596. See the filled-in portions of both Schedule SE (Form 1040) and Schedule 1 (Form 1040), later.

You figure your self-employed rate and maximum deduction for employer contributions you made for yourself as follows.

Deduction Worksheet for Self-Employed

Step 1	
Enter your net profit from Schedule C (Form 1040), line 31; Schedule F (Form 1040), line 34;* or Schedule K-1 (Form 1065),* box 14, code A.** For information on other income included in net profit from self-employment, see the Instructions for Schedule SE (Form 1040)	$200,000
* Reduce this amount by any amount reported on Schedule SE (Form 1040), line 1b.	
** General partners should reduce this amount by the same additional expenses subtracted from box 14, code A, to determine the amount on line 1a or line 2 of Schedule SE (Form 1040).	
Step 2	
Enter your deduction for self-employment tax from Schedule 1 (Form 1040), line 15	13,596
Step 3	
Net earnings from self-employment. Subtract step 2 from step 1	186,404
Step 4	
Enter your rate from the Rate Table for Self-Employed **or** Rate Worksheet for Self-Employed	0.078
Step 5	
Multiply step 3 by step 4	14,540
Step 6	
Multiply $350,000 by your plan contribution rate (not the reduced rate)	29,750
Step 7	

Enter the **smaller** of step 5 or step 6	14,540
Step 8	
Contribution dollar limit	$70,000
• **If you made any elective deferrals to your self-employed plan, go to step 9.**	
• **Otherwise, skip steps 9 through 20 and enter the smaller of step 7 or step 8 on step 21.**	
Step 9	
Enter your allowable elective deferrals (including designated Roth contributions) made to your self-employed plan for the 2025 plan year. Don't enter more than $23,500	N/A
Step 10	
Subtract step 9 from step 8	_____
Step 11	
Subtract step 9 from step 3	_____
Step 12	
Enter one-half of step 11	_____
Step 13	
Enter the **smallest** of step 7, step 10, or step 12	_____
Step 14	
Subtract step 13 from step 3	_____
Step 15	
Enter the **smaller** of step 9 or step 14	_____
• **If you made catch-up contributions, go to step 16.**	
• **Otherwise, skip steps 16 through 18 and go to step 19.**	
Step 16	
Subtract step 15 from step 14	_____
Step 17	
Enter your catch-up contributions (including designated Roth contributions), if any.	_____
Step 18	
Enter the **smaller** of step 16 or step 17	_____
Step 19	
Add steps 13, 15, and 18	_____
Step 20	
Enter the amount of designated Roth contributions included on steps 9 and 17	_____
Step 21	
Subtract step 20 from step 19. This is your **maximum deductible contribution**	$14,540
Next: Enter your actual contribution, not to exceed your maximum deductible contribution, on Schedule 1 (Form 1040), line 16.	

See the filled-in Deduction Worksheet for Self-Employed, later.

Rate Worksheet for Self-Employed

1) Plan contribution rate as a decimal (for example, 10½% = 0.105)	0.085
2) Rate in line 1 plus 1 (for example, 0.105 + 1 = 1.105)	1.085
3) Self-employed rate as a decimal rounded to at least 3 decimal places (line 1 ÷ line 2) (for example, 0.105 ÷ 1.105 = 0.095)	0.078

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Portion of Form 1040 and Portion of Schedule SE

Portions of Schedule SE (Form 1040) and Schedule 1 (Form 1040)

Portions of Schedule SE (Form 1040) and Schedule 1 (Form 1040)

Summary: These are portions of Schedule S.E. (Form 1040) and Form 1040 (2004) as pertains to the description in the text. The completed line items are:

Under Portion of Schedule S.E. (Form 1040)"Section A--Short Schedule S.E. Caution. Read above to see if you can use Short Schedule SE.":

"2. Net profit or (loss) from Schedule C, line 31; Schedule C-EZ, line 3; Schedule K-1 (Form 1065), box 14, code A (other than farming); and Schedule K-1, (Form 1065-B), box 9. Ministers and members of religious orders, see page S.E.-1 for amounts to report on this line. See page S.E.-3 for other income to report" field contains 200,000

"3. Combine lines 1a, 1b, and 2" field contains 200,000

"4. Net earnings from self-employment. Multiply line 3 by 92.35% (.9235). If less than $400, don't file this schedule; you don't owe self-employment tax" field contains 184,700

"5. Self-employment tax. If the amount on line 4 is: $102,000 or less, multiply line 4 by 15.3% (.153). Enter the result here and on Form 1040, line 57; More than $102,000, multiply line 4 by 2.9% (.029). Then, add $12,648.00 to the result. Enter the total here and on Form 1040, line 57" field contains 18,004

"6. Deduction for one-half of self-employment tax. Multiply line 5 by 50% (.5). Enter the result here and on Form 1040, line 27" field contains 9,002

Under Portion of Form 1040"Adjusted Gross Income":

"27. One-half of self-employment tax. Attach Schedule S.E." field contains 9,002

"28. Self-employed, S.E.P., S.I.M.P.L.E., and qualified plans" field contains 14,898

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Portion of Form 1040 and Portion of Schedule SE

Portions of Schedule SE (Form 1040) and Schedule 1 (Form 1040)

Portions of Schedule SE (Form 1040) and Schedule 1 (Form 1040)

Summary: These are portions of Schedule S.E. (Form 1040) and Form 1040 (2004) as pertains to the description in the text. The completed line items are:

Under Portion of Schedule S.E. (Form 1040)"Section A--Short Schedule S.E. Caution. Read above to see if you can use Short Schedule SE.":

"2. Net profit or (loss) from Schedule C, line 31; Schedule C-EZ, line 3; Schedule K-1 (Form 1065), box 14, code A (other than farming); and Schedule K-1, (Form 1065-B), box 9. Ministers and members of religious orders, see page S.E.-1 for amounts to report on this line. See page S.E.-3 for other income to report" field contains 200,000

"3. Combine lines 1a, 1b, and 2" field contains 200,000

"4. Net earnings from self-employment. Multiply line 3 by 92.35% (.9235). If less than $400, don't file this schedule; you don't owe self-employment tax" field contains 184,700

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"28. Self-employed, S.E.P., S.I.M.P.L.E., and qualified plans" field contains 14,898

Please click here for the text description of the image.

6. How To Get Tax Help

If you have questions about a tax issue, need help preparing your tax return, or want to download free publications, forms, or instructions, go to IRS.gov to find resources that can help you right away.

Tax reform.

Tax reform legislation impacting federal taxes, credits, and deductions was enacted in P.L. 119-21, commonly known as the One Big Beautiful Bill Act, on July 4, 2025. Go to IRS.gov/OBBB for more information and updates on how this legislation affects your taxes.

Preparing and filing your tax return.

After receiving all your wage and earnings statements (Forms W-2, W-2G, 1099-R, 1099-MISC, 1099-NEC, etc.); unemployment compensation statements (by mail or in a digital format) or other government payment statements (Form 1099-G); and interest, dividend, and retirement statements from banks and investment firms (Forms 1099), you have several options to choose from to prepare and file your tax return. You can prepare the tax return yourself, see if you qualify for free tax preparation, or hire a tax professional to prepare your return.

Free options for tax preparation.

Your options for preparing and filing your return online or in your local community, if you qualify, include the following.

- **Free File.** This program lets you prepare and file your federal individual income tax return for free using software or Free File Fillable Forms. However, state tax preparation may not be available through Free File. Go to IRS.gov/FreeFile to see if you qualify for free online federal tax preparation, e-filing, and direct deposit or payment options.

- **VITA.** The Volunteer Income Tax Assistance (VITA) program offers free tax help to people with low-to-moderate incomes, persons with disabilities, and limited-English-speaking taxpayers who need help preparing their own tax returns. Go to IRS.gov/VITA, download the free IRS2Go app, or call 800-906-9887 for information on free tax return preparation.

- **TCE.** The Tax Counseling for the Elderly (TCE) program offers free tax help for all taxpayers, particularly those who are 60 years of age and older. TCE volunteers specialize in answering questions about pensions and retirement-related issues unique to seniors. Go to IRS.gov/TCE, download the free IRS2Go app, or call 888-227-7669 for information on free tax return preparation.

- **MilTax.** Members of the U.S. Armed Forces and qualified veterans may use MilTax, a free tax service offered by the Department of Defense through Military OneSource. For more information, go to MilitaryOneSource (MilitaryOneSource.mil/MilTax).

Also, the IRS offers Free Fillable Forms, which can be completed online and then e-filed regardless of income.

Using online tools to help prepare your return.

Go to IRS.gov/Tools for the following.

- The Earned Income Tax Credit Assistant (IRS.gov/EITCAssistant) determines if you're eligible for the earned income credit (EITC).
- The Online EIN Application (IRS.gov/EIN) helps you get an employer identification number (EIN) at no cost.
- The Tax Withholding Estimator (IRS.gov/W4App) makes it easier for you to estimate the federal income tax you want your employer to withhold from your paycheck. This is tax withholding. See how your withholding affects your refund, take-home pay, or tax due.
- The Sales Tax Deduction Calculator (IRS.gov/SalesTax) figures the amount you can claim if you itemize deductions on Schedule A (Form 1040).

Getting answers to your tax questions.

On IRS.gov, you can get up-to-date information on current events and changes in tax law.

- IRS.gov/Help: A variety of tools to help you get answers to some of the most common tax questions.
- IRS.gov/ITA: The Interactive Tax Assistant, a tool that will ask you questions and, based on your input, provide answers on a number of tax law topics.
- IRS.gov/Forms: Find forms, instructions, and publications. You will find details on the most recent tax changes and interactive links to help you find answers to your questions.
- You may also be able to access tax information in your e-filing software.

Need someone to prepare your tax return?

There are various types of tax return preparers, including enrolled agents, certified public accountants (CPAs), accountants, and many others who don't have professional credentials. If you choose to have someone prepare your tax return, choose that preparer wisely. A paid tax preparer is:

- Primarily responsible for the overall substantive accuracy of your return,
- Required to sign the return, and
- Required to include their preparer tax identification number (PTIN).

Caution:

Although the tax preparer always signs the return, you're ultimately responsible for providing all the information required for the preparer to accurately prepare your return and for the accuracy of every item reported on the return. Anyone paid to prepare tax returns for others should have a thorough understanding of tax matters. For more information on how to choose a tax preparer, go to Tips for Choosing a Tax Preparer on IRS.gov.

Employers can register to use Business Services Online.

The Social Security Administration (SSA) offers online service at SSA.gov/employer for fast, free, and secure W-2 filing options to CPAs, accountants, enrolled agents, and individuals who process Form W-2, Wage and Tax Statement; and Form W-2c, Corrected Wage and Tax Statement.

Business tax account.

If you are a sole proprietor, a partnership, an S corporation, a C corporation, or a single-member limited liability company (LLC), you can view your tax information on record with the IRS and do more with a business tax account. Go to IRS.gov/BusinessAccount for more information.

IRS social media.

Go to IRS.gov/SocialMedia to see the various social media tools the IRS uses to share the latest information on tax changes, scam alerts, initiatives, products, and services. At the IRS, privacy and security are our highest priority. We use these tools to share public information with you. **Don't** post your social security number (SSN) or other confidential information on social media sites. Always protect your identity when using any social networking site.

The following IRS YouTube channels provide short, informative videos on various tax-related topics in English and ASL.

- Youtube.com/irsvideos.
- Youtube.com/irsvideosASL.

Over-the-Phone Interpreter (OPI) Service.

The IRS serves taxpayers with limited-English proficiency (LEP) by offering OPI service. The OPI Service is available at Taxpayer Assistance Centers (TACs), most IRS offices, and every VITA/TCE tax return site. The OPI Service is accessible in more than 300 languages.

Accessibility Helpline available for taxpayers with disabilities.

Taxpayers who need information about accessibility services can call 833-690-0598. The Accessibility Helpline can answer questions related to current and future accessibility products and services available in alternative media formats (for example, braille-ready, large print, audio, etc.). The Accessibility Helpline does not have access to your IRS account. For help with tax law, refunds, or account-related issues, go to IRS.gov/LetUsHelp.

Alternative media preference.

Form 9000, Alternative Media Preference, or Form 9000(SP) allows you to elect to receive certain types of written correspondence in the following formats.

- Standard Print.
- Large Print.
- Braille.
- Audio (MP3).
- Plain Text File (TXT).
- Braille-Ready File (BRF).

Disasters.

Go to IRS.gov/DisasterRelief to review the available disaster tax relief.

Getting tax forms and publications.

Go to IRS.gov/Forms to view, download, or print all of the forms, instructions, and publications you may need. Or you can go to IRS.gov/OrderForms to place an order.

Mobile-friendly forms.

You'll need an IRS Online Account (OLA) to complete mobile-friendly forms that require signatures. You'll have the option to submit your form(s) online or download a copy for mailing. You'll need scans of your documents to support your submission. Go to IRS.gov/MobileFriendlyForms for more information.

Getting tax publications and instructions in eBook format.

Download and view most tax publications and instructions (including the Instructions for Form 1040) on mobile devices as eBooks at IRS.gov/eBooks.

IRS eBooks have been tested using Apple's iBooks for iPad. Our eBooks haven't been tested on other dedicated eBook readers, and eBook functionality may not operate as intended.

Access your online account (individual taxpayers only).

Go to IRS.gov/Account to securely access information about your federal tax account.

- View the amount you owe and a breakdown by tax year.
- See payment plan details or apply for a new payment plan.
- Make a payment or view 5 years of payment history and any pending or scheduled payments.
- Access your tax records, including key data from your most recent tax return, and transcripts.
- View digital copies of select notices from the IRS.
- Approve or reject authorization requests from tax professionals.

Get a transcript of your return.

With an online account, you can access a variety of information to help you during the filing season. You can get a transcript, review your most recently filed tax return, and get your adjusted gross income. Create or access your online account at IRS.gov/Account.

Tax Pro Account.

This tool lets your tax professional submit an authorization request to access your individual taxpayer IRS OLA. For more information, go to IRS.gov/TaxProAccount.

Using direct deposit.

The safest and easiest way to receive a tax refund is to *e-file* and choose direct deposit, which securely and electronically transfers your refund directly into your financial account. Direct deposit also avoids the possibility that your check could be lost, stolen, destroyed, or returned undeliverable to the IRS. Eight in 10 taxpayers use direct deposit to receive their refunds. If you don't have a bank account, go to IRS.gov/DirectDeposit for more information on where to find a bank or credit union that can open an account online.

Reporting and resolving your tax-related identity theft issues.

- Tax-related identity theft happens when someone steals your personal information to commit tax fraud. Your taxes can be affected if your SSN is used to file a fraudulent return or to claim a refund or credit.
- The IRS doesn't initiate contact with taxpayers by email, text messages (including shortened links), telephone calls, or social media channels to request or verify personal or financial information. This includes requests for personal identification numbers (PINs), passwords, or similar information for credit cards, banks, or other financial accounts.
- Go to IRS.gov/IdentityTheft, the IRS Identity Theft Central webpage, for information on identity theft and data security protection for taxpayers, tax professionals, and businesses. If your SSN has been lost or stolen or you suspect you're a victim of tax-related identity theft, you can learn what steps you should take.
- Get an Identity Protection PIN (IP PIN). IP PINs are six-digit numbers assigned to eligible taxpayers to help prevent the misuse of their SSNs on fraudulent federal income tax returns. When you have an IP PIN, it prevents someone else from filing a tax return with your SSN. To learn more, go to IRS.gov/IPPIN.

Ways to check on the status of your refund.

- Go to IRS.gov/Refunds.
- Download the official IRS2Go app to your mobile device to check your refund status.
- Call the automated refund hotline at 800-829-1954.

Caution:

The IRS can't issue refunds before mid-February for returns that claimed the EITC or the additional child tax credit (ACTC). This applies to the entire refund, not just the portion associated with these credits.

Making a tax payment.

The IRS recommends paying electronically whenever possible. Options to pay electronically are included in the list below. Payments of U.S. tax must be remitted to the IRS in U.S. dollars. Digital assets are **not** accepted. Go to IRS.gov/Payments for information on how to make a payment using any of the following options.

- IRS Direct Pay: Pay taxes from your bank account. It's free and secure, and no sign-in is required. You can change or cancel within 2 days of scheduled payment.
- Debit Card, Credit Card, or Digital Wallet: Choose an approved payment processor to pay online or by phone.
- Electronic Funds Withdrawal: Schedule a payment when filing your federal taxes using tax return preparation software or through a tax professional.
- Electronic Federal Tax Payment System: Best option for businesses. Enrollment is required.
- Check or Money Order: Mail your payment to the address listed on the notice or instructions.
- Cash: You may be able to pay your taxes with cash at a participating retail store.
- Same-Day Wire: You may be able to do same-day wire from your financial institution. Contact your financial institution for availability, cost, and time frames.

Note:

The IRS uses the latest encryption technology to ensure that the electronic payments you make online, by phone, or from a mobile device using the IRS2Go app are safe and secure. Paying electronically is quick and easy.

What if I can't pay now?

Go to IRS.gov/Payments for more information about your options.

- Apply for an online payment agreement (IRS.gov/OPA) to meet your tax obligation in monthly installments if you can't pay your taxes in full today. Once you complete the online process, you will receive immediate notification of whether your agreement has been approved.
- Use the Offer in Compromise Pre-Qualifier to see if you can settle your tax debt for less than the full amount you owe. For more information on the Offer in Compromise program, go to IRS.gov/OIC.

Filing an amended return.

Go to IRS.gov/1040X for information and updates.

Checking the status of your amended return.

Go to IRS.gov/WMAR to track the status of Form 1040-X amended returns.

Caution:

It can take up to 3 weeks from the date you filed your amended return for it to show up in our system, and processing it can take up to 16 weeks.

Understanding an IRS notice or letter you've received.

Go to IRS.gov/Notices to find additional information about responding to an IRS notice or letter.

IRS Document Upload Tool.

You may be able to use the Document Upload Tool to respond digitally to eligible IRS notices and letters by securely uploading required documents online through IRS.gov. For more information, go to IRS.gov/DUT.

Schedule LEP.

You can use Schedule LEP (Form 1040), Request for Change in Language Preference, to state a preference to receive notices, letters, or other written communications from the IRS in an alternative language. You may not immediately receive written communications in the requested language. The IRS's commitment to LEP taxpayers is part of a multi-year timeline that began providing translations in 2023. You will continue to receive communications, including notices and letters, in English until they are translated to your preferred language.

Contacting your local TAC office.

Keep in mind, many questions can be answered on IRS.gov without visiting an IRS TAC. Go to IRS.gov/LetUsHelp for the topics people ask about most. If you still need help, IRS TACs provide tax help when a tax issue can't be handled online or by phone. All TACs now provide service by appointment, so you'll know in advance that you can get the service you need without long wait times. Before you visit, go to IRS.gov/TAC to find the nearest TAC and to check hours, available services, and appointment options. Or, on the IRS2Go app, under the Stay Connected tab, choose the Contact Us option and click on "Local Offices."

Below is a message to you from the Taxpayer Advocate Service, an independent organization established by Congress.

The Taxpayer Advocate Service (TAS) Is Here To Help You

What is the Taxpayer Advocate Service?

The Taxpayer Advocate Service (TAS) is an independent organization within the Internal Revenue Service (IRS). TAS helps taxpayers resolve problems with the IRS, makes administrative and legislative recommendations to prevent or correct the problems, and protects taxpayer rights. We work to ensure that every taxpayer is treated fairly and that you know and understand your rights under the Taxpayer Bill of Rights. We are Your Voice at the IRS.

How can TAS help me?

TAS can help you resolve problems that you haven't been able to resolve with the IRS on your own. Always try to resolve your problem with the IRS first, but if you can't, then come to TAS. Our services are free.

- TAS helps all taxpayers (and their representatives), including individuals, businesses, and exempt organizations. You may be eligible for TAS help if your IRS problem is causing financial difficulty, if you've tried and been unable to resolve your issue with the IRS, or if you believe an IRS system, process, or procedure just isn't working as it should.
- To get help any time with general tax topics, visit www.TaxpayerAdvocate.IRS.gov. The site can help you with common tax issues and situations, such as what to do if you make a mistake on your return or if you get a notice from the IRS.
- TAS works to resolve large-scale (systemic) problems that affect many taxpayers. You can report systemic issues at www.IRS.gov/SAMS. (Be sure not to include any personal identifiable information.)

How do I contact TAS?

TAS has offices in every state, the District of Columbia, and Puerto Rico. To find your local advocate's number:

- Go to www.TaxpayerAdvocate.IRS.gov/Contact-Us,
- Check your local directory, or
- Call TAS toll free at 877-777-4778.

What are my Rights as a taxpayer?

The Taxpayer Bill of Rights describes ten basic rights that all taxpayers have when dealing with the IRS. Go to www.TaxpayerAdvocate.IRS.gov/Taxpayer-Rights for more information about the rights, what they mean to you, and how they apply to specific situations you may encounter with the IRS. TAS strives to protect taxpayer rights and ensure the IRS is administering the tax law in a fair and equitable way.

Publication 560 - Additional Material

Index

Symbols

		Roll To							
Roll From	**Traditional SIMPLE IRA**	Yes,[6] after 2 years[5]	Yes,[4] after 2 years[5]	Yes[4]	Yes[6]	Yes,[7] after 2 years[5]	Yes, after 2 years[5]	Yes, after 2 years[5]	No
	Roth SIMPLE IRA	Yes,[4] after 2 years[5]	No	No	Yes[4]	No	No	No	No
	Govern-mental 457(b) Plan (pre-tax)	Yes[6]	Yes	Yes,[10] after 2 years[5]	Yes,[6] after 2 years[5]	Yes	Yes	Yes	Yes[6 8]
	Qualified Plan[3] (pre-tax)	Yes[6]	Yes	Yes,[10] after 2 years[5]	Yes,[6] after 2 years[5]	Yes[7]	Yes	Yes	Yes[6 8]
	403(b) Plan (pre-tax)	Yes[6]	Yes	Yes,[10] after 2 years[5]	Yes,[6] after 2 years[5]	Yes[7]	Yes	Yes	Yes[6 8]
	Designated Roth Account (401(k), 403(b), or 457(b))	Yes	No	No	Yes, after 2 years[5]	No	No	No	Yes[9]

[1] Roth IRAs include Roth IRAs that receive employer contributions from a SEP arrangement.
[2] Traditional IRAs include traditional IRAs that receive employer contributions from a SEP arrangement.
[3] Qualified plans include, for example, profit-sharing, 401(k), money purchase, and defined benefit plans.
[4] Only one rollover in any 12-month period.
[5] After the 2-year period beginning on the date you first participated in a qualified salary reduction arrangement under your employer's SIMPLE IRA plan.
[6] Must include in income.
[7] Must have separate accounts.
[8] Must be an in-plan rollover.
[9] Any nontaxable amounts distributed must be rolled over by direct trustee-to-trustee transfer.
[10] Applies to rollover contributions after December 18, 2015. For more information regarding retirement plans and rollovers, go to Tax Information for Retirement Plans.

Treatment of rollovers.

You can't deduct a rollover contribution, but you must report the rollover distribution on your tax return as discussed later under *Reporting rollovers from IRAs* and *Reporting rollovers from employer plans*.

Rollover notice.

A written explanation of rollover treatment must be given to you by the plan (other than an IRA) making the distribution. See *Written explanation to recipients*, later, for more details.

Kinds of rollovers from a traditional IRA.

You may be able to roll over, tax free, a distribution from your traditional IRA into a qualified plan. These plans include the Federal Thrift Savings Plan (for federal employees), deferred compensation plans of state or local

governments (section 457 plans), and tax-sheltered annuity plans (section 403(b) plans). The part of the distribution that you can roll over is the part that would otherwise be taxable (includible in your income). Qualified plans may, but aren't required to, accept such rollovers.

Tax treatment of a rollover from a traditional IRA to an eligible retirement plan other than an IRA.

Ordinarily, when you have basis in your IRAs, any distribution is considered to include both nontaxable and taxable amounts. Without a special rule, the nontaxable portion of such a distribution couldn't be rolled over. However, a special rule treats a distribution you roll over into an eligible retirement plan as including only otherwise taxable amounts if the amount you either leave in your IRAs or don't roll over is at least equal to your basis. The effect of this special rule is to make the amount in your traditional IRAs that you can roll over to an eligible retirement plan as large as possible.

Eligible retirement plans.

The following are considered eligible retirement plans.

- IRAs.
- Qualified trusts.
- Qualified employee annuity plans under section 403(a).
- Deferred compensation plans of state and local governments (section 457 plans).
- Tax-sheltered annuities (section 403(b) annuities).

Time Limit for Making a Rollover Contribution

You must generally make the rollover contribution by the 60th day after the day you receive the distribution from your traditional IRA or your employer's plan.

Example.

You received an eligible rollover distribution from your traditional IRA on June 30, 2025, that you intend to roll over to your 403(b) plan. To postpone including the distribution in your income, you must complete the rollover by August 29, 2025, the 60th day following June 30.

The IRS may waive the 60-day requirement where the failure to do so would be against equity or good conscience, such as in the event of a casualty, a disaster, or another event beyond your reasonable control. For exceptions to the 60-day period, see *Ways to get a waiver of the 60-day rollover requirement*, later.

Plan loan offset.

A plan loan offset is the amount your employer plan account balance is reduced, or offset, to repay a loan from the plan. How long you have to complete the rollover of a plan loan offset depends on what kind of plan loan offset you have. For tax years beginning after December 31, 2017, if you have a qualified plan loan offset, you will have until the due date (including extensions) for your tax return for the tax year in which the offset occurs to complete your rollover. A qualified plan loan offset occurs when a plan loan in good standing is offset because your employer plan terminates, or because you sever from employment. If your plan loan offset occurs for any other reason, then you have 60 days from the date the offset occurs to complete your rollover.

Rollovers completed after the 60-day period.

In the absence of a waiver, amounts not rolled over within the 60-day period don't qualify for tax-free rollover treatment. You must treat them as a taxable distribution from either your IRA or your employer's plan. These amounts are taxable in the year distributed, even if the 60-day period expires in the next year. You may also have to pay a 10% additional tax on early distributions as discussed under *Early Distributions* in Pub. 590-B.

Unless there is a waiver or an extension of the 60-day rollover period, any contribution you make to your IRA more than 60 days after the distribution is a regular contribution, not a rollover contribution.

Example.

You received a distribution in late December 2025 from a traditional IRA that you don't roll over into another traditional IRA within the 60-day limit. You don't qualify for a waiver. This distribution is taxable in 2025 even though the 60-day limit wasn't up until 2026.

Ways to get a waiver of the 60-day rollover requirement.

There are three ways to obtain a waiver of the 60-day rollover requirement.

- You qualify for an automatic waiver.
- You self-certify that you met the requirements of a waiver.
- You request and receive a private letter ruling granting a waiver.

How do you qualify for an automatic waiver?

You qualify for an automatic waiver if all of the following apply.

- The financial institution receives the funds on your behalf before the end of the 60-day rollover period.
- You followed all of the procedures set by the financial institution for depositing the funds into an IRA or other eligible retirement plan within the 60-day rollover period (including giving instructions to deposit the funds into a plan or IRA).
- The funds aren't deposited into a plan or IRA within the 60-day rollover period solely because of an error on the part of the financial institution.
- The funds are deposited into a plan or IRA within 1 year from the beginning of the 60-day rollover period.
- It would have been a valid rollover if the financial institution had deposited the funds as instructed.

If you don't qualify for an automatic waiver, you can use the self-certification procedure to make a late rollover contribution or you can apply to the IRS for a waiver of the 60-day rollover requirement.

How do you self-certify that you qualify for a waiver?

Pursuant to Revenue Procedure 2020-46 in Internal Revenue Bulletin 2020-45, available at IRB 2020-45, you may make a written certification to a plan administrator or an IRA trustee that you missed the 60-day rollover contribution deadline because of one or more of the reasons listed in Revenue Procedure 2020-46. A plan administrator or an IRA trustee may rely on the certification in accepting and reporting receipt of the rollover contribution. You may make the certification by using the model letter in the appendix to the revenue procedure or by using a letter that is substantially similar. There is no IRS fee for self-certification. A copy of the certification should be kept in your files and be available if requested on audit.

Note:

A self-certification is not a waiver by the IRS of the 60-day rollover requirement. If the IRS subsequently audits your income tax return, it may determine that you do not qualify for a waiver, in which case you may owe additional taxes and penalties.

How do you apply for a waiver and what is the fee?

You can request a ruling according to the procedures outlined in Revenue Procedure 2003-16 and Revenue Procedure 2026-4. The appropriate user fee of $18,500 must accompany every request for a waiver of the 60-day rollover requirement (see the user fee chart in Appendix A of Revenue Procedure 2026-4).

How does the IRS determine whether to grant a waiver in a private letter ruling?

In determining whether to issue a favorable letter ruling granting a waiver, the IRS will consider all of the relevant facts and circumstances, including:

- Whether errors were made by the financial institution, that is, the plan administrator, or IRA trustee, issuer, or custodian;
- Whether you were unable to complete the rollover within the 60-day period due to death, disability, hospitalization, incarceration, serious illness, restrictions imposed by a foreign country, or postal error;
- Whether you used the amount distributed; and
- How much time has passed since the date of the distribution.

Note:

The IRS can waive only the 60-day rollover requirement and not the other requirements for a valid rollover contribution. For example, the IRS can't waive the IRA one-rollover-per-year rule.

For more information on waivers of the 60-day rollover requirement, go to RetirementPlans-FAQs.

Amount.

The rules regarding the amount that can be rolled over within the 60-day time period also apply to the amount that can be deposited due to a waiver. For example, if you received $6,000 from your IRA, the most that you can deposit into an eligible retirement plan due to a waiver is $6,000.

Extension of rollover period.

If an amount distributed to you from a traditional IRA or a qualified employer retirement plan is a frozen deposit at any time during the 60-day period allowed for a rollover, two special rules extend the rollover period.

- The period during which the amount is a frozen deposit isn't counted in the 60-day period.
- The 60-day period can't end earlier than 10 days after the deposit is no longer frozen.

Frozen deposit.

This is any deposit that can't be withdrawn from a financial institution because of either of the following reasons.

- The financial institution is bankrupt or insolvent.
- The state where the institution is located restricts withdrawals because one or more financial institutions in the state are (or are about to be) bankrupt or insolvent.

Rollover From One IRA Into Another

You can withdraw, tax free, all or part of the assets from one traditional IRA if you reinvest them within 60 days in the same or another traditional IRA. Because this is a rollover, you can't deduct the amount that you reinvest in an IRA.

.This is an Image: taxtip.gif*You may be able to treat a contribution made to one type of IRA as having been made to a different type of IRA. This is called recharacterizing the contribution. See* Recharacterizations *in this chapter for more information.* .

Waiting period between rollovers.

Generally, if you make a tax-free rollover of any part of a distribution from a traditional IRA, you can't, within a 1-year period, make a tax-free rollover of any later distribution from that same IRA. You also can't make a tax-free rollover of any amount distributed, within the same 1-year period, from the IRA into which you made the tax-free rollover.

The 1-year period begins on the date you receive the IRA distribution, not on the date you roll it over into an IRA. Rules apply to the number of rollovers you can have with your traditional IRAs. See *Application of one-rollover-per-year limitation*, later.

Example.

You have two traditional IRAs, IRA-1 and IRA-2. In 2025, you made a tax-free rollover of a distribution from IRA-1 into a new traditional IRA (IRA-3). You can't, within 1 year of the distribution from IRA-1, make a tax-free rollover of any distribution from either IRA-1 or IRA-3 into another traditional IRA.

For 2025, the rollover from IRA-1 into IRA-3 prevents you from making a tax-free rollover from IRA-2 into any other traditional IRA. This is because in 2025 you are only allowed to make one rollover within a 1-year period. So, when you make a rollover from IRA-1 to IRA-3, you can't make a rollover from IRA-2 to any other traditional IRA.

Exception.

An IRA distribution made from a failed financial institution by the Federal Deposit Insurance Corporation as receiver is not treated as a rollover for purposes of the one-rollover-per-year limitation, provided:

1. Neither the failed financial institution nor the depositor initiated the distribution, and
2. No financial institution has assumed the IRAs of the failed financial institution.

Application of one-rollover-per-year limitation.

You can make only one rollover from an IRA to another (or the same) IRA in any 1-year period regardless of the number of IRAs you own. The limit will apply by aggregating all of an individual's IRAs (whether traditional, Roth, or SIMPLE), effectively treating them as one IRA for purposes of the limit. However, trustee-to-trustee transfers between IRAs aren't limited and rollovers from traditional IRAs to Roth IRAs (conversions) aren't limited.

Example.

You have three traditional IRAs: IRA-1, IRA-2, and IRA-3. You didn't take any distributions from your IRAs in 2025. On January 1, 2026, you took a distribution from IRA-1 and rolled it over into IRA-2 on the same day. For 2026, you can't roll over any other 2026 IRA distribution, including a rollover distribution involving IRA-3. This wouldn't apply to a conversion.

The same property must be rolled over.

If property is distributed to you from an IRA and you complete the rollover by contributing property to an IRA, your rollover is tax free only if the property you contribute is the same property that was distributed to you.

Partial rollovers.

If you withdraw assets from a traditional IRA, you can roll over part of the withdrawal tax free and keep the rest of it. The amount you keep will generally be taxable (except for the part that is a return of nondeductible contributions). The amount you keep may be subject to the 10% additional tax on early distributions discussed later under *What Acts Result in Penalties or Additional Taxes*.

Required distributions.

Amounts that must be distributed during a particular year under the required distribution rules (discussed in Pub. 590-B) aren't eligible for rollover treatment.

Inherited IRAs.

If you inherit a traditional IRA from your spouse, you can generally roll it over, or you can choose to make the inherited IRA your own as discussed earlier under *What if You Inherit an IRA*.

Reporting rollovers from IRAs.

Report any rollover from one traditional IRA to the same or another traditional IRA on Form 1040, 1040-SR, or 1040-NR, lines 4a and 4b.

Enter the total amount of the distribution on Form 1040, 1040-SR, or 1040-NR, line 4a. If the total amount on Form 1040, 1040-SR, or 1040-NR, line 4a, was rolled over, enter zero on Form 1040, 1040-SR, or 1040-NR, line 4b. If the total distribution wasn't rolled over, enter the taxable portion of the part that wasn't rolled over on Form 1040, 1040-SR, or 1040-NR, line 4b. Check the box on line 4c for rollovers. See your tax return instructions.

If you rolled over the distribution into a qualified plan (other than an IRA) or you make the rollover in 2026, attach a statement explaining what you did.

For information on how to figure the taxable portion, see *Are Distributions Taxable?* in Pub. 590-B.

Rollover From Employer's Plan Into an IRA

You can roll over into a traditional IRA all or part of an eligible rollover distribution you receive from your (or your deceased spouse's):

- Employer's qualified pension, profit-sharing, or stock bonus plan;
- Annuity plan;
- Tax-sheltered annuity plan (section 403(b) plan); or
- Governmental deferred compensation plan (section 457 plan).

A qualified plan is one that meets the requirements of the Internal Revenue Code.

Eligible rollover distribution.

For use in preparing *2025* Returns

Publication 590-B - Introductory Material

Future Developments

For the latest information about developments related to Pub. 590-B, such as legislation enacted after it was published, go to IRS.gov/Pub590B.

Reminders

Excise tax relief for certain 2024 required minimum distributions (RMDs). The IRS will not assert an excise tax in 2024 for missed required minimum distributions if certain requirements are met. See Notice 2024-35, available at IRS.gov/irb/2024-19_IRB#NOT-2024-35, for details.

Income on corrective distributions of excess contributions. The income on the corrective distribution of excess contributions made on or after December 29, 2022, is no longer subject to the 10% additional tax on early distributions. See Pub. 590-A for more information.

Modification of required distribution rules for designated beneficiaries. There are new required minimum distribution rules for certain beneficiaries who are designated beneficiaries when the IRA owner dies in a tax year beginning after December 31, 2019. All distributions must be made by the end of the 10th year after death, except for distributions made to certain eligible designated beneficiaries. See *10-year rule*, later, for more information.

Simplified employee pension (SEP) and SIMPLE plans. SEP and SIMPLE IRAs aren't covered in this publication. They are covered in Pub. 560, Retirement Plans for Small Business.

Deemed IRAs. A qualified employer plan (retirement plan) can maintain a separate account or annuity under the plan (a deemed IRA) to receive voluntary employee contributions. If the separate account or annuity otherwise meets the requirements of an IRA, it will be subject only to IRA rules. An employee's account can be treated as a traditional IRA or a Roth IRA.For this purpose, a "qualified employer plan" includes:

- A qualified pension, profit-sharing, or stock bonus plan (section 401(a) plan);
- A qualified employee annuity plan (section 403(a) plan);
- A tax-sheltered annuity plan (section 403(b) plan); and
- A deferred compensation plan (section 457 plan) maintained by a state, a political subdivision of a state, or an agency or instrumentality of a state or political subdivision of a state.

Statement of required minimum distribution (RMD). If an RMD is required from your IRA, the trustee, custodian, or issuer that held the IRA at the end of the preceding year must either report the amount of the RMD to you, or offer to calculate it for you. The report or offer must include the date by which the amount must be distributed. The report is due January 31 of the year in which the minimum distribution is required. It can be provided with the year-end fair market value statement that you normally get each year. No report is required for section 403(b) contracts (generally tax-sheltered annuities) or for IRAs of owners who have died.

IRA interest. Although interest earned from your IRA is generally not taxed in the year earned, it isn't tax-exempt interest. Tax on your traditional IRA is generally deferred until you take a distribution. Don't report this

interest on your return as tax-exempt interest. For more information on tax-exempt interest, see the instructions for your tax return.

Net Investment Income Tax (NIIT). For purposes of the NIIT, net investment income doesn't include distributions from 401(a), 403(a), 403(b), or 457(b) plans, or IRAs. However, these distributions are taken into account when determining the modified adjusted gross income threshold. Distributions from retirement plans other than 401(a), 403(a), 403(b), or 457(b) plans, or IRAs, are included in net investment income.See Form 8960, Net Investment Income Tax—Individuals, Estates, and Trusts, and its instructions for more information.

Photographs of missing children. The IRS is a proud partner with the National Center for Missing & Exploited Children® (NCMEC). Photographs of missing children selected by the Center may appear in this publication on pages that would otherwise be blank. You can help bring these children home by looking at the photographs and calling 1-800-THE-LOST (1-800-843-5678) if you recognize a child.

Introduction

This publication discusses distributions from individual retirement arrangements (IRAs). An IRA is a personal savings plan that gives you tax advantages for setting aside money for retirement. For information about contributions to an IRA, see Pub. 590-A.

What are some tax advantages of an IRA?

Two tax advantages of an IRA are that:

- Contributions you make to an IRA may be fully or partially deductible, depending on which type of IRA you have and on your circumstances; and
- Generally, amounts in your IRA (including earnings and gains) aren't taxed until distributed. In some cases, amounts aren't taxed at all if distributed according to the rules.

What's in this publication?

This publication discusses traditional and Roth IRAs. It explains the rules for:

- Handling an inherited IRA, and
- Receiving distributions (making withdrawals) from an IRA.

It also explains the penalties and additional taxes that apply when the rules aren't followed. To assist you in complying with the tax rules for IRAs, this publication contains worksheets, sample forms, and tables, which can be found throughout the publication and in the appendices at the end of the publication.

How to use this publication.

The rules that you must follow depend on which type of IRA you have. Use Table I-1 to help you determine which parts of this publication to read. Also use Table I-1 if you were referred to this publication from instructions to a form.

Comments and suggestions.

We welcome your comments about this publication and suggestions for future editions.

You can send us comments through IRS.gov/FormComments. Or, you can write to the Internal Revenue Service, Tax Forms and Publications, 1111 Constitution Ave. NW, IR-6526, Washington, DC 20224.

Although we can't respond individually to each comment received, we do appreciate your feedback and will consider your comments and suggestions as we revise our tax forms, instructions, and publications. **Don't** send tax questions, tax returns, or payments to the above address.

Getting answers to your tax questions.

If you have a tax question not answered by this publication or the *How To Get Tax Help* section at the end of this publication, go to the IRS Interactive Tax Assistant page at IRS.gov/Help/ITA where you can find topics by using the search feature or viewing the categories listed.

Getting tax forms, instructions, and publications.

Go to IRS.gov/Forms to download current and prior-year forms, instructions, and publications.

Ordering tax forms, instructions, and publications.

Go to IRS.gov/OrderForms to order current forms, instructions, and publications; call 800-829-3676 to order prior-year forms and instructions. The IRS will process your order for forms and publications as soon as possible. **Don't** resubmit requests you've already sent us. You can get forms and publications faster online.

Useful Items

You may want to see:

Publications

- 590-A Contributions to Individual Retirement Arrangements (IRAs)
- 560 Retirement Plans for Small Business (SEP, SIMPLE, and Qualified Plans)
- 571 Tax-Sheltered Annuity Plans (403(b) Plans)
- 575 Pension and Annuity Income
- 939 General Rule for Pensions and Annuities

Forms (and Instructions)

- W-4P Withholding Certificate for Periodic Pension or Annuity Payments
- W-4R Withholding Certificate for Nonperiodic Payments and Eligible Rollover Distributions
- 1099-R Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc.
- 5304-SIMPLE Savings Incentive Match Plan for Employees of Small Employers (SIMPLE)—Not for Use With a Designated Financial Institution
- 5305-S SIMPLE Individual Retirement Trust Account
- 5305-SA SIMPLE Individual Retirement Custodial Account
- 5305-SIMPLE Savings Incentive Match Plan for Employees of Small Employers (SIMPLE)—for Use With a Designated Financial Institution
- 5329 Additional Taxes on Qualified Plans (Including IRAs) and Other Tax-Favored Accounts

- 5498 IRA Contribution Information
- 8606 Nondeductible IRAs
- 8815 Exclusion of Interest From Series EE and I U.S. Savings Bonds Issued After 1989
- 8839 Qualified Adoption Expenses
- 8880 Credit for Qualified Retirement Savings Contributions
- 8915-F Qualified Disaster Retirement Plan Distributions and Repayments

See *How To Get Tax Help*, later, for information about getting these publications and forms.

Table I-1. Using This Publication

IF you need information on...	THEN see...
traditional IRAs (not including traditional SIMPLE IRAs)	chapter 1.
Roth IRAs (not including Roth SIMPLE IRAs)	chapter 2, and parts of chapter 1.
disaster-related relief	chapter 3.
SEP IRAs, SIMPLE IRAs, and 401(k) plans	Pub. 560.
Coverdell education savings accounts (formerly called education IRAs)	Pub. 970.

Table I-2. **How Are a Traditional IRA and a Roth IRA Different?**

This table shows the differences between traditional and Roth IRAs. Answers in the middle column apply to traditional IRAs. Answers in the right column apply to Roth IRAs.

Question	Answer	
	Traditional IRA?	**Roth IRA?**
Do I have to start taking distributions when I reach a certain age from a	Yes. You must begin receiving required minimum distributions by April 1 of the year following the year you reach age 73. See *When Must You Withdraw Assets? (Required Minimum Distributions)* in chapter 1.	No. If you are the original owner of a Roth IRA, you don't have to take distributions regardless of your age. See *Are Distributions Taxable?* in chapter 2. However, if you are the beneficiary of a Roth IRA, you may have to take distributions. See *Distributions After Owner's Death* in chapter 2.
How are distributions taxed from a	Distributions from a traditional IRA are taxed as ordinary income, but if you made nondeductible contributions, not all of the distribution is taxable. See *Are Distributions Taxable?* in chapter 1.	Distributions from a Roth IRA aren't taxed as long as you meet certain criteria. See *Are Distributions Taxable?* in chapter 2.
Do I have to file a form just because I receive distributions from a	Not unless you have ever made a nondeductible contribution to a traditional IRA or repaid, in whole or part, emergency personal expense distributions, qualified birth or adoption distributions, a domestic abuse victim distribution, or a terminally ill individual distribution. If you have, file Form 8606. See *Nondeductible Contributions* in Pub. 590-A.	Yes. File Form 8606 if you received distributions from a Roth IRA (other than a rollover, qualified charitable distribution, one-time distribution to fund an HSA, recharacterization, certain qualified distributions, or a return of certain contributions) or repaid, in whole or part, emergency personal expense distributions, qualified birth or adoption distributions, a domestic abuse victim distribution, or a terminally ill individual distribution.

1. Traditional IRAs

Reminders

Types of IRAs. An IRA can be either a traditional IRA or a Roth IRA. In general, individuals may make their own contributions to their traditional IRAs or Roth IRAs. In addition, certain employers have arrangements under which the employer may contribute to IRAs of their employees. Under a SEP arrangement, an employer contributes to traditional IRAs (sometimes referred to as traditional SEP IRAs) or Roth IRAs (sometimes referred to as Roth SEP IRAs) of its employees. Individuals may separately make their own contributions to the same IRAs to which their employer contributes under a SEP arrangement.Under a SIMPLE IRA plan, an employer contributes salary reduction contributions (at the election of the employee), matching contributions and/or nonelective contributions to traditional IRAs (sometimes referred to as traditional SIMPLE IRAs) or Roth IRAs (sometimes referred to as Roth SIMPLE IRAs) of its employees. However, a SIMPLE IRA (whether a traditional SIMPLE IRA or a Roth SIMPLE IRA) is subject to certain restrictions that do not generally apply to other traditional IRAs or Roth IRAs. For example, an individual cannot make their own contributions to a SIMPLE IRA. In addition, there are various restrictions related to distributions and contributions during the initial two years of participation in the SIMPLE IRA plan.References in this publication to traditional IRAs generally include traditional SEP IRAs but do not include traditional SIMPLE IRAs, unless otherwise stated. Likewise, references to Roth IRAs generally include Roth SEP IRAs but do not include Roth SIMPLE IRAs, unless otherwise stated.

Introduction

This chapter discusses distributions from a traditional IRA. In this publication, the original IRA (sometimes called an ordinary or regular IRA) is referred to as a “traditional IRA.” For purposes of this publication, a traditional IRA is any IRA that isn’t a Roth IRA or a SIMPLE IRA. Traditional IRAs include traditional IRAs that receive employer contributions from SEP arrangements. The following are two advantages of a traditional IRA.

- You may be able to deduct some or all of your contributions to it, depending on your circumstances.
- Generally, amounts in your IRA, including earnings and gains, aren’t taxed until they are distributed.

Roth IRAs are discussed in chapter 2. SIMPLE IRAs are discussed in Pub. 560.

Roth IRAs are discussed in chapter 2. SIMPLE IRAs are discussed in Pub. 560.

What if You Inherit an IRA?

If you inherit a traditional IRA, you are called a beneficiary. A beneficiary can be any person or entity the owner chooses to receive the benefits of the IRA after the owner dies. Beneficiaries of a traditional IRA must include in their gross income any taxable distributions they receive.

Tip:

IRAs inherited from decedents who died in 2019 or earlier are subject to different rules. See Retirement Topics - Beneficiary, for more information.

Inherited from spouse.

If you inherit a traditional IRA from your spouse, you generally have the following two choices.

1. Treat it as your own IRA by designating yourself as the account owner; or
2. Treat it as your own by rolling it over into your IRA, or to the extent it is taxable, into a:

a. Qualified employer plan,

b. Qualified employee annuity plan (section 403(a) plan),

c. Tax-sheltered annuity plan (section 403(b) plan),

d. Deferred compensation plan of a state or local government (section 457 plan), or

3. Treat yourself as the beneficiary rather than treating the IRA as your own.

Treating it as your own.

You will be considered to have chosen to treat the IRA as your own if:

- Contributions (including rollover contributions) are made to the inherited IRA, or
- You don't take the required minimum distribution for a year as a beneficiary of the IRA.

You will only be considered to have chosen to treat the IRA as your own if:

- You are the sole beneficiary of the IRA, and
- You have an unlimited right to withdraw amounts from it.

However, if you receive a distribution from your deceased spouse's IRA, you can roll that distribution over into your own IRA within the 60-day time limit, as long as the distribution isn't a required distribution, even if you aren't the sole beneficiary of your deceased spouse's IRA.

Inherited from someone other than spouse.

If you inherit a traditional IRA from anyone other than your deceased spouse, you can't treat the inherited IRA as your own. This means that you can't make any contributions to the IRA. It also means you can't roll over any amounts into or out of the inherited IRA. However, you can make a trustee-to-trustee transfer as long as the IRA into which amounts are being moved is set up and maintained in the name of the deceased IRA owner for the benefit of you as beneficiary.

Like the original owner, you generally won't owe tax on the assets in the IRA until you receive distributions from it. You must begin receiving distributions from the IRA under the rules for distributions that apply to beneficiaries.

IRA with basis.

If you inherit a traditional IRA from a person who had basis in the IRA because of nondeductible contributions, that basis remains with the IRA. Unless you are the decedent's spouse and choose to treat the IRA as your own, you can't combine this basis with any basis you have in your own traditional IRA(s) or any basis in traditional IRA(s) you inherited from other decedents. If you take distributions from both an inherited IRA and your IRA, and each has basis, you must complete separate Forms 8606 to determine the taxable and nontaxable portions of those distributions.

Federal estate tax deduction.

A beneficiary may be able to claim a deduction for estate tax resulting from certain distributions from a traditional IRA. The beneficiary can deduct the estate tax paid on any part of a distribution that is income with respect to a decedent. The beneficiary can take the deduction for the tax year the income is reported. For information on claiming this deduction, see *Estate Tax Deduction* under *Other Tax Information* in Pub. 559.

Any taxable part of a distribution that isn't income with respect to a decedent is a payment the beneficiary must include in income. However, the beneficiary can't take any deduction for estate tax.

A surviving spouse can roll over the distribution to another traditional IRA and avoid including it in income for the year received.

More information.

For more information about rollovers, required distributions, and inherited IRAs, see:

- *Rollovers* under *Can You Move Retirement Plan Assets?* in chapter 1 of Pub. 590-A;
- *When Must You Withdraw Assets? (Required Minimum Distributions)*, later; and
- The discussion of *IRA Beneficiaries*, later, under *When Must You Withdraw Assets? (Required Minimum Distributions).*

When Can You Withdraw or Use Assets?

You can withdraw or use your traditional IRA assets at any time. However, a 10% additional tax generally applies if you withdraw or use IRA assets before you reach age 59½. This is explained under *Age 59 1/2 Rule* under *Early Distributions*, later.

You can generally make a tax-free withdrawal of contributions if you do it before the due date for filing your tax return for the year in which you made them and the 10% additional tax will not apply. See *Contributions Returned Before Due Date of Return* in Pub. 590-A for more information.

If you were affected by a qualified disaster, see chapter 3.

When Must You Withdraw Assets? (Required Minimum Distributions)

You can't keep funds in a traditional IRA (including SEP and SIMPLE IRAs) indefinitely. Eventually, they must be distributed. If there are no distributions, or if the distributions aren't large enough, you may have to pay an excise tax on the amount not distributed as required. See *Excess Accumulations (Insufficient Distributions)*, later, under *What Acts Result in Penalties or Additional Taxes*. The requirements for distributing IRA funds differ, depending on whether you are the IRA owner or the beneficiary of a decedent's IRA.

Required minimum distribution (RMD).

The amount that must be distributed each year is referred to as the required minimum distribution.

Note:

A qualified charitable distribution will count towards your required minimum distribution. See *Qualified charitable distributions (QCDs)* under *Are Distributions Taxable,* later.

Distributions not eligible for rollover.

Amounts that must be distributed (required minimum distributions) during a particular year aren't eligible for rollover treatment.

IRA Owners

Required beginning date.

If you are the owner of a traditional IRA, you must generally start receiving distributions from your IRA by April 1 of the year following the year in which you reach your applicable required beginning date.

Your required beginning date.

See the following to determine your applicable required beginning date.

Age 73 for tax years 2023 and later.

If you reach age 72 after December 31, 2022, you must begin receiving required minimum distributions by April 1 of the year following the year you reach the age 73.

Age 72 for tax years 2020, 2021, or 2022.

If you reached age 70½ after December 31, 2019, but had not reached age 72 before January 1, 2023, you had to begin receiving required minimum distributions by April 1 of the year following the year you reach age 72.

Age 70½ for tax years 2019 or earlier.

If you reached age 70½ before January 1, 2020, you were required to begin receiving required minimum distributions by April 1 of the year following the year you reach age 70½.

Distributions by the required beginning date.

You must receive at least a minimum amount for each year starting with the year before the year that contains your required beginning date.

If an IRA owner dies after reaching age 73, but before the IRA owner's required beginning date, no minimum distribution is required for that year because death occurred before the required beginning date.

Caution:

Even if you begin receiving distributions before you reach age 73, you must begin calculating and receiving RMDs by your required beginning date.

More than minimum received.

If, in any year, you receive more than the required minimum distribution for that year, you won't receive credit for the additional amount when determining the required minimum distributions for future years. This means that if you receive more than your required minimum distribution in 1 year, you can't treat the excess (the amount that is more than the required minimum distribution) as part of your required minimum distribution for any later year. However, any amount distributed in the year you become age 73 will be credited toward the amount that must be distributed by April 1 of the following year.

Distributions after the required beginning date.

The required minimum distribution for any year after the year you reach age 73 must be made by December 31 of that later year.

Distributions from individual retirement accounts.

If you are the owner of a traditional IRA that is an individual retirement account, you or your trustee must figure the required minimum distribution for each year. See *Figuring the Owner's Required Minimum Distribution*, later.

Distributions from individual retirement annuities.

If your traditional IRA is an individual retirement annuity, special rules apply to figuring the required minimum distribution. For more information on rules for annuities, see Treasury Regulations section 1.401(a)(9)-6. These regulations can be read in many libraries, and IRS offices, and online at IRS.gov.

Change in marital status.

For purposes of figuring your required minimum distribution, your marital status is determined as of January 1 of each year. If your spouse is a beneficiary of your IRA on January 1, they will remain a beneficiary for the entire year even if you get divorced or your spouse dies during the year.

For purposes of determining your applicable denominator (the number used to figure your required minimum distribution amount), a change in beneficiary is effective in the year following the year of death or divorce.

Change of beneficiary.

If your spouse is the sole beneficiary of your IRA, and they die before you, your spouse won't fail to be your sole beneficiary for the year they died solely because someone other than your spouse is named a beneficiary for the rest of that year. However, if you get divorced during the year and change the beneficiary designation on the IRA during that same year, your former spouse won't be treated as the sole beneficiary for that year.

Figuring the Owner's Required Minimum Distribution

Figure your required minimum distribution for each year by dividing the IRA account balance (defined next) as of the close of business on December 31 of the preceding year by the applicable denominator or life expectancy. Tables showing applicable denominators and life expectancies are found in Appendix B and are discussed later.

See *Which Table Do You Use To Determine Your Required Minimum Distribution* later for more information

IRA account balance.

The IRA account balance is the amount in the IRA at the end of the year preceding the year for which the required minimum distribution is being figured.

Contributions.

Contributions increase the account balance in the year they are made. If a contribution for last year isn't made until after December 31 of last year, it increases the account balance for this year, but not for last year. Disregard contributions made after December 31 of last year in determining your required minimum distribution for this year.

Outstanding rollovers.

The IRA account balance is adjusted by outstanding rollovers that aren't in any account at the end of the preceding year.

For a rollover from a qualified plan or another IRA that wasn't in any account at the end of the preceding year, increase the account balance of the receiving IRA by the rollover amount valued as of the date of receipt.

No recharacterizations of conversions made in 2018 or later.

A conversion of a traditional IRA to a Roth IRA, and a rollover from any other eligible retirement plan to a Roth IRA, made in tax years beginning after December 31, 2017, cannot be recharacterized as having been made to a traditional IRA.

Distributions.

Distributions reduce the account balance in the year they are made. A distribution for last year made after December 31 of last year reduces the account balance for this year, but not for last year. Disregard distributions made after December 31 of last year in determining your required minimum distribution for this year.

Applicable denominator.

This is the number by which you divide your account balance as of December 31 of last year in order to figure your required minimum distribution.

Life expectancy.

You are required to make distributions over your lifetime or a period that represents the combined life expectancies of you and your designated beneficiary, if applicable. You are able to meet this requirement when you use your applicable denominator for each year you make your required minimum distribution. You will be able to locate your applicable denominator in one of the three tables located in Appendix B. The life expectancy tables are as follows.

- Table I (Single Life Expectancy).
- Table II (Joint and Last Survivor Life Expectancy).
- Table III (Uniform Lifetime).

If you must use Table I or Table III, your applicable denominator for 2026 is listed in the table next to your age as of your birthday in 2026. If you use Table II, your applicable denominator for 2026 is listed where the row or column containing your age as of your birthday in 2026 intersects with the row or column containing your spouse's age as of their birthday in 2026.

Distributions during your lifetime.

Required minimum distributions during your lifetime are figured using the current year's applicable denominator that is generally determined using Table III in Appendix B. However, if the sole beneficiary of your IRA is your spouse who is more than 10 years younger than you, see *Sole beneficiary spouse who is more than 10 years younger* below.

To figure the required minimum distribution for 2026, divide your account balance at the end of 2025 by the applicable denominator from the table. This is the applicable denominator listed next to your age (as of your birthday in 2026) in Table III in Appendix B, unless the sole beneficiary of your IRA is your spouse who is more than 10 years younger than you.

Example.

You own a traditional IRA. Your account balance at the end of 2025 was $100,000. You are married and your spouse, who is the sole beneficiary of your IRA, is 6 years younger than you. You turn 75 years old in 2026. You use Table III. Your applicable denominator is 24.6. Your required minimum distribution for 2026 would be $4,065 ($100,000 ÷ 24.6).

Sole beneficiary spouse who is more than 10 years younger.

If the sole beneficiary of your IRA is your spouse and your spouse is more than 10 years younger than you, use the applicable denominator from Table II in Appendix B.

The applicable denominator to use is located where the row or column containing your age as of your birthday in 2026 intersects with the row or column containing your spouse's age as of their birthday in 2026.

You figure your required minimum distribution for 2026 by dividing your account balance at the end of 2025 by the applicable denominator from Table II in Appendix B.

Example.

You own a traditional IRA. Your account balance at the end of 2025 was $100,000. You are married and your spouse, who is the sole beneficiary of your IRA, is 11 years younger than you. You turn 75 in 2026 and your spouse turns 64. You use Table II. Your applicable denominator is 25.3. Your required minimum distribution for 2026 would be $3,953 ($100,000 ÷ 25.3).

Special rules where portion of account balance is used to purchase an annuity.

If you purchase an annuity contract with a portion of your IRA account balance, then special rules may apply in determining your RMD from the remaining account balance. Specifically, you may elect to satisfy the RMD requirement for the year by combining the value of the annuity contract with the remaining account balance and reducing the RMD by the amount of the annuity payments.

Example.

You own a traditional IRA. In 2025, you purchase an annuity contract with a portion of your account balance. As of December 31, 2025, your remaining account balance is $100,000, and the value of the annuity contract is $200,000. Your annuity payments in 2025 total $8,000.

To use the rule described in the paragraph above, your RMD due from the remaining account balance for 2026 would be the excess of the RMD based on the total of the remaining account balance added to the value of the annuity contract ($300,000), over the $8,000 annuity payments.

Distributions in the year of the owner's death.

The required minimum distribution for the year of the owner's death depends on whether the owner died before the required beginning date, defined earlier.

If the owner died before the required beginning date, there is no required minimum distribution in the year of the owner's death. For years after the year of the owner's death, see *Owner Died Before Required Beginning Date*, later, under *IRA Beneficiaries.*

If the owner died on or after the required beginning date, the IRA beneficiaries are responsible for figuring and distributing the owner's required minimum distribution in the year of death. The owner's required minimum distribution for the year of death is generally based on Table III in Appendix B. However, if the sole beneficiary of the IRA is the owner's spouse who is more than 10 years younger than the owner, use the life expectancy from Table II.

Note:

You figure the required minimum distribution for the year in which an IRA owner dies as if the owner lived for the entire year.

IRA Beneficiaries

The rules for determining required minimum distributions for beneficiaries depend on whether:

- The beneficiary is the surviving spouse.
- The beneficiary is an eligible designated beneficiary (defined later) other than the surviving spouse.

- The beneficiary is an individual (other than an eligible designated beneficiary).
- The beneficiary isn't an individual (for example, the beneficiary is the owner's estate). (But see *Trust as beneficiary*, later, for a discussion about treating trust beneficiaries as designated beneficiaries.)
- The IRA owner died before the required beginning date, or died on or after the required beginning date.

The following paragraphs explain the rules for required minimum distributions and beneficiaries.

Caution:

If you are a beneficiary of an inherited traditional IRA and you do not take the required minimum distribution for the year, discussed in this chapter under *When Must You Withdraw Assets? (Required Minimum Distributions)*, you may have to pay an excise tax for that year on the amount not distributed as required. For details, see *Excess Accumulations (Insufficient Distributions)* under *What Acts Result in Penalties or Additional Taxes*, later in this chapter.

Surviving spouse.

If you are the surviving spouse who is the sole beneficiary of your deceased spouse's IRA, you may elect to be treated as the owner and not as the beneficiary. If you elect to be treated as the owner, you determine the required minimum distribution (if any) as if you were the owner beginning with the year you elect or are deemed to be the owner. For details, see *Inherited from spouse* under *What if You Inherit an IRA*, earlier in this chapter.

Note:

If you become the owner in the year your deceased spouse died, don't determine the required minimum distribution for that year using your life expectancy; rather, you must take the deceased owner's required minimum distribution for that year (to the extent it wasn't already distributed to the owner before their death).

Caution:

You can never make a rollover contribution of a required minimum distribution. Any rollover contribution of a required minimum distribution is subject to the 6% tax on excess contributions. See chapter 1 of Pub. 590-A for more information on the tax on excess contributions.

Tip:

For any year after the owner’s death, where a surviving spouse is the sole designated beneficiary of the account and they fail to take a required minimum distribution (if one is required) by December 31 under the rules discussed below for beneficiaries, the surviving spouse will be deemed the owner of the IRA. For details, see *Inherited from spouse* under *What if You Inherit an IRA*, earlier in this chapter.

Date the designated beneficiary is determined.

Generally, the designated beneficiary is determined on September 30 of the calendar year following the calendar year of the IRA owner's death. In order to be a designated beneficiary, an individual must be a beneficiary as of the date of death. Any person who was a beneficiary on the date of the owner's death, but isn't a beneficiary on September 30 of the calendar year following the calendar year of the owner's death (because, for example, the beneficiary disclaimed entitlement or received their entire benefit), won't be taken into account in determining the designated beneficiary.

Note:

If an individual who is a beneficiary as of the owner's date of death dies before September 30 of the year following the year of the owner's death without disclaiming entitlement to benefits, that individual, rather than their successor beneficiary, continues to be treated as a beneficiary for determining the applicable denominator.

For the exception to this rule, see *Death of surviving spouse prior to date distributions begin*, later.

More than one beneficiary.

If an IRA has more than one beneficiary or a trust is named as beneficiary, see *Miscellaneous Rules for Required Minimum Distributions*, later.

Eligible designated beneficiaries.

An IRA beneficiary is an eligible designated beneficiary if the beneficiary is the owner's surviving spouse, the owner's minor child, a disabled individual, a chronically ill individual, or any other individual who is not more than 10 years younger than the IRA owner.

Death of a beneficiary.

In general, the beneficiaries of a deceased beneficiary must continue to take the required minimum distributions after the deceased beneficiary's death. However, the beneficiaries of a deceased beneficiary don't calculate required minimum distributions using their own life expectancies. Instead, the deceased beneficiary's remaining interest must be distributed within 10 years after the beneficiary's death, or in some cases within 10 years after the owner's death. See *10-year rule*, later.

Owner Died on or After Required Beginning Date

If the owner died on or after their required beginning date (defined earlier) and you are a designated beneficiary, base your required minimum distributions for years after the year of the owner's death on the longer of:

- Your single life expectancy shown in Table I in Appendix B; or
- The owner's life expectancy.

If there is no designated beneficiary, use the owner's life expectancy.

Owner's life expectancy.

You use the owner's life expectancy to calculate required minimum distributions when the owner dies on or after the required beginning date and there is no designated beneficiary as of September 30 of the year following the year of the owner's death.

In this case, use the owner's life expectancy for their age as of the owner's birthday in the year of death and reduce it by 1 for each subsequent year. If the beneficiary is older than the deceased IRA owner, use the owner's life expectancy in the year of death (reduced by 1 for each subsequent year).

Surviving spouse is sole designated beneficiary.

If you are the owner's surviving spouse, then the applicable denominator continues to be determined each subsequent year using Table I . However, if you elect to treat the inherited IRA as your own, you will use Table III.

Designated beneficiary who is not an eligible designated beneficiary.

Distributions to a designated beneficiary who is not an eligible designated beneficiary must be completed within 10 years of the death of the owner. See *10-year rule*, later.

Owner Died Before Required Beginning Date

If the owner died before their required beginning date (defined earlier) and you are an eligible designated beneficiary (such as and including a surviving spouse who is a sole survivor), you must generally figure your required minimum distributions for the year after the year of the owner's death using your single life expectancy shown in Table I.

However, if you are the surviving spouse, use Table III if you elect to treat the IRA as your own. See *Inherited from spouse* under *What if You Inherit an IRA*, earlier, for more information.

For each subsequent calendar year, if you are not the surviving spouse, the applicable denominator is reduced by one for each calendar year that has elapsed after the calendar year following the employee's death. If you are the owner's surviving spouse, then the applicable denominator continues to be determined each subsequent year, using either Table I or Table III.

However, there are situations where a beneficiary may be required to take the entire account balance by the end of the 10th year following the year of the owner's death. See *10-year rule*, later.

If the owner’s beneficiary isn’t an individual (for example, if the beneficiary is the owner’s estate), the 5-year rule, discussed later, applies.

Special rules for surviving spouse.

If the owner died before their required beginning date and the surviving spouse is the sole designated beneficiary, that spouse can elect to be treated as the IRA owner.

Year of first required distribution.

If the owner died before the year in which they were required to begin receiving required minimum distributions and the surviving spouse is the IRA owner’s sole beneficiary, the spouse isn’t required to begin receiving minimum distributions until the end of the year in which the IRA owner would have reached their required beginning date. See *Your required beginning date* for more information.

Death of surviving spouse prior to date distributions begin.

If the surviving spouse dies before December 31 of the year they must begin receiving required minimum distributions, the surviving spouse will be treated as if they were the owner of the IRA.

This rule doesn't apply to the surviving spouse of a surviving spouse.

Example 1.

Your spouse died in 2022, at age 65. You are the sole designated beneficiary of your spouse’s traditional IRA. You don't need to take any required minimum distributions until December 31 of 2030, the year your spouse would have reached age 73. If you die prior to that date, you will be treated as the owner of the IRA for purposes of determining the required distributions to your beneficiaries. For example, if you die in 2025, your beneficiaries won't have any required minimum distributions for 2025 (because you, treated as the owner, died prior to your required beginning date). Your beneficiaries must start taking distributions under the general rules for an owner who died prior to the required beginning date.

Example 2.

The facts are the same as in *Example 1*, except your sole beneficiary upon your death in 2025 is your surviving spouse. Your surviving spouse can't wait until the year you would have turned age 73 to take distributions using their life expectancy. Also, if your surviving spouse dies prior to the date they are required to take a distribution, they aren’t treated as the owner of the account. Just like any other individual beneficiary of an owner who dies

before the required beginning date, your surviving spouse must start taking distributions in 2026 based on their life expectancy (or elect to fully distribute the account under the 10-year rule by the end of 2035).

5-year rule.

The 5-year rule requires the IRA beneficiaries who are not taking life expectancy payments to withdraw the entire balance of the IRA by December 31 of the year containing the fifth anniversary of the owner's death. For example, if the owner died in 2025, the beneficiary would have to fully distribute the IRA by December 31, 2030.

The 5-year rule applies to beneficiaries who are not designated beneficiaries if the owner died before their required beginning date (such as an estate or trust (but see *Trust as beneficiary*, later)). Before 2020, the 5-year rule also applied to designated beneficiaries who weren't taking life expectancy payments. If the owner died after 2019 and the beneficiary is an individual who is a designated beneficiary, see the *10-year rule*, for more information.

10-year rule.

The 10-year rule requires the IRA beneficiaries who are not taking life expectancy payments to withdraw the entire balance of the IRA by December 31 of the year containing the 10th anniversary of the owner's death. For example, if the owner died in 2025, the beneficiary would have to fully distribute the IRA by December 31, 2035.

The 10-year rule applies if (1) the beneficiary is an eligible designated beneficiary who elects the 10-year rule, if the owner died before reaching their required beginning date; or (2) the beneficiary is a designated beneficiary who is not an eligible designated beneficiary, regardless of whether the owner died before reaching their required beginning date.

For a beneficiary receiving life expectancy payments who is either an eligible designated beneficiary or a minor child, the 10-year rule also applies to the remaining amounts in the IRA upon the death of the eligible designated beneficiary or upon the minor child beneficiary reaching the age of majority. In either of those cases, the 10-year period ends on December 31 of the year containing the 10th anniversary of the eligible designated beneficiary's death or the child's attainment of majority.

Payment under the 10-year rule.

If the IRA owner dies before the required beginning date and the 10-year rule applies, no distribution is required for any year before the 10th year.

Individual designated beneficiaries.

The terms of most IRAs require individual designated beneficiaries, who are eligible designated beneficiaries, to take required minimum distributions using the life expectancy rules (explained later) unless such beneficiaries elect to take distributions using the 10-year rule.

The deadline for making this election is the earlier of December 31 of the year the beneficiary must take the first required distribution, using their life expectancy or December 31 of the 10th anniversary for the 10-year rule.

If the individual designated beneficiary is not an eligible designated beneficiary, the beneficiary is required to fully distribute the IRA by the 10th anniversary of the owner's death under the 10-year rule.

Tip:

Review the IRA plan documents or consult with the IRA custodian or trustee for specifics on the 5- or 10-year rule provisions, where applicable, of any particular IRA.

Caution:

If the 5-year rule applies, the amount remaining in the IRA, if any, after December 31 of the year containing the fifth anniversary of the owner's death is subject to the excise tax detailed in Excess Accumulations (Insufficient Distributions), later.

Caution:

If the 10-year rule applies, the amount remaining in the IRA, if any, after December 31 of the year containing the 10th anniversary of the owner's death is subject to the excise tax detailed in Excess Accumulations (Insufficient Distributions), later.

Figuring the Beneficiary's RMD

How you figure the required minimum distribution depends on whether the beneficiary is an individual or some other entity, such as a trust or estate.

Beneficiary is an individual.

If the beneficiary is an individual, figure the required minimum distribution for 2026 as follows.

Life expectancy payments.

Divide the account balance at the end of 2025 by the appropriate life expectancy from the appropriate table in Appendix B. See *Which Table Do You Use To Determine Your Required Minimum Distribution* for information on which table to use for figuring your RMD.

Spouse as sole designated beneficiary.

Several special rules affect figuring your RMD if you, as a spouse, are the sole designated beneficiary of the IRA owner.

If you are the surviving spouse of the IRA owner and the sole designated beneficiary of the IRA, you can elect to treat the inherited IRA as your own. See *Special rules for surviving spouse*, earlier, for more information.

If you continue to be treated as a beneficiary of the owner, you may use the applicable denominator based on the life expectancy you find in Table III to determine your RMD.

Whether the IRA owner had begun receiving RMDs also affects how you figure your RMDs. See *Owner Died on or After Required Beginning Date* and *Owner Died Before Required Beginning Date*, earlier.

See *Which Table Do You Use To Determine Your Required Minimum Distribution* for information on which table to use for figuring your RMD.

Other designated beneficiary.

Several special rules affect figuring your RMD if you are a nonspouse designated beneficiary of the IRA owner.

As with the spousal beneficiary discussed earlier, whether the IRA owner had begun receiving RMDs affects how you figure your RMDs. See *Owner Died on or After Required Beginning Date* and *Owner Died Before Required Beginning Date*, earlier.

See *Which Table Do You Use To Determine Your Required Minimum Distribution*, later, for information on which table to use for figuring your RMD. For more information, also see *Individual designated beneficiaries*, earlier.

Beneficiary not an individual.

See the 5-year rule if the owner died before the owner's required beginning date and the beneficiary is not an individual (such as an estate or trust (but see *Trust as beneficiary*, later)).

Which Table Do You Use To Determine Your Required Minimum Distribution?

There are three different life expectancy tables. The tables are found in Appendix B of this publication. You will use only one the tables to figure your required minimum distribution for each traditional IRA. Determine which one to use as follows.

Table I (Single Life Expectancy).

Use Table I for years after the year of the owner's death if you are the owner's eligible designated beneficiary. If you are the owner's surviving spouse and sole designated beneficiary, see Table III, later, for more information.

If you are the owner's eligible designated beneficiary, find your life expectancy for the year following the owner's death (the year your distributions must begin). Use your age as of your birthday to find your applicable denominator. Reduce your applicable denominator by one for each year following the year your distributions begin.

If there is no designated beneficiary as of September 30 of the year following the year of the IRA owner's death, use the applicable denominator based on the owner's age as of their birthday in the calendar year of their death. For each subsequent year reduce the applicable denominator by one.

Example.

You are an eligible designated beneficiary figuring your first required minimum distribution. Distributions must begin in 2026. You become age 57 in 2026. You use Table I. Your applicable denominator for 2026 is 29.8.

Table II (Joint and Last Survivor Life Expectancy).

Use Table II if you are the IRA owner and your spouse is both your sole designated beneficiary and more than 10 years younger than you.

For your first distribution by the required beginning date, use your age and your spouse's age as of your birthdays in the year you become age 73. This would be the number located in the row and column combination which includes both your age as of your birthday and your spouse's age as of their birthday in 2026.

For each subsequent year, use your ages as of your birthdays in the subsequent year.

Note:

Use this table and method for figuring the applicable denominator in the year of the owner's death if the owner died after the required beginning date and this is the table that would have been used had they not died.

Table III (Uniform Lifetime).

Use Table III if you are the IRA owner and your spouse isn't the sole designated beneficiary or if your spouse is the sole designated beneficiary of your IRA and not more than 10 years younger than you.

Use your age as of your birthday in the year you become age 73 to meet your first distribution by your required beginning date. If you are figuring your required minimum distribution for 2026, use your age as of your birthday in 2026. For each subsequent year, use your age as of your birthday in the subsequent year.

Note:

Use this table in the year of the owner's death if the owner died after the required beginning date and this is the table that would have been used had they not died.

Reminder.

In using the tables for lifetime distributions, marital status is determined as of January 1 each year. Divorce or death after January 1 is generally disregarded until the next year.

The change in beneficiary will take effect in the year after the year of your spouse's death or year of your divorce.

No table.

Don't use any of the tables if the owner died before their required beginning date and either the 5-year rule or the 10-year rule (discussed earlier) applies.

Miscellaneous Rules for Required Minimum Distributions

Redetermination of initial life expectancies using new tables.

New life expectancy tables apply to distribution calendar years beginning on or after January 1, 2022. If an IRA owner died before January 1, 2022, the applicable denominator that applies for a calendar year following the calendar year of the owner's death is equal to a single life expectancy calculated as of the calendar year of the owner's death, reduced by 1 for each subsequent year, and is reset using the new table.

In order to do this, find your life expectancy based on your age in the year following the owner's death on Table I and reduce that number by 1 for each year since the year of the owner's death.

The requirement to reset the initial life expectancy also applies to an owner's surviving spouse who died before January 1, 2022.

Example.

Your father died in 2021 at the age of 80 and you were the designated beneficiary. You started taking required minimum distributions from the inherited IRA in 2022 when you were age 55, using a life expectancy of 29.6 and reducing that number by 1 each year so that in 2026 (4 years later) the required minimum distribution would be determined by dividing the account balance by 25.6 (29.6 – 4). However, under the new life expectancy tables, the life expectancy for a 55-year-old is 31.6; therefore, you calculate your required minimum distribution for 2026 by dividing the account balance by 27.6 (31.6 – 4).

Installments allowed.

The yearly required minimum distribution can be taken in a series of installments (monthly, quarterly, etc.) as long as the total distributions for the year are at least as much as the minimum required amount.

More than one IRA.

If you are the owner of more than one traditional IRA, you must determine a separate required minimum distribution for each IRA. However, you can total these minimum amounts and take the total from any one or more of the IRAs. The same rule applies if you are a designated beneficiary of more than one IRA that was owned by a single decedent.

More than minimum received.

If, in any year, you receive more than the required minimum amount for that year, you won't receive credit for the additional amount when determining the minimum required amounts for future years. This doesn't mean that you don't reduce your IRA account balance. It means that if you receive more than your required minimum distribution in 1 year, you can't treat the excess (the amount that is more than the required minimum distribution) as part of your required minimum distribution for any later year. However, any amount distributed in the year you turn age 73 will be credited toward the amount that must be distributed by April 1 of the following year.

Example.

Justin became 73 on December 15, 2025. Justin's IRA account balance on December 31, 2024, was $38,400. He figured his required minimum distribution of $1,450 for 2025 ($38,400 ÷ 26.5). By December 31, 2025, he had actually received distributions totaling $3,600, $2,150 more than was required. Justin can't use that $2,150 to reduce the amount he is required to withdraw for 2026. Justin's reduced IRA account balance on December 31, 2025, was $34,800. Justin figured his required minimum distribution of $1,313 for 2026 ($34,800 ÷ 26.5 (the applicable denominator for age 73 per Table III)). During 2026, he must receive distributions of at least that amount.

Multiple individual beneficiaries.

If, as of September 30 of the year following the year in which the owner dies, there is more than one beneficiary, the beneficiary with the shortest life expectancy will be the designated beneficiary if both of the following apply.

- All of the beneficiaries are individuals.
- The account or benefit hasn't been divided into separate accounts or shares for each beneficiary.

Separate accounts.

A single IRA can be split into separate accounts or shares for each beneficiary. These separate accounts or shares can be established at any time, either before or after the owner's required beginning date. Generally, these separate accounts or shares are combined for purposes of determining the required minimum distribution. However, these separate accounts or shares won't be combined for required minimum distribution purposes after the death of the IRA owner if the separate accounts or shares are established by the end of the year following the year of the IRA owner's death.

The separate account rules can't be used by beneficiaries of a trust unless the trust is an applicable multi-beneficiary trust.

Trust as beneficiary.

A trust can't be a designated beneficiary even if it is a named beneficiary. However, the beneficiaries of a trust will be treated as having been designated beneficiaries for purposes of determining required minimum distributions after the owner's death (or, after the death of the owner's surviving spouse described in *Death of surviving spouse prior to date distributions begin*, earlier) if all of the following are true.

1. The trust is a valid trust under state law, or would be but for the fact that there is no corpus.
2. The trust is irrevocable or became, by its terms, irrevocable upon the owner's death.
3. The beneficiaries of the trust who are beneficiaries with respect to the trust's interest in the owner's benefit are identifiable from the trust instrument.
4. The trustee of the trust provides the IRA custodian or trustee with the documentation required by that custodian or trustee. The trustee of the trust should contact the IRA custodian or trustee for details on the documentation required for a specific IRA.

Trust beneficiary is another trust.

If the beneficiary of the trust (which is the beneficiary of the IRA) is another trust and both trusts meet the above requirements, the beneficiaries of the other trust will be treated as having been designated as beneficiaries for purposes of determining the applicable denominator.

Applicable multi-beneficiary trusts.

An applicable multi-beneficiary trust is a trust (1) which has more than one beneficiary; (2) all of the beneficiaries of which are treated as designated beneficiaries for purposes of determining the applicable denominator pursuant to section 401(a)(9); and (3) at least one of the beneficiaries of which is an eligible designated beneficiary who is either disabled or chronically ill. There are two types of applicable multi-beneficiary trusts:

- A trust that is to be divided immediately upon the death of the IRA owner into separate trusts for each beneficiary, in which case the separate account rules apply to each portion of the trust; or
- A trust to which the separate account rules do not apply and provides that no beneficiary (other than an eligible designated beneficiary who is disabled or chronically ill) has any right to the IRA owner's interest in the IRA until the death of all disabled or chronically ill eligible designated beneficiaries with respect to the trust.

Tip:

You may want to contact a tax advisor to comply with this complicated area of the tax law.

Annuity distributions from an insurance company.

Special rules apply if you receive distributions from your traditional IRA as an annuity purchased from an insurance company. See Treasury Regulations sections 1.401(a)(9)-6 and 54.4974-1. These regulations can be found in many libraries, and IRS offices, and online at IRS.gov.

Are Distributions Taxable?

In general, distributions from a traditional IRA are taxable in the year you receive them.

Failed financial institutions.

Distributions from a traditional IRA are taxable in the year you receive them even if they are made without your consent by a state agency as receiver of an insolvent savings institution. This means you must include such distributions in your gross income unless you roll them over.

Exceptions.

Exceptions to distributions from traditional IRAs being taxable in the year you receive them are:

- Rollovers (see chapter 1 of Pub. 590-A);
- Qualified charitable distributions, discussed later;
- Tax-free withdrawals of contributions (see chapter 1 of Pub. 590-A); and
- The return of nondeductible contributions, discussed later under *Distributions Fully or Partly Taxable*.

Caution:

Although a conversion of a traditional IRA is considered a rollover for Roth IRA purposes, it isn't an exception to the rule that distributions from a traditional IRA are taxable in the year you receive them. Conversion distributions are includible in your gross income subject to this rule and the special rules for conversions explained in chapter 1 of Pub. 590-A.

Qualified charitable distributions (QCDs).

A QCD is generally a nontaxable distribution made directly by the trustee of your IRA (other than an ongoing SEP or SIMPLE IRA) to an organization eligible to receive tax-deductible contributions. You must be at least age 70½ when the distribution is made. Also, you must have the same type of acknowledgment of your contribution that you would need to claim a deduction for a charitable contribution. See *Substantiation Requirements* in Pub. 526.

The maximum annual exclusion for QCDs is $108,000. Any QCD in excess of the $108,000 exclusion limit is included in income as any other distribution. If you file a joint return, your spouse can also have a QCD and exclude up to $108,000. The amount of the QCD is limited to the amount of the distribution that would otherwise be included in income. If your IRA includes nondeductible contributions, the distribution is first considered to be paid out of otherwise taxable income.

Caution:

You can't claim a charitable contribution deduction for any QCD not included in your income.

One-time election for QCD to split-interest entity.

You can elect to make a one-time distribution of up to $54,000 from an individual retirement account to charities through a split-interest entity. A split-interest entity (SIE) would be a charitable remainder annuity trust, a charitable remainder unitrust, or a charitable gift annuity but only if funded by qualified charitable distributions.

In the case of the charitable gift annuity, the annuity must begin making fixed payments of 5% or greater not later than 1 year from the date of funding.

Tip:

A QCD will count towards your required minimum distribution, discussed earlier.

Example.

On December 23, 2025, Amy, age 75, directed the trustee of her IRA to make a distribution of $25,000 directly to a qualified section 501(c)(3) organization (a charitable organization eligible to receive tax-deductible contributions). The total value of Amy's IRA is $30,000 and consists of $20,000 of deductible contributions and earnings and $10,000 of nondeductible contributions (basis). Because Amy is at least age 70½ and the distribution is made directly by the trustee to a qualified organization, the part of the distribution that would otherwise be includible in Amy's income ($20,000) is a QCD.

In this case, Amy has made a QCD of $20,000 (her deductible contributions and earnings). Because Amy made a distribution of nondeductible contributions from her IRA, she must file Form 8606 with her return. Amy reports the total distribution ($25,000) on line 4a of Form 1040-SR. She completes Form 8606 to determine the amount to enter on line 4b of Form 1040-SR and the remaining basis in her IRA. Amy enters -0- on line 4b. This is Amy's only IRA and she took no other distributions in 2025. She also checks box 2 for QCD on line 4c to indicate a qualified charitable distribution.

After the distribution, her basis in her IRA is $5,000. If Amy itemizes deductions and files Schedule A (Form 1040) with Form 1040-SR, the $5,000 portion of the distribution attributable to the nondeductible contributions

can be deducted as a charitable contribution, subject to adjusted gross income (AGI) limits. She can't take the charitable contribution deduction for the $20,000 portion of the distribution that wasn't included in her income.

Reporting your one-time election on Form 1040, 1040-SR, or 1040-NR.

If you make the one-time election to make a QCD to a split-interest entity (SIE), you must attach a statement to your tax return. Check box 3 on line 4c and enter "SIE" in the entry space.

The attachment should include all of the following information.

1. That you have not made the election in a prior tax year.
2. That the QCDs are otherwise deductible under section 408(d)(8)(F)(iii).
3. That no person holds an income interest in an SIE other than the individual for whose benefit the account is maintained, the individual's spouse, or both.
4. That the income interest in the SIE is nonassignable.
5. The total amount of QCD(s) you made to an SIE that relate to your one-time election.

Offset of QCDs by amounts contributed after age 70½.

Beginning in tax years after December 31, 2019, the amount of QCDs that you can exclude from income is reduced by the excess of the aggregate amount of IRA contributions you deducted for the taxable year and any prior year that you were age 70½ or older over the amount of the IRA contributions that were used to reduce the excludable amount of QCDs in all earlier years. See the Qualified Charitable Deduction (QCD) Adjustment Worksheet in Appendix D.

Jim's Illustrated 2025 QCD Adjustment Worksheet

1.	Enter the total amounts of contributions deducted in prior years that you were age 70½ or older that did not reduce the excludable amount of qualified charitable contributions in prior years.	1.	-0-
2.	Enter the total amounts contributed and deducted during the current year if you were age 70½ (or older) at the end of the year. If this is your first QCD worksheet, also include contributions you deducted in prior years during which you were age 70½ (or older) at the end of the year.	2.	10,000
3.	Add the amounts on lines 1 and 2.	3.	10,000
4.	Enter the total amounts of qualified charitable distributions made during the current year, not to exceed $108,000.	4.	6,000
5.	Subtract line 3 from line 4. This is the amount of your excludable qualified charitable distribution for the current year.*	5.	($4,000)
*If zero or less, you have no excludable qualified charitable distribution. If greater than zero, enter -0- on line 1 of your subsequent QCD worksheet. If less than zero, enter the amount as a positive amount on line 1 of your subsequent QCD worksheet.			

Example.

Jim became age 70½ in 2023 and deducted $5,000 for contributions he made in 2024 and 2025 but makes no contribution for 2026. Jim makes no qualified charitable distributions for 2024 and makes qualified charitable distributions of $6,000 for 2025 and $6,500 for 2026.

He determines he has no excludable qualified charitable distribution for 2025 as figured on his 2025 QCD Worksheet. His 2025 qualified charitable distribution is reduced by the aggregate amount of $10,000 of the

contributions he deducted in 2024 and 2025, which reduces his excludable qualified charitable distribution to a negative amount of $4,000.

Jim decides to make a qualified charitable distribution of $6,500 for 2026. Jim completes his 2026 QCD worksheet by entering the amount of the remainder of the aggregate amount of the contributions he deducted in 2024 and 2025 ($4,000) on line 1. This amount is figured on his 2025 QCD worksheet and is entered on line 1 of his 2026 QCD worksheet. Jim figures his excludable qualified charitable distribution of $2,500 on his 2026 QCD worksheet ($6,500 – $4,000 = $2,500).

One-time qualified Health Savings Account (HSA) funding distribution.

You may be able to make a qualified HSA funding distribution from your traditional IRA or Roth IRA to your HSA. You can't make this distribution from an ongoing SEP IRA or SIMPLE IRA. For this purpose, a SEP IRA or SIMPLE IRA is ongoing if an employer contribution is made for the plan year ending with or within your tax year in which the distribution would be made. The distribution must be less than or equal to your maximum annual HSA contribution.

This distribution must be made directly by the trustee of the IRA to the trustee of the HSA. The distribution isn't included in your income, isn't deductible, and reduces the amount that can be contributed to your HSA. You must make the distribution by the end of the year; the special rule allowing contributions to your HSA for the previous year if made by your tax return filing deadline doesn't apply. The qualified HSA funding distribution is reported on Form 8889 for the year in which the distribution is made.

One-time transfer.

Generally, only one qualified HSA funding distribution is allowed during your lifetime. If you own two or more IRAs, and want to use amounts in multiple IRAs to make a qualified HSA funding distribution, you must first make an IRA-to-IRA transfer of the amounts to be distributed into a single IRA, and then make the one-time qualified HSA funding distribution from that IRA.

Testing period rules apply.

If at any time during the testing period you cease to meet all requirements to be an eligible individual, the amount of the qualified HSA funding distribution is included in your gross income. The qualified HSA funding distribution is included in gross income in the tax year you first fail to be an eligible individual. This amount is subject to the 10% additional tax (unless the failure is due to disability or death).

More information.

See Pub. 969 for additional information about this distribution.

Ordinary income.

Distributions from traditional IRAs that you include in income are taxed as ordinary income.

No special treatment.

In figuring your tax, you can't use the 10-year tax option or capital gain treatment that applies to lump-sum distributions from qualified retirement plans.

Tip:

If you were affected by a qualified disaster, see chapter 3.

Jim’s Illustrated 2026 QCD Adjustment Worksheet

1.	Enter the total amounts of contributions deducted in prior years that you were age 70½ or older that did not reduce the excludable amount of qualified charitable contributions in prior years.	1.	4,000
2.	Enter the total amounts contributed and deducted during the current year if you were age 70½ (or older) at the end of the year. If this is your first QCD worksheet, also include contributions you deducted in prior years during which you were age 70½ (or older) at the end of the year.	2.	-0-
3.	Add the amounts on lines 1 and 2.	3.	4,000
4.	Enter the total amounts of qualified charitable distributions made during the current year, not to exceed $111,000.	4.	6,500
5.	Subtract line 3 from line 4. This is the amount of your excludable qualified charitable distribution for the current year.*	5.	$2,500
*If zero or less, you have no excludable qualified charitable distribution. If greater than zero, enter -0- on line 1 of your subsequent QCD worksheet. If less than zero, enter the amount as a positive amount on line 1 of your subsequent QCD worksheet.			

Distributions Fully or Partly Taxable

Distributions from your traditional IRA may be fully or partly taxable, depending on whether your IRA includes any nondeductible contributions.

Fully taxable.

If only deductible contributions were made to your traditional IRA (or IRAs, if you have more than one), you have no basis in your IRA. Because you have no basis in your IRA, any distributions are fully taxable when received. See *Reporting and Withholding Requirements for Taxable Amounts*, later.

Partly taxable.

If you made nondeductible contributions or rolled over any after-tax amounts to any of your traditional IRAs, you have a cost basis (investment in the contract) equal to the amount of those contributions. These nondeductible contributions aren't taxed when they are distributed to you. They are a return of your investment in your IRA.

Only the part of the distribution that represents nondeductible contributions and rolled over after-tax amounts (your cost basis) is tax free. If nondeductible contributions have been made or after-tax amounts have been rolled over to your IRA, distributions consist partly of nondeductible contributions (basis) and partly of deductible contributions, earnings, and gains (if there are any). Until all of your basis has been distributed, each distribution is partly nontaxable and partly taxable.

Form 8606.

You must complete Form 8606, and attach it to your return, if you receive a distribution from a traditional IRA and have ever made nondeductible contributions or rolled over after-tax amounts to any of your traditional IRAs. Using the form, you will figure the nontaxable distributions for 2025, and your total IRA basis for 2025 and earlier years. See the illustrated Forms 8606 in this chapter.

Note:

If you are required to file Form 8606, but you aren't required to file an income tax return, you must still file Form 8606. Complete Form 8606, sign it, and send it to the IRS at the time and place you would otherwise file an income tax return.

Figuring the Nontaxable and Taxable Amounts

If your traditional IRA includes nondeductible contributions and you received a distribution from it in 2025, you must use Form 8606 to figure how much of your 2025 IRA distribution is tax free.

Note:

When figuring the nontaxable and taxable amounts of distributions made prior to death in the year the IRA account owner dies, the value of all traditional (including SEP and SIMPLE) IRAs should be figured as of the date of death instead of December 31.

Contribution and distribution in the same year.

If you received a distribution in 2025 from a traditional IRA and you also made contributions to a traditional IRA for 2025 that may not be fully deductible because of the income limits, you can use Worksheet 1-1 to figure how much of your 2025 IRA distribution is tax free and how much is taxable. Then, you can figure the amount of nondeductible contributions to report on Form 8606. Follow the instructions under *Reporting your nontaxable distribution on Form 8606* next to figure your remaining basis after the distribution.

Reporting your nontaxable distribution on Form 8606.

To report your nontaxable distribution and to figure the remaining basis in your traditional IRA after distributions, you must complete Worksheet 1-1 before completing Form 8606. Then, follow these steps to complete Form 8606.

1. Use Worksheet 1-2 in chapter 1 of Pub. 590-A, or the IRA Deduction Worksheet in the Form 1040 instructions to figure your deductible contributions to traditional IRAs to report on Schedule 1 (Form 1040), line 20.

2. After you complete Worksheet 1-2 in chapter 1 of Pub. 590-A or the IRA Deduction Worksheet in the Form 1040 instructions, enter your nondeductible contributions to traditional IRAs on line 1 of Form 8606.

3. Complete lines 2 through 5 of Form 8606.

4. If line 5 of Form 8606 is less than line 8 of Worksheet 1-1, complete lines 6 through 15c of Form 8606 and stop here.

5. If line 5 of Form 8606 is equal to or greater than line 8 of Worksheet 1-1, follow instructions 6 and 7 next. Don't complete lines 6 through 12 of Form 8606.

6. Enter the amount from line 8 of Worksheet 1-1 on lines 13 and 17 of Form 8606.

7. Complete line 14 of Form 8606.

8. Enter the amount from line 9 of Worksheet 1-1 (or, if you entered an amount on line 11, the amount from that line) on line 15a of Form 8606.

Worksheet 1-1. Figuring the Taxable Part of Your IRA Distribution

Use only if you made contributions to a traditional IRA for 2025 that may not be fully deductible and have to figure the taxable part of your 2025 distributions to determine your modified AGI. See *Limit if Covered by Employer Plan* in chapter 1 of Pub. 590-A.

Form 8606 and the related instructions will be needed when using this worksheet.

Note. When used in this worksheet, the term "**outstanding rollover**" refers to an amount distributed from a traditional IRA as part of a rollover that, as of December 31, 2025, hadn't yet been reinvested in another traditional IRA, but was still eligible to be rolled over tax free.

1.	Enter the basis in your traditional IRAs as of December 31, 2024	**1.** _____
2.	Enter the total of all contributions made to your traditional IRAs during 2025 and all contributions made during 2026 that were for 2025, whether or not deductible. Don't include rollover contributions properly rolled over into IRAs. Also, don't include certain returned contributions described in the instructions for line 7 of Form 8606	**2.**
3.	Add lines 1 and 2	**3.** _____
4.	Enter the value of all your traditional IRAs as of December 31, 2025 (include any outstanding rollovers from traditional IRAs to other traditional IRAs). Subtract any repayments of qualified disaster distributions	**4.**
5.	Enter the total distributions from traditional IRAs (including amounts converted to Roth IRAs that will be shown on line 16 of Form 8606) received in 2025. Also, include repayments of qualified disaster distributions, qualified charitable distributions (QCDs), and a one-time distribution to fund a health savings account (HSA). (Don't include outstanding rollovers included on line 4 or any rollovers between traditional IRAs completed by December 31, 2025. Also, don't include certain returned contributions described in the instructions for line 7 of Form 8606.)	**5.** _____
6.	Add lines 4 and 5	**6.** _____
7.	Divide line 3 by line 6. Enter the result as a decimal (rounded to at least three places). If the result is 1.000 or more, enter 1.000	**7.** _____
8.	**Nontaxable portion of the distribution.** Multiply line 5 by line 7. Enter the result here and on lines 13 and 17 of Form 8606	**8.** _____
9.	**Taxable portion of the distribution (before adjustment for conversions).** Subtract line 8 from line 5. Enter the result here, and if there are no amounts converted to Roth IRAs, **stop here** and enter the result on line 15a of Form 8606	**9.** _____
10.	Enter the amount included on line 9 that is allocable to amounts converted to Roth IRAs by December 31, 2025. (See ***Note*** at the end of this worksheet.) Enter here and on line 18 of Form 8606	**10.** _____
11.	**Taxable portion of the distribution (after adjustments for conversions).** Subtract line 10 from line 9. Enter the result here and on line 15a of Form 8606	**11.** _____

Note. If the amount on line 5 of this worksheet includes an amount converted to a Roth IRA by December 31, 2025, you must determine the percentage of the distribution allocable to the conversion. To figure the percentage, divide the amount converted (from line 16 of Form 8606) by the total distributions shown on line 5. To figure the amounts to include on line 10 of this worksheet and on line 18 of Form 8606, multiply line 9 of the worksheet by the percentage you figured.

Example.

Rose Green has made the following contributions to her traditional IRAs.

Year	Deductible	Nondeductible
2018	2,000	-0-
2019	2,000	-0-
2020	2,000	-0-
2021	1,000	-0-
2022	1,000	-0-
2023	1,000	-0-
2024	700	300

Totals	**$9,700**	**$300**

Rose needs to complete Worksheet 1-1 to determine if her IRA deduction for 2025 will be reduced or eliminated. In 2025, she makes a $2,000 contribution that may be partly nondeductible. She also receives a distribution of $5,000 for conversion to a Roth IRA. She completed the conversion before December 31, 2025, and didn't recharacterize any contributions. At the end of 2025, the fair market values of her accounts, including earnings, total $20,000. She didn't receive any tax-free distributions in earlier years. The amount she includes in income for 2025 is figured on Worksheet 1-1.

Worksheet 1-1. Figuring the Taxable Part of Your IRA Distribution—Illustrated

Use only if you made contributions to a traditional IRA for 2025 that may not be fully deductible and have to figure the taxable part of your 2025 distributions to determine your modified AGI. See *Limit if Covered by Employer Plan* in chapter 1 of Pub. 590-A.

Form 8606 and the related instructions will be needed when using this worksheet.

Note. When used in this worksheet, the term "**outstanding rollover**" refers to an amount distributed from a traditional IRA as part of a rollover that, as of December 31, 2025 hadn't yet been reinvested in another traditional IRA, but was still eligible to be rolled over tax free.

1.	Enter the basis in your traditional IRAs as of December 31, 2024	**1.** 300
2.	Enter the total of all contributions made to your traditional IRAs during 2025 and all contributions made during 2026 that were for 2025, whether or not deductible. Don't include rollover contributions properly rolled over into IRAs. Also, don't include certain returned contributions described in the instructions for line 7 of Form 8606	**2.** 2,000
3.	Add lines 1 and 2	**3.** 2,300
4.	Enter the value of all your traditional IRAs as of December 31, 2025 (include any outstanding rollovers from traditional IRAs to other traditional IRAs). Subtract any repayments of qualified disaster distributions	**4.** 20,000
5.	Enter the total distributions from traditional IRAs (including amounts converted to Roth IRAs that will be shown on line 16 of Form 8606) received in 2025. Also, include repayments of qualified disaster distributions, qualified charitable distributions (QCDs), and a one-time distribution to fund a health savings account (HSA). (Don't include outstanding rollovers included on line 4 or any rollovers between traditional IRAs completed by December 31, 2025. Also, don't include certain returned contributions described in the instructions for line 7 of Form 8606.)	**5.** 5,000
6.	Add lines 4 and 5	**6.** 25,000
7.	Divide line 3 by line 6. Enter the result as a decimal (rounded to at least three places). If the result is 1.000 or more, enter 1.000	**7.** 0.092
8.	**Nontaxable portion of the distribution.** Multiply line 5 by line 7. Enter the result here and on lines 13 and 17 of Form 8606	**8.** 460
	Taxable portion of the distribution (before adjustment for conversions).	
9.	Subtract line 8 from line 5. Enter the result here, and if there are no amounts converted to Roth IRAs, **stop here** and enter the result on line 15a of Form 8606	**9.** 4,540
10.	Enter the amount included on line 9 that is allocable to amounts converted to Roth IRAs by December 31, 2025. (See ***Note*** at the end of this worksheet.) Enter here and on line 18 of Form 8606	**10.** 4,540
11.	**Taxable portion of the distribution (after adjustments for conversions).** Subtract line 10 from line 9. Enter the result here and on line 15a of Form 8606	**11.** -0-

Note. If the amount on line 5 of this worksheet includes an amount converted to a Roth IRA by December 31, 2025, you must determine the percentage of the distribution allocable to the conversion. To figure the

percentage, divide the amount converted (from line 16 of Form 8606) by the total distributions shown on line 5. To figure the amounts to include on line 10 of this worksheet and on line 18 of Form 8606, multiply line 9 of the worksheet by the percentage you figured.

The illustrated Form 8606 for Rose shows the information required when you need to use Worksheet 1-1 to figure your nontaxable distribution. Assume that the $500 entered on Form 8606, line 1, is the amount Rose figured using instructions 1 and 2 given earlier under *Reporting your nontaxable distribution on Form 8606*.

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Form 8606, page 1 - Rose Green - Nondeductible IRAs 2025

Form 8606, page 1 — Nondeductible IRAs 2025

Form 8606, page 1 — Nondeductible IRAs 2025

Summary: This is an example of Form 8606 (2025) with items included as described in the text. Additionally, these line items are completed:

"Name. If married, file a separate form for each spouse required to file Form 8606. See instructions." field contains Rose Green

"Your social security number" field contains 001-00-0000

Under"Part I: Nondeductible Contributions to Traditional IRAs and Distributions From Traditional, SEP, and SIMPLE IRAs":

"1. Enter your nondeductible contributions to traditional IRAs for 2025 including those made for 2025 from January 1, 2026 through April 15, 2026" field contains 500

"2. Enter your total basis in traditional IRAs See instructions" field contains 300

"3. Add lines 1 and 2" field contains 800

"4. Enter those contributions included on line 1 that were made from January 1, 2026, through April 15, 2026" field contains 0

"5. Subtract line 4 from line 3" field contains 800

"13. Add lines 11 and 12. This is the nontaxable portion of all your distributions" field contains 460 Footnote: From Worksheet 1-1 in Pub. 590-B.

"14. Subtract line 13 from line 3. This is your total basis in traditional IRAs for 2025 and earlier years" field contains 340

"15c. Subtract line 12 from line 7. If more than zero, also include this amount on Form 1040, 1040-SR, or 1040-NR, line 4b" field contains 0

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Form 8606, page 2 - Nondeductible IRAs 2025

Form 8606, page 2— Nondeductible IRAs 2025

Form 8606, page 2— Nondeductible IRAs 2025

Summary: This is an example of Form 8606 (2025) with items included as described in the text. Additionally, these line items are completed:

Under"Part II: 2025 Conversions From Traditional, SEP, or SIMPLE IRAs to Roth IRAs":

"16. If you completed Part I, enter the amount from line 8. Otherwise, enter the net amount you converted from traditional, SEP, or SIMPLE IRAs to Roth IRAs in 2025. " field contains 5,000

"17. If you completed Part I, enter the amount from line 11. Otherwise, enter your basis in the amount on line 16 (see instructions)" field contains 460

"18. Taxable amount. Subtract line 17 from line 16. Also include this amount on Form 1040, 1040-SR, or 1040-NR, line 4b" field contains 4,540 Footnote: From Worksheet 1–1 in Pub. 590-B.

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Other Special IRA Distribution Situations

Two other special IRA distribution situations are discussed next.

Distribution of an annuity contract from your IRA account.

You can tell the trustee or custodian of your traditional IRA account to use the amount in the account to buy an annuity contract for you. You aren't taxed when you receive the annuity contract (unless the annuity contract is being converted to an annuity held by a Roth IRA). You are taxed when you start receiving payments under that annuity contract.

Tax treatment.

If only deductible contributions were made to your traditional IRA since it was opened (this includes all your traditional IRAs, if you have more than one), the annuity payments are fully taxable.

If any of your traditional IRAs include both deductible and nondeductible contributions, the annuity payments are taxed as explained earlier under *Distributions Fully or Partly Taxable*.

Cashing in retirement bonds.

When you cash in retirement bonds, you are taxed on the entire amount you receive. If you reach age 70½ and you have not yet cashed in your retirement bonds, you should include the entire value of the bonds in your income in the year in which you turn 70½. The value of the bonds is the amount you would have received if you had cashed them in at the end of that year. When you later cash in the bonds, you won't be taxed again.

Reporting and Withholding Requirements for Taxable Amounts

If you receive a distribution from your traditional IRA, you will receive Form 1099-R, or a similar statement. IRA distributions are shown in boxes 1 and 2a of Form 1099-R. A number or letter code in box 7 tells you what type of distribution you received from your IRA.

Number codes.

Some of the number codes are explained below. All of the codes are explained in the instructions for recipients on Form 1099-R.

1—Early distribution, no known exception (in most cases, under age 59½).

2—Early distribution, exception applies (under age 59½).

3—Disability.

4—Death.

5—Prohibited transaction.

7—Normal distribution.

8—Excess contributions plus earnings/
excess deferrals (and/or earnings)
taxable in 2025.

Caution:

If code 1, 5, or 8 appears on your Form 1099-R, you are probably subject to an additional tax. If code 1 appears, see *Early Distributions*, later. If code 5 appears, see *Prohibited Transactions*, later. If code 8 appears, see *Excess Contributions in chapter 1 of Pub. 590-A*.

Letter codes.

Some of the letter codes are explained below. All of the codes are explained in the instructions for recipients on Form 1099-R.

B—Designated Roth account distribution.

G—Direct rollover of a distribution to a qualified plan, a section 403(b) plan, a governmental section 457(b) plan, or an IRA.

H—Direct rollover of a designated Roth account distribution to a Roth IRA or Roth SIMPLE IRA.

J—Early distribution from a Roth IRA or Roth SIMPLE IRA, no known exception (in most cases, under age 59½).

N—Recharacterized IRA contribution made for 2025
and recharacterized in 2025.

P—Excess contributions plus earnings/excess deferrals (and/or earnings) taxable in 2024 or a previous year.

Q—Qualified distribution from a Roth IRA or Roth
SIMPLE IRA.

R—Recharacterized IRA contribution made for 2024 and recharacterized in 2025.

S—Early distribution from a SIMPLE IRA in the first 2 years, no known exception (under age 59½).

T—Roth IRA or Roth SIMPLE IRA distribution, exception applies.

Y—Qualified charitable distribution (QCD) claimed by taxpayer under section 408(d)(8).

If the distribution shown on Form 1099-R is from your IRA, SEP IRA, or SIMPLE IRA, the small box in box 7 (labeled *IRA/SEP/SIMPLE*) should be marked with an "X."

Caution:

If code J, P, or S appears on your Form 1099-R, you are probably subject to an additional tax. If code J appears, see *Early Distributions*, later. If code P appears, see *Excess Contribution*s in chapter 1 of Pub. 590-A. If code S appears, see Distributions (Withdrawals) in chapter 3 of Pub. 560.

Withholding.

Federal income tax is withheld from distributions from traditional IRAs unless you choose not to have tax withheld.

If you are receiving periodic payments (payments made in installments at regular intervals over a period of more than 1 year) use Form W-4P to have tax withheld from your IRA. The amount of tax withheld from an annuity or a similar periodic payment is based on your marital status and any adjustments you claim on your Form W-4P.

Complete Form W-4R to have taxes withheld from your nonperiodic payments or eligible rollover distribution from your IRA. Generally, tax will be withheld at a 10% rate on nonperiodic payments.

IRA distributions delivered outside the United States.

In general, if you are a U.S. citizen or resident alien and your home address is outside the United States or its territories, you can't choose exemption from withholding on distributions from your traditional IRA.

To choose exemption from withholding, you must certify to the payer under penalties of perjury that you aren't a U.S. citizen, a resident alien of the United States, or a tax-avoidance expatriate.

Even if this election is made, the payer must withhold tax at the rates prescribed for nonresident aliens.

More information.

For more information on withholding on pensions and annuities, see *Pensions and Annuities* in chapter 1 of Pub. 505. For more information on withholding on nonresident aliens and foreign entities, see *Pensions, Annuities, and Alimony* under *Withholding on Specific Income* in Pub. 515.

Reporting taxable distributions on your return.

Report fully taxable distributions, including early distributions, on Form 1040, 1040-SR, or 1040-NR, line 4b (no entry is required on line 4a). If only part of the distribution is taxable, enter the total amount on Form 1040,

1040-SR, or 1040-NR, line 4a, and enter the taxable part on Form 1040, 1040-SR, or 1040-NR, line 4b.

Estate tax.

Generally, the value of an annuity or other payment receivable by any beneficiary of a decedent's traditional IRA that represents the part of the purchase price contributed by the decedent (or by their former employer(s)) must be included in the decedent's gross estate. For more information, see the instructions for Schedule I (Form 706).

What Acts Result in Penalties or Additional Taxes?

The tax advantages of using traditional IRAs for retirement savings can be offset by additional taxes and penalties if you don't follow the rules. There are additions to the regular tax for using your IRA funds in prohibited transactions. There are also additional taxes for the following activities.

- Investing in collectibles.
- Having unrelated business income.
- Taking early distributions.
- Allowing excess amounts to accumulate (failing to take required distributions).
- Making excess contributions.

There are penalties for overstating the amount of nondeductible contributions and for failure to file Form 8606, if required.

This chapter discusses those acts (relating to distributions) that you should avoid and the additional taxes and other costs, including loss of IRA status, that apply if you don't avoid those acts.

Prohibited Transactions

Generally, a prohibited transaction is any improper use of your IRA account or annuity by you, your beneficiary, or any disqualified person.

Disqualified persons include your fiduciary and members of your family (spouse, ancestor, lineal descendant, and any spouse of a lineal descendant).

The following are some examples of prohibited transactions with a traditional IRA.

- Borrowing money from it.
- Selling property to it.
- Using it as security for a loan.
- Buying property for personal use (present or future) with IRA funds.

Caution:

If your IRA invested in nonpublicly traded assets or assets that you directly control, the risk of engaging in a prohibited transaction in connection with your IRA may be increased.

Fiduciary.

For these purposes, a fiduciary includes anyone who does any of the following.

- Exercises any discretionary authority or discretionary control in managing your IRA or exercises any authority or control in managing or disposing of its assets.
- Provides investment advice for a fee or other compensation, or has any authority or responsibility to do so.
- Has any discretionary authority or discretionary responsibility in administering your IRA.

Effect on an IRA account.

Generally, if you or your beneficiary engages in a prohibited transaction in connection with your IRA account at any time during the year, the account stops being an IRA as of the first day of that year.

However, if you own more than one IRA, each IRA is treated as a separate account, and loss of IRA status only affects the IRA that participated in the prohibited transaction.

Effect on you or your beneficiary.

If your account stops being an IRA because you or your beneficiary engaged in a prohibited transaction, the account is treated as distributing all its assets to you at their fair market values on the first day of the year. If the total of those values is more than your basis in the IRA, you will have a taxable gain that is includible in your income. For information on figuring your gain and reporting it in income, see *Are Distributions Taxable*, earlier. The distribution may be subject to additional taxes.

Borrowing on an annuity contract.

If you borrow money against your IRA annuity contract, you must include in your gross income the fair market value of the annuity contract as of the first day of your tax year. You may have to pay the 10% additional tax on early distributions, discussed later.

Pledging an account as security.

If you use a part of your IRA account as security for a loan, that part is treated as a distribution and is included in your gross income. You may have to pay the 10% additional tax on early distributions, discussed later.

Trust account set up by an employer or an employee association.

Your account or annuity doesn't lose its IRA treatment if your employer or the employee association with whom you have your IRA engages in a prohibited transaction.

Owner participation.

If you participate in the prohibited transaction with your employer or the association, your IRA is no longer treated as an IRA.

Taxes on prohibited transactions.

If someone other than the owner or beneficiary of an IRA engages in a prohibited transaction, that person may be liable for certain taxes. In general, there is a 15% tax on the amount of the prohibited transaction and a 100% additional tax if the transaction isn't corrected.

Loss of IRA status.

If the IRA ceases to be an IRA because of a prohibited transaction by you or your beneficiary, neither you nor your beneficiary is liable for the taxes described above. However, you or your beneficiary may have to pay other

taxes, as discussed under *Effect on you or your beneficiary*, earlier.

Exempt Transactions

The Department of Labor has authority to grant administrative exemptions from the prohibited transaction provisions of ERISA and the Code for a class of transactions or for individual transactions. In order to grant an administrative exemption, the Department must make the following three determinations.

1. The exemption must be administratively feasible.
2. In the interest of the plan and its participants and beneficiaries.
3. Protective of the rights of plan participants and beneficiaries.

For additional information on prohibited transaction exemptions, see the Exemptions page on the Department of Labor website. For information on filing and the processing of prohibited transaction exemption applications, see Procedures Governing the Filing and Processing of Prohibited Transaction Exemption Applications.

Transactions Not Prohibited

The following two types of transactions aren't prohibited transactions if they meet the requirements that follow.

- Payments of cash, property, or other consideration by the IRA custodian of your IRA to you (or members of your family).
- Your receipt of services at reduced or no cost from the bank where your IRA is established or maintained.

Payments of cash, property, or other consideration.

Even if an IRA custodian makes payments to you or your family, there is no prohibited transaction if all three of the following requirements are met.

1. The payments are for establishing an IRA or for making additional contributions to it.
2. The IRA is established solely to benefit you, your spouse, and your or your spouse's beneficiaries.
3. During the year, the total fair market value of the payments you receive isn't more than:
    a. $10 for IRA deposits of less than $5,000, or
    b. $20 for IRA deposits of $5,000 or more.

If the consideration is group-term life insurance, requirements (1) and (3) don't apply if no more than $5,000 of the face value of the insurance is based on a dollar-for-dollar basis on the assets in your IRA.

Services received at reduced or no cost.

Even if an IRA custodian provides services at reduced or no cost, there is no prohibited transaction if all of the following requirements are met.

- The IRA qualifying you to receive the services is established and maintained for the benefit of you, your spouse, and your or your spouse's beneficiaries.
- The bank itself can legally offer the services.

- The services are provided in the ordinary course of business by the bank (or a bank affiliate) to customers who qualify for but don't maintain an IRA (or a Keogh plan).
- The determination, for an IRA, of who qualifies for these services is based on an IRA (or a Keogh plan) deposit balance equal to the lowest qualifying balance for any other type of account.
- The rate of return on an IRA investment that qualifies isn't less than the return on an identical investment that could have been made at the same time at the same branch of the bank by a customer who isn't eligible for (or doesn't receive) these services.

Investment in Collectibles

If your IRA invests in collectibles, the amount invested is considered distributed to you in the year invested. You may have to pay the 10% additional tax on early distributions, discussed later.

Any amounts that were considered to be distributed when the investment in the collectible was made, and which were included in your income at that time, aren't included in your income when the collectible is actually distributed from your IRA.

Collectibles.

These include:

- Artworks,
- Rugs,
- Antiques,
- Metals,
- Gems,
- Stamps,
- Coins,
- Alcoholic beverages, and
- Certain other tangible personal property.

Exception.

Your IRA can invest in one, one-half, one-quarter, or one-tenth ounce U.S. gold coins, or one-ounce silver coins minted by the Treasury Department. It can also invest in certain platinum coins and certain gold, silver, palladium, and platinum bullion.

Caution:

The coins must be in the possession of the custodian or trustee of the IRA. If the owner or the beneficiary of the IRA takes possession of the coins, the coins will be treated as distributed.

Unrelated Business Income

An IRA is subject to tax on unrelated business income if it carries on an unrelated trade or business. An unrelated trade or business means any trade or business regularly carried on by the IRA or by a partnership of which it is a member, and not substantially related to the IRA's exempt purpose or function. If the IRA has $1,000 or more of unrelated trade or business gross income, the IRA must file a Form 990-T, Exempt Organization Business Income Tax Return. An IRA trustee is permitted to file Form 990-T on behalf of the IRA. In the case of an IRA that operates on a calendar year, the Form 990-T must be filed by April 15 following the close of the calendar year. In the case of an IRA that operates on a fiscal year, the Form 990-T must be filed by the 15th day of the 4th month following the close of the fiscal year. See Pub. 598 for more information.

Early Distributions

You must include early distributions of taxable amounts from your traditional IRA in your gross income. Early distributions are also subject to a 10% additional tax, as discussed later.

Early distributions defined.

Early distributions are generally amounts distributed from your traditional IRA account or annuity before you are age 59½, or amounts you receive when you cash in retirement bonds before you are age 59½.

Tip:

If you were affected by a qualified disaster, see chapter 3.

Age 59½ Rule

Generally, if you are under age 59½, you must pay a 10% additional tax on the distribution of any assets (money or other property) from your traditional IRA. Distributions before you are age 59½ are called "early distributions."

The 10% additional tax applies to the part of the distribution that you have to include in gross income. It is in addition to any regular income tax on that amount.

A number of exceptions to this rule are discussed later under *Exceptions*. Also see *Contributions Returned Before Due Date of Return* in chapter 1 of Pub. 590-A.

After age 59½ and before age 73.

After you reach age 59½, you can receive distributions without having to pay the 10% additional tax. Even though you can receive distributions after you reach age 59½, distributions aren't required until you reach age 73. See *When Must You Withdraw Assets? (Required Minimum Distributions)*, earlier.

Exceptions

There are several exceptions to the age 59½ rule. Even if you receive a distribution before you are age 59½, you may not have to pay the 10% additional tax if you are in one of the following situations.

- You have unreimbursed medical expenses that are more than 7.5% of your AGI.
- The distribution is for the cost of your medical insurance due to a period of unemployment.
- You are totally and permanently disabled.
- You have been certified as having a terminal illness.

- You are the beneficiary of a deceased IRA owner.
- You are receiving distributions in the form of a series of substantially equal periodic payments.
- The distribution is for your qualified higher education expenses.
- You use the distributions to buy, build, or rebuild a first home.
- The distribution is due to an IRS levy of the IRA.
- The distribution is a qualified reservist distribution.
- The distribution is a qualified birth or adoption distribution.
- The distribution is a qualified disaster recovery distribution.
- The distribution is a corrective distribution.
- The distribution is to a domestic abuse victim.
- The distribution is for certain emergency personal expenses.

Most of these exceptions are explained below.

Note:

Distributions that are timely and properly rolled over, as discussed in chapter 1 of Pub. 590-A, aren't subject to either regular income tax or the 10% additional tax. Certain withdrawals of excess contributions after the due date of your return are also tax free and therefore not subject to the 10% additional tax. (See *Excess Contributions Withdrawn After Due Date of Return* in chapter 1 of Pub. 590-A.) This also applies to transfers incident to divorce, as discussed under *Can You Move Retirement Plan Assets?* in chapter 1 of Pub. 590-A.

Receivership distributions.

Early distributions (with or without your consent) from savings institutions placed in receivership are subject to this tax unless one of the above exceptions applies. This is true even if the distribution is from a receiver that is a state agency.

Unreimbursed medical expenses.

Even if you are under age 59½, there are certain distribution amounts on which you don’t have to pay the 10% additional tax.

If you have unreimbursed medical expenses (that would qualify for a medical deduction) in excess of 7.5% of your adjusted gross income, defined next, you don’t have to pay the 10% additional tax on distributions from your IRA up to the amount by which those qualifying medical expenses exceed 7.5% of your adjusted gross income.

Caution:

You can only take into account unreimbursed medical expenses that you would be able to include in figuring a deduction for medical expenses on Schedule A (Form 1040). You don't have to itemize your deductions to take advantage of this exception to the 10% additional tax.

Adjusted gross income (AGI).

This is the amount on Form 1040, 1040-SR, or 1040-NR, line 11a.

Medical insurance.

Even if you are under age 59½, you may not have to pay the 10% additional tax on distributions during the year that aren't more than the amount you paid during the year for medical insurance for yourself, your spouse, and your dependents. You won't have to pay the tax on these amounts if all of the following conditions apply.

- You lost your job.
- You received unemployment compensation paid under any federal or state law for 12 consecutive weeks because you lost your job.
- You receive the distributions during either the year you received the unemployment compensation or the following year.
- You receive the distributions no later than 60 days after you have been reemployed.

Disabled.

If you become disabled before you reach age 59½, any distributions from your traditional IRA because of your disability aren't subject to the 10% additional tax.

You are considered disabled if you can furnish proof that you can't do any substantial gainful activity because of your physical or mental condition. A physician must determine that your condition can be expected to result in death or to be of long, continued, and indefinite duration.

Beneficiary.

If you die before reaching age 59½, the assets in your traditional IRA can be distributed to your beneficiary or to your estate without either having to pay the 10% additional tax.

However, if you inherit a traditional IRA from your deceased spouse and elect to treat it as your own (as discussed under *What if You Inherit an IRA*, earlier), any distribution you later receive before you reach age 59½ may be subject to the 10% additional tax.

Terminally ill individual distributions.

You may be able to take a distribution from an IRA before reaching age 59½ and not have to pay the 10% additional tax on early distributions if you receive the distribution on or after the date you have received a certification by a physician that you are terminally ill.

Terminally ill.

You are considered terminally ill if you are certified by a physician as having an illness or physical condition which can reasonably be expected to result in death in 84 months or less after the date of the certification.

Certification of terminal illness.

A certification of terminal illness must include the following:

- A statement that the individual’s illness or physical condition can be reasonably expected to result in death in 84 months or less after the date of certification.
- A narrative description of the evidence that was used to support the statement of illness or physical condition.

- It must include the name and contact information of the physician making the statement.
- The statement must include the date the physician examined the individual or reviewed the evidence provided by the individual, and the date that the physician signed the certification.
- The statement must include the signature of the physician making the statement, and an attestation from the physician that, by signing the form, the physician confirms that the physician composed the narrative description based on the physician's examination of the individual or the physician's review of the evidence provided by the individual.

However, it is not sufficient evidence for an IRA owner who is a physician to certify the physician's own terminal illness.

Certain corrective distributions not subject to 10% early distribution tax.

Beginning with distributions made on December 29, 2022, and after, the 10% additional tax on early distributions will not apply to a corrective IRA distribution, which consists of an excess contribution (a contribution greater than the IRA contribution limit) and any earnings allocable to the excess contribution, as long as the corrective distribution is made on or before the due date (including extensions) of the income tax return.

Substantially equal periodic payments.

You can receive distributions from your traditional IRA before age 59½ if they are part of a series of substantially equal payments over your life (or your life expectancy), or over the lives (or the joint life expectancies) of you and your beneficiary, without having to pay the 10% additional tax.

The IRS has provided three general methods of computing the annual distribution amounts for meeting the requirements for a series of substantially equal periodic payments: Notice 2022-6 explains the three methods and identifies tables to be used for 2023 and after. (See Notice 2022-6 at IRS.gov/irb/2022-05_IRB#NOT-2022-06).

The three methods are generally referred to as the required minimum distribution method (RMD method), the fixed amortization method, and the fixed annuitization method. The latter two methods may require professional assistance.

Caution:

The RMD method, when used for this purpose, results in the exact amount required to be distributed each year, not the minimum amount.

Tip:

Distributions received as periodic payments on or after December 29, 2022, will not fail to be treated as substantially equal merely because they are received as an annuity.

Note:

For a series of substantially equal periodic payments established in 2022, you may apply the guidance either in Notice 2022-6 at IRS.gov/irb/2022-05_IRB#NOT-2022-06, or in Revenue Ruling 2002-62 which is on page 710 of Internal Revenue Bulletin 2002-42 at https://www.irs.gov/pub/irs-irbs/irb02-42.pdf.

Recapture tax for changes in distribution method under equal payment exception.

You may have to pay a recapture tax if you modify (for reasons other than your death or disability) the annual amount distributed to be different from the annual amount determined under the distribution method that you initially established under the substantially equal periodic payment exception, and if the modification occurs before the date limitation explained in *Modification date* below.

The recapture tax is imposed in the tax year in which the modification occurs. The amount of tax is the amount of the 10% additional tax that would have been imposed in prior years had the exception not applied in those prior years, plus interest for the deferral periods.

Modification date.

The recapture tax applies if you modify the series of payments (other than because of death or disability) before the later of these two dates:

1. The 5th anniversary of the date of the first distribution of the series; or
2. The date you reach age 59½.

However, the following two situations are not treated as a modification of the series for purposes of the recapture tax: (a) if your account is completely depleted of all assets; or (b) if you make a one-time change to the RMD method from one of the other methods.

In the event of a modification that triggers the recapture tax, the tax does not apply to any amounts distributed after you reach age 59½.

Report the recapture tax (including the interest on the deferral periods) on line 4 of Form 5329. Attach an explanation to the form. Don't write the explanation next to the line or enter any amount for the recapture on line 1 or 3 of the form.

One-time switch.

If you are receiving a series of substantially equal periodic payments, you can make a one-time switch to the required minimum distribution method at any time without incurring the recapture tax. Once a change is made, you must follow the required minimum distribution method in all subsequent years.

Transfers and rollovers of assets.

Certain transfers and rollovers of assets from qualified plans or annuity contracts using the substantially equal periodic payment method are not considered a modification of the distribution method if certain requirements are met.

Transfers of assets of certain qualified plans.

For this purpose, a qualified retirement plan is:

- A qualified employee plan (including a qualified cash or deferred arrangement (CODA) under Internal Revenue Code section 401(k)),
- A qualified employee annuity plan, or
- A tax-sheltered annuity plan (403(b) plan).

Transferor and transferee plans.

A qualified plan distributing its assets using the substantially equal periodic payment method can roll over or transfer some or all its assets to another qualified plan. In this situation the plan transferring the assets is the

transferor and the plan receiving the assets is the transferee.

When a transfer or rollover of assets is not considered a modification of the substantially equal payment method.

If a qualified plan is distributing its assets using the substantially equal periodic payment method transfers or rolls over some or all its assets to another qualified plan, the distributions from the transferee plan (or a combination of the transferee and transferor plan (if all its assets were not transferred)) is not considered a modification of the substantially equal periodic payment method if the following requirements are met:

- The transferor plan distributed or is distributing its assets using the substantially equal periodic payment method,
- Distributions from the transferee and transferor plan (if applicable) would, in combination, continue to satisfy the requirements of the substantially equal periodic payment method, and
- The distributions from a combination of the transferee and transferor plan (if applicable) continue to satisfy the requirements of the substantially equal periodic payment method as if they had been made only from the transferor plan.

Higher education expenses.

Even if you are under age 59½, if you paid expenses for higher education during the year, part (or all) of any distribution may not be subject to the 10% additional tax. The part not subject to the tax is generally the amount that isn't more than the qualified higher education expenses (defined next) for the year for education furnished at an eligible educational institution (defined below). The education must be for you, your spouse, or the children or grandchildren of you or your spouse.

When determining the amount of the distribution that isn't subject to the 10% additional tax, include qualified higher education expenses paid with any of the following funds.

- Payment for services, such as wages.
- A loan.
- A gift.
- An inheritance given to either the student or the individual making the withdrawal.
- A withdrawal from personal savings (including savings from a qualified tuition program).

Don't include expenses paid with any of the following funds.

- Tax-free distributions from a Coverdell education savings account.
- Tax-free part of scholarships and fellowships.
- Pell grants.
- Employer-provided educational assistance.
- Veterans' educational assistance.
- Any other tax-free payment (other than a gift or inheritance) received as educational assistance.

Qualified higher education expenses.

Qualified education expenses, eligible for the exception to the 10% additional tax for early distributions from IRAs, are tuition, fees, books, supplies, and equipment (including computer equipment and related services) required for the enrollment or attendance at an eligible educational institution, including those expenses incurred in connection with a recognized postsecondary credential program.

They also include expenses for special needs services incurred by or for special needs students in connection with their enrollment or attendance at an eligible educational institution.

Additional qualified education expenses in connection with elementary and secondary tuition.

Qualified higher education expenses include the following expenses in connection with the enrollment or attendance at an elementary or secondary public, private, or religious school:

- Tuition.
- Curriculum and curricular materials.
- Books or other instructional materials.
- Online education materials.
- Tuition for tutoring or educational classes outside of the home, including at a tutoring facility, but only if the tutor or instructor meets certain requirements. (See *Requirements for tutors* later.)
- Fees for a nationally standardized norm-referenced achievement test, an advanced placement examination, or any examinations related to college or university admission.
- Fees for dual enrollment in an institution of higher education.
- Educational therapies for students with disabilities provided by a licensed or accredited practitioner or provider, including occupational, behavioral, physical, and speech-language therapies.

Requirements for tutors.

Tutors or teachers tutoring or providing educational classes outside of the home must not be related to the student and meet the following requirements.

- They must be licensed as a teacher in any state, or
- They must have taught at an eligible educational institution, or
- They must be a subject matter expert in the relevant subject.

Eligible educational institution.

This is any college, university, vocational school, or other postsecondary educational institution eligible to participate in the student aid programs administered by the U.S. Department of Education. It includes virtually all accredited, public, nonprofit, and proprietary (privately owned profit-making) postsecondary institutions. The educational institution should be able to tell you if it is an eligible educational institution.

For more information, see chapter 8 of Pub. 970.

First home.

Even if you are under age 59½, you don't have to pay the 10% additional tax on up to $10,000 of distributions you receive to buy, build, or rebuild a first home. To qualify for treatment as a first-time homebuyer distribution,

the distribution must meet all the following requirements.

1. It must be used to pay qualified acquisition costs (defined next) before the close of the 120th day after the day you received it.
2. It must be used to pay qualified acquisition costs for the main home of a first-time homebuyer (defined below) who is any of the following.
   a. Yourself.
   b. Your spouse.
   c. Your or your spouse's child.
   d. Your or your spouse's grandchild.
   e. Your or your spouse's parent or other ancestor.
3. When added to all your prior qualified first-time homebuyer distributions, if any, total qualifying distributions can't be more than $10,000.

Tip:

If both you and your spouse are first-time homebuyers (defined later), each of you can receive distributions up to $10,000 for a first home without having to pay the 10% additional tax.

Qualified acquisition costs.

Qualified acquisition costs include the following items.

- Costs of buying, building, or rebuilding a home.
- Any usual or reasonable settlement, financing, or other closing costs.

First-time homebuyer.

Generally, you are a first-time homebuyer if you had no present interest in a main home during the 2-year period ending on the date of acquisition of the home which the distribution is being used to buy, build, or rebuild. If you are married, your spouse must also meet this no-ownership requirement.

Date of acquisition.

The date of acquisition is the date that:

- You enter into a binding contract to buy the main home for which the distribution is being used, or
- The building or rebuilding of the main home for which the distribution is being used begins.

Tip:

If you received a distribution to buy, build, or rebuild a first home and the purchase or construction was canceled or delayed, you could generally contribute the amount of the distribution to an IRA within 120 days of the distribution and not pay income tax or the 10% additional tax on early distributions. This contribution is treated as a rollover contribution to the IRA.

Qualified reservist distributions.

A qualified reservist distribution isn't subject to the 10% additional tax on early distributions.

Definition.

A distribution you receive is a qualified reservist distribution if the following requirements are met.

- You were ordered or called to active duty after September 11, 2001.
- You were ordered or called to active duty for a period of more than 179 days or for an indefinite period because you are a member of a reserve component.
- The distribution is from an IRA or from amounts attributable to elective deferrals under a section 401(k) or 403(b) plan or a similar arrangement.
- The distribution was made no earlier than the date of the order or call to active duty and no later than the close of the active duty period.

Reserve component.

The term “reserve component” means the:

- Army National Guard of the United States,
- Army Reserve,
- Navy Reserve,
- Marine Corps Reserve,
- Air National Guard of the United States,
- Air Force Reserve,
- Coast Guard Reserve, or
- Reserve Corps of the Public Health Service.

Qualified birth or adoption distribution.

A qualified birth or adoption distribution is any distribution from an applicable eligible retirement plan if made during the 1-year period beginning on the date on which your child was born or the date on which the legal adoption of your child was finalized.

A qualified birth or adoption distribution must not exceed $5,000 per taxpayer. In addition, an eligible adoptee is any individual (other than the child of the taxpayer’s spouse) who has not reached age 18 or is physically or mentally incapable of self-support.

Amount may be repaid.

If you receive a qualified birth or adoption distribution, you can make one or more contributions to an eligible retirement plan during the 3-year period beginning on the day after the date the distribution was received. You make this repayment if you are a beneficiary of that plan, the plan accepts rollover contributions, and the total of those contributions does not exceed the amount of the qualified birth or adoption distribution. Any contribution made to the eligible retirement plan as a repayment of a qualified birth or adoption distribution may be eligible for tax-free rollover treatment.

In the case of a qualified birth or adoption distribution made on or before December 29, 2022, you can make one or more contributions after the distribution but before January 1, 2026.

Domestic abuse victim distributions.

An eligible distribution to a domestic abuse victim is a distribution to a domestic abuse victim from an applicable eligible retirement plan and made to that individual during the 1-year period beginning on any date on which the individual is a victim of domestic abuse by a spouse or domestic partner. See Notice 2024-55, available at IRS.gov/irb/2024-28_IRB#NOT-2024-55, for more information.

Distribution limits.

An eligible distribution to a domestic abuse victim must not exceed the lesser of $10,300 for 2025 or 50% of the present value of the IRA.

Emergency personal expense distributions.

An emergency personal expense distribution is a distribution from an applicable eligible retirement plan for the purposes of meeting the unforeseeable or immediate financial needs relating to necessary personal or family emergency expenses. See Notice 2024-55, available at IRS.gov/irb/2024-28_IRB#NOT-2024-55, for more information.

Distribution limits.

You are limited to taking one emergency personal expense distribution per calendar year and the amount that may be treated as an emergency personal expense distribution must not exceed the lesser of $1,000 or your total interest in the IRA minus $1,000. You are also limited in taking emergency personal expense distributions in subsequent years as you may not take this type of distribution in the following 3 calendar years unless:

- The previous distribution is repaid, or
- The total amounts contributed to the IRA after the previous distribution is at least equal to the amount of the distribution which has not been repaid.

Repayment of certain early distributions.

Contributions made to the eligible retirement plan as a repayment of one of the early distributions listed below may be eligible for tax-free rollover treatment:

- Emergency personal expense distributions,
- Domestic abuse victim distributions, and
- Terminally ill individual distributions.

You can make one or more contributions to an eligible retirement plan, including an IRA, during the 3-year period beginning on the day after the date the distribution was received.

You must be a beneficiary of the plan and the total amount you repay can't exceed the amount of the emergency personal expense, domestic abuse victim, or terminally ill individual distributions you received.

Additional 10% Tax

The additional tax on early distributions is 10% of the amount of the early distribution that you must include in your gross income. This tax is in addition to any regular income tax resulting from including the distribution in income.

The tax on early distributions doesn't apply to the part of a distribution that represents a return of your nondeductible contributions (basis).

Use Form 5329 to figure the tax. See the discussion of Form 5329, later, under *Reporting Additional Taxes* for information on filing the form.

Example.

Tom Jones, who is 35 years old, receives a $3,000 distribution from his traditional IRA account. Tom doesn't meet any of the exceptions to the 10% additional tax, so the $3,000 is an early distribution. Tom never made any nondeductible contributions to his IRA. He must include the $3,000 in his gross income for the year of the distribution and pay income tax on it. Tom must also pay an additional tax of $300 (10% (0.10) × $3,000). He files Form 5329. See the filled-in Form 5329, later.

Caution:

Early distributions of funds from a SIMPLE retirement account made within 2 years of beginning participation in the SIMPLE are subject to a 25%, rather than a 10%, early distributions tax.

Early Distribution Repayments

Certain early distributions are excepted from the 10% additional tax and may be repaid to an eligible retirement plan, which includes an IRA. These distributions are known as “early distributions whose repayments are treated as rollovers.”

Early Distribution Repayments Worksheet

1.	Total distribution amount	1.	
2.	Current year repayment amount	2.	
3.	Amount repaid in prior years	3.	
4.	Total repayments. Add lines 2 and 3	4.	
5.	Distribution amount not repaid. Subtract line 4 from line 1	5.	
6.	Basis in the IRA	6.	
7.	Value of the IRA at the end of the year	7.	
8.	Divide line 6 by line 7. Enter the result as a decimal (rounded to at least three places). This is your tax-free/taxable ratio	8.	
9.	Multiply line 2 by line 8	9.	
10.	Subtract line 9 from line 2. Reduce your AGI by this amount (in addition to any other changes you make) on your amended return	10.	

Early distributions whose repayments are treated as rollovers.

This phrase describes the following distributions:

- Qualified birth or adoption distributions.
- Terminally ill individual distributions.
- Domestic abuse victim distributions.
- Emergency personal expense distributions.

- Qualified disaster recovery distributions.

Repaying the distribution.

When you make a repayment of certain early distributions affects how you report the distribution and repayment. Generally, if you make the distribution and a repayment in the same tax year, you can report the amount of the distribution, the amount of the repayment of the distribution, and if the amount of the repayment is less than the amount of the distribution, figure and report the taxable portion of the distribution on Form 1040, line 4b.

However, if you make a repayment in a year following the year you make the distribution, you will need to amend the return for the tax year during which you made the distribution. You will lower your income for that year by reflecting the amount of the repayment.

Amend your return by using Form 1040-X, Amended U.S. Individual Income Tax Return.

Figuring the taxable amount.

When you make a repayment in a year other than the distribution year, you must figure the amount you must reduce your taxable income in the year of the distribution. If you are repaying less than the full distribution, you must figure the part of the distribution that was taxable when distributed. This will be the amount you lower your income on your amended return.

The tax-free/taxable ratio.

The tax-free/taxable ratio is the fraction arrived at by dividing the IRA's basis by the value of the IRA at the end of the year. This ratio is used to determine how much of the distribution you are repaying was taxable when distributed. This will be the amount you reduce your income on your amended return.

$$\text{Tax-free/taxable ratio} = \frac{\text{IRA Basis}}{\text{Value of the IRA at the end of the year}}$$

Amending Your Return

When you repay an early distribution, you lower the income that was taxable in the year of the distribution. You correct your taxable income for the year of the distribution by filing an amended return (Form 1040-X).

Completing your amended return.

Enter in column A, on line 1 of your Form 1040-X, the amount of your AGI on your original return or the most recent amended return, if applicable. In column B, enter the amount you're decreasing your income and enter the correct amount in Column C.

In Part II, on page 2, describe the change you're making, for example, "I am lowering my adjusted gross income to reflect the repayment of an early distribution from an IRA." Describe any other changes you are making in addition to the repayment of the early distribution and adjust the amounts on line 1 accordingly.

For more information about amending your return, see the instructions for Form 1040-X.

Excess Accumulations (Insufficient Distributions)

You can't keep amounts in your traditional IRA (including SEP and SIMPLE IRAs) indefinitely. Generally, you must begin receiving distributions by April 1 of the year following the year in which you reach age 73. The required minimum distribution for any year after the year in which you reach age 73 must be made by December 31 of that later year. See *Your required beginning date* for more information.

Tax on excess accumulations.

If distributions are less than the required minimum distribution for the year, discussed earlier under *When Must You Withdraw Assets? (Required Minimum Distributions)*, you may have to pay a 25% excise tax for that year on the amount not distributed as required.

Reduced additional tax rate for excess accumulations.

You may be subject to a reduced additional tax rate of 10% of the amount not distributed, if, during the correction window, you take a distribution of the amount on which the tax is due (the excess accumulation) and submit a tax return reflecting this additional tax.

The "correction window" ends on the earliest of the following dates:

- The date of mailing the deficiency notice with respect to the imposition of this tax,
- The date the tax is assessed, or
- The last day of the second taxable year that begins after the end of the taxable year in which the additional tax is imposed.

Reporting the tax.

Use Form 5329 to report the tax on excess accumulations. See the discussion of Form 5329, later, under *Reporting Additional Taxes* for more information on filing the form.

Request to waive the tax.

If the excess accumulation is due to reasonable error, and you have taken, or are taking, steps to remedy the insufficient distribution, you can request that the tax be waived. If you believe you qualify for this relief, attach a statement of explanation and complete Form 5329 as instructed under *Waiver of tax for reasonable cause* in the Instructions for Form 5329.

Exemption from tax.

If you are unable to take required distributions because you have a traditional IRA invested in a contract issued by an insurance company that is in state insurer delinquency proceedings, the 25% excise tax doesn't apply if the conditions and requirements of Revenue Procedure 92-10 are satisfied. Those conditions and requirements are summarized below. Revenue Procedure 92-10 is in Cumulative Bulletin 1992-1. You can read the revenue procedure at most IRS offices, at many public libraries, and online at IRS.gov.

Conditions.

To qualify for exemption from the tax, the assets in your traditional IRA must include an affected investment. Also, the amount of your required distribution must be determined as discussed earlier under *When Must You Withdraw Assets? (Required Minimum Distributions)*.

Affected investment defined.

Affected investment means an annuity contract or a guaranteed investment contract (with an insurance company) for which payments under the terms of the contract have been reduced or suspended because of state insurer delinquency proceedings against the contracting insurance company.

Requirements.

If your traditional IRA (or IRAs) includes assets other than your affected investment, all traditional IRA assets, including the available portion of your affected investment, must be used to satisfy as much as possible of your IRA distribution requirement. If the affected investment is the only asset in your IRA, as much of the required distribution as possible must come from the available portion, if any, of your affected investment.

Available portion.

The available portion of your affected investment is the amount of payments remaining after they have been reduced or suspended because of state insurer delinquency proceedings.

Make up of shortfall in distribution.

If the payments to you under the contract increase because all or part of the reduction or suspension is canceled, you must make up the amount of any shortfall in a prior distribution because of the proceedings. You make up (reduce or eliminate) the shortfall with the increased payments you receive.

You must make up the shortfall by December 31 of the calendar year following the year that you receive increased payments.

Reporting Additional Taxes

Generally, you must use Form 5329 to report the tax on excess contributions, early distributions, and excess accumulations.

Filing a tax return.

If you must file an individual income tax return, complete Form 5329 and attach it to your Form 1040, 1040-SR, or 1040-NR. Enter the total additional taxes due on Schedule 2 (Form 1040), line 8.

Not filing a tax return.

If you don't have to file a return, but do have to pay one of the additional taxes mentioned earlier, file the completed Form 5329 with the IRS at the time and place you would have filed Form 1040, 1040-SR, or 1040-NR. Be sure to include your address on page 1 and your signature and date on page 3. For payment options see the Instructions for Form 1040 or the Instructions for Form 1040-NR, or go to IRS.gov/Payments to see all your payment options.

Form 5329 not required.

You don't have to use Form 5329 if any of the following situations exist.

- Distribution code 1 (early distribution) is correctly shown in box 7 of Form 1099-R. If you don't owe any other additional tax on a distribution, multiply the taxable part of the early distribution by 10% and enter the result on Schedule 2 (Form 1040), line 8. If you don't have to file Form 5329, check the box next to the entry space after the text, “if not required, check here.” However, if you owe this tax and also owe any other additional tax on a distribution, don't enter this 10% additional tax directly on your Form 1040, 1040-SR, or 1040-NR. You must file Form 5329 to report your additional taxes.

- If you rolled over part or all of a distribution from a qualified retirement plan or IRA, the part rolled over isn't subject to the tax on early distributions.

- You have a qualified disaster distribution.

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Form 5329, page 1 Tom Jones

Form 5329 Additional Taxes on Qualified Plans (Including IRAs) and Other Tax-Favored Accounts 2025

Form 5329 Additional Taxes on Qualified Plans (Including IRAs) and Other Tax-Favored Accounts 2025

Summary: This is an example of Form 5329 (2025) as pertains to the description in the text. The line items completed are:

"Name of individual subject to additional tax. If married filing jointly, see instructions." field contains Tom Jones

"Your social security number" field contains 004-00-0000

Under"Part I: Additional Tax on Early Distributions":

"1. Early distributions included in income. For Roth IRA. distributions, see instructions" field contains 3,000

"2. Early distributions included on line 1 that aren't subject to the additional tax (see instructions)." field contains 0

"3. Amount subject to additional tax. Subtract line 2 from line 1" field contains 3,000

"4. Additional tax. Enter 10% (0.10) of line 3. Include this amount on Schedule 2 (Form 1040), line 8" field contains 300

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2. Roth IRAs

Reminders

Disaster relief. If you were affected by a qualified disaster, see chapter 3.

Designated Roth accounts. Designated Roth accounts are separate accounts under section 401(k), 403(b), or 457(b) plans that accept elective deferrals that are referred to as Roth contributions. These elective deferrals are included in your income, but qualified distributions from these accounts aren't included in your income. Designated Roth accounts aren't IRAs and shouldn’t be confused with Roth IRAs. Contributions, up to their respective limits, can be made to Roth IRAs and designated Roth accounts according to your eligibility to participate. A contribution to one doesn't impact your eligibility to contribute to the other. See Pub. 575 for more information on designated Roth accounts.

Introduction

Regardless of your age, you may be able to establish and make nondeductible contributions to an individual retirement plan called a Roth IRA.

Contributions not reported.

You don't report Roth IRA contributions on your return.

What Is a Roth IRA?

A Roth IRA is an individual retirement plan that, except as explained in this chapter, is subject to the rules that apply to a traditional IRA (defined next). It can be either an account or an annuity. Individual retirement accounts and annuities are described in *How Can a Traditional IRA Be Opened?* in chapter 1 of Pub. 590-A.

To be a Roth IRA, the account or annuity must be designated as a Roth IRA when it is opened. A deemed IRA can be a Roth IRA, a Roth SEP IRA, or a Roth SIMPLE IRA.

Unlike a traditional IRA, you can't deduct contributions to a Roth IRA. But, if you satisfy the requirements, qualified distributions (discussed later) are tax free and you can leave amounts in your Roth IRA as long as you live.

Tip:

Beginning in 2023, SEP and SIMPLE IRAs can be designated as Roth IRAs.

Traditional IRA.

A traditional IRA is any IRA that isn't a Roth IRA or SIMPLE IRA. Traditional IRAs are discussed in chapter 1.

Are Distributions Taxable?

You don't include in your gross income qualified distributions or distributions that are a return of your regular contributions from your Roth IRA(s). You also don't include distributions from your Roth IRA that you roll over tax free into another Roth IRA. You may have to include part of other distributions in your income. See *Ordering Rules for Distributions*, later.

Basis of distributed property.

The basis of property distributed from a Roth IRA is its fair market value on the date of distribution, whether or not the distribution is a qualified distribution.

Withdrawals of contributions by due date.

If you withdraw contributions (including any net earnings on the contributions) by the due date of your return for the year in which you made the contribution, the contributions are treated as if you never made them. If you have an extension of time to file your return, you can withdraw the contributions and earnings by the extended due date. The withdrawal of contributions is tax free, but you must include the earnings on the contributions in income for the year in which you made the contributions.

What Are Qualified Distributions?

A qualified distribution is any payment or distribution from your Roth IRA that meets the following requirements.

1. It is made after the 5-year period beginning with the first tax year for which a contribution was made to a Roth IRA set up for your benefit.

2. The payment or distribution is:

    a. Made on or after the date you reach age 59½,

    b. Made because you are disabled (defined earlier),

    c. Made to a beneficiary or to your estate after your death, or

    d. One that meets the requirements listed under *First home* under *Exceptions* in chapter 1 (up to a $10,000 lifetime limit).

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Figure 2-1. Is the Distribution from Your Roth IRA a Qualified Distribution?

Figure 2-1. Is the Distribution from Your Roth IRA a Qualified Distribution?

Figure 2-1. Is the Distribution from Your Roth IRA a Qualified Distribution?

Summary: This flowchart is used to determine if distributions from a Roth IRA. are taxable.

Start Here

This is the starting of the flowchart.

Decision (1)

Has it been at least 5 years from the beginning of the year for which you first opened and contributed to a Roth IRA?

IF Yes Continue To Decision (2)
IF No Continue To Process (b)

Decision (2)

Were you at least 59 1/2 years old at the time of the distribution?

IF No Continue To Decision (3)
IF Yes Continue To Process (a)

Decision (3)

Is the distribution being used to buy or rebuild a first home as Explained in First Home under when Can I Withdraw or Use Assets in chapter 1?

IF No Continue To Decision (4)
IF Yes Continue To Process (a)

Decision (4)

Is the distribution due to your being disabled (defined under Early Distributions in chapter 1)?

IF No Continue To Decision (5)
IF Yes Continue To Process (a)

Decision (5)

Was the distribution made to the owner's beneficiary or estate?

IF Yes Continue To Process (a)
IF No Continue To Process (b)

Process (a)

The distribution from the Roth IRA. is a qualified distribution. It isn't subject to tax or penalty.

Continue To End

Process (b)

The distribution from the Roth IRA. isn't a qualified distribution. The portion of the distribution allocable to earnings may be subject to tax and it may be subject to the 10% additional tax.

Continue To End

End

This is the ending of the flowchart.

Please click here for the text description of the image.

Tip:

If you were affected by a qualified disaster, see chapter 3.

Additional Tax on Early Distributions

If you receive a distribution that isn't a qualified distribution, you may have to pay the 10% additional tax on early distributions as explained in the following paragraphs.

Distributions of conversion and certain rollover contributions within 5-year period.

If, within the 5-year period starting with the first day of your tax year in which you convert an amount from a traditional IRA or roll over an amount from a qualified retirement plan to a Roth IRA, you take a distribution from a Roth IRA, you may have to pay the 10% additional tax on early distributions. You must generally pay the 10% additional tax on any amount attributable to the part of the amount converted or rolled over (the conversion or rollover contribution) that you had to include in income (recapture amount). A separate 5-year period applies to each conversion and rollover. See *Ordering Rules for Distributions*, later, to determine the recapture amount, if any.

The 5-year period used for determining whether the 10% additional tax on early distributions applies to a distribution from a conversion or rollover contribution, is separately determined for each conversion and rollover, and isn't necessarily the same as the 5-year period used for determining whether a distribution is a qualified distribution. See *What Are Qualified Distributions*, earlier.

For example, if a calendar-year taxpayer makes a conversion contribution on February 25, 2025, and makes a regular contribution for 2024 on the same date, the 5-year period for the conversion begins January 1, 2025, while the 5-year period for the regular contribution begins on January 1, 2024.

Unless one of the exceptions listed later applies, you must pay the 10% additional tax on the portion of the distribution attributable to the part of the conversion or rollover contribution that you had to include in income because of the conversion or rollover.

You must pay the 10% additional tax in the year of the distribution, even if you had included the conversion or rollover contribution in an earlier year. You must also pay the 10% additional tax on any portion of the distribution attributable to earnings on contributions.

Other early distributions.

Unless one of the exceptions listed below applies, you must pay the 10% additional tax on the taxable part of any distributions that aren't qualified distributions.

Exceptions.

You may not have to pay the 10% additional tax in the following situations.

- You have reached age 59½.
- You are totally and permanently disabled.
- You have been certified as having a terminal illness.
- You are the beneficiary of a deceased IRA owner.
- You use the distribution to buy, build, or rebuild a first home.
- The distributions are part of a series of substantially equal payments.
- You have unreimbursed medical expenses that are more than 7.5% of your AGI (defined earlier) for the year.
- You are paying medical insurance premiums during a period of unemployment.
- The distribution is a corrective distribution.
- The distributions are for your qualified higher education expenses.
- The distribution is due to an IRS levy of the IRA.
- The distribution is a qualified reservist distribution.
- The distribution is a qualified birth or adoption distribution.
- The distribution is a qualified disaster recovery distribution.
- The distribution is to a domestic abuse victim.
- The distribution is for certain emergency personal expenses.

Most of these exceptions are discussed earlier in chapter 1 under *Early Distributions*.

Tip:

If you were affected by a qualified disaster, see chapter 3.

Ordering Rules for Distributions

If you receive a distribution from your Roth IRA that isn't a qualified distribution, part of it may be taxable. There is a set order in which contributions (including conversion contributions and rollover contributions from qualified retirement plans) and earnings are considered to be distributed from your Roth IRA. For these purposes, disregard the withdrawal of excess contributions and the earnings on them (discussed under *What if You Contribute Too Much?* in chapter 2 of Pub. 590-A). Order the distributions as follows.

1. Regular contributions.
2. Conversion and rollover contributions, on a first-in, first-out basis (generally, total conversions and rollovers from the earliest year first). See *Aggregation (grouping and adding) rules*, later. Take these conversion and rollover contributions into account as follows.

a. Taxable portion (the amount required to be included in gross income because of the conversion or rollover) first.

b. Nontaxable portion.

3. Earnings on contributions.

Disregard rollover contributions from other Roth IRAs for this purpose.

Aggregation (grouping and adding) rules.

Determine the taxable amounts distributed (withdrawn) by grouping and adding together distributions and contributions as follows.

- Add together all distributions from all your Roth IRAs during the year.
- Add together all regular contributions made for the year (including contributions made after the close of the year, but before the due date of your return). Add this total to the total undistributed regular contributions made in prior years.
- Add together all conversion and rollover contributions made during the year. For purposes of the ordering rules, in the case of any conversion or rollover in which the conversion or rollover distribution is made in 2025 and the conversion or rollover contribution is made in 2026, treat the conversion or rollover contribution as contributed before any other conversion or rollover contributions made in 2026.

Add any recharacterized contributions that end up in a Roth IRA to the appropriate contribution group for the year that the original contribution would have been taken into account if it had been made directly to the Roth IRA.

Disregard any recharacterized contribution that ends up in an IRA other than a Roth IRA for the purpose of grouping (aggregating) both contributions and distributions. Also, disregard any amount withdrawn to correct an excess contribution (including the earnings withdrawn) for this purpose.

Example.

On October 15, 2021, Amelia converted all $80,000 in her traditional IRA to her Roth IRA. Her Forms 8606 from prior years show that $20,000 of the amount converted is her basis.

Amelia included $60,000 ($80,000 − $20,000) in her gross income.

On February 23, 2025, Amelia made a regular contribution of $5,000 to a Roth IRA. On November 8, 2025, at age 60, Amelia took a $7,000 distribution from her Roth IRA.

The first $5,000 of the distribution is a return of Amelia's regular contribution and isn't includible in her income.

The next $2,000 of the distribution isn't includible in income because it was included previously.

Figuring your recapture amount.

If you had an early distribution from your Roth IRAs in 2025, you must allocate the early distribution by using the Recapture Amount—Allocation Chart located in Appendix C.

Amount to include on Form 5329, line 1.

Include on line 1 of your 2025 Form 5329 the following four amounts from the Recapture Amount—Allocation Chart that you filled out.

- The amount you allocated to line 20 of your 2025 Form 8606.
- The amount(s) allocated to your 2015 through 2025 Forms 8606, line 18.
- The amount(s) allocated to your 2020 through 2025 Forms 1040, 1040-SR or 1040-NR, line 5b; 2019 Form 1040 or 1040-SR, line 4d; 2018 Form 1040, line 4b; your 2016 and 2017 Forms 1040, line 16b; Forms 1040A, line 12b; or 2015 through 2019 Forms 1040-NR, line 17b.
- The amount from your 2025 Form 8606, line 25c.

Also, include any amount you allocated to line 20 of your 2025 Form 8606 on your 2025 Form 5329, line 2, and enter exception number 09.

Illustrated Recapture Amount—Allocation Chart

Enter the amount from your 2025 Form 8606, line 19 **$85,500**

Before you begin: You will need your prior year Form(s) 8606 and income tax return(s) if you entered an amount on any line(s) as indicated below.

You will now allocate the amount you entered above (2025 Form 8606, line 19) in the order shown, to the amounts on the lines listed below (to the extent a prior year distribution wasn't allocable to the amount). The maximum amount you can enter on each line below is the amount entered on the referenced lines of the form for that year. **Note.** Once you have allocated the full amount from your 2025 Form 8606, line 19, **STOP**. See Ishmael's *Example* above.

Tax Year	Your Form			
2025	Form 8606, line 20	**$10,000**	Form 8606, line 22	**$55,500**
2005	Form 8606, line 18	**$10,000**	Form 8606, line 17	**$-0-**
2016	Form 8606, line 18; and Form 1040, line 16b; Form 1040A, line 12b; or Form 1040NR, line 17b*	**$20,000**	Form 8606, line 17; and Form 1040, line 16a; Form 1040A, line 12a; or Form 1040NR, line 17a**	**$20,000**
2025	Form 8606, line 25c	_____		

* Only include those amounts rolled over to a Roth IRA.
** Only include any contributions (usually box 5 of Form 1099-R) that were taxable to you when made and rolled over to a Roth IRA.

Example.

Ishmael opened a Roth IRA in 2000 at age 32. He made the following transactions into his Roth IRA.

- In 2005, he converted $10,000 from his traditional IRA into his Roth IRA. He filled out a 2005 Form 8606 and attached it to his 2005 Form 1040. He entered $0 on line 17 of Form 8606 because he took a deduction for all the contributions to the traditional IRA; therefore, he has no basis. He entered $10,000 on line 18 of Form 8606. He also entered zero on Form 1040, line 15a, and $10,000 on line 15b.
- In 2016, he rolled over the balance of his qualified retirement plan, $20,000, into a Roth IRA when he changed jobs. He used a 2016 Form 1040 to file his taxes. He entered $20,000 on line 16a of Form 1040 because that was the amount reported in box 1 of his 2016 Form 1099-R. Box 5 of his 2016 Form 1099-R reported $0 because he didn't make any after-tax contributions to the qualified retirement plan. He entered $20,000 on line 16b of Form 1040 because that is the taxable amount that was rolled over in 2016.

The total balance in his Roth IRA as of January 1, 2025, was $105,000 ($50,000 in contributions from 2000 through 2024 + $10,000 from the 2005 conversion + $20,000 from the 2016 rollover + $25,000 from earnings). He hasn't taken any early distribution from his Roth IRA before 2025. In 2025, he made a contribution of $5,500 to his Roth IRA.

In August 2025 he took a $85,500 early distribution from his Roth IRA to use as a down payment on the purchase of his first home. See his filled out Illustrated Recapture Amount Allocation Chart to see how he allocated the amounts from the above transactions. Based on his allocation, he would enter $20,000 on his 2025 Form 5329, line 1 (see *Amount to include on Form 5329, line 1*, earlier). He should also report $10,000 on his 2025 Form 5329, line 2, and enter exception 09 because that amount isn't subject to the 10% additional tax on early distributions.

How Do You Figure the Taxable Part?

To figure the taxable part of a distribution that isn't a qualified distribution, complete Form 8606, Part III.

Must You Withdraw or Use Assets?

You aren't required to take distributions from your Roth IRA at any age. The minimum distribution rules that apply to traditional IRAs don't apply to Roth IRAs while the owner is alive. However, after the death of a Roth IRA owner, certain minimum distribution rules that apply to traditional IRAs also apply to Roth IRAs, as explained later under *Distributions After Owner's Death*.

Minimum distributions.

You can't use your Roth IRA to satisfy minimum distribution requirements for your traditional IRA. Nor can you use distributions from traditional IRAs for required distributions from Roth IRAs. See *Distributions to beneficiaries*, later.

Distributions After Owner's Death

If a Roth IRA owner dies, the minimum distribution rules that apply to traditional IRAs apply to Roth IRAs as though the Roth IRA owner died before their required beginning date. See *When Can You Withdraw or Use Assets?* in chapter 1.

Distributions to beneficiaries.

Generally, the entire interest in the Roth IRA must be distributed by the end of the 5th or 10th calendar year, as applicable, after the year of the owner's death unless the interest is payable to an eligible designated beneficiary over the life or life expectancy of the eligible designated beneficiary. See *When Must You Withdraw Assets? (Required Minimum Distributions)* in chapter 1.

If paid as an annuity, the entire interest must be payable over a period not greater than the designated beneficiary's life expectancy and distributions must begin before the end of the calendar year following the year of death. Distributions from another Roth IRA can't be substituted for these distributions unless the other Roth IRA was inherited from the same decedent.

If the sole beneficiary is the spouse, they can either delay distributions until the decedent would have reached age 73 or treat the Roth IRA as their own.

Combining with other Roth IRAs.

A beneficiary can combine an inherited Roth IRA with another Roth IRA maintained by the beneficiary only if the beneficiary either:

- Inherited the other Roth IRA from the same decedent, or
- Was the spouse of the decedent and the sole beneficiary of the Roth IRA and elects to treat it as their own IRA.

Distributions that aren't qualified distributions.

If a distribution to a beneficiary isn't a qualified distribution, it is generally includible in the beneficiary's gross income in the same manner as it would have been included in the owner's income had it been distributed to the IRA owner when they were alive.

If the owner of a Roth IRA dies before the end of:

- The 5-year period beginning with the first tax year for which a contribution was made to a Roth IRA set up for the owner's benefit, or
- The 5-year period starting with the year of a conversion contribution from a traditional IRA or a rollover from a qualified retirement plan to a Roth IRA,

then each type of contribution is divided among multiple beneficiaries according to the pro-rata share of each. See *Ordering Rules for Distributions*, earlier.

Example.

When Ms. Hibbard died in 2025, her Roth IRA contained regular contributions of $4,000, a conversion contribution of $10,000 that was made in 2021, and earnings of $2,000. No distributions had been made from her IRA. She had no basis in the conversion contribution in 2021.

When she established this Roth IRA (her first) in 2021, she named each of her four children as equal beneficiaries. Each child will receive one-fourth of each type of contribution and one-fourth of the earnings. An immediate distribution of $4,000 to each child will be treated as $1,000 from regular contributions, $2,500 from conversion contributions, and $500 from earnings.

In this case, because the distributions are made before the end of the applicable 5-year period for a qualified distribution, each beneficiary includes $500 in income for 2025. The 10% additional tax on early distributions doesn't apply because the distribution was made to the beneficiaries as a result of the death of the IRA owner.

Caution:

If distributions from an inherited Roth IRA are less than the required minimum distribution for the year, discussed in chapter 1 under When Must You Withdraw Assets? (Required Minimum Distributions), you may have to pay a 25% excise tax for that year on the amount not distributed as required. For the tax on excess accumulations (insufficient distributions), see *Excess Accumulations (Insufficient Distributions)* under *What Acts Result in Penalties or Additional Taxes?* in chapter 1. If this applies to you, substitute “Roth IRA” for “traditional IRA” in that discussion.

3. Disaster-Related Relief

Introduction

Special rules apply to tax-favored withdrawals, income inclusion, and repayments for individuals who suffered economic losses as a result of certain major disasters. See *Qualified Disaster Recovery Distributions*, later, for more information.

The principles set forth in Notice 2005-92, 2005-51 I.R.B. 1165, available at IRS.gov/IRB/2020-28_IRB (which provides guidance on the tax-favored treatment of distributions for victims of Hurricane Katrina), generally also apply to these rules.

If you received a qualified disaster recovery distribution, it is taxable, but isn't subject to the 10% additional tax on early distributions. (Use Form 8915-F to figure the taxable portion of the distribution.) However, the distribution is included in income ratably over 3 years unless you elect to report the entire amount in the year of distribution. For example, if you received an $18,000 qualified disaster recovery distribution in 2021, you can include $6,000 in your income in 2021, 2022, and 2023. However, you can elect to include the entire distribution in your income in the year it was received. Also, you can repay the distribution and not be taxed on the distribution. See *Repayment of Qualified Disaster Recovery Distributions*, later.

If you received a distribution from an eligible retirement plan to purchase or construct a main home but didn't purchase or construct a main home because of a major disaster, you may be able to repay the distribution and not pay income tax or the 10% additional tax on early distributions. See *Recontribution of Qualified Disaster Recovery Distributions for the Purchase or Construction of a Main Home*, later.

Use Form 8915-F to report qualified disaster recovery distributions and repayments. Also report repayments of qualified disaster recovery distributions for home purchases and construction that were canceled because of qualified disasters on Form 8915-F.

Qualified Disaster Recovery Distributions

Qualified disaster recovery distributions.

A qualified disaster recovery distribution is a qualified disaster distribution that meets certain criteria as described in the SECURE 2.0 Act of 2022. It is a distribution made from an eligible retirement plan to an individual whose main home was in a qualified disaster area during the period described in *Qualified disaster recovery distribution*, later. This individual must have sustained an economic loss because of the disaster.

Main home (principal place of abode).

Generally, your main home is the home where you live most of the time. A temporary absence due to special circumstances, such as illness, education, business, military service, evacuation, or vacation, won't change your main home.

Qualified disaster.

A qualified disaster means any major disaster declared by the President under section 401 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act after December 27, 2020.

Qualified disaster area.

A qualified disaster area means any area with respect to which the major disaster was declared under the Robert T. Stafford Disaster Relief and Emergency Assistance Act.

Incident period.

The incident period for any qualified disaster is the period specified by the Federal Emergency Management Agency (FEMA) as the period during which the disaster occurred.

Qualified disaster recovery distribution.

A qualified disaster recovery distribution is any distribution:

- Made on or after the first day of the incident period of a qualified disaster and before the date that is 180 days after the applicable date with respect to such disaster; and
- Made to an individual whose principal place of abode at any time during the incident period of such qualified disaster is located in the qualified disaster area; and
- That individual has sustained an economic loss by reason of such qualified disaster.

Applicable date.

The term applicable date means the latest of:

- December 29, 2022;
- The first date of the incident period for the qualified disaster; or
- The declaration date of the qualified disaster.

Distribution limit for qualified disaster recovery distributions.

The total of your qualified disaster recovery distributions from all plans is limited to $22,000 per disaster. If you take distributions from more than one type of plan, such as a 401(k) plan and an IRA, and the total amount of your distribution exceeds $22,000, you may allocate the $22,000 limit among the plans by any reasonable method you choose.

Example.

In 2021, you received a distribution of $16,000 related to a disaster. In 2022, you receive a distribution of $10,000 for the same disaster. Separately, each distribution meets the requirements for a qualified disaster recovery distribution. If you decide to treat the entire $16,000 received in 2021 as a qualified disaster distribution, only $6,000 of the 2022 distribution can be treated as a qualified disaster recovery distribution for the same disaster.

Economic loss.

Qualified disaster recovery distributions are permitted without regard to your need or the actual amount of your economic loss. Examples of an economic loss include, but aren't limited to:

1. Loss, damage to, or destruction of real or personal property from fire, flooding, looting, vandalism, theft, wind, or other cause;
2. Loss related to displacement from your home; or
3. Loss of livelihood due to temporary or permanent layoffs.

Eligible retirement plan.

An eligible retirement plan can be any of the following.

- A qualified pension, profit-sharing, or stock bonus plan (including a 401(k) plan).
- The federal Thrift Savings Plan.
- A qualified annuity plan.
- A tax-sheltered annuity contract.

- A governmental section 457 deferred compensation plan.
- A traditional, SEP, SIMPLE, or Roth IRA (including Roth SEP and SIMPLE IRAs).

Taxation of Qualified Disaster Recovery Distributions

Qualified disaster recovery distributions are included in income in equal amounts over 3 years. However, if you elect, you can include the entire distribution in your income in the year it was received.

Qualified disaster recovery distributions aren't subject to the 10% additional tax (or the additional 25% tax for certain distributions from SIMPLE IRAs) on early distributions from qualified retirement plans (including IRAs). Also, if you are receiving substantially equal periodic payments from a qualified retirement plan, the receipt of a qualified disaster recovery distribution from that plan won't be treated as a change in those substantially equal payments merely because of that distribution. However, any distributions you received in excess of the $22,000 qualified disaster recovery distribution limit may be subject to the 10% additional tax on early distributions.

Repayment of Qualified Disaster Recovery Distributions

If you choose, you can generally repay any portion of a qualified disaster recovery distribution that is eligible for tax-free rollover treatment to an eligible retirement plan. Also, you can repay a qualified disaster distribution made on account of a hardship from a retirement plan. However, see *Exceptions*, later, for qualified disaster distributions (or qualified disaster recovery distributions) you cannot repay.

You have 3 years from the day after the date you received the qualified disaster recovery distribution to make a repayment. The amount of your repayment can't be more than the amount of the original distribution. Amounts that are repaid are treated as trustee-to-trustee transfers and are not included in income. Also, for purposes of the one-rollover-per-year limitation for IRAs, a repayment to an IRA is not considered a rollover.

For more information on how to report distributions and repayments, see the Instructions for Form 8915-F.

Exceptions.

You cannot repay the following types of distributions.

1. Qualified disaster recovery distributions received as a beneficiary (other than as a surviving spouse).
2. Required minimum distributions.
3. Periodic payments (other than from an IRA) that are for:
    a. A period of 10 years or more,
    b. Your life or life expectancy, or
    c. The joint lives or joint life expectancies of you and your beneficiary.

Repayment of distributions if reporting under the 1-year election.

If you elect to include all of your qualified disaster recovery distributions received in a year in income for that year and then repay any portion of the distribution during the allowable 3-year period, the amount repaid will reduce the amount included in income for the year of distribution. If the repayment is made after the due date (including extensions) for your return for the year of distribution, you will need to file, with an amended return, a revised Form 8915-F. See *Amending Your Return*, later.

Example.

Maria received a $19,000 qualified disaster recovery distribution on February 15, 2025. After receiving a reimbursement from her insurance company for a casualty loss, Maria repays $19,000 of the qualified disaster recovery distribution on September 10, 2025. She reports the distribution and repayment on Form 8915-F, which she files with her timely filed 2025 tax return. As a result, no portion of the distribution is included in income on her return.

Repayment of distributions if reporting under the 3-year method.

If you are reporting the distribution in income over the 3-year period and you repay any portion of the distribution to an eligible retirement plan before filing your tax return, the repayment will reduce the portion of the distribution that is included in income for the year. If you repay a portion after the due date (including extensions) for filing your return, the repayment will reduce the portion of the distribution that is included in income on your next year's return, unless you are eligible to amend your applicable prior year return or returns. (This would be a return for a year beginning the year of the distribution and included in the 3-year period.)

Tip:

If, during a year in the 3-year period, you repay more than is otherwise includible in income for that year, the excess may be carried forward or back to reduce the amount included in income for the year.

Example.

John received an $18,000 qualified disaster recovery distribution on November 15, 2025. He doesn't elect to include the entire distribution in his 2025 income but elects to include $6,000 on each of his 2025, 2026, and 2027 tax returns. On November 10, 2026, John repays $9,000. He makes no other repayments during the allowable 3-year period. John may report the distribution and repayment in either of the following two ways.

- Report $0 in income on his 2026 return and carry the $3,000 excess repayment ($9,000 – $6,000) forward to 2027 and reduce the amount reported in that year to $3,000.
- Report $0 in income on his 2026 return, report $6,000 on his 2027 return, and file an amended return for 2025 to reduce the amount previously included in income to $3,000 ($6,000 – $3,000).

Reporting repayments.

See Form 8915-F if you received a qualified distribution that you repaid, in whole or in part, before June 18, 2020 (June 25, 2021, for qualified 2020 distributions). Also, use Form 8915-F for qualified disaster recovery distributions that you receive as a result of qualified disasters occurring after January 25, 2021.

Recontribution of Qualified Disaster Recovery Distributions for the Purchase or Construction of a Main Home

If you received a qualified disaster recovery distribution to purchase or construct a main home in certain major disaster areas, you can recontribute all or any part of that distribution to an eligible retirement plan.

Applicable recontribution period.

You can make this recontribution (or recontributions) on or after the first day of the incident period of a qualified disaster under the SECURE 2.0 Act of 2022 and ending on the date that is 180 days after the applicable date for that disaster.

Qualified home purchase distribution.

To be a qualified distribution for the purpose of a home purchase or construction, the distribution must meet all of the following requirements.

1. The distribution is a hardship distribution from a 401(k) plan or a tax-sheltered annuity plan (403(b) plan), or a qualified first-time homebuyer distribution from an IRA.

2. The distribution was received during the period beginning on the date which is 180 days before the first day of the incident period of the qualified disaster and ending on the date which is 30 days after the last day of such incident period.

3. The distribution was to be used to purchase or construct a main home in the disaster area and the home was not purchased or constructed because of the disaster.

Any amount that is recontributed during the applicable recontribution period, is treated as a trustee-to-trustee transfer and is not included in income. Also, for purposes of the one-rollover-per-year limitation for IRAs, a recontribution to an IRA is not considered a rollover.

A qualified disaster recovery distribution not recontributed during the applicable recontribution period may be taxable for the year distributed and subject to the 10% additional tax (or the additional 25% tax for certain SIMPLE IRAs) on early distributions.

See Form 8915-F if you received a qualified distribution that you recontributed, in whole or in part, before the applicable recontribution period.

Additional Disaster Relief Issues

Amending Your Return

If, after filing your original return, you make a repayment, the repayment may reduce the amount of your qualified disaster distributions that were previously included in income. Depending on when a repayment is made, you may need to refigure your taxable income and file an amended tax return.

If you make a repayment by the due date of your original return (including extensions), include the repayment on your amended return.

If you make a repayment after the due date of your original return (including extensions), include it on your amended return only if either of the following applies.

- You elected to include all of your qualified disaster recovery distributions in income in the year of the distribution (not over 3 years) on your original return.

- The amount of the repayment exceeds the portion of the qualified disaster recovery distributions that are includible in income for 2025 and you choose to carry the excess back to your 2024 or 2023 tax return.

Example.

You received a qualified disaster recovery distribution in the amount of $18,000 on October 16, 2023. You choose to spread the $18,000 over 3 years ($6,000 in income for 2023, 2024, and 2025). On November 19, 2025, you make a repayment of $9,000. For 2025, none of the qualified disaster distribution is includible in income. The excess repayment of $3,000 can be carried back to 2024 or 2023, as applicable.

File Form 1040-X to amend a return you have already filed. Generally, Form 1040-X must be filed within 3 years after the date the original return was filed, or within 2 years after the date the tax was paid, whichever is later.

Mandatory 60-Day Postponement

Certain taxpayers affected by a federally declared disaster that is declared after December 20, 2019, may be eligible for a mandatory 60-day postponement for certain tax deadlines such as filing or paying income, excise, and employment taxes; and making contributions to a traditional IRA or Roth IRA.

The period beginning on the earliest incident date specified in the disaster declaration and ending on the date that is 60 days after either the earliest incident date or the date of the declaration, whichever is later, is the period during which the deadlines are postponed.

For information about disaster relief available in your area, including postponements, go to IRS News Around the Nation.

How To Get Tax Help

If you have questions about a tax issue; need help preparing your tax return; or want to download free publications, forms, or instructions, go to IRS.gov to find resources that can help you right away.

Tax reform.

Tax reform legislation impacting federal taxes, credits, and deductions was enacted in P.L. 119-21, commonly known as the One Big Beautiful Bill Act, on July 4, 2025. Go to IRS.gov/OBBB for more information and updates on how this legislation affects your taxes.

Preparing and filing your tax return.

After receiving all your wage and earnings statements (Forms W-2, W-2G, 1099-R, 1099-MISC, 1099-NEC, etc.); unemployment compensation statements (by mail or in a digital format) or other government payment statements (Form 1099-G); and interest, dividend, and retirement statements from banks and investment firms (Forms 1099), you have several options to choose from to prepare and file your tax return. You can prepare the tax return yourself, see if you qualify for free tax preparation, or hire a tax professional to prepare your return.

Free options for tax preparation.

Your options for preparing and filing your return online or in your local community, if you qualify, include the following.

- **Free File.** This program lets you prepare and file your federal individual income tax return for free using software or Free File Fillable Forms. However, state tax preparation may not be available through Free File. Go to IRS.gov/FreeFile to see if you qualify for free online federal tax preparation, e-filing, and direct deposit or payment options.

- **VITA.** The Volunteer Income Tax Assistance (VITA) program offers free tax help to people with low-to-moderate incomes, persons with disabilities, and limited-English-speaking taxpayers who need help preparing their own tax returns. Go to IRS.gov/VITA, download the free IRS2Go app, or call 800-906-9887 for information on free tax return preparation.

- **TCE.** The Tax Counseling for the Elderly (TCE) program offers free tax help for all taxpayers, particularly those who are 60 years of age and older. TCE volunteers specialize in answering questions about pensions and retirement-related issues unique to seniors. Go to IRS.gov/TCE or download the free IRS2Go app for information on free tax return preparation.

- **MilTax.** Members of the U.S. Armed Forces and qualified veterans may use MilTax, a free tax service offered by the Department of Defense through Military OneSource. For more information, go to MilitaryOneSource (MilitaryOneSource.mil/MilTax).

Also, the IRS offers Free Fillable Forms, which can be completed online and then e-filed regardless of income.

Using online tools to help prepare your return.

Go to IRS.gov/Tools for the following.

- The Earned Income Tax Credit Assistant (IRS.gov/EITCAssistant) determines if you're eligible for the earned income credit (EITC).
- The Online EIN Application (IRS.gov/EIN) helps you get an employer identification number (EIN) at no cost.
- The Tax Withholding Estimator (IRS.gov/W4App) makes it easier for you to estimate the federal income tax you want your employer to withhold from your paycheck. This is tax withholding. See how your withholding affects your refund, take-home pay, or tax due.
- The Sales Tax Deduction Calculator (IRS.gov/SalesTax) figures the amount you can claim if you itemize deductions on Schedule A (Form 1040).

.This is an Image: compute.gif **Getting answers to your tax questions.** *On IRS.gov, you can get up-to-date information on current events and changes in tax law.*.

- IRS.gov/Help: A variety of tools to help you get answers to some of the most common tax questions.
- IRS.gov/ITA: The Interactive Tax Assistant, a tool that will ask you questions and, based on your input, provide answers on a number of tax topics.
- IRS.gov/Forms: Find forms, instructions, and publications. You will find details on the most recent tax changes and interactive links to help you find answers to your questions.
- You may also be able to access tax information in your e-filing software.

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Need someone to prepare your tax return?

There are various types of tax return preparers, including enrolled agents, certified public accountants (CPAs), accountants, and many others who don't have professional credentials. If you choose to have someone prepare your tax return, choose that preparer wisely. A paid tax preparer is:

- Primarily responsible for the overall substantive accuracy of your return,
- Required to sign the return, and
- Required to include their preparer tax identification number (PTIN).

.This is an Image: caution.gif*Although the tax preparer always signs the return, you're ultimately responsible for providing all the information required for the preparer to accurately prepare your return and for the accuracy of every item reported on the return. Anyone paid to prepare tax returns for others should have a thorough understanding of tax matters. For more information on how to choose a tax preparer, go to* Tips for Choosing a Tax Preparer *on IRS.gov.*.

Employers can register to use Business Services Online.

The Social Security Administration (SSA) offers online service at SSA.gov/employer for fast, free, and secure W-2 filing options to CPAs, accountants, enrolled agents, and individuals who process Form W-2, Wage and Tax Statement; and Form W-2c, Corrected Wage and Tax Statement.

Business tax account.

If you are a sole proprietor, a partnership, an S corporation, a C corporation, or a single-member limited liability company (LLC), you can view your tax information on record with the IRS and do more with a business tax account. Go to IRS.gov/BusinessAccount for more information.

IRS social media.

Go to IRS.gov/SocialMedia to see the various social media tools the IRS uses to share the latest information on tax changes, scam alerts, initiatives, products, and services. At the IRS, privacy and security are our highest priority. We use these tools to share public information with you. **Don't** post your social security number (SSN) or other confidential information on social media sites. Always protect your identity when using any social networking site.

The following IRS YouTube channels provide short, informative videos on various tax-related topics in English and ASL.

- Youtube.com/irsvideos.
- Youtube.com/irsvideosASL.

Over-the-Phone Interpreter (OPI) Service.

The IRS offers the OPI Service to taxpayers needing language interpretation. The OPI Service is available at Taxpayer Assistance Centers (TACs), most IRS offices, and every VITA/TCE tax return site. This service is available in Spanish, Mandarin, Cantonese, Korean, Vietnamese, Russian, and Haitian Creole.

Accessibility Helpline available for taxpayers with disabilities.

Taxpayers who need information about accessibility services can call 833-690-0598. The Accessibility Helpline can answer questions related to current and future accessibility products and services available in alternative media formats (for example, braille-ready, large print, audio, etc.). The Accessibility Helpline does not have access to your IRS account. For help with tax law, refunds, or account-related issues, go to IRS.gov/LetUsHelp.

Alternative media preference.

Form 9000, Alternative Media Preference, or Form 9000(SP) allows you to elect to receive certain types of written correspondence in the following formats.

- Standard Print.
- Large Print.
- Braille.
- Audio (MP3).
- Plain Text File (TXT).
- Braille-Ready File (BRF).

Disasters.

Go to IRS.gov/DisasterRelief to review the available disaster tax relief.

Getting tax forms and publications.

Go to IRS.gov/Forms to view, download, or print all the forms, instructions, and publications you may need. Or you can go to IRS.gov/OrderForms to place an order.

Mobile-friendly forms.

You'll need an IRS Online Account (OLA) to complete mobile-friendly forms that require signatures. You'll have the option to submit your form(s) online or download a copy for mailing. You'll need scans of your documents to support your submission. Go to IRS.gov/MobileFriendlyForms for more information.

Getting tax publications and instructions in eBook format.

Download and view most tax publications and instructions (including the Instructions for Form 1040) on mobile devices as eBooks at IRS.gov/eBooks.

IRS eBooks have been tested using Apple's iBooks for iPad. Our eBooks haven't been tested on other dedicated eBook readers, and eBook functionality may not operate as intended.

Access your online account (individual taxpayers only).

Go to IRS.gov/Account to securely access information about your federal tax account.

- View the amount you owe and a breakdown by tax year.
- See payment plan details or apply for a new payment plan.
- Make a payment or view 5 years of payment history and any pending or scheduled payments.
- Access your tax records, including key data from your most recent tax return, and transcripts.
- View digital copies of select notices from the IRS.
- Approve or reject authorization requests from tax professionals.

Get a transcript of your return.

With an online account, you can access a variety of information to help you during the filing season. You can get a transcript, review your most recently filed tax return, and get your adjusted gross income. Create or access your online account at IRS.gov/Account.

Tax Pro Account.

This tool lets your tax professional submit an authorization request to access your individual taxpayer IRS OLA. For more information, go to IRS.gov/TaxProAccount.

Using direct deposit.

The safest and easiest way to receive a tax refund is to *e-file* and choose direct deposit, which securely and electronically transfers your refund directly into your financial account. Direct deposit also avoids the possibility that your check could be lost, stolen, destroyed, or returned undeliverable to the IRS. Eight in 10 taxpayers use direct deposit to receive their refunds. If you don't have a bank account, go to IRS.gov/DirectDeposit for more information on where to find a bank or credit union that can open an account online.

Reporting and resolving your tax-related identity theft issues.

- Tax-related identity theft happens when someone steals your personal information to commit tax fraud. Your taxes can be affected if your SSN is used to file a fraudulent return or to claim a refund or credit.
- The IRS doesn't initiate contact with taxpayers by email, text messages (including shortened links), telephone calls, or social media channels to request or verify personal or financial information. This includes requests for personal identification numbers (PINs), passwords, or similar information for credit cards, banks, or other financial accounts.
- Go to IRS.gov/IdentityTheft, the IRS Identity Theft Central webpage, for information on identity theft and data security protection for taxpayers, tax professionals, and businesses. If your SSN has been lost or stolen or you suspect you're a victim of tax-related identity theft, you can learn what steps you should take.
- Get an Identity Protection PIN (IP PIN). IP PINs are six-digit numbers assigned to taxpayers to help prevent the misuse of their SSNs on fraudulent federal income tax returns. When you have an IP PIN, it prevents someone else from filing a tax return with your SSN. To learn more, go to IRS.gov/IPPIN.

Ways to check on the status of your refund.

- Go to IRS.gov/Refunds.
- Download the official IRS2Go app to your mobile device to check your refund status.
- Call the automated refund hotline at 800-829-1954.

.This is an Image: caution.gif*The IRS can't issue refunds before mid-February for returns that claimed the EITC or the additional child tax credit (ACTC). This applies to the entire refund, not just the portion associated with these credits.*.

Making a tax payment.

The IRS recommends paying electronically whenever possible. Options to pay electronically are included in the list below. Payments of U.S. tax must be remitted to the IRS in U.S. dollars. Digital assets are **not** accepted. Go to IRS.gov/Payments for information on how to make a payment using any of the following options.

- IRS Direct Pay: Pay taxes from your bank account. It's free and secure, and no sign-in is required. You can change or cancel within 2 days of scheduled payment.
- Debit Card, Credit Card, or Digital Wallet: Choose an approved payment processor to pay online or by phone.
- Electronic Funds Withdrawal: Schedule a payment when filing your federal taxes using tax return preparation software or through a tax professional.
- Electronic Federal Tax Payment System: This is the best option for businesses. Enrollment is required.
- Check or Money Order: Mail your payment to the address listed on the notice or instructions.
- Cash: You may be able to pay your taxes with cash at a participating retail store.
- Same-Day Wire: You may be able to do same-day wire from your financial institution. Contact your financial institution for availability, cost, and time frames.

Note:

The IRS uses the latest encryption technology to ensure that the electronic payments you make online, by phone, or from a mobile device using the IRS2Go app are safe and secure. Paying electronically is quick and easy.

What if I can't pay now?

Go to IRS.gov/Payments for more information about your options.

- Apply for an online payment agreement (IRS.gov/OPA) to meet your tax obligation in monthly installments if you can't pay your taxes in full today. Once you complete the online process, you will receive immediate notification of whether your agreement has been approved.
- Use the Offer in Compromise Pre-Qualifier to see if you can settle your tax debt for less than the full amount you owe. For more information on the Offer in Compromise program, go to IRS.gov/OIC.

Filing an amended return.

Go to IRS.gov/1040X for information and updates.

Checking the status of your amended return.

Go to IRS.gov/WMAR to track the status of Form 1040-X amended returns.

.This is an Image: caution.gif*It can take up to 3 weeks from the date you filed your amended return for it to show up in our system, and processing it can take up to 16 weeks.*.

Understanding an IRS notice or letter you've received.

Go to IRS.gov/Notices to find additional information about responding to an IRS notice or letter.

IRS Document Upload Tool.

You may be able to use the Document Upload Tool to respond digitally to eligible IRS notices and letters by securely uploading required documents online through IRS.gov. For more information, go to IRS.gov/DUT.

Schedule LEP.

You can use Schedule LEP (Form 1040), Request for Change in Language Preference, to state a preference to receive notices, letters, or other written communications from the IRS in an alternative language. You may not immediately receive written communications in the requested language. The IRS's commitment to LEP taxpayers is part of a multi-year timeline that began providing translations in 2023. You will continue to receive communications, including notices and letters, in English until they are translated to your preferred language.

Contacting your local TAC.

Keep in mind, many questions can be answered on IRS.gov without visiting a TAC. Go to IRS.gov/LetUsHelp for the topics people ask about most. If you still need help, TACs provide tax help when a tax issue can't be handled online or by phone. All TACs now provide service by appointment, so you'll know in advance that you can get the service you need without long wait times. Before you visit, go to IRS.gov/TAC to find the nearest TAC and to check hours, available services, and appointment options. Or, on the IRS2Go app, under the Stay Connected tab, choose the Contact Us option and click on "Local Offices."

Below is a message to you from the Taxpayer Advocate Service, an independent organization established by Congress.

The Taxpayer Advocate Service (TAS) Is Here To Help You

What Is the Taxpayer Advocate Service?

The Taxpayer Advocate Service (TAS) is an independent organization within the Internal Revenue Service (IRS). TAS helps taxpayers resolve problems with the IRS, makes administrative and legislative recommendations to prevent or correct the problems, and protects taxpayer rights. We work to ensure that every taxpayer is treated fairly and that you know and understand your rights under the Taxpayer Bill of Rights. We are Your Voice at the IRS.

How Can TAS Help Me?

TAS can help you resolve problems that you haven't been able to resolve with the IRS on your own. Always try to resolve your problem with the IRS first, but if you can't, then come to TAS. Our services are free.

- TAS helps all taxpayers (and their representatives), including individuals, businesses, and exempt organizations. You may be eligible for TAS help if your IRS problem is causing financial difficulty, if you've tried and been unable to resolve your issue with the IRS, or if you believe an IRS system, process, or procedure just isn't working as it should.
- To get help any time with general tax topics, visit www.TaxpayerAdvocate.IRS.gov. The site can help you with common tax issues and situations, such as what to do if you make a mistake on your return or if you get a notice from the IRS.
- TAS works to resolve large-scale (systemic) problems that affect many taxpayers. You can report systemic issues at www.IRS.gov/SAMS. (Be sure not to include any personal identifiable information.)

How Do I Contact TAS?

TAS has offices in every state, the District of Columbia, and Puerto Rico. To find your local advocate's number:

- Go to www.TaxpayerAdvocate.IRS.gov/Contact-Us,
- Check your local directory, or
- Call TAS toll free at 877-777-4778.

What Are My Rights as a Taxpayer?

The Taxpayer Bill of Rights describes ten basic rights that all taxpayers have when dealing with the IRS. Go to www.TaxpayerAdvocate.IRS.gov/Taxpayer-Rights for more information about the rights, what they mean to you, and how they apply to specific situations you may encounter with the IRS. TAS strives to protect taxpayer rights and ensure the IRS is administering the tax law in a fair and equitable way.

Appendices

To help you complete your tax return, use the following appendices that include worksheets and tables.

1. **Appendices A-1, A-2, and A-3**—Worksheets for Determining Required Minimum Distributions.
2. **Appendix B**—Life Expectancy Tables. These tables are included to assist you in computing your required minimum distribution amount if you haven't taken all your assets from all your traditional IRAs before age 70½ , age 72, or age 73, whichever applies.

a. Table I (Single Life Expectancy).

b. Table II (Joint Life and Last Survivor Expectancy).

c. Table III (Uniform Lifetime).

3. **Appendix C**—Recapture Amount—Allocation Chart. This chart allocates amounts that comprise an early distribution.

4. **Appendix D**—Qualified Charitable Deduction (QCD) Adjustment Worksheet. This worksheet makes the adjustment needed to figure the current year's allowable qualified charitable deduction.

Appendix A-1.Worksheet for Determining Required Minimum Distributions

Age 73 Worksheet.

Use this table if you reach age 72 after December 31, 2022.

1. Age	73	74	75	76	77
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					
1. Age	78	79	80	81	82
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					
1. Age	83	84	85	86	87
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					

1. Age	88	89	90	91	92
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					

[1] If you have more than one IRA, you must figure the required distribution separately for each IRA.

[2] Use the appropriate life expectancy or applicable denominator for each year and for each IRA.

[3] If you have more than one IRA, you must withdraw an amount equal to the total of the required distributions figured for each IRA. You can, however, withdraw the total from one IRA or from more than one IRA.

Appendix A-2.Worksheet for Determining Required Minimum Distributions

Age 72 Worksheet.

Use this table if you were age 70½ after December 31, 2019, but had not reached age 72 before January 1, 2023.

1. Age	72	73	74	75	76
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					
1. Age	77	78	79	80	81
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					
1. Age	82	83	84	85	86
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					

4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					
1. Age	87	88	89	90	91
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					

[1] If you have more than one IRA, you must figure the required distribution separately for each IRA.

[2] Use the appropriate life expectancy or applicable denominator for each year and for each IRA.

[3] If you have more than one IRA, you must withdraw an amount equal to the total of the required distributions figured for each IRA. You can, however, withdraw the total from one IRA or from more than one IRA.

Appendix A-3.Worksheet for Determining Required Minimum Distributions

Age 70½ Worksheet.

Use this table if you were age 70½ before January 1, 2020.

1. Age	70½	71½	72½	73½	74½
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					
1. Age	75½	76½	77½	78½	79½
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					
1. Age	80½	81½	82½	83½	84½

2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					
1. Age	85½	86½	87½	88½	89½
2. Year age was reached					
3. Value of IRA at the close of business on December 31 of the year immediately prior to the year on line 2[1]					
4. Applicable denominator from Table III or life expectancy from Life Expectancy Table I or Table II [2]					
5. Required distribution (divide line 3 by line 4)[3]					

[1] If you have more than one IRA, you must figure the required distribution separately for each IRA.

[2] Use the appropriate life expectancy or applicable denominator for each year and for each IRA.

[3] If you have more than one IRA, you must withdraw an amount equal to the total of the required distributions figured for each IRA. You can, however, withdraw the total from one IRA or from more than one IRA.

Appendix B. Life Expectancy Tables

Table I
(Single Life Expectancy)
(For Use by Beneficiaries)

Age	Life Expectancy	Age	Life Expectancy
0	84.6	30	55.3
1	83.7	31	54.4
2	82.8	32	53.4
3	81.8	33	52.5
4	80.8	34	51.5
5	79.8	35	50.5
6	78.8	36	49.6
7	77.9	37	48.6
8	76.9	38	47.7
9	75.9	39	46.7
10	74.9	40	45.7
11	73.9	41	44.8
12	72.9	42	43.8
13	71.9	43	42.9
14	70.9	44	41.9
15	69.9	45	41.0

16	69.0	46	40.0
17	68.0	47	39.0
18	67.0	48	38.1
19	66.0	49	37.1
20	65.0	50	36.2
21	64.1	51	35.3
22	63.1	52	34.3
23	62.1	53	33.4
24	61.1	54	32.5
25	60.2	55	31.6
26	59.2	56	30.6
27	58.2	57	29.8
28	57.3	58	28.9
29	56.3	59	28.0

Appendix B. (Continued)

Table I
(Single Life Expectancy)
(For Use by Beneficiaries)

Age	Life Expectancy	Age	Life Expectancy
60	27.1	91	5.3
61	26.2	92	4.9
62	25.4	93	4.6
63	24.5	94	4.3
64	23.7	95	4.0
65	22.9	96	3.7
66	22.0	97	3.4
67	21.2	98	3.2
68	20.4	99	3.0
69	19.6	100	2.8
70	18.8	101	2.6
71	18.0	102	2.5
72	17.2	103	2.3
73	16.4	104	2.2
74	15.6	105	2.1
75	14.8	106	2.1
76	14.1	107	2.1
77	13.3	108	2.0
78	12.6	109	2.0
79	11.9	110	2.0
80	11.2	111	2.0
81	10.5	112	2.0
82	9.9	113	1.9
83	9.3	114	1.9
84	8.7	115	1.8

85	8.1	116	1.8
86	7.6	117	1.6
87	7.1	118	1.4
88	6.6	119	1.1
89	6.1	120+	1.0
90	5.7		

Appendix B. Life Expectancy Tables (Continued)

Table II
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	20	21	22	23	24	25	26	27	28	29
20	72.0	71.5	71.0	70.6	70.2	69.8	69.5	69.1	68.8	68.5
21	71.5	71.0	70.5	70.0	69.6	69.2	68.8	68.5	68.1	67.8
22	71.0	70.5	70.0	69.5	69.0	68.6	68.2	67.8	67.5	67.1
23	70.6	70.0	69.5	69.0	68.5	68.0	67.6	67.2	66.8	66.5
24	70.2	69.6	69.0	68.5	68.0	67.5	67.1	66.6	66.2	65.8
25	69.8	69.2	68.6	68.0	67.5	67.0	66.5	66.1	65.6	65.2
26	69.5	68.8	68.2	67.6	67.1	66.5	66.0	65.5	65.1	64.6
27	69.1	68.5	67.8	67.2	66.6	66.1	65.5	65.0	64.5	64.1
28	68.8	68.1	67.5	66.8	66.2	65.6	65.1	64.5	64.0	63.5
29	68.5	67.8	67.1	66.5	65.8	65.2	64.6	64.1	63.5	63.0
30	68.3	67.5	66.8	66.2	65.5	64.9	64.2	63.7	63.1	62.6
31	68.0	67.3	66.6	65.8	65.2	64.5	63.9	63.2	62.7	62.1
32	67.8	67.0	66.3	65.6	64.9	64.2	63.5	62.9	62.3	61.7
33	67.6	66.8	66.0	65.3	64.6	63.9	63.2	62.5	61.9	61.3
34	67.4	66.6	65.8	65.1	64.3	63.6	62.9	62.2	61.5	60.9
35	67.2	66.4	65.6	64.8	64.1	63.3	62.6	61.9	61.2	60.5
36	67.1	66.2	65.4	64.6	63.8	63.1	62.3	61.6	60.9	60.2
37	66.9	66.1	65.2	64.4	63.6	62.8	62.1	61.3	60.6	59.9
38	66.8	65.9	65.1	64.2	63.4	62.6	61.9	61.1	60.3	59.6
39	66.6	65.8	64.9	64.1	63.3	62.4	61.6	60.9	60.1	59.4
40	66.5	65.6	64.8	63.9	63.1	62.3	61.5	60.7	59.9	59.1
41	66.4	65.5	64.6	63.8	62.9	62.1	61.3	60.5	59.7	58.9
42	66.3	65.4	64.5	63.6	62.8	61.9	61.1	60.3	59.5	58.7
43	66.2	65.3	64.4	63.5	62.7	61.8	61.0	60.1	59.3	58.5
44	66.1	65.2	64.3	63.4	62.5	61.7	60.8	60.0	59.1	58.3
45	66.0	65.1	64.2	63.3	62.4	61.5	60.7	59.8	59.0	58.1
46	65.9	65.0	64.1	63.2	62.3	61.4	60.6	59.7	58.8	58.0
47	65.9	65.0	64.0	63.1	62.2	61.3	60.5	59.6	58.7	57.9
48	65.8	64.9	64.0	63.0	62.1	61.2	60.3	59.5	58.6	57.7
49	65.7	64.8	63.9	63.0	62.1	61.2	60.3	59.4	58.5	57.6
50	65.7	64.8	63.8	62.9	62.0	61.1	60.2	59.3	58.4	57.5
51	65.6	64.7	63.8	62.8	61.9	61.0	60.1	59.2	58.3	57.4
52	65.6	64.7	63.7	62.8	61.9	60.9	60.0	59.1	58.2	57.3
53	65.5	64.6	63.7	62.7	61.8	60.9	59.9	59.0	58.1	57.2

54	65.5	64.6	63.6	62.7	61.7	60.8	59.9	59.0	58.0	57.1
55	65.5	64.5	63.6	62.6	61.7	60.8	59.8	58.9	58.0	57.1
56	65.4	64.5	63.5	62.6	61.6	60.7	59.8	58.8	57.9	57.0
57	65.4	64.5	63.5	62.5	61.6	60.7	59.7	58.8	57.9	56.9
58	65.4	64.4	63.5	62.5	61.6	60.6	59.7	58.7	57.8	56.9
59	65.4	64.4	63.4	62.5	61.5	60.6	59.6	58.7	57.8	56.8

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	20	21	22	23	24	25	26	27	28	29
60	65.3	64.4	63.4	62.4	61.5	60.5	59.6	58.7	57.7	56.8
61	65.3	64.3	63.4	62.4	61.5	60.5	59.6	58.6	57.7	56.7
62	65.3	64.3	63.4	62.4	61.4	60.5	59.5	58.6	57.6	56.7
63	65.3	64.3	63.3	62.4	61.4	60.5	59.5	58.6	57.6	56.7
64	65.2	64.3	63.3	62.3	61.4	60.4	59.5	58.5	57.6	56.6
65	65.2	64.3	63.3	62.3	61.4	60.4	59.5	58.5	57.5	56.6
66	65.2	64.2	63.3	62.3	61.3	60.4	59.4	58.5	57.5	56.6
67	65.2	64.2	63.3	62.3	61.3	60.4	59.4	58.5	57.5	56.5
68	65.2	64.2	63.2	62.3	61.3	60.3	59.4	58.4	57.5	56.5
69	65.2	64.2	63.2	62.3	61.3	60.3	59.4	58.4	57.5	56.5
70	65.2	64.2	63.2	62.2	61.3	60.3	59.4	58.4	57.4	56.5
71	65.1	64.2	63.2	62.2	61.3	60.3	59.3	58.4	57.4	56.5
72	65.1	64.2	63.2	62.2	61.3	60.3	59.3	58.4	57.4	56.5
73	65.1	64.2	63.2	62.2	61.2	60.3	59.3	58.4	57.4	56.4
74	65.1	64.1	63.2	62.2	61.2	60.3	59.3	58.3	57.4	56.4
75	65.1	64.1	63.2	62.2	61.2	60.3	59.3	58.3	57.4	56.4
76	65.1	64.1	63.2	62.2	61.2	60.2	59.3	58.3	57.4	56.4
77	65.1	64.1	63.1	62.2	61.2	60.2	59.3	58.3	57.3	56.4
78	65.1	64.1	63.1	62.2	61.2	60.2	59.3	58.3	57.3	56.4
79	65.1	64.1	63.1	62.2	61.2	60.2	59.3	58.3	57.3	56.4
80	65.1	64.1	63.1	62.1	61.2	60.2	59.2	58.3	57.3	56.4
81	65.1	64.1	63.1	62.1	61.2	60.2	59.2	58.3	57.3	56.4
82	65.1	64.1	63.1	62.1	61.2	60.2	59.2	58.3	57.3	56.3
83	65.1	64.1	63.1	62.1	61.2	60.2	59.2	58.3	57.3	56.3
84	65.1	64.1	63.1	62.1	61.2	60.2	59.2	58.3	57.3	56.3
85	65.1	64.1	63.1	62.1	61.2	60.2	59.2	58.3	57.3	56.3
86	65.1	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
87	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
88	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
89	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
90	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
91	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
92	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
93	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3

94	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
95	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
96	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
97	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
98	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
99	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	20	21	22	23	24	25	26	27	28	29
100	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
101	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
102	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
103	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
104	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
105	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
106	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
107	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
108	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
109	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
110	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
111	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
112	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
113	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
114	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
115	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
116	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
117	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
118	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
119	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3
120+	65.0	64.1	63.1	62.1	61.1	60.2	59.2	58.2	57.3	56.3

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	30	31	32	33	34	35	36	37	38	39
30	62.0	61.6	61.1	60.7	60.3	59.9	59.5	59.2	58.9	58.6
31	61.6	61.1	60.6	60.1	59.7	59.3	58.9	58.6	58.2	57.9
32	61.1	60.6	60.1	59.6	59.1	58.7	58.3	57.9	57.6	57.2
33	60.7	60.1	59.6	59.1	58.6	58.1	57.7	57.3	56.9	56.6

34	60.3	59.7	59.1	58.6	58.1	57.6	57.2	56.7	56.3	55.9
35	59.9	59.3	58.7	58.1	57.6	57.1	56.6	56.2	55.7	55.3
36	59.5	58.9	58.3	57.7	57.2	56.6	56.1	55.6	55.2	54.7
37	59.2	58.6	57.9	57.3	56.7	56.2	55.6	55.1	54.6	54.2
38	58.9	58.2	57.6	56.9	56.3	55.7	55.2	54.6	54.1	53.6
39	58.6	57.9	57.2	56.6	55.9	55.3	54.7	54.2	53.6	53.1
40	58.4	57.6	56.9	56.3	55.6	55.0	54.3	53.8	53.2	52.7
41	58.1	57.4	56.7	56.0	55.3	54.6	54.0	53.4	52.8	52.2
42	57.9	57.1	56.4	55.7	55.0	54.3	53.6	53.0	52.4	51.8
43	57.7	56.9	56.2	55.4	54.7	54.0	53.3	52.6	52.0	51.4
44	57.5	56.7	55.9	55.2	54.4	53.7	53.0	52.3	51.6	51.0
45	57.3	56.5	55.7	54.9	54.2	53.4	52.7	52.0	51.3	50.7
46	57.2	56.3	55.5	54.7	54.0	53.2	52.4	51.7	51.0	50.3
47	57.0	56.2	55.4	54.5	53.7	53.0	52.2	51.5	50.7	50.0
48	56.9	56.0	55.2	54.4	53.6	52.8	52.0	51.2	50.5	49.7

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	30	31	32	33	34	35	36	37	38	39
49	56.7	55.9	55.0	54.2	53.4	52.6	51.8	51.0	50.2	49.5
50	56.6	55.8	54.9	54.1	53.2	52.4	51.6	50.8	50.0	49.2
51	56.5	55.6	54.8	53.9	53.1	52.2	51.4	50.6	49.8	49.0
52	56.4	55.5	54.7	53.8	52.9	52.1	51.3	50.4	49.6	48.8
53	56.3	55.4	54.6	53.7	52.8	52.0	51.1	50.3	49.5	48.6
54	56.2	55.3	54.5	53.6	52.7	51.8	51.0	50.1	49.3	48.5
55	56.2	55.3	54.4	53.5	52.6	51.7	50.9	50.0	49.1	48.3
56	56.1	55.2	54.3	53.4	52.5	51.6	50.7	49.9	49.0	48.2
57	56.0	55.1	54.2	53.3	52.4	51.5	50.6	49.8	48.9	48.0
58	56.0	55.0	54.1	53.2	52.3	51.4	50.5	49.7	48.8	47.9
59	55.9	55.0	54.1	53.2	52.2	51.3	50.5	49.6	48.7	47.8
60	55.9	54.9	54.0	53.1	52.2	51.3	50.4	49.5	48.6	47.7
61	55.8	54.9	54.0	53.0	52.1	51.2	50.3	49.4	48.5	47.6
62	55.8	54.8	53.9	53.0	52.1	51.1	50.2	49.3	48.4	47.5
63	55.7	54.8	53.9	52.9	52.0	51.1	50.2	49.3	48.3	47.4
64	55.7	54.8	53.8	52.9	52.0	51.0	50.1	49.2	48.3	47.4
65	55.7	54.7	53.8	52.8	51.9	51.0	50.1	49.1	48.2	47.3
66	55.6	54.7	53.7	52.8	51.9	50.9	50.0	49.1	48.2	47.2
67	55.6	54.7	53.7	52.8	51.8	50.9	50.0	49.0	48.1	47.2
68	55.6	54.6	53.7	52.7	51.8	50.9	49.9	49.0	48.1	47.1
69	55.6	54.6	53.7	52.7	51.8	50.8	49.9	49.0	48.0	47.1
70	55.5	54.6	53.6	52.7	51.7	50.8	49.9	48.9	48.0	47.0
71	55.5	54.6	53.6	52.7	51.7	50.8	49.8	48.9	47.9	47.0
72	55.5	54.5	53.6	52.6	51.7	50.8	49.8	48.9	47.9	47.0
73	55.5	54.5	53.6	52.6	51.7	50.7	49.8	48.8	47.9	46.9

74	55.5	54.5	53.6	52.6	51.7	50.7	49.8	48.8	47.9	46.9
75	55.5	54.5	53.5	52.6	51.6	50.7	49.7	48.8	47.8	46.9
76	55.4	54.5	53.5	52.6	51.6	50.7	49.7	48.8	47.8	46.9
77	55.4	54.5	53.5	52.6	51.6	50.7	49.7	48.8	47.8	46.9
78	55.4	54.5	53.5	52.6	51.6	50.6	49.7	48.7	47.8	46.8
79	55.4	54.5	53.5	52.5	51.6	50.6	49.7	48.7	47.8	46.8
80	55.4	54.4	53.5	52.5	51.6	50.6	49.7	48.7	47.8	46.8
81	55.4	54.4	53.5	52.5	51.6	50.6	49.7	48.7	47.7	46.8
82	55.4	54.4	53.5	52.5	51.6	50.6	49.7	48.7	47.7	46.8
83	55.4	54.4	53.5	52.5	51.6	50.6	49.6	48.7	47.7	46.8
84	55.4	54.4	53.5	52.5	51.5	50.6	49.6	48.7	47.7	46.8
85	55.4	54.4	53.5	52.5	51.5	50.6	49.6	48.7	47.7	46.8
86	55.4	54.4	53.5	52.5	51.5	50.6	49.6	48.7	47.7	46.7
87	55.4	54.4	53.4	52.5	51.5	50.6	49.6	48.7	47.7	46.7
88	55.4	54.4	53.4	52.5	51.5	50.6	49.6	48.7	47.7	46.7

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	30	31	32	33	34	35	36	37	38	39
89	55.4	54.4	53.4	52.5	51.5	50.6	49.6	48.7	47.7	46.7
90	55.4	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
91	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
92	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
93	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
94	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
95	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
96	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
97	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
98	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
99	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
100	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
101	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
102	55.3	54.4	53.4	52.5	51.5	50.6	49.6	48.6	47.7	46.7
103	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
104	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
105	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
106	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
107	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
108	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
109	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
110	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
111	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
112	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
113	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7

114	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
115	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
116	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
117	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
118	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
119	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7
120+	55.3	54.4	53.4	52.5	51.5	50.5	49.6	48.6	47.7	46.7

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	40	41	42	43	44	45	46	47	48	49
40	52.2	51.7	51.2	50.8	50.4	50.0	49.7	49.3	49.0	48.8
41	51.7	51.2	50.7	50.2	49.8	49.4	49.0	48.7	48.4	48.1
42	51.2	50.7	50.2	49.7	49.2	48.8	48.4	48.0	47.7	47.4
43	50.8	50.2	49.7	49.2	48.7	48.3	47.8	47.4	47.1	46.7
44	50.4	49.8	49.2	48.7	48.2	47.7	47.3	46.8	46.4	46.1
45	50.0	49.4	48.8	48.3	47.7	47.2	46.7	46.3	45.9	45.5
46	49.7	49.0	48.4	47.8	47.3	46.7	46.2	45.7	45.3	44.9
47	49.3	48.7	48.0	47.4	46.8	46.3	45.7	45.2	44.8	44.3

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	40	41	42	43	44	45	46	47	48	49
48	49.0	48.4	47.7	47.1	46.4	45.9	45.3	44.8	44.3	43.8
49	48.8	48.1	47.4	46.7	46.1	45.5	44.9	44.3	43.8	43.3
50	48.5	47.8	47.1	46.4	45.7	45.1	44.5	43.9	43.3	42.8
51	48.3	47.5	46.8	46.1	45.4	44.7	44.1	43.5	42.9	42.3
52	48.0	47.3	46.5	45.8	45.1	44.4	43.8	43.1	42.5	41.9
53	47.8	47.1	46.3	45.6	44.8	44.1	43.4	42.8	42.1	41.5
54	47.7	46.9	46.1	45.3	44.6	43.8	43.1	42.5	41.8	41.2
55	47.5	46.7	45.9	45.1	44.3	43.6	42.9	42.2	41.5	40.8
56	47.3	46.5	45.7	44.9	44.1	43.4	42.6	41.9	41.2	40.5
57	47.2	46.3	45.5	44.7	43.9	43.1	42.4	41.6	40.9	40.2
58	47.1	46.2	45.4	44.5	43.7	42.9	42.2	41.4	40.7	39.9
59	46.9	46.1	45.2	44.4	43.6	42.8	42.0	41.2	40.4	39.7
60	46.8	46.0	45.1	44.3	43.4	42.6	41.8	41.0	40.2	39.5
61	46.7	45.8	45.0	44.1	43.3	42.4	41.6	40.8	40.0	39.2
62	46.6	45.7	44.9	44.0	43.1	42.3	41.5	40.6	39.8	39.0
63	46.5	45.7	44.8	43.9	43.0	42.2	41.3	40.5	39.7	38.9

64	46.5	45.6	44.7	43.8	42.9	42.1	41.2	40.4	39.5	38.7
65	46.4	45.5	44.6	43.7	42.8	41.9	41.1	40.2	39.4	38.6
66	46.3	45.4	44.5	43.6	42.7	41.8	41.0	40.1	39.3	38.4
67	46.3	45.4	44.4	43.5	42.6	41.8	40.9	40.0	39.1	38.3
68	46.2	45.3	44.4	43.5	42.6	41.7	40.8	39.9	39.0	38.2
69	46.2	45.2	44.3	43.4	42.5	41.6	40.7	39.8	38.9	38.1
70	46.1	45.2	44.3	43.3	42.4	41.5	40.6	39.7	38.8	38.0
71	46.1	45.1	44.2	43.3	42.4	41.5	40.6	39.7	38.8	37.9
72	46.0	45.1	44.2	43.2	42.3	41.4	40.5	39.6	38.7	37.8
73	46.0	45.1	44.1	43.2	42.3	41.4	40.4	39.5	38.6	37.7
74	46.0	45.0	44.1	43.2	42.2	41.3	40.4	39.5	38.6	37.7
75	45.9	45.0	44.1	43.1	42.2	41.3	40.3	39.4	38.5	37.6
76	45.9	45.0	44.0	43.1	42.2	41.2	40.3	39.4	38.5	37.5
77	45.9	45.0	44.0	43.1	42.1	41.2	40.3	39.3	38.4	37.5
78	45.9	44.9	44.0	43.0	42.1	41.2	40.2	39.3	38.4	37.5
79	45.9	44.9	44.0	43.0	42.1	41.1	40.2	39.3	38.3	37.4
80	45.9	44.9	43.9	43.0	42.1	41.1	40.2	39.2	38.3	37.4
81	45.8	44.9	43.9	43.0	42.0	41.1	40.1	39.2	38.3	37.3
82	45.8	44.9	43.9	43.0	42.0	41.1	40.1	39.2	38.3	37.3
83	45.8	44.9	43.9	43.0	42.0	41.1	40.1	39.2	38.2	37.3
84	45.8	44.9	43.9	42.9	42.0	41.0	40.1	39.2	38.2	37.3
85	45.8	44.8	43.9	42.9	42.0	41.0	40.1	39.1	38.2	37.3
86	45.8	44.8	43.9	42.9	42.0	41.0	40.1	39.1	38.2	37.2
87	45.8	44.8	43.9	42.9	42.0	41.0	40.1	39.1	38.2	37.2

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	40	41	42	43	44	45	46	47	48	49
88	45.8	44.8	43.9	42.9	42.0	41.0	40.0	39.1	38.2	37.2
89	45.8	44.8	43.9	42.9	41.9	41.0	40.0	39.1	38.1	37.2
90	45.8	44.8	43.9	42.9	41.9	41.0	40.0	39.1	38.1	37.2
91	45.8	44.8	43.9	42.9	41.9	41.0	40.0	39.1	38.1	37.2
92	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.1	38.1	37.2
93	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.1	38.1	37.2
94	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.1	38.1	37.2
95	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.1	38.1	37.2
96	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.1	38.1	37.2
97	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.1	38.1	37.2
98	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.1	38.1	37.2
99	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.1	38.1	37.2
100	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
101	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
102	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
103	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1

104	45.8	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
105	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
106	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
107	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
108	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
109	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
110	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
111	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
112	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
113	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
114	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
115	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
116	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
117	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
118	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
119	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1
120+	45.7	44.8	43.8	42.9	41.9	41.0	40.0	39.0	38.1	37.1

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	50	51	52	53	54	55	56	57	58	59
50	42.3	41.8	41.4	40.9	40.6	40.2	39.8	39.5	39.2	39.0
51	41.8	41.3	40.8	40.4	40.0	39.6	39.2	38.9	38.6	38.3
52	41.4	40.8	40.3	39.9	39.4	39.0	38.6	38.2	37.9	37.6
53	40.9	40.4	39.9	39.4	38.9	38.4	38.0	37.6	37.3	36.9
54	40.6	40.0	39.4	38.9	38.4	37.9	37.5	37.1	36.7	36.3
55	40.2	39.6	39.0	38.4	37.9	37.4	36.9	36.5	36.1	35.7
56	39.8	39.2	38.6	38.0	37.5	36.9	36.5	36.0	35.5	35.1

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	50	51	52	53	54	55	56	57	58	59
57	39.5	38.9	38.2	37.6	37.1	36.5	36.0	35.5	35.0	34.6
58	39.2	38.6	37.9	37.3	36.7	36.1	35.5	35.0	34.5	34.1
59	39.0	38.3	37.6	36.9	36.3	35.7	35.1	34.6	34.1	33.6
60	38.7	38.0	37.3	36.6	36.0	35.3	34.8	34.2	33.6	33.1
61	38.5	37.7	37.0	36.3	35.7	35.0	34.4	33.8	33.2	32.7
62	38.3	37.5	36.8	36.1	35.4	34.7	34.1	33.4	32.8	32.3
63	38.1	37.3	36.6	35.8	35.1	34.4	33.8	33.1	32.5	31.9

64	37.9	37.1	36.3	35.6	34.9	34.2	33.5	32.8	32.2	31.5
65	37.7	36.9	36.2	35.4	34.6	33.9	33.2	32.5	31.9	31.2
66	37.6	36.8	36.0	35.2	34.4	33.7	33.0	32.3	31.6	30.9
67	37.5	36.6	35.8	35.0	34.2	33.5	32.7	32.0	31.3	30.6
68	37.3	36.5	35.7	34.9	34.1	33.3	32.5	31.8	31.1	30.4
69	37.2	36.4	35.5	34.7	33.9	33.1	32.3	31.6	30.9	30.1
70	37.1	36.2	35.4	34.6	33.8	33.0	32.2	31.4	30.7	29.9
71	37.0	36.1	35.3	34.5	33.6	32.8	32.0	31.2	30.5	29.7
72	36.9	36.0	35.2	34.3	33.5	32.7	31.9	31.1	30.3	29.5
73	36.8	36.0	35.1	34.2	33.4	32.6	31.7	30.9	30.1	29.4
74	36.8	35.9	35.0	34.1	33.3	32.4	31.6	30.8	30.0	29.2
75	36.7	35.8	34.9	34.1	33.2	32.4	31.5	30.7	29.9	29.1
76	36.6	35.7	34.9	34.0	33.1	32.3	31.4	30.6	29.8	29.0
77	36.6	35.7	34.8	33.9	33.0	32.2	31.3	30.5	29.7	28.8
78	36.5	35.6	34.7	33.9	33.0	32.1	31.2	30.4	29.6	28.7
79	36.5	35.6	34.7	33.8	32.9	32.0	31.2	30.3	29.5	28.7
80	36.5	35.5	34.6	33.7	32.9	32.0	31.1	30.3	29.4	28.6
81	36.4	35.5	34.6	33.7	32.8	31.9	31.1	30.2	29.3	28.5
82	36.4	35.5	34.6	33.7	32.8	31.9	31.0	30.1	29.3	28.4
83	36.4	35.4	34.5	33.6	32.7	31.8	31.0	30.1	29.2	28.4
84	36.3	35.4	34.5	33.6	32.7	31.8	30.9	30.0	29.2	28.3
85	36.3	35.4	34.5	33.6	32.7	31.8	30.9	30.0	29.1	28.3
86	36.3	35.4	34.5	33.5	32.6	31.7	30.9	30.0	29.1	28.2
87	36.3	35.4	34.4	33.5	32.6	31.7	30.8	29.9	29.1	28.2
88	36.3	35.3	34.4	33.5	32.6	31.7	30.8	29.9	29.0	28.2
89	36.3	35.3	34.4	33.5	32.6	31.7	30.8	29.9	29.0	28.2
90	36.3	35.3	34.4	33.5	32.6	31.7	30.8	29.9	29.0	28.1
91	36.2	35.3	34.4	33.5	32.5	31.6	30.7	29.9	29.0	28.1
92	36.2	35.3	34.4	33.5	32.5	31.6	30.7	29.8	29.0	28.1
93	36.2	35.3	34.4	33.4	32.5	31.6	30.7	29.8	29.0	28.1
94	36.2	35.3	34.4	33.4	32.5	31.6	30.7	29.8	28.9	28.1
95	36.2	35.3	34.4	33.4	32.5	31.6	30.7	29.8	28.9	28.1
96	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	50	51	52	53	54	55	56	57	58	59
97	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
98	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
99	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
100	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
101	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
102	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
103	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0

104	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
105	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
106	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
107	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
108	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
109	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
110	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
111	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
112	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
113	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
114	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
115	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
116	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
117	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
118	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
119	36.2	35.3	34.3	33.4	32.5	31.6	30.7	29.8	28.9	28.0
120+	36.2	35.3	34.3	33.4	32.5	31.6	30.6	29.8	28.9	28.0

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	60	61	62	63	64	65	66	67	68	69
60	32.6	32.2	31.7	31.3	31.0	30.6	30.3	30.0	29.7	29.4
61	32.2	31.7	31.2	30.8	30.4	30.0	29.7	29.4	29.1	28.8
62	31.7	31.2	30.8	30.3	29.9	29.5	29.1	28.7	28.4	28.1
63	31.3	30.8	30.3	29.8	29.4	28.9	28.5	28.2	27.8	27.5
64	31.0	30.4	29.9	29.4	28.9	28.4	28.0	27.6	27.2	26.9
65	30.6	30.0	29.5	28.9	28.4	28.0	27.5	27.1	26.7	26.3
66	30.3	29.7	29.1	28.5	28.0	27.5	27.0	26.6	26.2	25.8
67	30.0	29.4	28.7	28.2	27.6	27.1	26.6	26.1	25.7	25.3
68	29.7	29.1	28.4	27.8	27.2	26.7	26.2	25.7	25.2	24.8
69	29.4	28.8	28.1	27.5	26.9	26.3	25.8	25.3	24.8	24.3
70	29.2	28.5	27.9	27.2	26.6	26.0	25.4	24.9	24.3	23.9
71	29.0	28.3	27.6	26.9	26.3	25.7	25.1	24.5	24.0	23.4
72	28.8	28.1	27.4	26.7	26.0	25.4	24.8	24.2	23.6	23.1
73	28.6	27.9	27.2	26.5	25.8	25.1	24.5	23.9	23.3	22.7
74	28.4	27.7	27.0	26.2	25.5	24.9	24.2	23.6	23.0	22.4
75	28.3	27.5	26.8	26.1	25.3	24.6	24.0	23.3	22.7	22.1

Appendix B. (Continued)

Table II (continued)

(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	60	61	62	63	64	65	66	67	68	69
76	28.2	27.4	26.6	25.9	25.2	24.4	23.7	23.1	22.4	21.8
77	28.0	27.3	26.5	25.7	25.0	24.3	23.5	22.9	22.2	21.5
78	27.9	27.1	26.4	25.6	24.8	24.1	23.4	22.7	22.0	21.3
79	27.8	27.0	26.2	25.5	24.7	23.9	23.2	22.5	21.8	21.1
80	27.8	26.9	26.1	25.3	24.6	23.8	23.1	22.3	21.6	20.9
81	27.7	26.9	26.0	25.2	24.5	23.7	22.9	22.2	21.5	20.7
82	27.6	26.8	26.0	25.2	24.4	23.6	22.8	22.1	21.3	20.6
83	27.5	26.7	25.9	25.1	24.3	23.5	22.7	22.0	21.2	20.5
84	27.5	26.7	25.8	25.0	24.2	23.4	22.6	21.9	21.1	20.4
85	27.4	26.6	25.8	25.0	24.1	23.3	22.6	21.8	21.0	20.3
86	27.4	26.6	25.7	24.9	24.1	23.3	22.5	21.7	20.9	20.2
87	27.4	26.5	25.7	24.9	24.0	23.2	22.4	21.6	20.9	20.1
88	27.3	26.5	25.6	24.8	24.0	23.2	22.4	21.6	20.8	20.0
89	27.3	26.4	25.6	24.8	24.0	23.1	22.3	21.5	20.7	20.0
90	27.3	26.4	25.6	24.7	23.9	23.1	22.3	21.5	20.7	19.9
91	27.3	26.4	25.6	24.7	23.9	23.1	22.3	21.5	20.7	19.9
92	27.2	26.4	25.5	24.7	23.9	23.0	22.2	21.4	20.6	19.8
93	27.2	26.4	25.5	24.7	23.8	23.0	22.2	21.4	20.6	19.8
94	27.2	26.3	25.5	24.7	23.8	23.0	22.2	21.4	20.6	19.8
95	27.2	26.3	25.5	24.6	23.8	23.0	22.2	21.4	20.6	19.7
96	27.2	26.3	25.5	24.6	23.8	23.0	22.2	21.3	20.5	19.7
97	27.2	26.3	25.5	24.6	23.8	23.0	22.1	21.3	20.5	19.7
98	27.2	26.3	25.5	24.6	23.8	22.9	22.1	21.3	20.5	19.7
99	27.2	26.3	25.4	24.6	23.8	22.9	22.1	21.3	20.5	19.7
100	27.1	26.3	25.4	24.6	23.8	22.9	22.1	21.3	20.5	19.7
101	27.1	26.3	25.4	24.6	23.8	22.9	22.1	21.3	20.5	19.7
102	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.5	19.7
103	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.5	19.6
104	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.5	19.6
105	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.5	19.6
106	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.5	19.6
107	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.5	19.6
108	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.5	19.6
109	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.4	19.6
110	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.4	19.6
111	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.4	19.6
112	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.4	19.6
113	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.4	19.6
114	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.4	19.6
115	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.4	19.6
116	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.3	20.4	19.6
117	27.1	26.3	25.4	24.6	23.7	22.9	22.1	21.2	20.4	19.6
118	27.1	26.3	25.4	24.5	23.7	22.9	22.1	21.2	20.4	19.6
119	27.1	26.2	25.4	24.5	23.7	22.9	22.1	21.2	20.4	19.6

120+	27.1	26.2	25.4	24.5	23.7	22.9	22.0	21.2	20.4	19.6

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	70	71	72	73	74	75	76	77	78	79
70	23.4	22.9	22.5	22.2	21.8	21.5	21.2	20.9	20.6	20.4
71	22.9	22.5	22.0	21.6	21.3	20.9	20.6	20.3	20.0	19.8
72	22.5	22.0	21.6	21.1	20.7	20.4	20.0	19.7	19.4	19.2
73	22.2	21.6	21.1	20.7	20.3	19.9	19.5	19.1	18.8	18.6
74	21.8	21.3	20.7	20.3	19.8	19.4	19.0	18.6	18.3	18.0
75	21.5	20.9	20.4	19.9	19.4	18.9	18.5	18.1	17.8	17.4
76	21.2	20.6	20.0	19.5	19.0	18.5	18.1	17.7	17.3	16.9
77	20.9	20.3	19.7	19.1	18.6	18.1	17.7	17.2	16.8	16.4
78	20.6	20.0	19.4	18.8	18.3	17.8	17.3	16.8	16.4	16.0
79	20.4	19.8	19.2	18.6	18.0	17.4	16.9	16.4	16.0	15.6
80	20.2	19.6	18.9	18.3	17.7	17.1	16.6	16.1	15.6	15.2
81	20.0	19.4	18.7	18.1	17.4	16.9	16.3	15.8	15.3	14.8
82	19.9	19.2	18.5	17.9	17.2	16.6	16.0	15.5	15.0	14.5
83	19.7	19.0	18.3	17.7	17.0	16.4	15.8	15.2	14.7	14.2
84	19.6	18.9	18.2	17.5	16.8	16.2	15.6	15.0	14.4	13.9
85	19.5	18.8	18.1	17.4	16.7	16.0	15.4	14.8	14.2	13.6
86	19.4	18.7	17.9	17.2	16.5	15.9	15.2	14.6	14.0	13.4
87	19.3	18.6	17.8	17.1	16.4	15.7	15.1	14.4	13.8	13.2
88	19.2	18.5	17.7	17.0	16.3	15.6	14.9	14.3	13.7	13.1
89	19.2	18.4	17.7	16.9	16.2	15.5	14.8	14.2	13.5	12.9
90	19.1	18.4	17.6	16.9	16.1	15.4	14.8	14.1	13.4	12.8
91	19.1	18.3	17.5	16.8	16.1	15.3	14.6	14.0	13.3	12.7
92	19.0	18.3	17.5	16.7	16.0	15.3	14.6	13.9	13.2	12.6
93	19.0	18.2	17.4	16.7	15.9	15.2	14.5	13.8	13.1	12.5
94	19.0	18.2	17.4	16.6	15.9	15.2	14.4	13.7	13.1	12.4
95	18.9	18.2	17.4	16.6	15.9	15.1	14.4	13.7	13.0	12.3
96	18.9	18.1	17.4	16.6	15.8	15.1	14.3	13.6	12.9	12.3
97	18.9	18.1	17.3	16.6	15.8	15.0	14.3	13.6	12.9	12.2
98	18.9	18.1	17.3	16.5	15.8	15.0	14.3	13.6	12.9	12.2
99	18.9	18.1	17.3	16.5	15.7	15.0	14.3	13.5	12.8	12.2
100	18.9	18.1	17.3	16.5	15.7	15.0	14.2	13.5	12.8	12.1
101	18.9	18.1	17.3	16.5	15.7	15.0	14.2	13.5	12.8	12.1
102	18.8	18.0	17.3	16.5	15.7	14.9	14.2	13.5	12.8	12.1
103	18.8	18.0	17.3	16.5	15.7	14.9	14.2	13.5	12.8	12.1
104	18.8	18.0	17.2	16.5	15.7	14.9	14.2	13.5	12.7	12.0
105	18.8	18.0	17.2	16.5	15.7	14.9	14.2	13.4	12.7	12.0
106	18.8	18.0	17.2	16.5	15.7	14.9	14.2	13.4	12.7	12.0
107	18.8	18.0	17.2	16.5	15.7	14.9	14.2	13.4	12.7	12.0
108	18.8	18.0	17.2	16.5	15.7	14.9	14.2	13.4	12.7	12.0

109	18.8	18.0	17.2	16.4	15.7	14.9	14.2	13.4	12.7	12.0

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	70	71	72	73	74	75	76	77	78	79
110	18.8	18.0	17.2	16.4	15.7	14.9	14.2	13.4	12.7	12.0
111	18.8	18.0	17.2	16.4	15.7	14.9	14.2	13.4	12.7	12.0
112	18.8	18.0	17.2	16.4	15.7	14.9	14.2	13.4	12.7	12.0
113	18.8	18.0	17.2	16.4	15.7	14.9	14.2	13.4	12.7	12.0
114	18.8	18.0	17.2	16.4	15.7	14.9	14.1	13.4	12.7	12.0
115	18.8	18.0	17.2	16.4	15.7	14.9	14.1	13.4	12.7	12.0
116	18.8	18.0	17.2	16.4	15.6	14.9	14.1	13.4	12.7	12.0
117	18.8	18.0	17.2	16.4	15.6	14.9	14.1	13.4	12.7	12.0
118	18.8	18.0	17.2	16.4	15.6	14.9	14.1	13.4	12.6	11.9
119	18.8	18.0	17.2	16.4	15.6	14.8	14.1	13.4	12.6	11.9
120+	18.8	18.0	17.2	16.4	15.6	14.8	14.1	13.3	12.6	11.9

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	**80**	**81**	**82**	**83**	**84**	**85**	**86**	**87**	**88**	**89**
80	14.7	14.4	14.0	13.7	13.4	13.1	12.9	12.7	12.5	12.3
81	14.4	14.0	13.6	13.2	12.9	12.6	12.4	12.2	12.0	11.8
82	14.0	13.6	13.2	12.8	12.5	12.2	11.9	11.7	11.5	11.3
83	13.7	13.2	12.8	12.4	12.1	11.8	11.5	11.2	11.0	10.8
84	13.4	12.9	12.5	12.1	11.7	11.4	11.1	10.8	10.5	10.3
85	13.1	12.6	12.2	11.8	11.4	11.0	10.7	10.4	10.1	9.9
86	12.9	12.4	11.9	11.5	11.1	10.7	10.4	10.0	9.8	9.5
87	12.7	12.2	11.7	11.2	10.8	10.4	10.0	9.7	9.4	9.1
88	12.5	12.0	11.5	11.0	10.5	10.1	9.8	9.4	9.1	8.8
89	12.3	11.8	11.3	10.8	10.3	9.9	9.5	9.1	8.8	8.5
90	12.2	11.6	11.1	10.6	10.1	9.7	9.3	8.9	8.6	8.3
91	12.1	11.5	10.9	10.4	9.9	9.5	9.1	8.7	8.3	8.0
92	11.9	11.4	10.8	10.3	9.8	9.3	8.9	8.5	8.1	7.8
93	11.9	11.3	10.7	10.1	9.6	9.2	8.7	8.3	7.9	7.6
94	11.8	11.2	10.6	10.0	9.5	9.0	8.6	8.2	7.8	7.4
95	11.7	11.1	10.5	9.9	9.4	8.9	8.5	8.0	7.6	7.3
96	11.6	11.0	10.4	9.9	9.3	8.8	8.4	7.9	7.5	7.1
97	11.6	11.0	10.4	9.8	9.2	8.7	8.3	7.8	7.4	7.0
98	11.5	10.9	10.3	9.7	9.2	8.7	8.2	7.7	7.3	6.9

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	80	81	82	83	84	85	86	87	88	89
99	11.5	10.9	10.2	9.7	9.1	8.6	8.1	7.6	7.2	6.8
100	11.5	10.8	10.2	9.6	9.1	8.5	8.0	7.6	7.2	6.8
101	11.4	10.8	10.2	9.6	9.0	8.5	8.0	7.5	7.1	6.7
102	11.4	10.8	10.1	9.6	9.0	8.5	8.0	7.5	7.0	6.6
103	11.4	10.7	10.1	9.5	9.0	8.4	7.9	7.4	7.0	6.6
104	11.4	10.7	10.1	9.5	8.9	8.4	7.9	7.4	7.0	6.6
105	11.4	10.7	10.1	9.5	8.9	8.4	7.9	7.4	6.9	6.5
106	11.4	10.7	10.1	9.5	8.9	8.4	7.9	7.4	6.9	6.5
107	11.4	10.7	10.1	9.5	8.9	8.4	7.9	7.4	6.9	6.5
108	11.4	10.7	10.1	9.5	8.9	8.4	7.8	7.4	6.9	6.5
109	11.3	10.7	10.1	9.5	8.9	8.4	7.8	7.4	6.9	6.5
110	11.3	10.7	10.1	9.5	8.9	8.3	7.8	7.4	6.9	6.5
111	11.3	10.7	10.1	9.5	8.9	8.3	7.8	7.3	6.9	6.5
112	11.3	10.7	10.1	9.5	8.9	8.3	7.8	7.3	6.9	6.5
113	11.3	10.7	10.0	9.4	8.9	8.3	7.8	7.3	6.9	6.4
114	11.3	10.7	10.0	9.4	8.9	8.3	7.8	7.3	6.9	6.4
115	11.3	10.7	10.0	9.4	8.8	8.3	7.8	7.3	6.8	6.4
116	11.3	10.6	10.0	9.4	8.8	8.3	7.7	7.3	6.8	6.4
117	11.3	10.6	10.0	9.4	8.8	8.2	7.7	7.2	6.8	6.3
118	11.3	10.6	10.0	9.3	8.8	8.2	7.7	7.2	6.7	6.3
119	11.2	10.6	9.9	9.3	8.7	8.2	7.6	7.1	6.6	6.2
120+	11.2	10.5	9.9	9.3	8.7	8.1	7.6	7.1	6.6	6.1

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	90	91	92	93	94	95	96	97	98	99
90	8.0	7.7	7.5	7.3	7.1	6.9	6.8	6.7	6.6	6.5
91	7.7	7.5	7.2	7.0	6.8	6.6	6.5	6.4	6.2	6.1
92	7.5	7.2	7.0	6.7	6.5	6.4	6.2	6.1	5.9	5.8
93	7.3	7.0	6.7	6.5	6.3	6.1	5.9	5.8	5.7	5.5
94	7.1	6.8	6.5	6.3	6.1	5.9	5.7	5.5	5.4	5.3
95	6.9	6.6	6.4	6.1	5.9	5.7	5.5	5.3	5.2	5.0
96	6.8	6.5	6.2	5.9	5.7	5.5	5.3	5.1	5.0	4.8
97	6.7	6.4	6.1	5.8	5.5	5.3	5.1	4.9	4.8	4.6
98	6.6	6.2	5.9	5.7	5.4	5.2	5.0	4.8	4.6	4.5
99	6.5	6.1	5.8	5.5	5.3	5.0	4.8	4.6	4.5	4.3
100	6.4	6.0	5.7	5.4	5.2	4.9	4.7	4.5	4.3	4.2
101	6.3	6.0	5.6	5.3	5.1	4.8	4.6	4.4	4.2	4.1
102	6.3	5.9	5.6	5.3	5.0	4.7	4.5	4.3	4.1	4.0

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	90	91	92	93	94	95	96	97	98	99
103	6.2	5.9	5.5	5.2	4.9	4.7	4.5	4.2	4.1	3.9
104	6.2	5.8	5.5	5.2	4.9	4.6	4.4	4.2	4.0	3.8
105	6.1	5.8	5.4	5.1	4.9	4.6	4.4	4.1	4.0	3.8
106	6.1	5.8	5.4	5.1	4.8	4.6	4.3	4.1	3.9	3.8
107	6.1	5.8	5.4	5.1	4.8	4.6	4.3	4.1	3.9	3.7
108	6.1	5.7	5.4	5.1	4.8	4.5	4.3	4.1	3.9	3.7
109	6.1	5.7	5.4	5.1	4.8	4.5	4.3	4.1	3.9	3.7
110	6.1	5.7	5.4	5.1	4.8	4.5	4.3	4.1	3.9	3.7
111	6.1	5.7	5.4	5.1	4.8	4.5	4.3	4.1	3.9	3.7
112	6.1	5.7	5.4	5.1	4.8	4.5	4.3	4.0	3.8	3.7
113	6.1	5.7	5.3	5.0	4.7	4.5	4.2	4.0	3.8	3.6
114	6.0	5.7	5.3	5.0	4.7	4.4	4.2	4.0	3.8	3.6
115	6.0	5.6	5.3	5.0	4.7	4.4	4.2	4.0	3.8	3.6
116	6.0	5.6	5.2	4.9	4.6	4.4	4.1	3.9	3.7	3.5
117	5.9	5.5	5.2	4.9	4.6	4.3	4.0	3.8	3.6	3.4
118	5.8	5.5	5.1	4.8	4.5	4.2	3.9	3.7	3.5	3.3
119	5.8	5.4	5.0	4.7	4.4	4.1	3.8	3.6	3.3	3.1
120+	5.7	5.3	4.9	4.6	4.3	4.0	3.7	3.4	3.2	3.0

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	100	101	102	103	104	105	106	107	108	109
100	4.1	3.9	3.8	3.7	3.7	3.6	3.6	3.6	3.6	3.6
101	3.9	3.8	3.7	3.6	3.5	3.5	3.5	3.4	3.4	3.4
102	3.8	3.7	3.6	3.5	3.4	3.4	3.3	3.3	3.3	3.3
103	3.7	3.6	3.5	3.4	3.3	3.3	3.2	3.2	3.2	3.2
104	3.7	3.5	3.4	3.3	3.3	3.2	3.2	3.2	3.1	3.1
105	3.6	3.5	3.4	3.3	3.2	3.1	3.1	3.1	3.1	3.1
106	3.6	3.5	3.3	3.2	3.2	3.1	3.1	3.1	3.0	3.0
107	3.6	3.4	3.3	3.2	3.2	3.1	3.1	3.0	3.0	3.0
108	3.6	3.4	3.3	3.2	3.1	3.1	3.0	3.0	3.0	3.0
109	3.6	3.4	3.3	3.2	3.1	3.1	3.0	3.0	3.0	3.0
110	3.5	3.4	3.3	3.2	3.1	3.1	3.0	3.0	3.0	3.0
111	3.5	3.4	3.3	3.2	3.1	3.0	3.0	3.0	3.0	3.0
112	3.5	3.4	3.2	3.1	3.1	3.0	3.0	2.9	2.9	2.9
113	3.5	3.4	3.2	3.1	3.1	3.0	3.0	2.9	2.9	2.9
114	3.5	3.3	3.2	3.1	3.0	3.0	2.9	2.9	2.9	2.9
115	3.4	3.3	3.2	3.1	3.0	2.9	2.9	2.9	2.8	2.8
116	3.3	3.2	3.1	3.0	2.9	2.8	2.8	2.8	2.8	2.8

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	100	101	102	103	104	105	106	107	108	109
117	3.3	3.1	3.0	2.9	2.8	2.7	2.7	2.7	2.7	2.6
118	3.1	3.0	2.8	2.7	2.6	2.6	2.5	2.5	2.5	2.5
119	2.9	2.8	2.6	2.5	2.4	2.4	2.3	2.3	2.3	2.3
120+	2.8	2.6	2.5	2.3	2.2	2.1	2.1	2.1	2.0	2.0

Appendix B. (Continued)

Table II (continued)
(Joint and Last Survivor Life Expectancy)
(For Use by Owners Whose Spouses Are More Than 10 Years Younger and Are the Sole Beneficiaries of Their IRAs)

Ages	110	111	112	113	114	115	116	117	118	119	120+
110	3.0	2.9	2.9	2.9	2.9	2.8	2.7	2.6	2.5	2.2	2.0
111	2.9	2.9	2.9	2.9	2.8	2.8	2.7	2.6	2.4	2.2	2.0
112	2.9	2.9	2.9	2.9	2.8	2.8	2.7	2.6	2.4	2.2	2.0
113	2.9	2.9	2.9	2.8	2.8	2.8	2.7	2.6	2.4	2.2	1.9
114	2.9	2.8	2.8	2.8	2.8	2.7	2.6	2.5	2.4	2.1	1.9
115	2.8	2.8	2.8	2.8	2.7	2.7	2.6	2.5	2.3	2.1	1.8
116	2.7	2.7	2.7	2.7	2.6	2.6	2.5	2.4	2.2	2.0	1.8
117	2.6	2.6	2.6	2.6	2.5	2.5	2.4	2.3	2.1	1.9	1.6
118	2.5	2.4	2.4	2.4	2.4	2.3	2.2	2.1	1.9	1.7	1.4
119	2.2	2.2	2.2	2.2	2.1	2.1	2.0	1.9	1.7	1.3	1.1
120+	2.0	2.0	2.0	1.9	1.9	1.8	1.8	1.6	1.4	1.1	1.0

Appendix B. Uniform Lifetime Table

Table III
(Uniform Lifetime)

(For Use by:

- **Unmarried Owners,**
- **Married Owners Whose Spouses Aren't More Than 10 Years Younger, and**
- **Married Owners Whose Spouses Aren't the Sole Beneficiaries of Their IRAs)**

Age	Applicable Denominator	Age	Applicable Denominator
72	27.4	97	7.8
73	26.5	98	7.3
74	25.5	99	6.8
75	24.6	100	6.4
76	23.7	101	6.0
77	22.9	102	5.6

78	22.0	103	5.2
79	21.1	104	4.9
80	20.2	105	4.6
81	19.4	106	4.3
82	18.5	107	4.1
83	17.7	108	3.9
84	16.8	109	3.7
85	16.0	110	3.5
86	15.2	111	3.4
87	14.4	112	3.3
88	13.7	113	3.1
89	12.9	114	3.0
90	12.2	115	2.9
91	11.5	116	2.8
92	10.8	117	2.7
93	10.1	118	2.5
94	9.5	119	2.3
95	8.9	120 and over	2.0
96	8.4		

Appendix C. Recapture Amount—Allocation Chart

Enter the amount from your 2025 Form 8606, line 19 _____

Before you begin: You will need your prior year Form(s) 8606 and income tax return(s) if you entered an amount on any line(s) as indicated below.

You will now allocate the amount you entered above (2025 Form 8606, line 19) in the order shown, to the amounts on the lines listed below (to the extent a prior year distribution wasn't allocable to the amount). The maximum amount you can enter on each line below is the amount entered on the referenced lines of the form for that year. **Note.** Once you have allocated the full amount from your 2025 Form 8606, line 19, **STOP**.

Tax Year	Your Form			
2025	Form 8606, line 20	_____	Form 8606, line 22	_____
1998	Form 8606, line 16	_____	Form 8606, line 15	_____
1999	Form 8606, line 16	_____	Form 8606, line 15	_____
2000	Form 8606, line 16	_____	Form 8606, line 15	_____
2001	Form 8606, line 18	_____	Form 8606, line 17	_____
2002	Form 8606, line 18	_____	Form 8606, line 17	_____
2003	Form 8606, line 18	_____	Form 8606, line 17	_____
2004	Form 8606, line 18	_____	Form 8606, line 17	_____
2005	Form 8606, line 18	_____	Form 8606, line 17	_____
2006	Form 8606, line 18	_____	Form 8606, line 17	_____
2007	Form 8606, line 18	_____	Form 8606, line 17	_____
2008	Form 8606, line 18; and Form 1040, line 16b; Form 1040A, line 12b; or Form 1040NR, line 17b*	_____	Form 8606, line 17; and Form 1040, line 16a; Form 1040A, line 12a; or Form 1040NR, line 17a**	_____